Deloitte.



ROSS STORES INC

Briefing Book
Saturday, November 07, 2026

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Key information



Ross Stores, Inc.

Dublin, California, United States
+9259654400 · www.rossstores.com
Publicly Traded Company

EMPLOYEES
111000 (Total)
4018 (Here)

D&B LEGAL STATUS TYPE
Corporation

CORPORATE LINKAGE
2209 Companies

TRADED
NASDAQ:ROST

INDUSTRY
Clothing and Apparel Stores

FORTUNE 1000 RANK
199

SALES
22.75B

FISCAL YEAR END
01/31/2026

REPORTING CURRENCY
USD

TOTAL ASSETS
15.55B

MARKET VALUE
75.14B

D-U-N-S NUMBER
029089711

CREDIT RATING
Low Risk

ADDRESS
5130 Hacienda Dr
Dublin, California, 94568-7635
United States

Latitude: 37.71033
Longitude: -121.89024

Company summary

Ross Stores, Inc. operates two off-price retail apparel and home fashion chains in the US. Its Ross Dress for Less is the largest off-price apparel and home fashion chain in the country, targeting middle-income households with savings of 20% to 60% off department store prices. The company also operates dd's DISCOUNTS, which caters to lower- and moderate-income families with savings of 20% to 70%. Together, the brands operate 2,186 stores across 43 states, the District of Columbia, and Guam. The company offers a wide assortment of first-quality, in-season, brand name apparel, accessories, footwear, and home fashions, providing a "treasure-hunt" shopping experience for value-conscious consumers.

Operations

The company, together with its subsidiaries, operates off-price retail apparel and home fashion stores under the Ross Dress for Less and dd's DISCOUNTS brands. The company offers apparel, accessories, footwear, and home fashions products. It sells its products to middle income households and households with lower to more moderate incomes.

Short company profile

Ross Stores, Inc. operates two off-price retail apparel and home fashion chains in the US. Its Ross Dress for Less is the largest off-price apparel and home fashion chain in the country, targeting middle-income households with savings of 20% to 60% off department store prices. The company also operates dd's DISCOUNTS, which caters to lower- and moderate-income families with savings of 20% to 70%. Together, the brands operate 2,186 stores across 43 states, the District of Columbia, and Guam. The company offers a wide assortment of first-quality, in-season, brand name apparel, accessories, footwear, and home fashions, providing a "treasure-hunt" shopping experience for value-conscious consumers.

Company operations summary

Ross Stores' operations are centered on its off-price retail model, which relies on opportunistic purchasing of brand-name merchandise. The company manages two distinct retail brands, Ross Dress for Less and dd's DISCOUNTS, which are aggregated into a single reportable segment. A key operational component is its "packaway" inventory strategy, where merchandise is purchased and stored in warehouses for release in a future season; as of February 2025, packaway goods accounted for 41% of total inventory. The company operates a network of large, highly automated distribution centers and warehouses to receive and ship all merchandise to its stores. As of February 1, 2025, Ross Stores had approximately 107,000 full- and part-time associates.

Geographic reach

The company operates exclusively in the US and its territories. As of February 1, 2025, Ross Stores operated a total of 2,186 locations, comprising 1,831 Ross stores in 43 states, the District of Columbia, and Guam, and 355 dd's DISCOUNTS stores in 22 states. The company has a significant concentration of stores in California, Texas, and Florida, which together account for nearly 50% of its total store count.

Sales and marketing summary

Ross Stores' marketing strategy focuses on communicating its value proposition of offering significant savings on brand-name merchandise compared to department and specialty stores. The company uses a mix of traditional and streaming television, digital channels such as social media and digital video, and new store grand openings to reach its target customers. There is a continued shift in marketing and advertising spend towards digital channels to reflect changes in media consumption. Advertising costs were $70.2 million in fiscal 2024, up from $67.7 million in fiscal 2023 and $66.5 million in fiscal 2022.

Financial performance summary

Ross Stores has demonstrated consistent growth over the past three fiscal years. Sales have steadily increased, rising from $18.70 billion in fiscal 2022 to $20.38 billion in fiscal 2023, and reaching $21.13 billion in fiscal 2024. Net earnings have followed a similar upward trajectory, growing from $1.51 billion in fiscal 2022 to $1.87 billion in fiscal 2023, and culminating in $2.09 billion in fiscal 2024, reflecting strong operational performance and profitability. In fiscal 2024, sales increased by 3.7% to $21.13 billion from $20.38 billion in the prior year. This growth was supported by the net addition of 77 new stores during the year. The company's cost of goods sold rose by 3.1% to $15.26 billion, a slower pace than sales growth, indicating improved merchandise margins. Selling, general, and administrative expenses remained relatively flat, increasing by just 0.5% to $3.28 billion. The company's net earnings for fiscal 2024 grew by 11.5% to $2.09 billion, compared to $1.87 billion in fiscal 2023. This robust profit growth was driven by the increase in sales and a higher operating income, which rose 12.0% to $2.59 billion. The company also benefited from a slight increase in net interest income, which was $171.6 million in fiscal 2024 compared to $164.1 million in the previous year. The effective tax rate was stable at 24.2%. Ross Stores ended fiscal 2024 with a cash and cash equivalents balance of $4.73 billion, a slight decrease from $4.87 billion at the end of fiscal 2023. Net cash provided by operating activities was $2.36 billion. Net cash used in investing activities totaled $637.5 million, primarily for $720.1 million in additions to property and equipment. Financing activities used a significant $1.86 billion, driven by $1.05 billion in common stock repurchases, $488.7 million in dividend payments, and a $250.0 million repayment of long-term debt.

Strategy summary

Ross Stores' core strategy is to offer competitive values to target customers by focusing on several key objectives. These include maintaining a strong assortment of recognizable brands at significant discounts, tailoring merchandise to meet local needs, and delivering a simple, "treasure-hunt" in-store shopping experience. A central pillar of its growth strategy is managing real estate expansion to effectively compete across all markets. The company's merchandising strategy relies on experienced buyers executing off-price techniques, including opportunistic purchases of close-out and overrun goods and the use of "packaway" inventory. This allows the company to acquire merchandise at lower costs than traditional retailers. The company also strives to maintain low operating costs through a self-service retail format and centralized business functions.

Mergers and acquisitions summary

The report does not mention any significant corporate mergers or acquisitions. The company's growth strategy is focused on organic expansion through new store openings and opportunistic real estate acquisitions for its store locations. In December 2024, the company completed the sale of a packaway warehouse facility, recognizing a pre-tax gain of $61.6 million.

Company historical background

Ross Stores, Inc. is a leading off-price retailer of apparel and home fashion in the United States. The company operates two main retail brands: Ross Dress for Less, which is the largest off-price chain of its kind in the US and targets middle-income consumers, and dd's DISCOUNTS, which serves customers from lower to more moderate-income households. The company's business model is built on offering first-quality, in-season, brand-name merchandise at substantial discounts compared to traditional department and specialty stores. As of February 1, 2025, the company operated a combined total of 2,186 stores. In February 2025, James G. Conroy assumed the role of Chief Executive Officer.

Industry

NORTH AMERICAN INDUSTRY CLASSIFICATION SYSTEM 2022
458210 - Shoe Retailers

D&B STANDARD INDUSTRY CODE
56619906 - Women's shoes

NORTH AMERICAN INDUSTRY CLASSIFICATION SYSTEM 2022
458110 - Clothing and Clothing Accessories Retailers

D&B STANDARD INDUSTRY CODE
59449901 - Jewelry, precious stones and precious Metals

D&B STANDARD INDUSTRY CODE
56619904 - Men's shoes

D&B HOOVERS INDUSTRY CLASSIFICATION
29 - Clothing and Apparel Stores

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
5632 - Ret women's accessories/specialties

NORTH AMERICAN INDUSTRY CLASSIFICATION SYSTEM 2022
458310 - Jewelry Retailers

NACE REVISION 2
4771 - Retail sale of clothing in specialised stores

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
5999 - Ret misc merchandise

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
5611 - Ret men's/boy's clothing

NORTH AMERICAN INDUSTRY CLASSIFICATION SYSTEM 2022
456120 - Cosmetics, Beauty Supplies, and Perfume Retailers

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
5661 - Ret shoes

D&B STANDARD INDUSTRY CODE
56619901 - Children's shoes

D&B STANDARD INDUSTRY CODE
56610000 - Shoe stores

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
5651 - Ret family clothing

D&B STANDARD INDUSTRY CODE
56519902 - Unisex clothing stores

D&B STANDARD MAJOR INDUSTRY CODE
G - Retail Sale

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
5944 - Ret jewelry

Company identifiers

D-U-N-S NUMBER
029089711

COMMERCIAL AND GOVERNMENT ENTITY CODE
8T2Z5
FEDERAL TAXPAYER IDENTIFICATION NUMBER (US)
94-1390387
BUSINESS REGISTRATION NUMBER (US)
2191809
US GENERAL SERVICES ADMINISTRATION UNIQUE ENTITY IDENTIFIER
RSLJWNZR27P6

Corporate highlights

TRADESTYLE
ROSS
TRADESTYLE
TRADESTYLE

YEAR FOUNDED
1957

Contacts

James G Conroy
Chief Executive Officer

K GUNNAR BJORKLUND
Chairman of the Board

MICHAEL J HARTSHORN
President, Chief Operating Officer

STEPHEN BRINKLEY
Operations President

WILLIAM W SHEEHAN
Executive Vice President, Chief Financial Officer

Top competitors

Walmart Inc.
D-U-N-S NUMBER - 051957769

Kohl's Corporation
D-U-N-S NUMBER - 787408996

Source: Audit Analytics, D&B Hoovers

Corporate structure

Company name	City	State or province	Country/Region	Employees (Total)	Sales ($M)
Ross Stores, Inc.	Dublin	California	United States	111,000	22,750.56M
Ross Merchandising, Inc.	Pleasanton	California	United States	1,435	1.13M
Retail Assurance Group, Inc.	Honolulu	Hawaii	United States	797	0.19M
Ross Dress For Less, Inc.	Dublin	California	United States	450	910.80M
Ross Procurement Inc.	Dublin	California	United States	150	9.80M
Ross Distribution Company, LLC	Dublin	California	United States	84	10.93M

Source: D&B Hoovers

General info

Company type	Public	Ticker symbol	ROST	Fiscal year end	02/01
Client program(s)	PAC	Filer type	Large Accelerated Filer	Auditor	Deloitte (since 1982)
Attest	Yes	IPO year	1985	Audit fees	$2,379,000
Company address	5130 Hacienda Dr, Dublin, CA, 94568	Fortune 1000 rank	199	Proxy filing date	04/07/2026
Website	www.rossstores.com	Russell 3000 index	1000	Audit engagement partner (Form AP)	James Bodner
Number of employees	111,000	NAICS industry	455110 Department Stores	LCSP	James Bodner
Revenue (TTM)	$24,511,798,000			Estimated partner rotation year	-
Market capital (as of 08/01/2026)	$75,144,955,065				

Source: Audit Analytics, D&B Hoovers, Deloitte Master Data Repository

C-suite and board members matrix

C-suite

Name	Role	Start date	Years in role	Age	Gender	Relationship strength	Deloitte or competitor alumni
James Conroy	CEO (Chief Executive Officer)	02/02/2025	1.8	56	M		Deloitte
William Sheehan	CFO (Chief Financial Officer)	10/01/2025	1.1	57	M		–
Michael Hartshorn	COO (Chief Operating Officer)	03/10/2021	5.7	55	M		PWC

Source: BoardEx

Extended C-suite

Name	Role	Start date	Years in role	Age	Gender	Relationship strength	Deloitte or competitor alumni
Jeffrey Burrill	CAO (Chief Accounting Officer)	10/01/2025	1.1	57	M		–

Source: BoardEx

Board members

● Deloitte alumni ● Competitor alumni ● Deloitte board ● Competitor board

Name	Role	Start date	Years on board	Committees	Age/Gender	Total boards
K Bjorkland	Independent Chairman	02/01/2026	0.8	Compensation Governance Nomination	68/M	5
Shelley Bransten	Independent Director	10/01/2026	0.1	Audit	F	3
Michael Bush	Independent Director	05/17/2017	9.5	Compensation (Chair) Governance Nomination	66/M	3
Edward Cannizzaro	Independent Director	10/14/2022	4.1	Audit Governance Nomination	66/M	3
James Conroy	CEO	02/02/2025	1.8	–	56/M	2
Michael Hartshorn	Group President/COO	03/10/2021	5.7	–	55/M	2
Christian Johnson	Independent Director	10/01/2026	0.1	Audit	45/M	3
Stephen Milligan	Independent Director	01/21/2015	11.8	Audit Governance Nomination	63/M	2
Patricia Mueller	Independent Director	03/11/2020	6.7	Compensation Governance (Chair) Nomination (Chair)	64/F	2
Doniel Sutton	Independent Director	03/11/2021	5.7	Compensation Governance Nomination	53/F	4

Source: BoardEx

Deloitte relationships

Top 10 Deloitte relationships

Winnie Tam
winntam@deloitte.com
LMD - Managing Director, Audit & Assurance
Audit & Assurance
San Francisco
< 1m

Carolyn Vesely
cvesely@deloitte.com
L65 - Senior Manager 3+, Financial Statement Audit
Audit & Assurance
San Francisco
< 1m

Jenna Taylor
jetaylor@deloitte.com
LPP - Audit & Assurance Partner
Audit & Assurance
San Francisco
< 1m

James Bodner
jbodner@deloitte.com
LPP - Audit & Assurance Partner
Audit & Assurance
San Francisco
< 6m

Jenny Gehrke
jchan@deloitte.com
LPP - Tax Partner
Tax
San Francisco
< 1m

Monique Comella
mcomella@deloitte.com
L65 - Senior Manager 3+, Financial Statement Audit
Audit & Assurance
Sacramento
< 12m

Tien Tran
tienthutran@deloitte.com
L55 - Manager, Technology Controls Advisory, Audit and Assurance
Audit & Assurance
McLean
< 1m

Yanan Wang
yanawang@deloitte.com
L65 - Senior Manager, Technology Controls Advisory, Audit and Assurance
Audit & Assurance
Atlanta
< 1m

Wenjie Han
wehan@deloitte.com
L65 - Senior Manager, Tax Services
Tax
San Francisco
< 1m

Tallon Popovich
tpopovich@deloitte.com
L55 - Manager 3+, Financial Statement Audit
Audit & Assurance
San Francisco
< 9m

Top 5 PPMD relationships

Less than 5 relationships found

No Deloitte relationships identified

See all relationships in IQ.

Source: Introhive

Cross-board relationships

Board member	Role	Start date	Years on board	Committees	Cross-board relationships			
					Other current board positions	Committees	Current auditor	Auditor tenure
Christian B Johnson	Independent Director	10/01/2026	0	Audit	FREEMAN SPOGLI & CO LLC (Non-board role)	–	–	–
Doniel N Sutton	Independent Director	03/11/2021	5.6	Compensation, Nominating and Corporate Governance	PINTEREST INC (Non-board role)	–	EY	Since 2013
					MORNINGSTAR INC	Audit, Compensation	KPMG	Since 2011
					JUSTICE + JOY NATIONAL COLLABORATIVE	–	–	–
Edward (Ed) G Cannizzaro	Independent Director	10/14/2022	4	Audit, Nominating and Corporate Governance	PACIFIC GAS & ELECTRIC CO (PG&E CORP)	Audit, Innovation and Finance	Deloitte	Since 1999
					PG&E CORP	Audit, Innovation and Finance	Deloitte	Since 1999
James (Jim) G Conroy	CEO	02/02/2025	1.7	–	–	–	–	–
K Gunnar Bjorklund	Independent Chairman	02/01/2026	0.7	Compensation, Nominating and Corporate Governance	–	–	–	–
Michael J Bush	Independent Director	05/17/2017	24	Compensation (chair), Nominating and Corporate Governance	B IV INVESTMENTS LLC (Non-board role)	–	–	–
					TECHNOSERVE INC	–	–	–
Michael J Hartshorn	Group President/COO	03/10/2021	7.2	–	–	–	–	–
Patricia (Trish) H Mueller	Independent Director	03/11/2020	6.6	Nominating and Corporate Governance (chair), Compensation	–	–	–	–
Shelley H Bransten	Independent Director	10/01/2026	0	Audit	MICROSOFT CORP (Non-board role)	–	Deloitte	Since 1983
					TROVE INC	–	–	–
Stephen (Steve) D Milligan	Independent Director	01/21/2015	11.8	Audit (chair), Nominating and Corporate Governance	–	–	–	–

Source: BoardEx

Parent client team

6 parent client team members

JB	**James Bodner** jbodner@deloitte.com LCSP Audit & Assurance San Francisco	JG	**Jenny Gehrke** jchan@deloitte.com LBP Tax Tax San Francisco	MD	**Mike Daher** mdaher@deloitte.com National Industry Leader Consulting Services Miami
NM	**Natalie Martini** nmartini@deloitte.com National Sector Leader Audit & Assurance Chicago	OF	**Olivia Flowers** oflowers@deloitte.com Sector Specialist Clients, Strategy & Growth Denver	MM	**Michelle Malblanc** mmalblanc@deloitte.com Industry G&P Leader Clients, Strategy & Growth Cincinnati

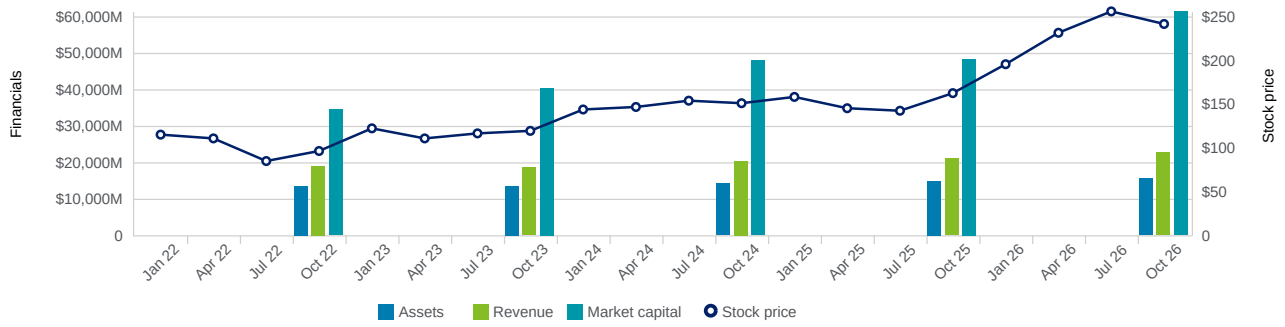
Source: Deloitte Master Data Repository

Financials



Financial snapshot

Stock report chart



Market data

Quote symbol:	ROST	Currency:	USD	Stock price date:	10/31/2026
Exchange:	NASDAQ Global Select Market	Stock price:	$241.49	Market value:	$75,144.00M

Source: Refinitiv, S&P

Earnings estimate

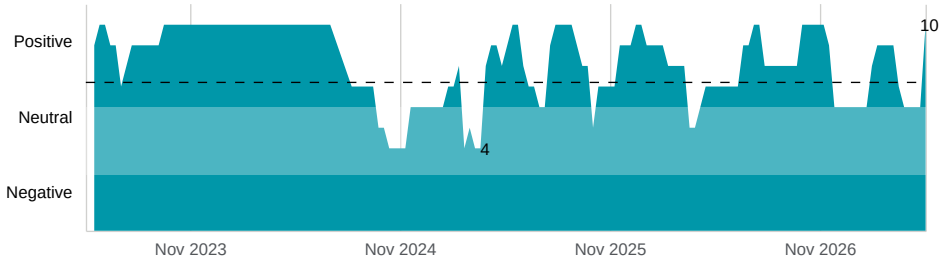
Earnings

10

Positive outlook

Strong earnings with recent analyst upgrades or a history of surpassing consensus estimates.

Earnings score trend



Earnings score average

Specialty Retailers group	6.1
Retailers sector	6.3
S&P 500 index	6.7
Large market capital	6.5

As of 11/01/2026

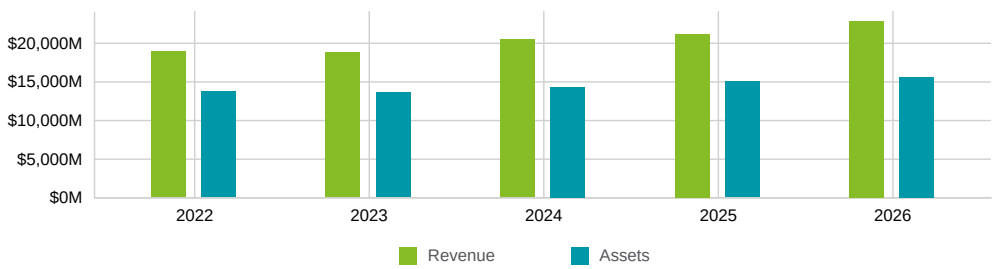
Peer comparison

Peers	-6M	-3M	-1M	-1W	Current	1 year trend
ROST	8	6	6	6	10	
TPR	8	10	9	9	10	
GAP	9	4	4	5	5	
BURL	5	5	2	4	4	
TJX	9	9	4	4	4	

Source: Refinitiv

Financial info

Company financials



Info

Market capital:	$75,144.00M
Revenue (TTM):	$24,511.00M
Earnings:	$851.00M
Assets:	$15,982.00M
Fiscal year end:	02/01
Financials date (Latest FY):	08/01/2026

Source: Audit Analytics, Refinitiv

Corporate activity



Disclosure report

Disclosure controls over financial reporting - SOX 302 (last 5 years)

Auditor	Effective mgmt controls	Material weakness	Other deficiencies/ controls	Period end date	Filing	Filing date	Reasons
Deloitte	Yes	No	No	01/31/2026	10-K	03/31/2026	–
Deloitte	Yes	No	No	02/01/2025	10-K	04/01/2025	–
Deloitte	Yes	No	No	02/03/2024	10-K	04/02/2024	–
Deloitte	Yes	No	No	01/28/2023	10-K	03/28/2023	–
Deloitte	Yes	No	No	01/29/2022	10-K	03/29/2022	–

Internal controls over financial reporting - SOX 404 (last 5 years)

Auditor	Fiscal year	Signature date	Auditor agrees with mgmt?	Internal controls effective	Filing	Filing date	Reasons
Deloitte	2026	03/30/2026	Yes	Yes	10-K	03/31/2026	–
Deloitte	2025	03/31/2025	Yes	Yes	10-K	04/01/2025	–
Deloitte	2024	04/01/2024	Yes	Yes	10-K	04/02/2024	–
Deloitte	2023	03/27/2023	Yes	Yes	10-K	03/28/2023	–
Deloitte	2022	03/29/2022	Yes	Yes	10-K	03/29/2022	–

Audit opinions (last 5 years, if available)

Auditor	Fiscal Year	Going concern?	Opinion issues	Additional opinion	Integrated audit?	Critical audit matters (MR)	Filer status	Filing	Filing date	Signature date
Deloitte	2026	No	–	No	Yes	–	Large Accelerated Filer	10-K	03/31/2026	03/30/2026
Deloitte	2025	No	–	No	Yes	–	Large Accelerated Filer	10-K	04/01/2025	03/31/2025
Deloitte	2024	No	–	No	Yes	–	Large Accelerated Filer	10-K	04/02/2024	04/01/2024
Deloitte	2023	No	–	No	Yes	–	Large Accelerated Filer	10-K	03/28/2023	03/27/2023
Deloitte	2022	No	–	No	Yes	–	Large Accelerated Filer	10-K	03/29/2022	03/29/2022

Form AP (last 5 years)

Engagement partner name	Audit firm	Audit report date
Bodner, James Michael	Deloitte	03/30/2026
Bodner, James Michael	Deloitte	03/31/2025
Bodner, James Michael	Deloitte	04/01/2024
Bodner, James Michael	Deloitte	03/27/2023
Bodner, James Michael	Deloitte	03/29/2022

Management changes (last 2 years)

Name	Position	Incoming/Outgoing	Filing	Filing date	Reason
Christian B Johnson	Director	Appointed	8-K	09/17/2026	None Given
Sharon D Garrett	Director	Retired	8-K	09/17/2026	None Given
Shelley H Bransten	Director	Appointed	8-K	09/17/2026	None Given
K Gunnar Bjorklund	Chairman of the Board	Appointed	8-K	11/24/2025	Assuming additional Position(s)
Michael Balmuth	Other	Retired	8-K	11/24/2025	Position Change within Company
William Sheehan	Other	Appointed	8-K	09/02/2025	Position Change within Company
William Sheehan	Other	Resigned	8-K	09/02/2025	Position Change within Company
Adam Orvos	CFO - Chief Finance Officer	Retired	8-K	02/20/2025	None Given
William Sheehan	CFO - Chief Finance Officer	Appointed	8-K	02/20/2025	Position Change within Company
William Sheehan	Other	Appointed	8-K	02/20/2025	Assuming additional Position(s)
William Sheehan	Other	Resigned	8-K	02/20/2025	Position Change within Company

Proxy fees increases greater than 30% (last 2 years)

Auditor	Proxy year	Audit fee percent increase (2 yr)	Audit + audit related total ($M)	Audit fees ($M)	Audit related fees ($M)	Filing	Filing date
Deloitte	2026	22.80%	2.76	2.38	0.38	DEF 14A	04/07/2026
Deloitte	2025		2.43	2.27	0.17	DEF 14A	04/08/2025
Deloitte	2024		2.25	2.09	0.16	DEF 14A	04/09/2024

Proxy fee increases greater than 20% (last 1 year)

Auditor	Proxy year	Audit fee percent increase (1 yr)	Audit + audit related total ($M)	Audit fees ($M)	Audit related fees ($M)	Filing	Filing date
Deloitte	2026	13.45%	2.76	2.38	0.38	DEF 14A	04/07/2026
Deloitte	2025		2.43	2.27	0.17	DEF 14A	04/08/2025

SEC comment letters (last 5 years)

Auditor	Letter topic	Correspondence	Letter date
Deloitte	Whole Letter Description	SEC Letter	07/29/2025
Deloitte	Management Discussion & Analysis Type Disclosure Issues	Company Response	07/21/2025
Deloitte	Other Disclosure Matters	Company Response	07/21/2025
Deloitte	Regulation S-K References	Company Response	07/21/2025
Deloitte	Management Discussion & Analysis Type Disclosure Issues	SEC Letter	07/11/2025
Deloitte	Regulation S-K References	SEC Letter	07/11/2025
Deloitte	Management Discussion & Analysis Type Disclosure Issues	Company Response	06/30/2025
Deloitte	Other Disclosure Matters	Company Response	06/30/2025
Deloitte	Regulation S-K References	Company Response	06/30/2025
Deloitte	Management Discussion & Analysis Type Disclosure Issues	SEC Letter	06/17/2025
Deloitte	Regulation S-K References	SEC Letter	06/17/2025

"MR" = most recent data for selected proxy year

Source: Audit Analytics

Key developments (last 6 months)

Date	Headline	Length
07/20/2026	**BRIEF-Ross Stores - Opens 47 New Stores Nationwide In June And July** July 20 (Reuters) - Ross Stores Inc: • ROSS STORES - OPENS 47 NEW STORES NATIONWIDE IN JUNE AND JULY • ROSS STORES - ON TRACK TO OPEN ABOUT 110 STORES IN 2026 Source text: Further company coverage: ;))	50 words

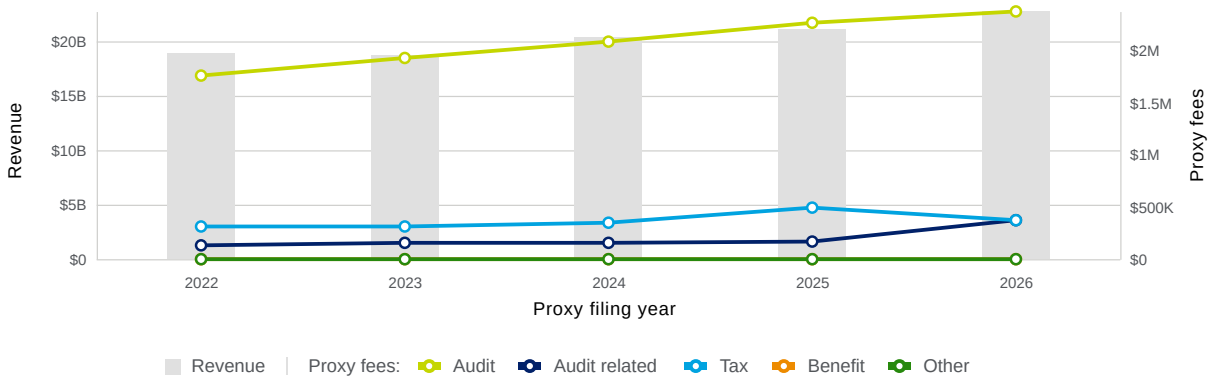
DOW JONES

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Source: Factiva

Proxy fees

5 year trends



Revenue | Proxy fees: Audit Audit related Tax Benefit Other

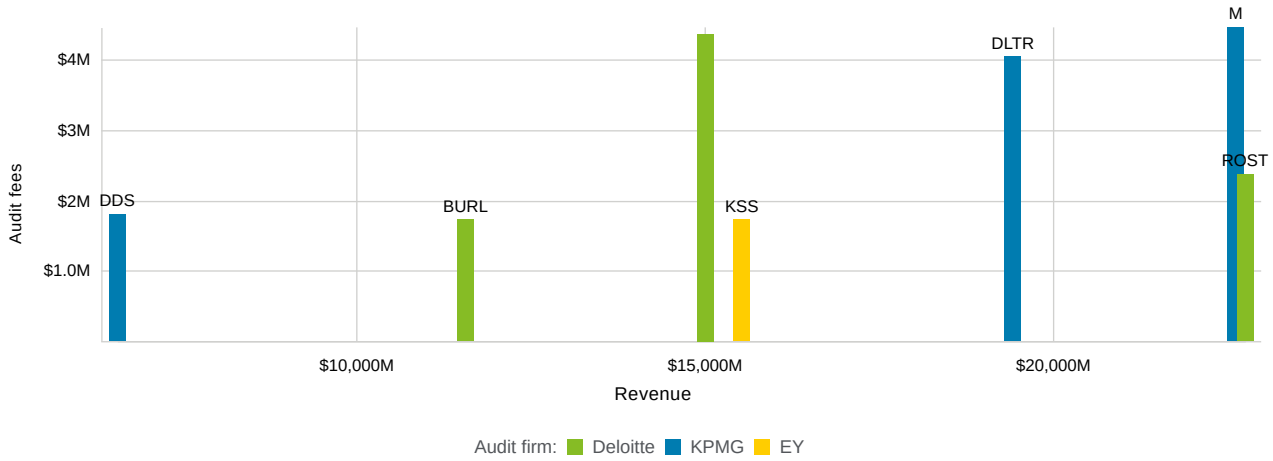
Year	Revenue ($M)	Audit fees ($M)	Audit related fees ($M)	Tax ($M)	Benefits ($M)	Other fees ($M)	Total fees ($M)	Auditor
2026	22,750.56	2.38	0.38	0.38	0.00	0.00	3.13	Deloitte
2025	21,129.22	2.27	0.17	0.50	0.00	0.00	2.93	Deloitte
2024	20,376.94	2.09	0.16	0.35	0.00	0.00	2.60	Deloitte
2023	18,695.83	1.93	0.15	0.32	0.00	0.00	2.41	Deloitte
2022	18,916.24	1.76	0.13	0.31	0.00	0.00	2.21	Deloitte

Source: Audit Analytics

Peer comparison

ROSS STORES INC

Companies below are the closest peers to the subject company based on industry and revenue size



Company name	Ticker symbol	Proxy year	Audit fees ($M)	Total fees ($M)	Revenue ($M)	Assets ($M)	Market capital ($M)	Auditor
ROSS STORES, INC.	ROST	2026	2.38	3.13	22,750.56	15,548.74	61,490.11	Deloitte
MACY'S, INC.	M	2026	4.46	4.75	22,621.00	16,238.00	5,634.06	KPMG
DOLLAR TREE, INC.	DLTR	2026	4.05	4.17	19,411.80	13,466.20	23,309.57	KPMG
KOHL'S CORPORATION	KSS	2026	1.73	2.39	15,527.00	13,362.00	2,016.04	EY
NORDSTROM, INC.	–	2025	4.37	4.93	15,016.00	8,966.00	3,984.15	Deloitte
BURLINGTON STORES, INC.	BURL	2026	1.73	1.83	11,566.91	9,919.06	18,795.04	Deloitte
DILLARD'S INC.	DDS	2026	1.80	1.80	6,563.34	3,505.02	7,357.51	KPMG

Source: Audit Analytics

Perspectives



GOVERNANCE METRICS REPORT

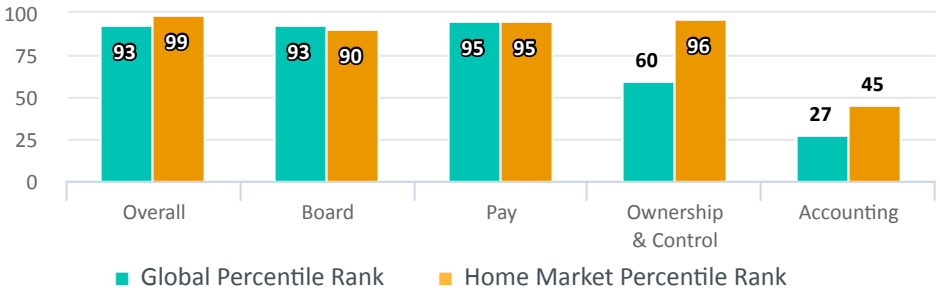
ROSS STORES, INC. (ROST)

Governance Score **8.5** / 10

Regulatory Disclosures

Industry:	Retail - Consumer Discretionary	**Incorporated:**	US (DE)	**Last Data Update:**	Jun 01, 2026
Market Cap:	69,840,455,867 USD	**Home Market:**	United States	**Last Score Change:**	Jun 01, 2026

GOVERNANCE THEMES AND RANKINGS



OWNERSHIP OVERVIEW

Capital Structure	Single Equity Class
Ownership Classification	Principal Shareholder

Top Shareholders:

The Vanguard Group- 12.2%

KEY DATES

Financial Year End	February 01
Annual Filing Date	Apr 07, 2026
AGM Date	May 20, 2026

SUMMARY

ROSS STORES falls into the highest scoring range for all the companies we assess relative to global peers, indicating that the company's corporate governance practices are generally well aligned with shareholder interests.

KEY AREAS OF CONCERN*

SCORING DEDUCTIONS

Board Effectiveness **(-0.20)**

Flagged Directors on Board

Pay Performance Alignment **(-0.20)**

Pay Linked to Sustainability

Director Elections **(-0.20)**

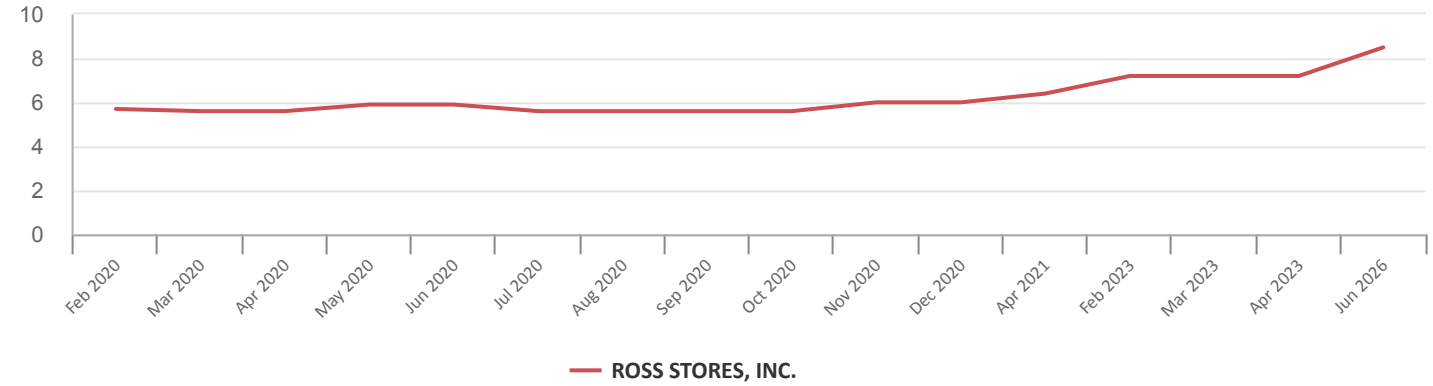
Majority Voting

WEBSITE

https://www.rossstores.com/

**Key areas of concern include flagged key metrics within the three sub-issues that represent the largest scoring deductions. Please review the full report to see the complete set of flagged key metrics.*

CORPORATE GOVERNANCE SCORE HISTORY



CHANGES TO FLAGGED KEY METRICS (SINCE MARCH 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
Significant Vote Against Pay Practices	Flag Removed	Jul 08, 2026	0.10	AGM voting results updated

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Key Metric	Key Metric Change	Date	Score Change	Change Notes
Entrenched Board	Flag Removed	Jul 08, 2026	0.80	
Long-Term Pay Performance Versus Peers	Flag Removed	Jun 04, 2026	0.20	
Long-Term Pay Performance Versus Peers	**Flag Added**	May 28, 2026	**-0.20**	
Severance Vesting	**Flag Added**	May 12, 2026	**-0.10**	
Not 30% Female Directors	Flag Removed	Feb 04, 2026	0.10	
Leadership Concerns	Flag Removed	Feb 04, 2026	0.30	
Independent Chair	Flag Removed	Feb 04, 2026	0.10	
Significant Votes Against Directors	Flag Removed	Jul 24, 2025	0.25	AGM voting results updated
Short-Term Pay Performance	Flag Removed	Jul 16, 2025	0.20	
Dispersed Ownership Concerns	Flag Removed	Jul 16, 2025	0.20	

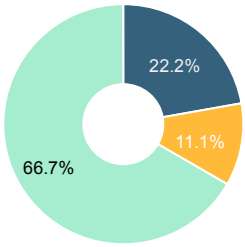
Note: A full list of score changes (including where there is no Key Metric Change) is included in the Appendix.

BOARD OVERVIEW

Board Type: Unitary Board

Board of Directors

CEO	James (Jim) Conroy	Since: Feb 02, 2025
Chair	K. Gunnar Bjorklund	Since: Feb 01, 2026



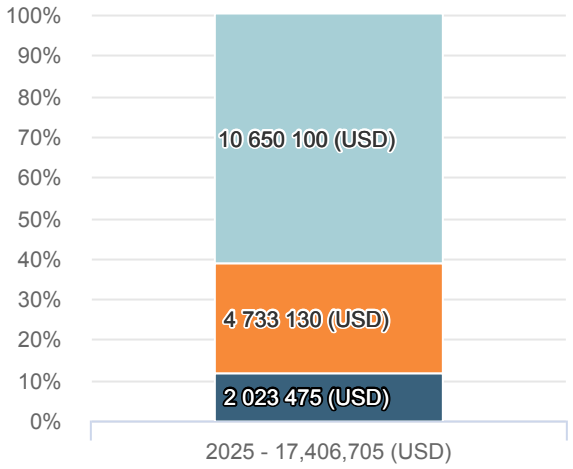
Executive Leadership

CFO	William Sheehan	Since: Oct 01, 2025

■Executive ■Links to Management ■Independent of Management

PAY OVERVIEW

Highest Paid Executive - James (Jim) Conroy



■Long Term Incentives Awarded	10,650,100 (USD)
■Short Term Incentives Awarded	4,733,130 (USD)
■Fixed Pay	2,023,475 (USD)

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BOARD

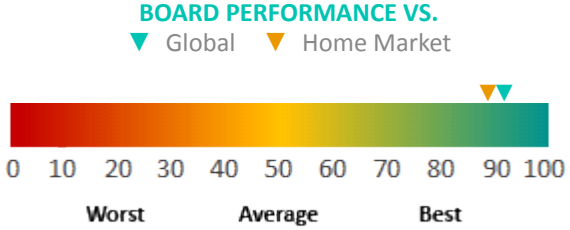
The ROSS STORES board appears to be generally well organized to provide effective strategic oversight for the company management. We have flagged this board for potential concerns regarding the previous history of board service for certain directors.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
9.3	93rd (Above Average)	90th (Above Average)

KEY METRICS SCORING

	Deduction
AUDIT OVERSIGHT	
Audit Committee Industry Expert	-0.10
BOARD EFFECTIVENESS	
Flagged Directors on Board	-0.20
PAY OVERSIGHT	
Pay Committee Independence	-0.10

BOARD PERFORMANCE VS.



LEADERSHIP

CHIEF EXECUTIVE OFFICER

History	CEO Since	Until	Name	Gender	Age
Current	**Feb 2025**		**James (Jim) Conroy**	**M**	**56**
Former	*Jun 2014*	*Feb 2025*	*Barbara Rentler*	*F*	*68*

CHIEF FINANCIAL OFFICER

History	CFO Since	Until	Name	Gender	Age
Current	**Oct 2025**		**William Sheehan**	**M**	**57**
Former	*Oct 2021*	*Sep 2025*	*Adam Orvos*	*M*	*61*
Former	*Jul 2021*	*Oct 2021*	*Michael Hartshorn*	*M*	*58*
Former	*Aug 2019*	*Jul 2021*	*Travis Marquette*	*M*	*54*

CHAIR

History	Chair Since	Until	Name	Gender	Age
Current	**Feb 2026**		**K. Gunnar Bjorklund**	**M**	**67**
Former	*Sep 2023*	*Jan 2026*	*Michael Balmuth*	*M*	*75*
Former	*May 2021*	*Sep 2023*	*George Orban*	*M*	*80*

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BOARD OF DIRECTORS

The ROSS STORES board currently has an independent majority, which enables it to more effectively fulfill its critical function of overseeing management on behalf of shareholders. Additionally, the company has split the roles of CEO and chair and has named a fully independent chairman. An independent chairman is characteristic of 40% of companies in MSCI ESG Research's coverage.

Number of Board Meetings: 5
Non-executives meet in absence of Executives: Yes

Name	M/F	Age	Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Management Link/ Designation Reason	Nationality
Doniel Sutton $	F	52	5	2	Yes	Yes		Not Disclosed
Edward Cannizzaro R $	M	65	3	3	Yes	Yes		Not Disclosed
James (Jim) Conroy CEO X I	**M**	**56**	**1**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
K. Gunnar Bjorklund COB	M	67	23	1	Yes	Yes		Not Disclosed
Michael Bush I	M	65	24	1	No	Yes	Former executive	Not Disclosed
Michael Hartshorn I $	**M**	**58**	**5**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
Patricia Mueller I	F	63	6	1	Yes	Yes		Not Disclosed
Sharon Garrett	F	77	26	1	Yes	Yes		Not Disclosed
Stephen (Steve) Milligan $	M	62	11	1	Yes	Yes		Not Disclosed

	F	# >= 70	# >= 15 yrs	# >= 4			
Total (of 9)	3	1	3	0	6	9	
Percentage	33.3%	11.1%	33.3%	0%	66.7%	100%	

Note: Board count includes the membership of this board.

X - Flagged Director 1x $ - Financial Expert (4) I - Industry Expert (4) R - Risk Management Expert
CEO - Chief Executive Officer COB - Chair of the Board

BOARD EFFECTIVENESS

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Nomination Committee - Number Of Meetings: 5

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Doniel Sutton $	F	52	5	Yes	Yes	Member
Edward Cannizzaro R $	M	65	3	Yes	Yes	Member
K. Gunnar Bjorklund	M	67	23	Yes	Yes	Member
Patricia Mueller I	F	63	6	Yes	Yes	Chair

$ - Financial Expert (2) I - Industry Expert R - Risk Management Expert

Flagged Directors

James (Jim) Conroy

James Conroy was recently a director at Party City Holdco Inc., having left the board within a year of January 17, 2023, when the company filed for chapter 11 bankruptcy protection.

BOARD SKILLS & DIVERSITY

We have identified that this board includes at least one individual flagged as having been involved in one or more negative governance events in the course of their service at previous companies, as explained below.

AUDIT OVERSIGHT

Audit Committee - Number Of Meetings: 9

The ROSS STORES board of directors includes a fully independent audit committee and at least one member of that committee meets our standards for financial expertise.

Name	M/F	Age	Board Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Committee Status
Edward Cannizzaro R $	M	65	3	3	Yes	Yes	Member
Sharon Garrett	F	77	26	1	Yes	Yes	Member
Stephen (Steve) Milligan $	M	62	11	1	Yes	Yes	Chair

$ - Financial Expert (2) R - Risk Management Expert

MSCI

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Risk Committee - Number Of Meetings: 9

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Edward Cannizzaro R $	M	65	3	Yes	Yes	Member
Sharon Garrett	F	77	26	Yes	Yes	Member
Stephen (Steve) Milligan $	M	62	11	Yes	Yes	Chair

$ - Financial Expert (2) R - Risk Management Expert

PAY OVERSIGHT

Pay Committee - Number Of Meetings: 12

The ROSS STORES board does not include a fully independent pay committee which may impact its ability to design rigorous incentives for executives.

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	CEO Role?	Committee Status
Doniel Sutton $	F	52	5	Yes	Yes		Member
K. Gunnar Bjorklund	M	67	23	Yes	Yes		Member
Michael Bush I	M	65	24	No	Yes		Chair
Patricia Mueller I	F	63	6	Yes	Yes		Member

$ - Financial Expert I - Industry Expert (2)

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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PAY

Executive pay practices of the ROSS STORES board appear to be generally well aligned with sustainable shareholder interests. Areas of particular concern include early vesting provisions in share based awards which offer a poor alignment with shareholder interests.

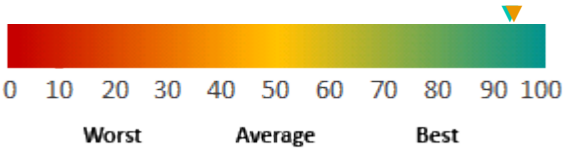
0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.6	95th (Above Average)	95th (Above Average)

KEY METRICS SCORING

	Deduction
PAY PERFORMANCE ALIGNMENT	
Pay Linked to Sustainability	-0.20
SEVERANCE & CHANGE OF CONTROL	
Severance Vesting	-0.10

PAY PERFORMANCE VS.

▼ Global ▼ Home Market



PAY FIGURES

EXECUTIVE PAY - 2025

Executive	Title	Tenure (Years)	Total Awarded Pay (USD)	Total Realized Pay (USD)
Adam Orvos I $	Executive	N/A (Resigned)	628,524	3,459,026
James (Jim) Conroy X I	CEO	1	17,406,705	18,939,868
Karen Fleming I	Executive		5,882,314	4,574,667
Michael Balmuth I	Executive	N/A (Resigned)	15,022,364	10,285,904
Michael Hartshorn I $	Director	5	11,238,620	8,393,063
William Sheehan I $	CFO	< 1	3,955,917	2,629,596

X - Flagged Director 1x $ - Financial Expert (3) I - Industry Expert (6)

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CEO PAY DETAILS - James (Jim) Conroy

Pay Awarded	2025
Fixed Pay	
Salary	1,450,000 USD
Fees	0 USD
Pension	0 USD
Perks & Other Pay	573,475 USD
Variable Pay	
Short-term incentives	
Annual Bonus	500,000 USD
Other Non-equity Incentive Plan	4,233,130 USD
Long-term incentives	
Grant date value of Stock Options	0 USD
Grant date value of Stock Awards	10,650,100 USD
Total Awarded Pay	**17,406,705 USD**

Pay Realized	
Fixed Pay	
Salary	1,450,000 USD
Fees	0 USD
Pension	0 USD
Perks & Other Pay	573,475 USD
Variable Pay	
Short-term incentives	
Annual Bonus	500,000 USD
Other Non-equity Incentive Plan	4,233,130 USD
Long-term incentives	
Options Exercised	0 USD
Stock Awards Vested	12,183,263 USD
Total Realized Pay	**18,939,868 USD**

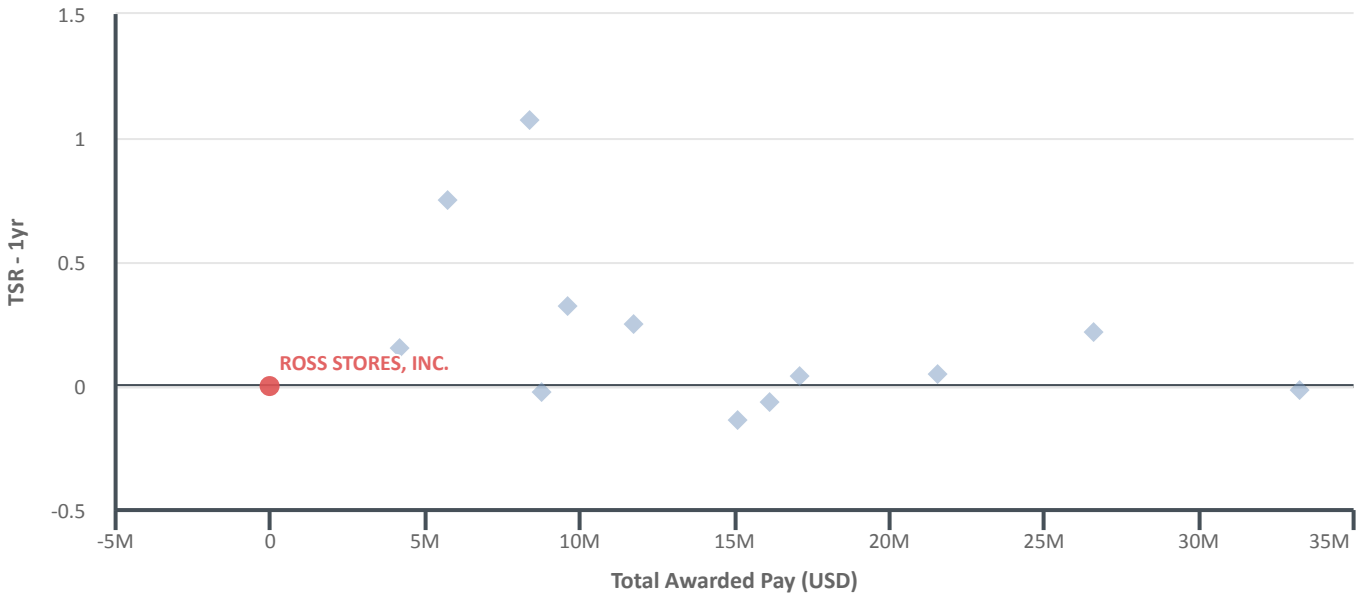
PAY PEER GROUP

LARGECAP - DEVELOPED AMERICAS - SPECIALTY RETAIL (13 COMPANIES)

Company	Home Market	Market Cap (USD m)	Pay Year	1 Yr TSR	Total CEO Annual Pay (USD)	CEO Name	CEO Since
WILLIAMS-SONOMA, INC.	United States	23,970	2025	-0.02%	14,297,625	Alber	May 2010
THE TJX COMPANIES, INC.	United States	171,279	2026	0.22%	12,303,364	Herrman	Jan 2016
BURLINGTON STORES, INC.	United States	20,346	2025	0.04%	6,306,796	O'Sullivan	Sep 2019
LOWE'S COMPANIES, INC.	United States	120,430	2025	0.05%	4,838,527	Ellison	Jul 2018
THE HOME DEPOT, INC.	United States	311,826	2025	-0.07%	4,208,959	Decker	Mar 2022
DICK'S SPORTING GOODS, INC.	United States	20,684	2025	-0.14%	4,103,379	Hobart	Feb 2021
TRACTOR SUPPLY COMPANY	United States	16,583	2024	0.25%	3,027,801	Lawton	Jan 2020
O'Reilly Automotive, Inc.	United States	71,999	2025	0.15%	2,815,451	Beckham	Jan 2024
PENSKE AUTOMOTIVE GROUP, INC.	United States	11,341	2024	-0.03%	2,777,453	Penske	May 1999
AUTOZONE, INC.	United States	48,363	2025	0.32%	2,409,871	Daniele	Jan 2024
Aritzia Inc.	Canada	11,449	2024	0.75%	2,256,827	Wong	May 2022
CARVANA CO.	United States	80,069	2025	1.08%	963,434	Garcia	Jan 2012
ROSS STORES, INC.	**United States**	**69,840**		**0.00%**		**James (Jim) Conroy**	**Feb 2025**

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CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

PAY PERFORMANCE ALIGNMENT

CEO & EXECUTIVE EQUITY

CEO equity policy as a multiple of salary: **6.0**

Director and Officer Stock Ownership Guidelines

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Chief Executive Officer 6 x Base Salary

Executive	Tenure (Years)	Shares Held	YoY % Change	Shareholding As % of Salary
Adam Orvos I $	N/A (Resigned)	24,553		
James (Jim) Conroy X I	1	212,054	2.97%	2634.44%
Karen Fleming I		101,291		
Michael Balmuth I	N/A (Resigned)	111,870		
Michael Hartshorn I $	5	152,100		
William Sheehan I $	< 1	35,201		

X - Flagged Director 1x $ - Financial Expert (3) I - Industry Expert (6)

PAY LINKED TO SUSTAINABILITY

The company has failed to incorporate links to sustainability performance in its current incentive pay policies.

CLAWBACK & MALUS

Clawback or malus provisions are in place.
Clawback Type: **Performance Based**

SEVERANCE & CHANGE OF CONTROL

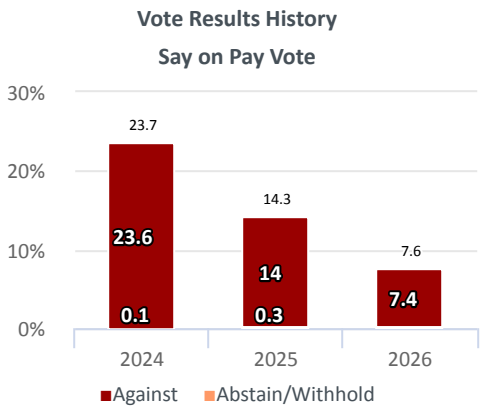
CEO	Annual Pay (USD)	Potential Cash Severance - Involuntary (USD)	Potential Cash Severance - Change of Control (USD)	Multiple of Annual Pay – Involuntary	Multiple of Annual Pay – Change of Control
James (Jim) Conroy X I	6,756,605 USD	17,084,969 USD	13,443,762 USD	2.53 times	1.99 times

X - Flagged Director 1x I - Industry Expert

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LATEST PAY VOTES

Year	Vote Type	Votes For %	Votes Against %	Abstain %
2026	Advisory Vote on Executive Compensation	92.4%	7.4%	0.2%



NON-EXECUTIVE DIRECTOR PAY

NON-EXECUTIVE EQUITY

Director	Tenure (Years)	Shares Held
Doniel Sutton $	5	8,021
Edward Cannizzaro R $	3	5,336
George Orban $	N/A (Resigned)	4,750,384
K. Gunnar Bjorklund	23	20,901
Michael Bush I	24	35,617
Patricia Mueller I	6	6,611
Sharon Garrett	26	2,571
Stephen (Steve) Milligan $	11	21,992

$ - Financial Expert (4) I - Industry Expert (2)
R - Risk Management Expert

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NON-EXECUTIVE PAY TABLES

Director	Tenure (Years)	Cash Fees	Other Comp	Stock Award	Total Pay	Total Pay (USD)
Doniel Sutton $	5	127,500 USD		180,010 USD	307,510 USD	307,510
Edward Cannizzaro R $	3	132,500 USD		180,010 USD	312,510 USD	312,510
George Orban $	N/A (Resigned)	100,000 USD		180,010 USD	280,010 USD	280,010
K. Gunnar Bjorklund	23	140,000 USD		180,010 USD	320,010 USD	320,010
Michael Bush I	24	137,000 USD		180,010 USD	317,010 USD	317,010
Patricia Mueller I	6	115,000 USD		180,010 USD	295,010 USD	295,010
Sharon Garrett	26	120,000 USD	0 USD	180,010 USD	300,010 USD	300,010
Stephen (Steve) Milligan $	11	160,000 USD	0 USD	180,010 USD	340,010 USD	340,010

$ - Financial Expert (4) I - Industry Expert (2) R - Risk Management Expert

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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OWNERSHIP & CONTROL

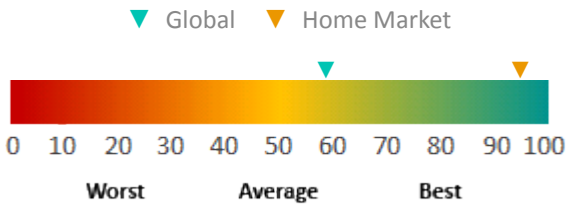
The company's ownership structure and shareholder rights at ROSS STORES fall within the average scoring relative to global peers.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
7.9	60th (Average)	96th (Best In Class)

KEY METRICS SCORING

	Deduction
DIRECTOR ELECTIONS	
Majority Voting	-0.20
SHAREHOLDER RIGHTS	
Bylaws Amendments	-0.10
Confidential Voting	-0.10
TAKEOVER PROVISIONS	
Business Combination Provision	-0.10
Fair Bid Treatment Provisions	-0.10

OWNERSHIP & CONTROL PERFORMANCE VS.



CORPORATE STRUCTURE

Public Company

CAPITAL STRUCTURE

Capital Type	Votes Per Share	Shares Outstanding
Common Stock	1.0	322,148,148

OWNERSHIP STRUCTURE

OWNERSHIP CATEGORIES

- Principal Shareholder

NOTABLE SHAREHOLDERS

The Vanguard Group- 12.2%	**12.2%**
5%+ shareholders - Aggregate Voting Power	**19.2%**
Insider Voting Power	**2.1%**

The company does not have a special capital structure, thus one vote right is afforded per common share. This principle of 'one share one vote' helps align economic and voting power and ensures that no class of shareholders has more voting power than economic exposure.

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TAKEOVER PROVISIONS

Fair Price Provision	Mandatory Bid Provision	Mandatory Bid Ownership Threshold
No	No	

State of Incorporation	Business Combination Provision
Delaware	Yes

% of Votes to Approve a Merger
66.7%

GOVERNING DOCUMENTS

MAJORITY REQUIREMENTS

	Bylaws	Charter
Default percentage of votes required to amend a provision	67%	51%
Highest percentage of votes required to amend a specific provision	N/A	67%

Bylaws Pg. 44

The stockholders shall also have power to adopt, amend or repeal the Bylaws of the Corporation. In addition to any vote of the holders of any class or series of stock of this Corporation required by law or by these Bylaws, the affirmative vote of the holders of at least 66 2/3 percent of the combined voting power of the outstanding shares of stock of all classes and series of stock of the Corporation entitled to vote generally in the election of directors, voting together as a single class, shall be required to adopt, amend or repeal any provisions of the Bylaws of the Corporation.

COI Article Eleventh

The Corporation reserves the right to amend or repeal any provision contained in this Certificate of Incorporation in the manner prescribed by the laws of the State of Delaware and all rights conferred upon stockholders are granted subject to this reservation; provided, however, that, notwithstanding any other provision of this Certificate of Incorporation or any provision of law which might otherwise permit a lesser vote or no vote, but in addition to any vote of the holders of any class or series of the stock of this Corporation required by law or by this Certificate of Incorporation, the affirmative vote of the holders of at least 66 2/3 percent of the combined voting power of the outstanding shares of stock of all classes and series of the Corporation entitled to vote generally in the election of directors, voting together as a single class, shall be required to amend, repeal or adopt any provision inconsistent with Article FIFTH (except Section D thereof), SIXTH (except Section D thereof), SEVENTH, EIGHTH, NINTH, TENTH or this Article ELEVENTH.

SHAREHOLDER RIGHTS

There may be governance risks for investors in relation to shareholder rights and management-controlled takeover defense mechanisms at ROSS STORES including:

• The board's ability to amend the company's charter without shareholder approval

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- The board's ability to amend the company's bylaws without shareholder approval
- business combination provisions that fail to include protections of shareholder interests
- fair price provisions that fail to ensure that all shareholders are treated fairly
- Limits on the right of shareholders to take action by written consent
- The absence of confidential voting policies

SHAREHOLDER MEETINGS & RESOLUTIONS

	Call Special Meeting	Requisition a Resolution at AGM	Act by Written Consent
Percentage of shares required	10%		N/A - no right exists

RESTRICTIONS ON LEGAL ACTION BY SHAREHOLDERS

No exclusive forum provision has been identified.

SAY ON PAY

We note that shareholder votes on executive pay are mandatory in this market, affording shareholders the ability to review and approve executive pay practices at this company.

DIRECTOR ELECTIONS

BOARD RE-ELECTION PROVISIONS

Board Re-election Provisions	
Board Re-election Frequency (Years)	1
% of Board subject to re-election	100%

DIRECTOR ELECTION STANDARD

The company has not adopted a binding majority director election standard (with immediate resignation if the director does not receive a majority of the votes cast), which may limit shareholders' ability to hold members of the board accountable in uncontested elections.

Director Election Rules	
Vote Standard	Majority & Resignation Policy
Immediate Binding Resignation	No

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If elected, each nominee will hold office for a one-year term or until their successor is elected and qualified, unless they resign or their office becomes vacant by death, removal, or other cause in accordance with the Bylaws of the Company. Management knows of no reason why any of these nominees would be unable or unwilling to serve, but if any nominee(s) should for any reason be unable or unwilling to serve, the proxies will be voted for the election of such other person(s) for the office of director as the Nominating and Corporate Governance Committee may recommend in the place of such nominee(s), unless the Board chooses to reduce the size of the Board.

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The Company's Bylaws provide for a majority voting standard with respect to uncontested elections of directors. Under our current Bylaws, any director nominee in an uncontested election who receives more votes against election than votes in favor of election is not elected. In addition, any incumbent director who fails to receive such majority approval from the stockholders must tender an offer of resignation to the Board within 14 days following certification of the stockholder vote. The Board then has authority to determine whether or not to accept the director's offer of resignation. The Bylaws provide that the Nominating and Corporate Governance Committee (or another committee designated by the Board) will consider what action should be taken with respect to such offers of resignation, and will make a recommendation to the Board within 60 days following the certification of the stockholder vote. The Bylaws also provide that the Board is required to take action on the matter within 90 days following certification of the stockholder vote. Both the reviewing committee and the Board are authorized to consider all factors they believe to be relevant in determining whether or not to accept any resignation. Within five business days after reaching its decision, the Board is required to publicly disclose the decision, including, if applicable, the reasons for not accepting an offer of resignation.

PROXY ACCESS

A proxy access provision is in place.

Proxy Access Terms	
Ownership Duration (Years)	3
Ownership Threshold (% of shares)	3%
Min/Max % of Board Seats	20%
Min/Max Number of Board Seats	2

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ACCOUNTING

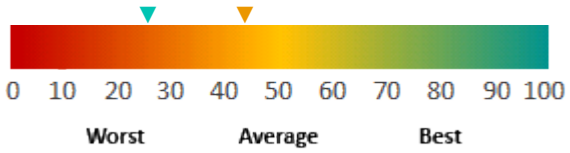
Based on the company's disclosures and other public information, accounting and financial reporting practices at ROSS STORES appear to be generally appropriate and effective relative to global peers. We have flagged this company for potential concerns regarding the length of tenure of the external audit firm.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.8	27th (Average)	45th (Average)

KEY METRICS SCORING

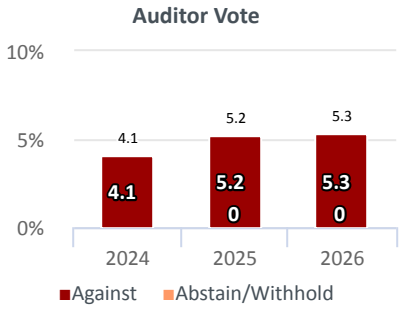
	Deduction
AUDITOR INDEPENDENCE	
Auditor Tenure	-0.20

ACCOUNTING PERFORMANCE VS.



EXTERNAL AUDITORS

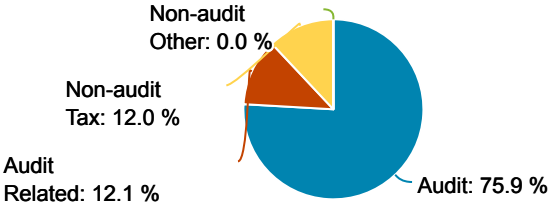
Type	Since	Firm	Most Recent Fiscal Year End Signed Off
Primary	1982	Deloitte & Touche LLP	2026



AUDITOR FEES

Fees paid to: Deloitte & Touche LLP (Primary)

Fee	Feb 01, 2026 (USD)	Feb 01, 2025 (USD)	Feb 03, 2024 (USD)
Audit	2,379,000	2,265,000	2,085,000
Audit Related	379,000	166,000	161,000
Total Audit + Audit Related	**2,758,000**	**2,431,000**	**2,246,000**
Tax Compliance/Advice	376,000	495,000	349,000
Other Non-audit Services	0		0
Total Non-audit Fees	**376,000**	**495,000**	**349,000**
Total Fees	**3,134,000**	**2,926,000**	**2,595,000**



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AUDITOR'S REPORT

	Jan 31, 2026	Feb 01, 2025	Feb 03, 2024
Report Disclosed	Yes	Yes	Yes
Opinion	Unqualified Opinion	Unqualified Opinion	Unqualified Opinion
Emphasis of Matter	No	No	No

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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APPENDIX

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DIRECTOR VOTES

Proxy Year	Name	Votes For %	Votes Against %	Votes Abstained / Withheld %
2026	Bjorklund,K. Gunnar	94.09%	5.85%	0.05%
2026	Bush,Michael	93.56%	6.39%	0.05%
2026	Cannizzaro,Edward	96.73%	3.22%	0.05%
2026	Conroy,James	99.22%	0.73%	0.06%
2026	Garrett,Sharon	94.56%	5.39%	0.05%
2026	Hartshorn,Michael	98.12%	1.83%	0.06%
2026	Milligan,Stephen	97.11%	2.84%	0.06%
2026	Mueller,Patricia	98.84%	1.05%	0.11%
2026	Sutton,Doniel	97.40%	2.49%	0.11%
2025	Bjorklund,K. Gunnar	93.57%	6.33%	0.10%
2025	Bush,Michael	92.93%	6.97%	0.10%
2025	Cannizzaro,Edward	96.14%	3.70%	0.15%
2025	Conroy,James	98.53%	1.43%	0.04%
2025	Garrett,Sharon	94.81%	5.10%	0.10%
2025	Hartshorn,Michael	97.54%	2.41%	0.04%
2025	Milligan,Stephen	95.52%	4.39%	0.10%
2025	Mueller,Patricia	96.49%	3.41%	0.09%
2025	Sutton,Doniel	92.56%	7.39%	0.04%
2024	Bjorklund,K. Gunnar	85.41%	14.54%	0.06%
2024	Bush,Michael	95.54%	4.40%	0.06%
2024	Cannizzaro,Edward	99.70%	0.22%	0.08%
2024	Garrett,Sharon	96.24%	3.71%	0.05%
2024	Hartshorn,Michael	96.94%	3%	0.05%
2024	Milligan,Stephen	98.27%	1.65%	0.08%
2024	Mueller,Patricia	96.95%	3%	0.05%
2024	Sutton,Doniel	97.39%	2.55%	0.06%
2023	Bjorklund,K. Gunnar	95.26%	4.70%	0.04%
2023	Bush,Michael	94.85%	5.12%	0.03%
2023	Cannizzaro,Edward	99.61%	0.35%	0.03%
2023	Garrett,Sharon	96.16%	3.81%	0.03%
2023	Hartshorn,Michael	97.40%	2.56%	0.03%
2023	Milligan,Stephen	98.32%	1.64%	0.04%
2023	Mueller,Patricia	98.14%	1.82%	0.04%

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Proxy Year	Name	Votes For %	Votes Against %	Votes Abstained / Withheld %
2023	Sutton,Doniel	97.47%	2.49%	0.04%
2022	Bjorklund,K. Gunnar	94.72%	5.22%	0.05%
2022	Bush,Michael	96.29%	3.66%	0.05%
2022	Garrett,Sharon	95.25%	4.71%	0.05%
2022	Hartshorn,Michael	97.64%	2.32%	0.04%
2022	Milligan,Stephen	98.40%	1.54%	0.05%
2022	Mueller,Patricia	98.20%	1.75%	0.05%
2021	Bjorklund,K. Gunnar	94.94%	5.02%	0.04%
2021	Bush,Michael	95.13%	4.83%	0.04%
2021	Garrett,Sharon	95.45%	4.51%	0.04%
2021	Hartshorn,Michael	96.36%	3.60%	0.04%
2021	Milligan,Stephen	99.12%	0.84%	0.04%
2021	Mueller,Patricia	98.80%	1.16%	0.04%
2020	Bjorklund,K. Gunnar	90.83%	9.03%	0.15%
2020	Bush,Michael	91.04%	8.72%	0.24%
2020	Garrett,Sharon	90.91%	8.85%	0.24%
2020	Milligan,Stephen	98.29%	1.47%	0.24%
2020	Mueller,Patricia	99.76%	0.18%	0.06%
2019	Bjorklund,K. Gunnar	94.80%	5.15%	0.05%
2019	Bush,Michael	91.50%	8.45%	0.05%
2019	Garrett,Sharon	91.52%	8.43%	0.04%
2019	Milligan,Stephen	62.02%	37.92%	0.06%
2018	Bjorklund,K. Gunnar	90.25%	9.70%	0.05%
2018	Bush,Michael	96.12%	3.82%	0.05%
2018	Garrett,Sharon	92.79%	7.16%	0.05%
2018	Milligan,Stephen	98.52%	1.37%	0.11%
2017	Bjorklund,K. Gunnar	96.45%	3.47%	0.08%
2017	Bush,Michael	92.32%	7.60%	0.08%
2017	Garrett,Sharon	93.55%	6.38%	0.08%
2017	Milligan,Stephen	98.40%	1.44%	0.15%
2016	Bjorklund,K. Gunnar	97%	2.26%	0.04%
2016	Bush,Michael	97%	2.27%	0.04%
2016	Garrett,Sharon	97%	2.48%	0.05%
2016	Milligan,Stephen	98%	1.39%	0.10%

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Proxy Year	Name	Votes For %	Votes Against %	Votes Abstained / Withheld %
2015	Bjorklund,K. Gunnar	97%	2.48%	0.10%
2015	Bush,Michael	97%	2.27%	0.11%
2015	Garrett,Sharon	97%	2.86%	0.11%
2015	Milligan,Stephen	99%	0.61%	0.10%

SHAREHOLDER/MANAGEMENT PROPOSALS

MANAGEMENT PROPOSALS

Proxy Year	Proposal	Proposal Summary	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2026	Director & Employee Comp	Proposal 2 - Approval of the Ross Stores, Inc. 2026 Equity Incentive Plan	Approved	96.8%	3.1%	0.2%
2026	Advisory Vote on Executive Compensation	Proposal 3 - Advisory Vote to Approve the Resolution on Executive Compensation	Approved	92.4%	7.4%	0.2%
2026	Auditor Ratification	Proposal 4 - Ratification of the Appointment of Deloitte & Touche LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year Ending January 30, 2027	Approved	94.7%	5.3%	0%
2025	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote to Approve the Resolution on Executive Compensation	Approved	85.7%	14%	0.3%
2025	Auditor Ratification	Proposal 3 - Ratification of the Appointment of Deloitte & Touche LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year Ending January 31, 2026	Approved	94.8%	5.2%	0%
2024	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote to Approve the Resolution on Executive Compensation	Approved	76.3%	23.6%	0.1%
2024	Auditor Ratification	Proposal 3 - Ratification of the Appointment of Deloitte & Touche LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year Ending February 1, 2025	Approved	95.8%	4.1%	0%

**For Management Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

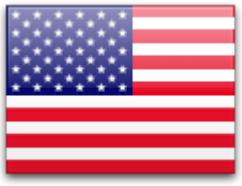
SHAREHOLDER PROPOSALS

Proxy Year	Proposal	Proposal Summary	Proposal Proponent	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2024	Environmental - Climate Change, Renewable Energy and GHG Emissions	Proposal 4 - Vote on a Stockholder Proposal Regarding Reporting on Material Value Chain GHG Emissions	As You Sow	Defeated	25.8%	73.7%	0.5%

**For Shareholder Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

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DELAWARE



CURRENCY: UNITED STATES DOLLAR (USD)

In the United States, most governance principles are governed by state laws that are not uniform or nationally enforced. However, the majority of states have adopted the Model Business Corporation Act (MBCA) as the basis of their own laws by modifying some of the provisions of the MBCA. The MBCA is a body of laws designed to regulate corporate affairs uniformly across different states. It is the basis for business corporation statutes in 32 states and the District of Columbia and is the source of many provisions in the general corporation statutes of other states. Further, the Securities and Exchange Commission (SEC) regulates certain governance related matters on a federal level.

The majority of large U.S. businesses are listed on either the New York Stock Exchange (NYSE) or the Nasdaq Stock Market (Nasdaq), and therefore are subject to their listing rules. The U.S. has not adopted a national corporate governance code.

Delaware's corporate governance is defined by the General Corporation Law of the State of Delaware (DGCL), with annual updates and revisions by the Delaware legislature based on the recommendations of the Council of the Corporation Law Section of the Delaware State Bar Association. Judicial decisions by the state's Court of Chancery also set governance practice, with appeals heard at the Delaware Supreme Court.

Companies adopt a unitary board structure in the U.S. The NYSE and Nasdaq listing rules require the majority of directors to be independent. The SEC rules require public companies to disclose and explain their chair-CEO structure and whether one or two people hold the roles. If the roles are combined, the company must further disclose whether it has a lead independent director and specify their role within the company leadership.

Unless stated otherwise in the articles of association, directors may appoint inspectors in advance of any shareholder meeting to determine the number of shares outstanding, voting rights, shares represented at the meeting, existence of a quorum, authenticity and validity of proxies, and take all other actions with regards to the annual shareholders' meeting.

Related party transactions (RPTs) are valid if the transaction was conducted on reasonable and fair terms when it was approved, and the RPT is approved in good faith by the majority of independent directors. If the number of independent directors is less than a quorum, then it must be approved by shareholders.

The board of directors may fix director and officer pay, although most companies delegate the responsibility for defining executive pay to independent directors, usually upon the recommendation of the pay or nominating/governance committee. Officers are executive directors that are responsible for the daily management of the company.

The Dodd-Frank Act requires listed companies to hold an advisory vote every three years on "say on pay" policies, as well as disclose additional information regarding "golden parachute" arrangements linked to merger transactions.

Listed companies must annually disclose the pay of directors and officers, including stock and option awards. Disclosure must be made in a tabular format, along with a descriptive summary of the information in the table. Companies listed on Nasdaq must also disclose pay arrangements between directors or nominees and third parties.

The U.S. market is known for having widely dispersed ownership, but founder-led companies are common. There are multiple share classes with unequal voting rights and voting right limits.

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Shareholders with at least 10% voting rights can request to convene a general meeting.

A notice of the meeting, specifying the date, time, place and purpose must be given no less than seven days and no more than 60 days in advance. Special meeting of shareholders may be convened by shareholders owning at least 10% of shares. Typically, each share is entitled to one vote and fractional shares are entitled to proportionate votes. Shareholders do not have preemptive rights unless specifically provided in the bylaws or articles. Dissenting shareholders are entitled to appraisal rights.

Unless otherwise stipulated in the articles, a corporation is not obligated to offer shareholders any shares, option rights or securities when issuing them.

There are no mandatory takeover bid provisions in the U.S.

In 2018, the Delaware enacted a Certification of Adoption of Transparency and Sustainability Standards Act which is a voluntary act broadly enabling entities registered in Delaware to craft a sustainability regime. The Act is primarily a disclosure regime which requires entities to disclose and provide reports regarding their standards and metrics. There are many provisions in the Federal Sarbanes-Oxley Act that govern the audit process. A public company's annual financial statements must be audited by a registered independent auditing firm. Listed companies prepare two annual reports, one for SEC (Form 10-K) and one for their shareholders. The reports to stockholders, as required by SEC, must contain certified financial statements of two-year audited balance sheets, and three-year audited statement of income and cash flows. Directors and officers of the corporation must also be identified. Interim financial statements are not audited, only reviewed by the company's auditors. If an auditor has not reviewed the interim report, it must be accompanied with a notice specifying that the report has not been reviewed by an auditor. Audit firm rotation is not required but lead audit partners are subject to rotation every five years.

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KEY METRIC & SCORE CHANGES

ALL KEY METRIC & SCORE CHANGES (SINCE MARCH 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
Significant Vote Against Pay Practices	Flag Removed	Jul 08, 2026	0.10	AGM voting results updated
Entrenched Board	Flag Removed	Jul 08, 2026	0.80	
Long-Term Pay Performance Versus Peers	Flag Removed	Jun 04, 2026	0.20	
Long-Term Pay Performance Versus Peers	**Flag Added**	May 28, 2026	**-0.20**	
Severance Vesting	**Flag Added**	May 12, 2026	**-0.10**	
Not 30% Female Directors	Flag Removed	Feb 04, 2026	0.10	
Leadership Concerns	Flag Removed	Feb 04, 2026	0.30	
Independent Chair	Flag Removed	Feb 04, 2026	0.10	
Entrenched Board	Score Change	Oct 16, 2025	**-0.20**	
Significant Votes Against Directors	Flag Removed	Jul 24, 2025	0.25	AGM voting results updated
Significant Vote Against Pay Practices	Score Change	Jul 24, 2025	0.05	AGM voting results updated
Short-Term Pay Performance	Flag Removed	Jul 16, 2025	0.20	
Dispersed Ownership Concerns	Flag Removed	Jul 16, 2025	0.20	

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DIRECTOR PROFILES

DONIEL SUTTON

Age:	52	Financial:	Yes
Gender:	F	Risk:	No
Nationality:	Not Disclosed	Industry:	Software & Services - Software,Financial Services - Financial Services

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Doniel N. Sutton Chief People Officer, Pinterest, Inc. since February 2024; Member of the Board of Directors, Morningstar, Inc. since 2021 (also member of the Audit Committee and Compensation Committee since 2021); Chief People Officer, Alteryx, Inc. from 2022 to October 2023; Chief People Officer, Fastly, Inc. from 2020 to 2022; Senior Vice President, People at PayPal Holdings, Inc. from 2017 to 2019, Vice President Human Resources from 2014 to 2017, and Senior Director, Human Resources from 2011 to 2014; Vice President, Human Resources, Real Estate and Relocation Services at Prudential Financial, Inc. from 2010 to 2011; Senior Vice President, Human Resources, Home Loan Servicing and Technology, Bank of America Corporation from 2008 to 2010, Vice President, Human Resources, Sales, Service, and Execution from 2005 to 2008, and Senior Human Resources Manager, Transaction Services from 2002 to 2005. Ms. Sutton also held prior human resources leadership roles at Honeywell International Inc. from 1997 to 2002. The Nominating and Corporate Governance Committee has noted Ms. Sutton’s executive and operational experience, including human capital leadership experience across industries. 50 2021

MORNINGSTAR, INC. - Board Member Source Date: 03/27/2026

Doniel Sutton was elected to the Board in May 2021 and has been chief people officer of Pinterest, Inc., an image sharing and social media platform, since February 2024. From August 2022 to October 2023, she served as chief people officer at Alteryx, a company that provides data analytics software. From September 2020 to July 2022, she served as chief people officer at Fastly, Inc., a leading global provider of edge cloud platform services. From March 2017 to April 2019, she served as Senior Vice President, Head of People at PayPal Holdings Inc., a global payments and technology company, and worked in other leadership capacities within the human resources group during her seven-year tenure at the company. From August 1997 to September 2011, she held a variety of senior human resource leadership positions with Prudential Financial, Bank of America Corporation and Honeywell International. Doniel currently serves as a member of the board of directors of Ross Stores, Inc. and is a member of the board of trustees of Justice and Joy National Collaborative. She holds a Master's degree in business administration in human resources management from the University of Illinois at Urbana-Champaign and a Bachelor's degree in finance from the University of Illinois at Urbana-Champaign

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
MORNINGSTAR, INC.	Board Member	5	May 14, 2021		Yes	Yes	
ROSS STORES, INC.	Board Member	5	Mar 11, 2021		Yes	Yes	

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BOARD COMMITTEES

Company	Committee Type	Position
MORNINGSTAR, INC.	Audit	Member
MORNINGSTAR, INC.	Pay	Member
MORNINGSTAR, INC.	Risk	Member
ROSS STORES, INC.	Pay	Member
ROSS STORES, INC.	Corporate Governance	Member
ROSS STORES, INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
MORNINGSTAR, INC.	2026	98.3%	1.7%
ROSS STORES, INC.	2026	97.4%	2.6%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
MORNINGSTAR, INC.	Non-Executive	5	2025	60,000	249,974	2,489
ROSS STORES, INC.	Non-Executive	5	2025	127,500	307,510	8,021

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EDWARD CANNIZZARO

Age:	65	Financial:	Yes
Gender:	M	Risk:	Yes
Nationality:	Not Disclosed	Industry:	Commercial & Professional Services - Professional Services

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Edward G. Cannizzaro Member of the Boards of Directors, PG&E Corporation and Pacific Gas and Electric Company since February 2023 (also member of the Audit Committees of PG&E Corporation and Pacific Gas and Electric Company, and the Finance and Innovation Committee of PG&E Corporation); Global Head of Quality, Risk, and Regulatory for KPMG International from 2018 to 2022 and a member of the Global Management Team; Risk Management Partner for KPMG LLP in the U.S. from 2016 to 2018 and Board member of KPMG LLP and KPMG Americas from 2014 to 2018. Additional positions held at KPMG from 1994 to 2016 included Lead Engagement Partner, as well as Partner-in-Charge of Audit for the Western United States, Silicon Valley, and Los Angeles, after becoming Partner in 1994. He also held various client service roles with increased levels of responsibility at KPMG from 1983 to 1994. The Nominating and Corporate Governance Committee has noted Mr. Cannizzaro's accounting and consulting experience, including risk management and regulatory compliance experience across many industries.

PG&E CORPORATION - Board Member Source Date: 04/09/2026

Edward G. Cannizzaro Former Global Head of Quality, Risk and Regulatory, KPMG International Mr. Cannizzaro brings 40 years of experience as a global financial executive to the boards of the corporation and the Utility. He has a deep background in financial accounting and reporting, risk management, operations, and operational regulatory compliance. During his tenure at KPMG, he served as the Global Head of Quality, Risk and Regulatory, the West Area Managing Partner of Audit, and provided sound oversight and governance as a member of the Board of Directors of KPMG Americas and KPMG US.

PACIFIC GAS AND ELECTRIC COMPANY - Board Member Source Date: 04/09/2026

Edward G. Cannizzaro Background - Global Head of Quality, Risk and Regulatory, KPMG International (2018–2022); National Managing Partner – Risk Management (2016–2018); Global Lead Engagement Partner (2009–2016); Western Area Managing Partner (2007–2009), KPMG (Professional services firm)

Experience, Skills, and Expertise-Mr. Cannizzaro brings decades of experience as a global financial executive to the Boards of the Corporation and the Utility. Over the course of his 40-year career at KPMG, he held various leadership positions in audit, risk management, and operational regulatory compliance, advising clients in a wide range of industries including e-commerce and financial technology. Most recently, he served as the Global Head of Quality, Risk and Regulatory with KPMG International, where he was responsible for the design and implementation of quality controls and ethics and compliance monitoring programs across 145 countries. Mr. Cannizzaro also provides the perspective of a PG&E customer and California resident.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
PG&E CORPORATION	Board Member	3	Feb 24, 2023		Yes	Yes	
PACIFIC GAS AND ELECTRIC COMPANY	Board Member	3	Feb 24, 2023		Yes	Yes	
ROSS STORES, INC.	Board Member	3	Oct 14, 2022		Yes	Yes	

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BOARD COMMITTEES

Company	Committee Type	Position
PACIFIC GAS AND ELECTRIC COMPANY	Audit	Member
PACIFIC GAS AND ELECTRIC COMPANY	Risk	Member
PG&E CORPORATION	Audit	Member
PG&E CORPORATION	Risk	Member
ROSS STORES, INC.	Audit	Member
ROSS STORES, INC.	Corporate Governance	Member
ROSS STORES, INC.	Nomination	Member
ROSS STORES, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
PACIFIC GAS AND ELECTRIC COMPANY	2025	99.9%	0.1%
PG&E CORPORATION	2026	99%	1%
ROSS STORES, INC.	2026	96.7%	3.3%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
PACIFIC GAS AND ELECTRIC COMPANY	Non-Executive	3	2025	125,000	304,987	0
PG&E CORPORATION	Non-Executive	3	2025	125,000	304,987	10,877
ROSS STORES, INC.	Non-Executive	3	2025	132,500	312,510	5,336

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JAMES (JIM) CONROY

Age: 56
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail

FLAGGED DIRECTOR

James Conroy was recently a director at Party City Holdco Inc., having left the board within a year of January 17, 2023, when the company filed for chapter 11 bankruptcy protection.

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Executive, Board Member, CEO Source Date: 04/07/2026

James Conroy,has over 25 years of management, operational, and consulting experience. He has most recently served since 2012 as President and Chief Executive Officer of Boot Barn Holdings, Inc. [NYSE:BOOT] (Boot Barn), one of the nation's leading lifestyle retailers of western and work-related footwear, apparel, and accessories for men, women, and children, with over 400 locations in 46 states and an e-commerce channel. Prior to joining Boot Barn, Mr. Conroy was with Claire's Stores, Inc. from 2007 to 2012, where Mr. Conroy served as Chief Operating Officer and Interim Co Chief Executive Officer in 2012, as President from 2009 to 2012, and as Executive Vice President from 2007 to 2009. Prior to joining Claire's Stores, Mr. Conroy served in various consulting roles from 2001 to 2007, including with Kurt Salmon Associates and Deloitte Consulting. Before that, he held various roles with consumer, entertainment, and consulting companies.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Executive, Board Member, CEO	1	Feb 02, 2025		No	Yes	
BOOT BARN HOLDINGS, INC.	Executive		Jan 01, 2012	Nov 22, 2024	No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	99.2%	0.8%

EXECUTIVE PAY (all values USD)

Company	Role	Tenure	Pay Year	Total Annual Pay	Total Awarded Pay	Total Realized Pay	Shares Held
BOOT BARN HOLDINGS, INC.	Executive		2025	664,278	5,914,378	12,424,223	23,670
ROSS STORES, INC.	CEO	1	2025	6,756,605	17,406,705	18,939,868	212,054

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DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
SALLY BEAUTY HOLDINGS, INC.	Non-Executive		2025	46,573	46,573	0

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K. GUNNAR BJORKLUND

Age:	67	Financial:	No
Gender:	M	Risk:	No
Nationality:	Not Disclosed	Industry:	Financial Services - Capital Markets

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member, Chairman Source Date: 04/07/2026

K. Gunnar Bjorklund Lead Independent Director of the Board of the Company since September 2023; Chairman, Rev360 LLC from 2014 to December 2023; Managing Director, Sverica International from 1991 to 2014; Director, Corporate Strategic Planning, American Express Company from 1987 to 1990; Management Consultant, McKinsey & Company from 1985 to 1987. The Nominating and Corporate Governance Committee has noted Mr. Bjorklund's executive and consulting experience, including consumer-facing strategic planning experience.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member, Chairman	23	Feb 03, 2003		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Pay	Member
ROSS STORES, INC.	Corporate Governance	Member
ROSS STORES, INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	94.1%	5.9%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ROSS STORES, INC.	Chair	23	2025	140,000	320,010	20,901

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MICHAEL BUSH

Age: 65
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail,Consumer Discretionary Distribution & Retail - Broadline Retail

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Michael J. Bush Managing Member, B IV Investments, LLC since 2007; Executive Chairman, Trumaker, Inc. from 2016 to 2018; Chief Executive Officer, 3 Day Blinds, Inc. from 2007 to 2010, Member of the Board of Directors from March 2010 to September 2010; President and Chief Executive Officer, Anchor Blue Retail Group from 2003 to 2007; President and Chief Executive Officer, Bally, North America, Inc. and member of the Board of Directors, Bally International AG from 2000 to 2002; Executive Vice President, Chief Operating Officer and Director, Movado, Inc. from 1995 to 2000; Senior Vice President of Strategic Planning and Marketing of the Company from 1991 to 1995. The Nominating and Corporate Governance Committee has noted Mr. Bush's executive and financial management experience, including retail strategic planning and operational experience.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member	24	Oct 15, 2001		No	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Pay	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	93.6%	6.4%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ROSS STORES, INC.	Non-Executive	24	2025	137,000	317,010	35,617

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MICHAEL HARTSHORN

Age: 58
Gender: M
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Executive, Board Member Source Date: 04/07/2026

Michael J. Hartshorn Group President and Chief Operating Officer of the Company since 2019 and member of the Board of Directors since 2021; Group Executive Vice President, Finance and Legal, and Chief Financial Officer during 2019; Executive Vice President, Chief Financial Officer from 2018 to 2019; Group Senior Vice President, Chief Financial Officer from 2015 to 2018; Senior Vice President and Chief Financial Officer from 2014 to 2015; Senior Vice President and Deputy Chief Financial Officer from 2012 to 2014; Group Vice President, Finance and Treasurer from 2011 to 2012; Vice President, Finance and Treasurer from 2006 to 2011. From 2002 to 2006, Mr. Hartshorn held a number of management roles in the Ross IT and supply chain organizations, after initially joining the Company in 2000 as Director and Assistant Controller. For seven years prior to joining Ross, he held various financial roles at The May Department Stores Company. The Nominating and Corporate Governance Committee has noted Mr. Hartshorn's extensive executive and operational experience with the Company.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Executive, Board Member	5	Mar 10, 2021		No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	98.1%	1.9%

EXECUTIVE PAY (all values USD)

Company	Role	Tenure	Pay Year	Total Annual Pay	Total Awarded Pay	Total Realized Pay	Shares Held
ROSS STORES, INC.	Executive	5	2025	3,938,334	11,238,620	8,393,063	152,100

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PATRICIA MUELLER

Age: 63
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail,Consumer Discretionary Distribution & Retail - Broadline Retail

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Patricia H. Mueller Management Consultant since 2016; Member of the Board of Directors, Dave & Buster's Entertainment, Inc. from 2015 to 2022 (also member of the Compensation and Nominating and Corporate Governance (Chair) committees); Chief Marketing Officer and Senior Vice President, Advertising and Marketing at The Home Depot, Inc. from 2011 to 2016 and Vice President, Advertising from 2009 to 2011; Senior Vice President, Marketing and Advertising, The Sports Authority, Inc. from 2006 to 2009; Vice President, Marketing and Advertising, American Signature, Inc. from 2004 to 2006. Additional executive positions at ShopNBC TV network from 1999 to 2004 included Senior Vice President, TV Sales and Promotions; Senior Vice President, Strategic Development; and Senior Vice President, Marketing and Programming. Ms. Mueller also held prior executive and leadership positions with Montgomery Ward, LLC from 1984 to 1999. The Nominating and Corporate Governance Committee has noted Ms. Mueller's executive and operational experience, including retail marketing experienc

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member	6	Mar 11, 2020		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Pay	Member
ROSS STORES, INC.	Corporate Governance	Chair
ROSS STORES, INC.	Nomination	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	98.8%	1.2%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ROSS STORES, INC.	Non-Executive	6	2025	115,000	295,010	6,611

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SHARON GARRETT

Age: 77
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Health Care Equipment & Services - Health Care Providers & Services,Media & Entertainment - Media

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Sharon D. Garrett Management Consultant since 2013; Member of the Board of Directors, Jerome's Furniture from 2017 to 2020 (also member of the Strategic Planning (Chair) and Compensation committees); Member of the Board of Directors, Scott's Liquid Gold-Inc. from 2014 to 2016 (also member of the Audit and Compensation committees); Executive Vice President, Revenue Cycle Optimization, American Medical Response, Inc. from 2012 to 2013, Senior Vice President, Reimbursement Services from 2007 to 2012; Chief Operating Officer, PT Holdings from 2006 to 2007; Executive Vice President, Enterprise Services, PacifiCare Health Systems from 2002 to 2005; provided interim executive services for various companies from 2000 to 2002, including Chief Executive Officer, Zyan Communications from April to November 2000; Senior Vice President and Chief Information Officer, The Walt Disney Company from 1989 to 2000. The Nominating and Corporate Governance Committee has noted Ms. Garrett's executive and operational experience, including information technology and cyber risk experience.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member	26	Jan 01, 2000		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Audit	Member
ROSS STORES, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	94.6%	5.4%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ROSS STORES, INC.	Non-Executive	26	2025	120,000	300,010	2,571

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STEPHEN (STEVE) MILLIGAN

Age: 62
Gender: M
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Technology Hardware & Equipment - Technology Hardware, Storage & Peripherals,Consumer Durables & Apparel - Household Durables

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Stephen D. Milligan Member of the Board of Directors, Autodesk, Inc., since 2018 (also member of the Audit Committee since 2019); Member of the Board of Directors, Western Digital Corporation from 2013 to 2020, Chief Executive Officer from 2013 to 2020, President from 2012 to 2013; Chief Executive Officer, Hitachi Global Storage Technologies from 2009 to 2012, Chief Financial Officer from 2007 to 2009; Senior Vice President, Finance and Chief Financial Officer, Western Digital from 2004 to 2007, Vice President of Finance from 2002 to 2003. The Nominating and Corporate Governance Committee has noted Mr. Milligan's executive and financial experience, including consumer-facing products experience.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member	11	Jan 21, 2015		Yes	Yes	
WESTERN DIGITAL CORPORATION	Executive		Jan 02, 2013	May 05, 2020	No	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Audit	Chair
ROSS STORES, INC.	Risk	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	97.1%	2.9%

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DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
AUTODESK, INC.	Non-Executive		2026	75,000	324,731	0
ROSS STORES, INC.	Non-Executive	11	2025	160,000	340,010	21,992

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REGULATORY DISCLOSURES

EU REGULATION 2024/3005 - DISCLOSURE INFORMATION

Factor	Value
Governance Metrics Score - Solicited Status (EU Reg. 2024/3005 disclosures)	No
Governance Metrics Score - Informed Status (EU Reg. 2024/3005 disclosures)	No

- Please refer to the “Governance Metrics Score - solicited status (EU Reg. 2024/3005 disclosures)” factor to confirm whether this score was solicited or unsolicited.
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ROSS STORES, INC. (ROST)

Retail - Consumer Discretionary | US

MSCI ESG RATINGS

A

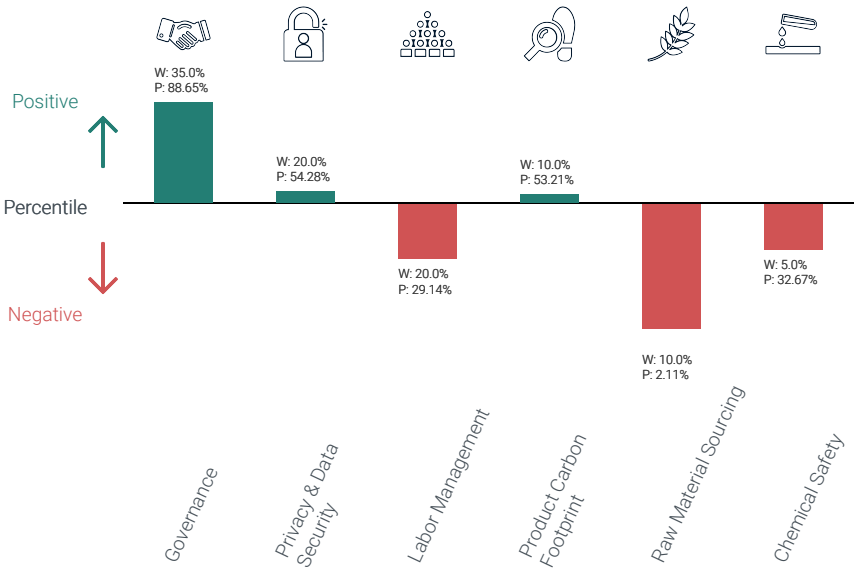
CCC	B	BB	BBB	A	AA	AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Regulatory Disclosures

Key issue scores vs ESG industry mean

This chart highlights the company's positioning relative to the ESG industry median (50%) for each Key Issue that contributed to its ESG Rating as of November 02, 2026.



50% Base line

W: Key Issue weight

P: Key Issue score percentile

Company-specific key issues without peer scores for comparison are not included in this chart.

Last ESG Rating action

Rating action date: November 02, 2026

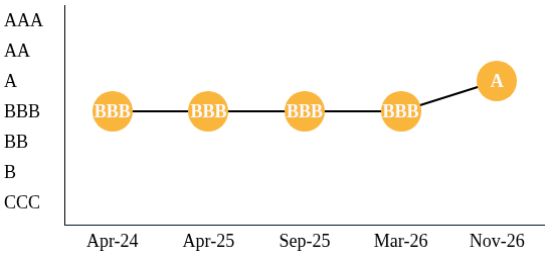
Ross has been upgraded to 'A' from 'BBB'.

Ross' corporate governance practices now lead those of most global peers per our model, driving the upgrade. As of the 2026 AGM, the proportion of long-tenured directors has decreased relative to our prior assessment. The board remains majority independent of management and led by an independent chair, which may help protect investor interests. Business ethics practices are average relative to global peers. Ross' data security measures lead those of most retail industry peers.

- Ross' off-price apparel and home fashion retail operations in the U.S., where data privacy laws can be stringent per our model, entail high exposure to cybersecurity-related risks. The company's data security practices include audits of data systems, employee training, and data protection assessments of vendors.
- Labor-intensive retail store operations combined with Ross' large workforce (111,000 employees in FY 2025) suggest high exposure to labor management-related risks compared to industry peers, per our model. The company's workforce management efforts lead those of most peers and include performance-based pay for non-officer staff and education support for employees.
- Ross' business ethics practices are backed by a detailed anti-corruption policy and whistleblower protection. However, we found no evidence of board-level oversight of ethical standards or of related audits.

Disclaimer: The ESG Rating action and ESG Rating summary highlight key elements of the company's ESG Rating. AI tools were used in drafting the ESG Rating action and ESG Rating summary. While efforts are made to ensure accuracy, such tools may introduce errors or omissions. In the event of any discrepancies between the ESG Rating action or ESG Rating summary and the underlying ESG Rating, the underlying ESG Rating prevails.

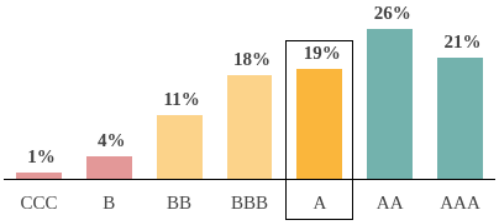
ESG Rating history



ESG Rating history shows five most recent rating actions

ESG Rating distribution

Universe: MSCI ESG Ratings, Retail - Consumer Discretionary, n=283



Key scores

	Weight	Score (0-10)
Industry-Adjusted Score (Last Updated: November 02, 2026)		6.42
Weighted-Average Key Issue Score (Last updated: November 02, 2026)		5.1
Environmental Pillar Score	20%	2.7
Social Pillar Score	45%	4.1
Governance Pillar Score	35%	7.7

Report table of contents

ESG Rating tearsheet

Rating model details	P02
Corporate governance summary	P04
ESG Rating drill down	P05

Data report

Corporate governance data	P08
Key issue details	P30
Appendix	P47
Glossary	P74

What is an ESG Rating? MSCI ESG Ratings aim to measure a company's resilience to long-term ESG risks. Companies are scored on an industry-relative AAA-CCC scale across the most relevant Key Issues based on a company's business model.

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

ESG Rating scorecard

As of November 02, 2026

KEY ISSUE	WEIGHT	INDUSTRY AVERAGE	SCORE (0-10)	CHANGE
Weighted-Average Key Issue Score		**5.2**	**5.1**	
ENVIRONMENT	**20%**	**4.8**	**2.7**	
Product Carbon Footprint	10%	5.4	**5.4**	
Raw Material Sourcing	10%	3.3	**0.0**	
SOCIAL	**45%**	**4.8**	**4.1**	
Labor Management	20%	4.7	**3.4**	
Privacy & Data Security	20%	4.9	**5.0**	
Chemical Safety	5%	4.9	**3.4**	
GOVERNANCE	**35%**	**6.1**	**7.7**	
Corporate Governance		6.5	**8.5**	
Corporate Behavior		6.8	**7.2**	

* denotes company-specific Key Issue

This table shows the Key Issue scores and weights contributing to the company's ESG Rating and any changes to those scores since the last ESG Rating action. The range of possible scores is 0-10, where 10 is best and 0 is worst.

Rating model details

Ross was rated based on the Retail - Consumer Discretionary ESG Rating model.

MODEL VERSION: 5.0.2

Represents the MSCI ESG Ratings model version used to assess the company. Please refer to the "ESG Ratings Methodology" document for more details on the model versions.

EU Regulation 2024/3005 - Disclosure Information

Information on whether the rated entity solicited an ESG rating from MSCI Sustainability & Climate and whether the rated entity was informed in accordance with MSCI's Prior Notification Policy by MSCI Sustainability & Climate that it would be rated for the first time under the ESG Ratings methodology.

ESG Ratings - solicited status (EU Reg. 2024/3005 disclosures): No

ESG Ratings - informed status (EU Reg. 2024/3005 disclosures): No

Ratings-related data feedback in last 12 months

Data feedback in last 12 months? No

Date of last feedback N/A

This section only captures inputs provided by companies through our online issuer portal that may have an impact on the weighted Key Issues for the company — regardless of whether they were accepted per our rules-based review. Issuers are welcome to share data feedback at any time throughout the year.

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ROSS STORES, INC. (ROST)



RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Most recent controversies

There are no recent new controversies or updates to ongoing controversies for this company.

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ROSS STORES, INC. (ROST)

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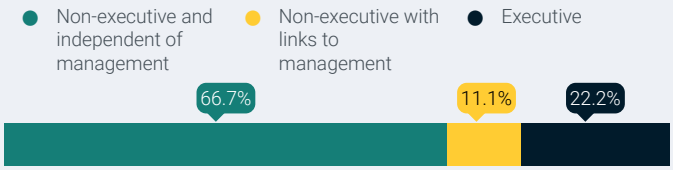
Corporate governance summary

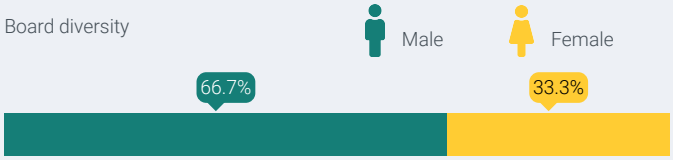
93rd global percentile

99th home market percentile

Board of directors

Board type: Unitary Board





Ownership summary

Capital structure: Single Equity Class

Ownership classification: Principal Shareholder

Top shareholders
The Vanguard Group- 12.2%

CEO

Name: James Conroy

Tenure: 1 Year

Total realized pay*:N/A

Total summary pay*:N/A

*CEO pay figures are sourced from listed company annual reports and proxy filings. When a new CEO is named the pay figures for the previous CEO will be displayed until this information has been updated for the new CEO

Peer benchmarking

	Raw Material Sourcing	Product Carbon Footprint	Chemical Safety	Labor Management	Privacy & Data Security	Corporate Governance	Corporate Behaviour	Rating & Trend
THE GAP, INC.	● ●	● ● ● ●	● ● ● ●	● ● ●	● ● ●	● ●	● ● ● ●	AA ◄ ►
VICTORIA'S SECRET & CO.	●	● ● ● ●	● ● ● ●	● ● ●	● ●	● ● ●	● ● ● ●	AA ◄ ►
BURLINGTON STORES, INC.	●	● ●	● ● ● ●	● ●	● ● ●	● ● ●	● ● ●	A ◄ ►
ROSS STORES, INC.	●	● ● ●	● ●	● ●	● ● ●	● ● ● ●	● ● ●	A ▲
THE TJX COMPANIES, INC.	●	● ● ●	● ● ●	●	● ● ●	● ●	● ● ● ●	BBB ◄ ►
DICK'S SPORTING GOODS, INC.	● ● ●	●	● ● ● ●	● ● ●	● ● ●	●	● ● ●	BBB ▼

QUARTILE KEY : Bottom Quartile ● Top Quartile ● ● ● ●

RATING TREND KEY : Maintain ◄ ► Upgrade ▲ Upgrade by two or more notches ▲▲ Downgrade ▼ Downgrade by two or more notches ▼▼

The five industry peers are companies in the Retail - Consumer Discretionary ESG Rating Industry, as of November 02, 2026, selected based on similarities in four attributes (ESG Key Issue weights, industry classification, region, and size), sorted by ESG Rating (best to worst).

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

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RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

ESG Rating drill down

Description	As of prior rating action date: Mar 23, 2026		As of last rating action date: Nov 02, 2026		As of last report update date: Nov 02, 2026		Difference	
	Score	Weight	Score	Weight	Score	Weight	Score	Weight
ESG Rating Letter Grade	BBB		A		A		-	-
Industry Adjusted Score	5.53		6.42		6.42		-	-
Industry Minimum Score	2.4		2.4		2.4		-	-
Industry Maximum Score	6.6		6.6		6.6		-	-
Weighted Average Key Issue Score	4.7		5.1		5.1		-	-
Environmental Pillar Score	2.6	20.0%	2.7	20.0%	2.7	20.0%	-	-
Raw Material Sourcing Key Issue Score	0.0	10.0%	0.0	10.0%	0.0	10.0%	-	-
Exposure Score	7.6		7.6		7.6		-	-
Company-Specific Exposure Score	7.6		7.6		7.6		-	-
Management Score	0.0		0.0		0.0		-	-
Management Score - Excluding Controversies	0.0		0.0		0.0		-	-
Practices Score	0.0		0.0		0.0		-	-
Commitments towards responsible timber and/or paper sourcing	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Commitments towards responsible leather sourcing	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Commitments towards responsible cotton sourcing	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Extent of supply chain initiatives - timber/paper	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Extent of supply chain initiatives - leather	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Extent of supply chain initiatives - cotton	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Percentage certified - timber/paper	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Percentage certified - leather	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Percentage certified - cotton	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Future targets for timber/paper sourcing	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Future targets for leather sourcing	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Future targets for cotton sourcing	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Extent of traceability - timber/paper	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Extent of traceability - leather	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Extent of traceability - cotton	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Extent of stringent certification - timber	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Extent of stringent certification - leather	0.0	5.9%	0.0	5.9%	0.0	5.9%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Product Carbon Footprint Key Issue Score	5.2	10.0%	5.4	10.0%	5.4	10.0%	-	-
Exposure Score	5.0		5.0		5.0		-	-
Business Segment Exposure Score	5.0		5.0		5.0		-	-
Management Score	3.2		3.4		3.4		-	-
Practices Score	3.2		3.4		3.4		-	-
Targets to reduce Scope 3 upstream carbon emissions	3.0	20.0%	3.0	20.0%	3.0	20.0%	-	-
Reduction programs in transportation and logistics	10.0	5.0%	10.0	5.0%	10.0	5.0%	-	-
Reduction programs in raw materials sourcing	0.0	5.0%	3.0	5.0%	3.0	5.0%	-	-

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Description	As of prior rating action date: Mar 23, 2026 Score	Weight	As of last rating action date: Nov 02, 2026 Score	Weight	As of last report update date: Nov 02, 2026 Score	Weight	Difference Score	Weight
Reduction programs in manufacturing operations	0.0	5.0%	0.0	5.0%	0.0	5.0%	-	-
Reduction programs in distribution and store operations	10.0	5.0%	10.0	5.0%	10.0	5.0%	-	-
Energy or carbon assessment of transportation and logistics	10.0	5.0%	10.0	5.0%	10.0	5.0%	-	-
Energy or carbon assessment of raw materials sourcing	0.0	5.0%	0.0	5.0%	0.0	5.0%	-	-
Energy or carbon assessment of manufacturing operations	0.0	5.0%	0.0	5.0%	0.0	5.0%	-	-
Energy or carbon assessment of distribution and store operations	10.0	5.0%	10.0	5.0%	10.0	5.0%	-	-
Assessment of energy consumption and/or carbon emissions of suppliers	0.0	20.0%	0.0	20.0%	0.0	20.0%	-	-
Extent of product carbon footprint assessments	3.0	20.0%	3.0	20.0%	3.0	20.0%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Social Pillar Score	**4.1**	**45.0%**	**4.1**	**45.0%**	**4.1**	**45.0%**	**-**	**-**
Labor Management Key Issue Score	**3.5**	**20.0%**	**3.4**	**20.0%**	**3.4**	**20.0%**	**-**	**-**
Exposure Score	8.4		8.5		8.5		-	-
Business Segment Exposure Score	8.7		8.7		8.7		-	-
Geographic Exposure Score	5.0		5.0		5.0		-	-
Company-Specific Exposure Score	8.1		8.2		8.2		-	-
Management Score	4.9		4.9		4.9		-	-
Management Score - Excluding Controversies	4.9		4.9		4.9		-	-
Practices Score	4.9		4.9		4.9		-	-
Scope of workforce eligibility for variable performance-based component to pay	5.0	16.7%	5.0	16.7%	5.0	16.7%	-	-
Workforce eligible for paid parental leave policy	0.0	16.7%	0.0	16.7%	0.0	16.7%	-	-
Support for degree programs or certifications for employees	10.0	12.5%	10.0	12.5%	10.0	12.5%	-	-
Skills and knowledge development training	5.0	12.5%	5.0	12.5%	5.0	12.5%	-	-
Employee satisfaction survey frequency	4.0	25.0%	4.0	25.0%	4.0	25.0%	-	-
Employee equity programs	7.0	16.7%	7.0	16.7%	7.0	16.7%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Privacy & Data Security Key Issue Score	**5.0**	**20.0%**	**5.0**	**20.0%**	**5.0**	**20.0%**	**-**	**-**
Exposure Score	6.8		6.8		6.8		-	-
Business Segment Exposure Score	5.1		5.1		5.1		-	-
Geographic Exposure Score	8.4		8.4		8.4		-	-
Company-Specific Exposure Score	10.0		10.0		10.0		-	-
Management Score	4.8		4.8		4.8		-	-
Management Score - Excluding Controversies	4.8		4.8		4.8		-	-
Practices Score	4.8		4.8		4.8		-	-
Responsibility for privacy and data security	10.0	11.7%	10.0	11.7%	10.0	11.7%	-	-
Scope of data protection policy	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

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RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Description	As of prior rating action date: Mar 23, 2026 Score	Weight	As of last rating action date: Nov 02, 2026 Score	Weight	As of last report update date: Nov 02, 2026 Score	Weight	Difference Score	Weight
Rights provided to consumers regarding the control of their data	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Privacy enhancing technologies and initiatives	0.0	7.5%	0.0	7.5%	0.0	7.5%	-	-
Data protection programs covering suppliers and business partners	10.0	7.5%	10.0	7.5%	10.0	7.5%	-	-
Scope of employee training on privacy and data security	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Measures to address data breaches	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Consent policy for use of consumer data for secondary purposes	0.0	7.5%	0.0	7.5%	0.0	7.5%	-	-
Scope of information security management system certifications	0.0	7.5%	0.0	7.5%	0.0	7.5%	-	-
Frequency of audits of information security system	5.0	11.7%	5.0	11.7%	5.0	11.7%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Chemical Safety Key Issue Score	**3.1**	**5.0%**	**3.4**	**5.0%**	**3.4**	**5.0%**	**-**	**-**
Exposure Score	3.9		3.9		3.9		-	-
Business Segment Exposure Score	3.2		3.2		3.2		-	-
Geographic Exposure Score	7.2		7.2		7.2		-	-
Management Score	0.0		0.3		0.3		-	-
Management Score - Excluding Controversies	0.0		0.3		0.3		-	-
Practices Score	0.0		0.3		0.3		-	-
Scope of chemical phase-out plan	0.0	12.5%	0.0	12.5%	0.0	12.5%	-	-
Level of efforts to identify substances for regulatory risk	0.0	12.5%	2.0	12.5%	2.0	12.5%	-	-
Initiatives to improve consumer awareness on product chemical content	0.0	18.8%	0.0	18.8%	0.0	18.8%	-	-
Environmental and health standards in new product design	0.0	18.8%	0.0	18.8%	0.0	18.8%	-	-
Scope of disclosure of registration and use of regulated substances	0.0	18.8%	0.0	18.8%	0.0	18.8%	-	-
Reducing reliance on substances of concern (product manufacturers)	0.0	18.8%	0.0	18.8%	0.0	18.8%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Governance Pillar Score*	**6.7**	**35.0%**	**7.7**	**35.0%**	**7.7**	**35.0%**	**-**	**-**
Corporate Governance Key Issue Score	**7.2**		**8.5**		**8.5**		**-**	**-**
Board	7.1		9.3		9.3		-	-
Pay	8.6		8.6		8.6		-	-
Ownership & Control	7.9		7.9		7.9		-	-
Accounting	8.8		8.8		8.8		-	-
Corporate Behavior Score	**7.2**		**7.2**		**7.2**		**-**	**-**
Business Ethics	7.1		7.1		7.1		-	-
Tax Transparency	10.0		10.0		10.0		-	-

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ROSS STORES, INC. (ROST)

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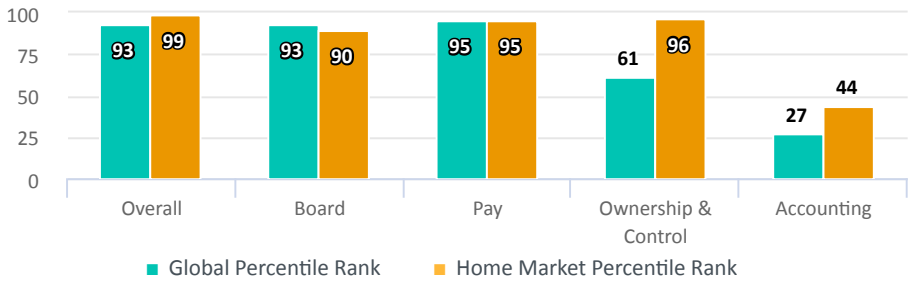
RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Corporate Governance

Score	Change (since rating)	Quartile	Last score change date
8.5	0.0	●●●●	Nov 02, 2026

Market Cap: 74,208,957,453 USD **Home Market:** United States **Last Data Update:** Jun 01, 2026

GOVERNANCE THEMES AND RANKINGS



KEY DATES

Financial Year End	February 01
Annual Filing Date	Apr 07, 2026
AGM Date	May 20, 2026

WEBSITE

https://www.rossstores.com/

SUMMARY

ROSS STORES falls into the highest scoring range for all the companies we assess relative to global peers, indicating that the company's corporate governance practices are generally well aligned with shareholder interests.

**Key areas of concern include flagged key metrics within the three sub-issues that represent the largest scoring deductions. Please review the full report to see the complete set of flagged key metrics.*

KEY AREAS OF CONCERN* — SCORING DEDUCTIONS

Board Effectiveness **(-0.20)**
Flagged Directors on Board

Pay Performance Alignment **(-0.20)**
Pay Linked to Sustainability

Director Elections **(-0.20)**
Majority Voting

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ROSS STORES, INC. (ROST)

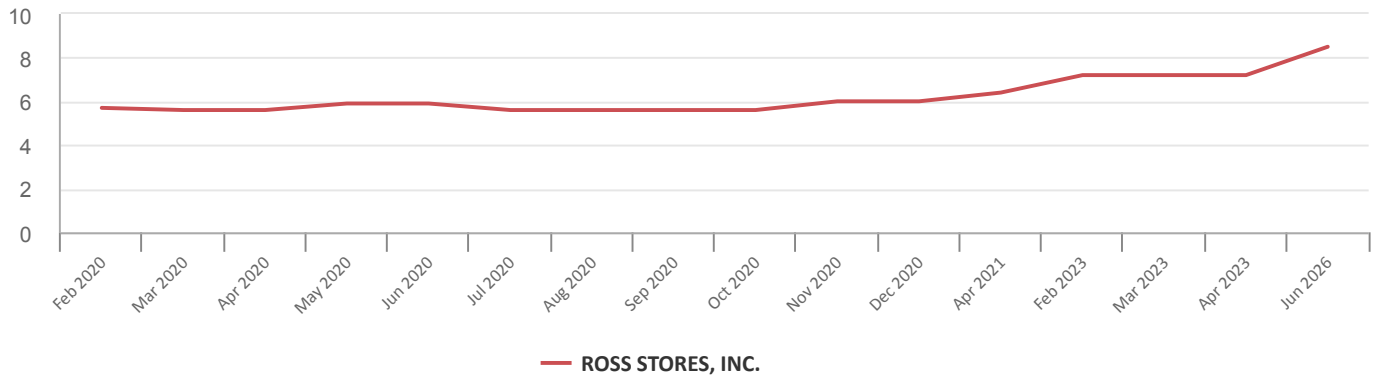
MSCI ESG RATINGS

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RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

CORPORATE GOVERNANCE SCORE HISTORY



CHANGES TO FLAGGED KEY METRICS (SINCE JULY 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
Significant Vote Against Pay Practices	Flag Removed	Jul 08, 2026	0.10	AGM voting results updated
Entrenched Board	Flag Removed	Jul 08, 2026	0.80	
Long-Term Pay Performance Versus Peers	Flag Removed	Jun 04, 2026	0.20	
Long-Term Pay Performance Versus Peers	**Flag Added**	May 28, 2026	**-0.20**	
Severance Vesting	**Flag Added**	May 12, 2026	**-0.10**	
Not 30% Female Directors	Flag Removed	Feb 04, 2026	0.10	
Leadership Concerns	Flag Removed	Feb 04, 2026	0.30	
Independent Chair	Flag Removed	Feb 04, 2026	0.10	
Significant Votes Against Directors	Flag Removed	Jul 24, 2025	0.25	AGM voting results updated
Short-Term Pay Performance	Flag Removed	Jul 16, 2025	0.20	
Dispersed Ownership Concerns	Flag Removed	Jul 16, 2025	0.20	

Note: A full list of score changes (including where there is no Key Metric Change) is included in the Appendix.

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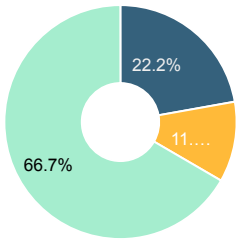
RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

BOARD OVERVIEW

Board Type: Unitary Board

Board of Directors

CEO	James (Jim) Conroy	Since: Feb 02, 2025
Chair	K. Gunnar Bjorklund	Since: Feb 01, 2026



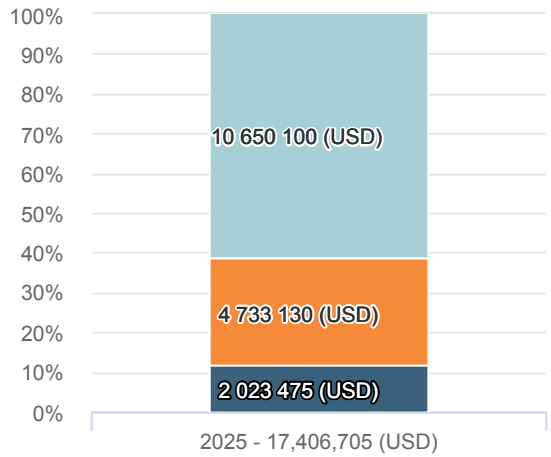
Executive Leadership

CFO	William Sheehan	Since: Oct 01, 2025

■Executive ■Links to Management ■Independent of Management

PAY OVERVIEW

Highest Paid Executive - James (Jim) Conroy



■ Long Term Incentives Awarded	10,650,100 (USD)
■ Short Term Incentives Awarded	4,733,130 (USD)
■ Fixed Pay	2,023,475 (USD)

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ROSS STORES, INC. (ROST)

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RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

BOARD

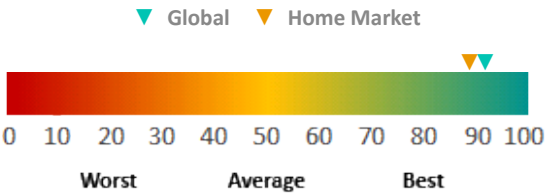
The ROSS STORES board appears to be generally well organized to provide effective strategic oversight for the company management. We have flagged this board for potential concerns regarding the previous history of board service for certain directors.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
9.3	93rd (Above Average)	90th (Above Average)

KEY METRICS SCORING

	Deduction
AUDIT OVERSIGHT	
Audit Committee Industry Expert	-0.10
BOARD EFFECTIVENESS	
Flagged Directors on Board	-0.20
PAY OVERSIGHT	
Pay Committee Independence	-0.10

BOARD PERFORMANCE VS.



LEADERSHIP

CHIEF EXECUTIVE OFFICER

History	CEO Since	Until	Name	Gender	Age
Current	Feb 2025		James (Jim) Conroy	M	56
Former	*Jun 2014*	*Feb 2025*	*Barbara Rentler*	*F*	*68*

CHIEF FINANCIAL OFFICER

History	CFO Since	Until	Name	Gender	Age
Current	Oct 2025		William Sheehan	M	57
Former	*Oct 2021*	*Sep 2025*	*Adam Orvos*	*M*	*61*
Former	*Jul 2021*	*Oct 2021*	*Michael Hartshorn*	*M*	*58*
Former	*Aug 2019*	*Jul 2021*	*Travis Marquette*	*M*	*54*

CHAIR

History	Chair Since	Until	Name	Gender	Age
Current	Feb 2026		K. Gunnar Bjorklund	M	67
Former	*Sep 2023*	*Jan 2026*	*Michael Balmuth*	*M*	*75*
Former	*May 2021*	*Sep 2023*	*George Orban*	*M*	*80*

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ROSS STORES, INC. (ROST)

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RATING ACTION DATE: November 02, 2026
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BOARD OF DIRECTORS

The ROSS STORES board currently has an independent majority, which enables it to more effectively fulfill its critical function of overseeing management on behalf of shareholders. Additionally, the company has split the roles of CEO and chair and has named a fully independent chairman. An independent chairman is characteristic of 40% of companies in MSCI ESG Research's coverage.

Number of Board Meetings: 5

Non-executives meet in absence of Executives: Yes

Name	M/F	Age	Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Management Link/ Designation Reason	Nationality
Doniel Sutton $	F	52	5	2	Yes	Yes		Not Disclosed
Edward Cannizzaro R $	M	65	4	3	Yes	Yes		Not Disclosed
James (Jim) Conroy CEO X I	**M**	**56**	**1**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
K. Gunnar Bjorklund COB	M	67	23	1	Yes	Yes		Not Disclosed
Michael Bush I	M	65	25	1	No	Yes	Former executive	Not Disclosed
Michael Hartshorn I $	**M**	**58**	**5**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
Patricia Mueller I	F	63	6	1	Yes	Yes		Not Disclosed
Sharon Garrett	F	77	26	1	Yes	Yes		Not Disclosed
Stephen (Steve) Milligan $	M	62	11	1	Yes	Yes		Not Disclosed

	F	# >= 70	# >= 15 yrs	# >= 4			
Total (of 9)	3	1	3	0	6	9	
Percentage	33.3%	11.1%	33.3%	0%	66.7%	100%	

Note: Board count includes the membership of this board.

X - Flagged Director 1x $ - Financial Expert (4) I - Industry Expert (4) R - Risk Management Expert
CEO - Chief Executive Officer COB - Chair of the Board

BOARD EFFECTIVENESS

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Nomination Committee - Number Of Meetings: 5

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Doniel Sutton $	F	52	5	Yes	Yes	Member
Edward Cannizzaro R $	M	65	4	Yes	Yes	Member
K. Gunnar Bjorklund	M	67	23	Yes	Yes	Member
Patricia Mueller I	F	63	6	Yes	Yes	Chair

$ - Financial Expert (2) I - Industry Expert R - Risk Management Expert

Flagged Directors

James (Jim) Conroy

James Conroy was recently a director at Party City Holdco Inc., having left the board within a year of January 17, 2023, when the company filed for chapter 11 bankruptcy protection.

BOARD SKILLS & DIVERSITY

We have identified that this board includes at least one individual flagged as having been involved in one or more negative governance events in the course of their service at previous companies, as explained below.

AUDIT OVERSIGHT

Audit Committee - Number Of Meetings: 9

The ROSS STORES board of directors includes a fully independent audit committee and at least one member of that committee meets our standards for financial expertise.

Name	M/F	Age	Board Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Committee Status
Edward Cannizzaro R $	M	65	4	3	Yes	Yes	Member
Sharon Garrett	F	77	26	1	Yes	Yes	Member
Stephen (Steve) Milligan $	M	62	11	1	Yes	Yes	Chair

$ - Financial Expert (2) R - Risk Management Expert

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Risk Committee - Number Of Meetings: 9

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Edward Cannizzaro R $	M	65	4	Yes	Yes	Member
Sharon Garrett	F	77	26	Yes	Yes	Member
Stephen (Steve) Milligan $	M	62	11	Yes	Yes	Chair

$ - Financial Expert (2) R - Risk Management Expert

PAY OVERSIGHT

Pay Committee - Number Of Meetings: 12

The ROSS STORES board does not include a fully independent pay committee which may impact its ability to design rigorous incentives for executives.

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	CEO Role?	Committee Status
Doniel Sutton $	F	52	5	Yes	Yes		Member
K. Gunnar Bjorklund	M	67	23	Yes	Yes		Member
Michael Bush I	M	65	25	No	Yes		Chair
Patricia Mueller I	F	63	6	Yes	Yes		Member

$ - Financial Expert I - Industry Expert (2)

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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ROSS STORES, INC. (ROST)

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PAY

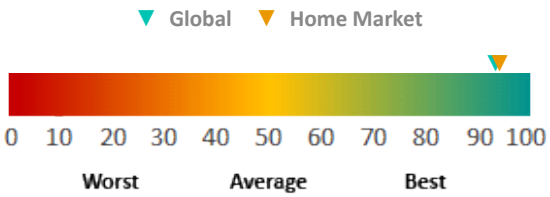
Executive pay practices of the ROSS STORES board appear to be generally well aligned with sustainable shareholder interests. Areas of particular concern include early vesting provisions in share based awards which offer a poor alignment with shareholder interests.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.6	95th (Above Average)	95th (Above Average)

KEY METRICS SCORING

	Deduction
PAY PERFORMANCE ALIGNMENT	
Pay Linked to Sustainability	-0.20
SEVERANCE & CHANGE OF CONTROL	
Severance Vesting	-0.10

PAY PERFORMANCE VS.



PAY FIGURES

EXECUTIVE PAY - 2025

Executive	Title	Tenure (Years)	Total Awarded Pay (USD)	Total Realized Pay (USD)
Adam Orvos I $	Executive	N/A (Resigned)	628,524	3,459,026
James (Jim) Conroy X I	CEO	1	17,406,705	18,939,868
Karen Fleming I	Executive		5,882,314	4,574,667
Michael Balmuth I	Executive	N/A (Resigned)	15,022,364	10,285,904
Michael Hartshorn I $	Director	5	11,238,620	8,393,063
William Sheehan I $	CFO	1	3,955,917	2,629,596

X - Flagged Director 1x $ - Financial Expert (3) I - Industry Expert (6)

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CEO PAY DETAILS - James (Jim) Conroy

Pay Awarded	2025
Fixed Pay	
Salary	1,450,000 USD
Fees	0 USD
Pension	0 USD
Perks & Other Pay	573,475 USD
Variable Pay	
Short-term incentives	
Annual Bonus	500,000 USD
Other Non-equity Incentive Plan	4,233,130 USD
Long-term incentives	
Grant date value of Stock Options	0 USD
Grant date value of Stock Awards	10,650,100 USD
Total Awarded Pay	**17,406,705 USD**

Pay Realized	
Fixed Pay	
Salary	1,450,000 USD
Fees	0 USD
Pension	0 USD
Perks & Other Pay	573,475 USD
Variable Pay	
Short-term incentives	
Annual Bonus	500,000 USD
Other Non-equity Incentive Plan	4,233,130 USD
Long-term incentives	
Options Exercised	0 USD
Stock Awards Vested	12,183,263 USD
Total Realized Pay	**18,939,868 USD**

PAY PEER GROUP

LARGECAP - DEVELOPED AMERICAS - SPECIALTY RETAIL (14 COMPANIES)

Company	Home Market	Market Cap (USD m)	Pay Year	1 Yr TSR	Total CEO Annual Pay (USD)	CEO Name	CEO Since
WILLIAMS-SONOMA, INC.	United States	29,455	2025	-0.02%	14,297,625	Alber	May 2010
THE TJX COMPANIES, INC.	United States	154,216	2026	0.22%	12,303,364	Herrman	Jan 2016
BURLINGTON STORES, INC.	United States	15,586	2025	0.04%	6,306,796	O'Sullivan	Sep 2019
LOWE'S COMPANIES, INC.	United States	107,363	2025	0.05%	4,838,527	Ellison	Jul 2018
THE HOME DEPOT, INC.	United States	299,287	2025	-0.07%	4,208,959	Decker	Mar 2022
DICK'S SPORTING GOODS, INC.	United States	11,665	2025	-0.14%	4,103,379	Hobart	Feb 2021
FIVE BELOW, INC.	United States	12,909	2025	1.04%	4,021,869	Park	Dec 2024
TRACTOR SUPPLY COMPANY	United States	18,434	2024	0.25%	3,027,801	Lawton	Jan 2020
O'Reilly Automotive, Inc.	United States	71,836	2025	0.15%	2,815,451	Beckham	Jan 2024
PENSKE AUTOMOTIVE GROUP, INC.	United States	13,917	2024	-0.03%	2,777,453	Penske	May 1999
AUTOZONE, INC.	United States	46,419	2025	0.32%	2,409,871	Daniele	Jan 2024
CARVANA CO.	United States	70,298	2025	1.08%	963,434	Garcia	Jan 2012
WAYFAIR INC.	United States	15,617	2024	-0.28%	283,145	Shah	Jan 2002
ROSS STORES, INC.	**United States**	**74,209**		**0.00%**		**James (Jim) Conroy**	**Feb 2025**

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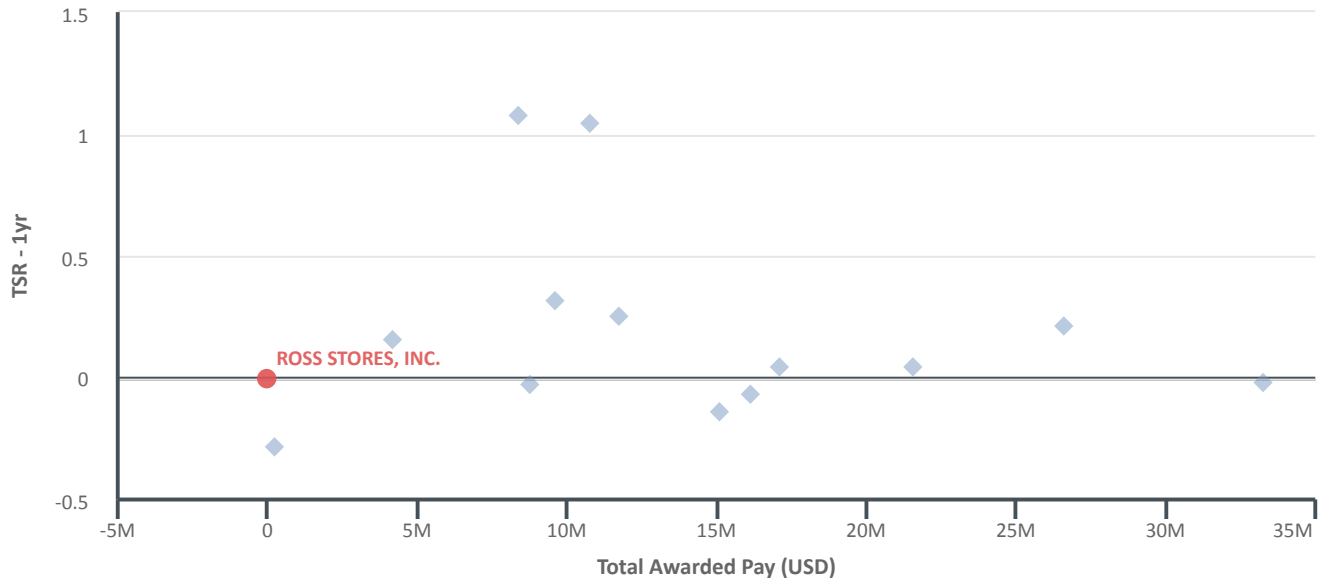
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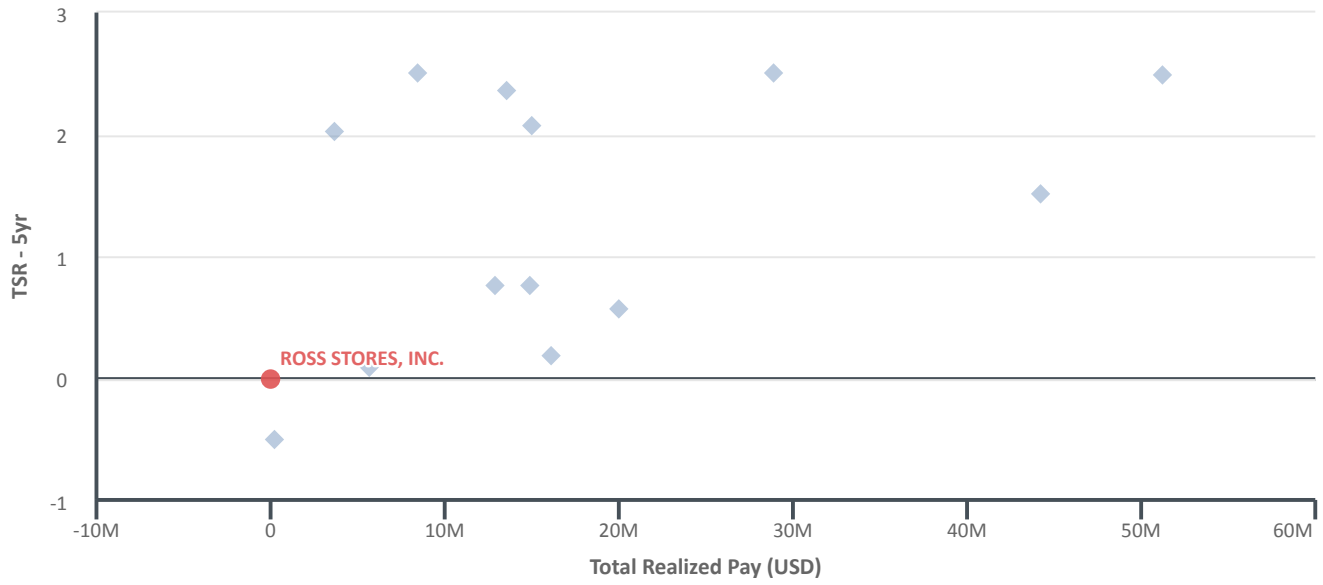
RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

PAY PERFORMANCE ALIGNMENT

CEO & EXECUTIVE EQUITY

CEO equity policy as a multiple of salary: **6.0**

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Director and Officer Stock Ownership Guidelines

Chief Executive Officer 6 x Base Salary

Executive	Tenure (Years)	Shares Held	YoY % Change	Shareholding As % of Salary
Adam Orvos I $	N/A (Resigned)	24,553		
James (Jim) Conroy X I	1	212,054	2.97%	2634.44%
Karen Fleming I		101,291		
Michael Balmuth I	N/A (Resigned)	111,870		
Michael Hartshorn I $	5	152,100		
William Sheehan I $	1	35,201		

X - Flagged Director 1x $ - Financial Expert (3) I - Industry Expert (6)

PAY LINKED TO SUSTAINABILITY

The company has failed to incorporate links to sustainability performance in its current incentive pay policies.

CLAWBACK & MALUS

Clawback or malus provisions are in place.
Clawback Type: **Performance Based**

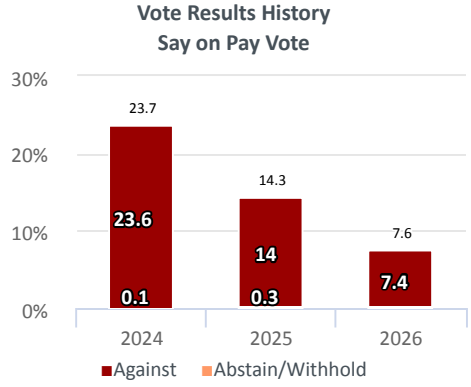
SEVERANCE & CHANGE OF CONTROL

CEO	Annual Pay (USD)	Potential Cash Severance - Involuntary (USD)	Potential Cash Severance - Change of Control (USD)	Multiple of Annual Pay – Involuntary	Multiple of Annual Pay – Change of Control
James (Jim) Conroy X I	6,756,605 USD	17,084,969 USD	13,443,762 USD	2.53 times	1.99 times

X - Flagged Director 1x I - Industry Expert

LATEST PAY VOTES

Year	Vote Type	Votes For %	Votes Against %	Abstain %
2026	Advisory Vote on Executive Compensation	92.4%	7.4%	0.2%



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NON-EXECUTIVE DIRECTOR PAY

NON-EXECUTIVE EQUITY

Director	Tenure (Years)	Shares Held
Doniel Sutton $	5	8,021
Edward Cannizzaro R $	4	5,336
George Orban $	N/A (Resigned)	4,750,384
K. Gunnar Bjorklund	23	20,901
Michael Bush I	25	35,617
Patricia Mueller I	6	6,611
Sharon Garrett	26	2,571
Stephen (Steve) Milligan $	11	21,992

$ - Financial Expert (4) I - Industry Expert (2)
R - Risk Management Expert

NON-EXECUTIVE PAY TABLES

Director	Tenure (Years)	Cash Fees	Other Comp	Stock Award	Total Pay	Total Pay (USD)
Doniel Sutton $	5	127,500 USD		180,010 USD	307,510 USD	307,510
Edward Cannizzaro R $	4	132,500 USD		180,010 USD	312,510 USD	312,510
George Orban $	N/A (Resigned)	100,000 USD		180,010 USD	280,010 USD	280,010
K. Gunnar Bjorklund	23	140,000 USD		180,010 USD	320,010 USD	320,010
Michael Bush I	25	137,000 USD		180,010 USD	317,010 USD	317,010
Patricia Mueller I	6	115,000 USD		180,010 USD	295,010 USD	295,010
Sharon Garrett	26	120,000 USD	0 USD	180,010 USD	300,010 USD	300,010
Stephen (Steve) Milligan $	11	160,000 USD	0 USD	180,010 USD	340,010 USD	340,010

$ - Financial Expert (4) I - Industry Expert (2) R - Risk Management Expert

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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OWNERSHIP & CONTROL

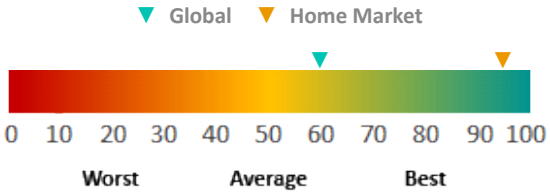
The company's ownership structure and shareholder rights at ROSS STORES fall within the average scoring relative to global peers.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
7.9	61st (Average)	96th (Best In Class)

KEY METRICS SCORING

	Deduction
DIRECTOR ELECTIONS	
Majority Voting	-0.20
SHAREHOLDER RIGHTS	
Bylaws Amendments	-0.10
Confidential Voting	-0.10
TAKEOVER PROVISIONS	
Business Combination Provision	-0.10
Fair Bid Treatment Provisions	-0.10

OWNERSHIP & CONTROL PERFORMANCE VS.



CORPORATE STRUCTURE

Public Company

CAPITAL STRUCTURE

Capital Type	Votes Per Share	Shares Outstanding
Common Stock	1.0	322,148,148

OWNERSHIP STRUCTURE

OWNERSHIP CATEGORIES

- Principal Shareholder

NOTABLE SHAREHOLDERS

The Vanguard Group- 12.2%	**12.2%**
5%+ shareholders - Aggregate Voting Power	**19.2%**
Insider Voting Power	**2.1%**

The company does not have a special capital structure, thus one vote right is afforded per common share. This principle of 'one share one vote' helps align economic and voting power and ensures that no class of shareholders has more voting power than economic exposure.

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TAKEOVER PROVISIONS

Fair Price Provision	Mandatory Bid Provision	Mandatory Bid Ownership Threshold
No	No	

State of Incorporation	Business Combination Provision
Delaware	Yes

% of Votes to Approve a Merger
66.7%

GOVERNING DOCUMENTS

MAJORITY REQUIREMENTS

	Bylaws	Charter
Default percentage of votes required to amend a provision	67%	51%
Highest percentage of votes required to amend a specific provision	N/A	67%

Bylaws Pg. 44

The stockholders shall also have power to adopt, amend or repeal the Bylaws of the Corporation. In addition to any vote of the holders of any class or series of stock of this Corporation required by law or by these Bylaws, the affirmative vote of the holders of at least 66 2/3 percent of the combined voting power of the outstanding shares of stock of all classes and series of stock of the Corporation entitled to vote generally in the election of directors, voting together as a single class, shall be required to adopt, amend or repeal any provisions of the Bylaws of the Corporation.

COI Article Eleventh

The Corporation reserves the right to amend or repeal any provision contained in this Certificate of Incorporation in the manner prescribed by the laws of the State of Delaware and all rights conferred upon stockholders are granted subject to this reservation; provided, however, that, notwithstanding any other provision of this Certificate of Incorporation or any provision of law which might otherwise permit a lesser vote or no vote, but in addition to any vote of the holders of any class or series of the stock of this Corporation required by law or by this Certificate of Incorporation, the affirmative vote of the holders of at least 66 2/3 percent of the combined voting power of the outstanding shares of stock of all classes and series of the Corporation entitled to vote generally in the election of directors, voting together as a single class, shall be required to amend, repeal or adopt any provision inconsistent with Article FIFTH (except Section D thereof), SIXTH (except Section D thereof), SEVENTH, EIGHTH, NINTH, TENTH or this Article ELEVENTH.

SHAREHOLDER RIGHTS

There may be governance risks for investors in relation to shareholder rights and management-controlled takeover defense mechanisms at ROSS STORES including:

- The board's ability to amend the company's charter without shareholder approval
- The board's ability to amend the company's bylaws without shareholder approval
- business combination provisions that fail to include protections of shareholder interests
- fair price provisions that fail to ensure that all shareholders are treated fairly
- Limits on the right of shareholders to take action by written consent
- The absence of confidential voting policies

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SHAREHOLDER MEETINGS & RESOLUTIONS

	Call Special Meeting	Requisition a Resolution at AGM	Act by Written Consent
Percentage of shares required	10%		N/A - no right exists

RESTRICTIONS ON LEGAL ACTION BY SHAREHOLDERS

No exclusive forum provision has been identified.

SAY ON PAY

We note that shareholder votes on executive pay are mandatory in this market, affording shareholders the ability to review and approve executive pay practices at this company.

DIRECTOR ELECTIONS

BOARD RE-ELECTION PROVISIONS

Board Re-election Provisions	
Board Re-election Frequency (Years)	1
% of Board subject to re-election	100%

DIRECTOR ELECTION STANDARD

The company has not adopted a binding majority director election standard (with immediate resignation if the director does not receive a majority of the votes cast), which may limit shareholders' ability to hold members of the board accountable in uncontested elections.

Director Election Rules	
Vote Standard	Majority & Resignation Policy
Immediate Binding Resignation	No

2026 DEF 14A Pg. 4

If elected, each nominee will hold office for a one-year term or until their successor is elected and qualified, unless they resign or their office becomes vacant by death, removal, or other cause in accordance with the Bylaws of the Company. Management knows of no reason why any of these nominees would be unable or unwilling to serve, but if any nominee(s) should for any reason be unable or unwilling to serve, the proxies will be voted for the election of such other person(s) for the office of director as the Nominating and Corporate Governance Committee may recommend in the place of such nominee(s), unless the Board chooses to reduce the size of the Board.

2026 DEF 14A Pg. 11

The Company's Bylaws provide for a majority voting standard with respect to uncontested elections of directors. Under our current Bylaws, any director nominee in an uncontested election who receives more votes against election than votes in favor of election is not elected. In addition, any incumbent director who fails to receive such majority approval from the stockholders must tender an offer of resignation to the Board within 14 days following certification of the stockholder vote. The Board then has authority to determine whether or not to accept the director's offer of resignation. The Bylaws provide that the Nominating and Corporate Governance Committee (or another committee designated by the Board) will consider what action should be

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taken with respect to such offers of resignation, and will make a recommendation to the Board within 60 days following the certification of the stockholder vote. The Bylaws also provide that the Board is required to take action on the matter within 90 days following certification of the stockholder vote. Both the reviewing committee and the Board are authorized to consider all factors they believe to be relevant in determining whether or not to accept any resignation. Within five business days after reaching its decision, the Board is required to publicly disclose the decision, including, if applicable, the reasons for not accepting an offer of resignation.

PROXY ACCESS

A proxy access provision is in place.

Proxy Access Terms	
Ownership Duration (Years)	3
Ownership Threshold (% of shares)	3%
Min/Max % of Board Seats	20%
Min/Max Number of Board Seats	2

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ROSS STORES, INC. (ROST)

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ACCOUNTING

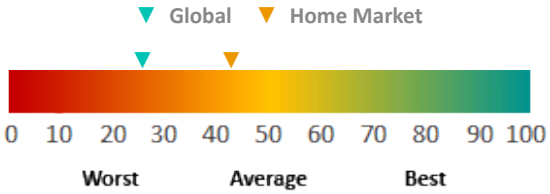
Based on the company's disclosures and other public information, accounting and financial reporting practices at ROSS STORES appear to be generally appropriate and effective relative to global peers. We have flagged this company for potential concerns regarding the length of tenure of the external audit firm.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.8	27th (Average)	44th (Average)

KEY METRICS SCORING

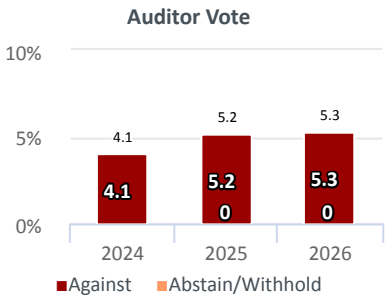
	Deduction
AUDITOR INDEPENDENCE	
Auditor Tenure	-0.20

ACCOUNTING PERFORMANCE VS.



EXTERNAL AUDITORS

Type	Since	Firm	Most Recent Fiscal Year End Signed Off
Primary	1982	Deloitte & Touche LLP	2026



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ROSS STORES, INC. (ROST)

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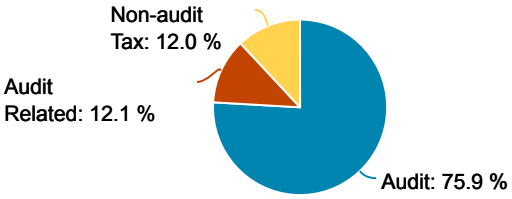
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
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AUDITOR FEES

Fees paid to: Deloitte & Touche LLP (Primary)

Fee	Feb 01, 2026 (USD)	Feb 01, 2025 (USD)	Feb 03, 2024 (USD)
Audit	2,379,000	2,265,000	2,085,000
Audit Related	379,000	166,000	161,000
Total Audit + Audit Related	**2,758,000**	**2,431,000**	**2,246,000**
Tax Compliance/ Advice	376,000	495,000	349,000
Other Non-audit Services	0		0
Total Non-audit Fees	**376,000**	**495,000**	**349,000**
Total Fees	**3,134,000**	**2,926,000**	**2,595,000**



AUDITOR'S REPORT

	Jan 31, 2026	Feb 01, 2025	Feb 03, 2024
Report Disclosed	Yes	Yes	Yes
Opinion	Unqualified Opinion	Unqualified Opinion	Unqualified Opinion
Emphasis of Matter	No	No	No

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

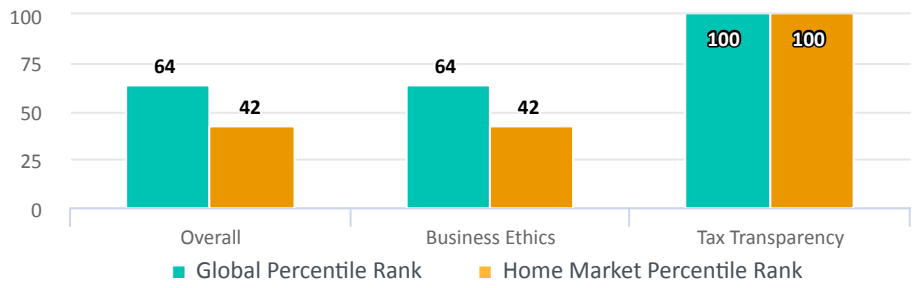
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Corporate Behavior

0-10 Score	Change (since rating)	Quartile	Last score change date
7.2	0.0	●●●	Nov 02, 2026

CORPORATE BEHAVIOR THEME AND KEY ISSUE RANKINGS



METHODOLOGY NOTE

This theme evaluates the extent to which companies may face ethics issues such as fraud, executive misconduct, corruption scandals, money laundering, anti-trust violations, or tax-related controversies.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

KEY AREAS OF CONCERN*

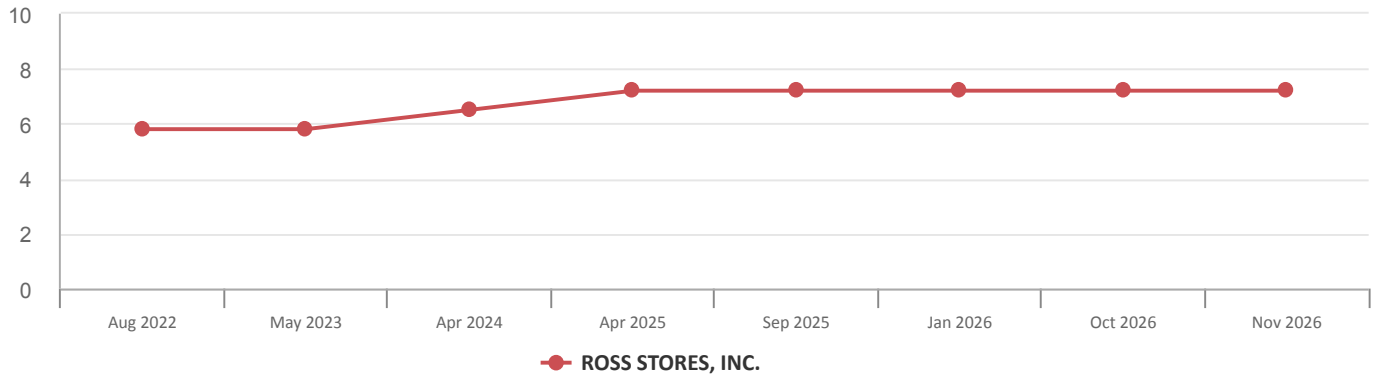
SCORING DEDUCTIONS

Business Ethics Policies & Practices **(-2.80)**

- Oversight for Ethics Issues
- Regular Audits of Ethical Standards
- Employee Training on Ethical Standards

**Key areas of concern include flagged key metrics that represent the largest scoring deductions. Please review the full report to see a complete set of flagged key metrics.*

CORPORATE BEHAVIOR SCORE HISTORY



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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

BUSINESS ETHICS

KEY METRICS SCORING

	Deduction
BUSINESS ETHICS POLICIES & PRACTICES	**-2.80**
Oversight for Ethics Issues	-0.70
Regular Audits of Ethical Standards	-1.40
Employee Training on Ethical Standards	-0.70

Note: Business Ethics Policies & Practices deductions as well as Business Ethics Risk & Controversies are capped at a maximum of -7.0. Cumulative deductions are capped at 10.

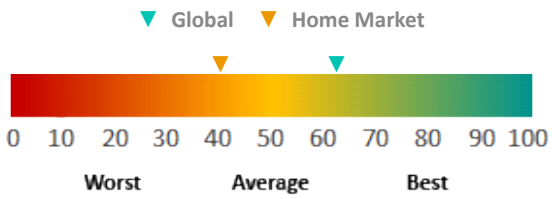
0-10 Score	Change (since rating)	Global Percentile Rank	Home Market Percentile Rank
7.1	0.0	64th (Average)	42nd (Average)

METHODOLOGY NOTE

Companies are evaluated on their oversight and management of business ethics issues such as fraud, executive misconduct, corrupt practices, money laundering, or anti-trust violations.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

BUSINESS ETHICS VS.



BUSINESS ETHICS POLICIES & PRACTICES

Indicators	Company Practice	Best Practice	Deduction
Responsibility for ethics issues	Special task force or risk officer	Board-level committee or C-suite or Executive committee	-0.70
Policy against bribery and corruption	Detailed formal policy on bribery and anti-corruption	Detailed formal policy on bribery and anti-corruption	0.00
Regular Audits of Ethical Standards	No evidence	Audits of all operations at least once every three years	-1.40
Whistleblower protection	Policy provides whistleblowers with protection from retaliation	Policy provides whistleblowers with protection from retaliation	0.00
Employee training on ethical standards	Programs covering all permanent employees (excluding part-time and contractors)	Programs covering all employees (including part-time) and contractors	-0.70
Policy against bribery and corruption for suppliers	NA	All suppliers are required to have anti-corruption policies and programs to verify compliance	0.00
Anti-money laundering policy	NA	Policy and implementation strategy articulated	0.00

**Business Ethics Policies & Practices deductions are capped at a maximum of -7.0.*

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

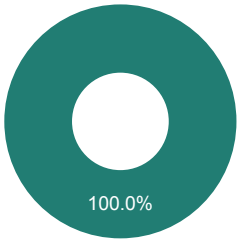
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

CORRUPTION RISK EXPOSURE

Exposure to: Regulatory risks or lost market access due to corruption scandals or political and social instability
Business Types : Percentage of operations in business segments perceived most likely to pay or receive bribes

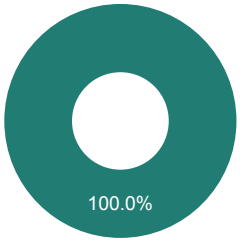
■ High Risk ■ Medium Risk ■ Low Risk



■ No exposure to high risk segments
■ No exposure to medium risk segments
■ Family clothing stores

Source: Foreign Corrupt Practices Act (FCPA) enforcement actions, U.S. Securities and Exchange Commission (SEC); EU public procurement data, Opentender.eu; State Capture Analysis, World Bank; Lobbying data, OpenSecrets.org; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with high/moderate/low level of corruption and political instability, violence or terrorism



■ No operations in markets with high risks
■ No operations in markets with medium risks
■ USA

Source: Corruption Perception Index, Transparency International; Control of Corruption Index, World Governance Indicator; MSCI Sustainability & Climate; Refinitiv; company disclosures.

CORRUPTION RISK EXPOSURE SCORING DEDUCTION KEY

% of operations in medium and high risk geographies	% of operations in high risk business segments	>=20% government ownership	<20% government ownership	No evidence of government ownership
20% or more	50% or more	-4.00	-2.60	-2.00
	Less than 50%	-1.20	-1.20	-1.20
Less than 20%	50% or more	-0.60	-0.60	-0.60
	Less than 50%	0.00	0.00	0.00

**The Corruption Risk and Controversies Deduction is based on the maximum of deductions from the corruption risk exposure and corruption controversies category listed below*

BUSINESS ETHICS CONTROVERSIES

Controversy Cases

Category	Assessment	Headline	Status	Last Updated	Deduction
Business Ethics & Fraud	--	**No ongoing controversies.**	--	--	--
Anticompetitive Practices	--	**No ongoing controversies.**	--	--	--
Corruption	--	**No ongoing controversies.**	--	--	--

**The maximum deductions from the Anticompetitive Practices and Business Ethics & Fraud categories are summed to arrive at the overall Business Ethics Controversies deduction, which is capped at a maximum of -7.0.*

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

TAX TRANSPARENCY

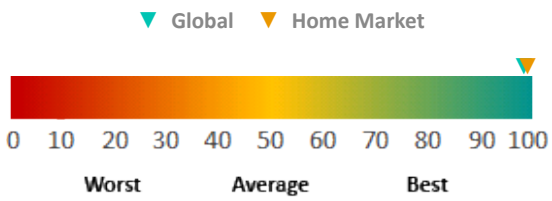
0-10 score	Change (since rating)	Global Percentile Rank	Home Market Percentile Rank
10.0	0.0	100th (Best In Class)	100th (Best In Class)

METHODOLOGY NOTE

Companies are evaluated on their estimated corporate tax gap (i.e. gap between estimated effective tax rate and estimated corporate income tax rate) and their involvement in tax-related controversies.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

TAX TRANSPARENCY VS.



TAX GAP ASSESSMENT

Indicators

Tax Gap

Estimated Effective Tax Rate	24.1%
Estimated Corporate Income Tax Rate	27.0%
Estimated Tax Gap	(2.9%)
Tax Gap Assessment	Low Gap

Revenue

Foreign Revenue	0.0%

Confidence

Confidence Level of Estimation	

Involvement in Controversies 0.0

TAX CONTROVERSIES

Controversy Cases

Category	Assessment	Headline	Status	Last Updated	Deduction
Tax Transparency	--	**No ongoing controversies.**	--	--	--

TAX CONTROVERSIES SCORING DEDUCTION KEY

Involvement in tax controversies	Estimated tax gap	Tax gap assessment	Deduction
Yes	Below 5%	Low	-0.80
	5-10%	Moderate	-1.40
	Above 10%	High	-2.00
No	Below 5%	Low	0.00
	5-10%	Moderate	0.00
	Above 10%	High	0.00

Tax related controversies are not considered for companies in Real Estate Management services or Mortgage REITs industries. Tax gap assessment is effectively low for companies with less than 5% of total revenue categorized as foreign.

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ROSS STORES, INC. (ROST)

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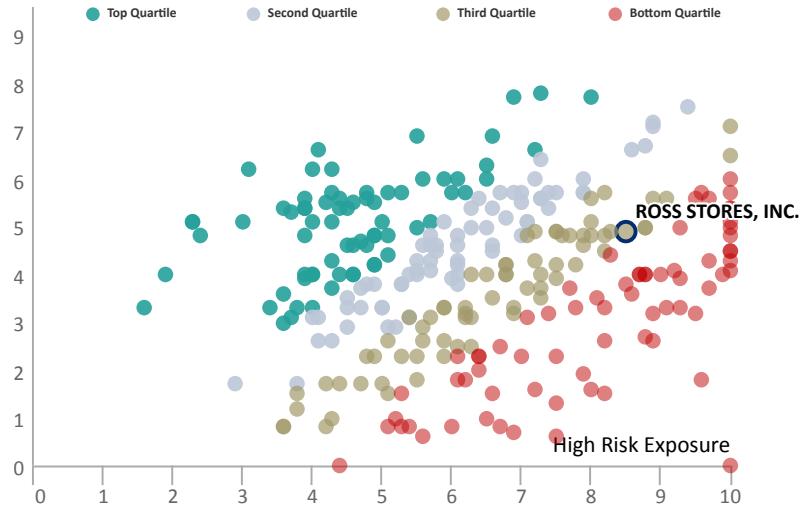
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

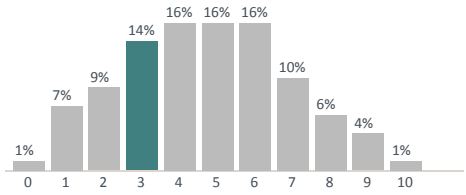
Labor Management

Score	Change (since rating)	Quartile	Weight	Last score change date
3.4	0.0	●●	20.0%	Nov 02, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

Festi hf	10.0
Happinet Corp	9.8
SMITHS NEWS PLC	9.8
Zhejiang China Commodities City Group Co., Ltd	9.4
AUTOBACS SEVEN CO.,LTD.	9.3

BOTTOM 5 INDUSTRY LAGGARDS

Brainbees Solutions Limited	0.2
Thangamayil Jewellery Ltd	0.2
ADITYA BIRLA LIFESTYLE BRANDS LIMITED	0.0
V2 RETAIL LIMITED	0.0
VISHAL MEGA MART LIMITED	0.0

KEY ISSUE ASSESSMENT

Company 3.4
Industry 4.7
0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company 8.5
Industry 6.4
0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company 4.9
Industry 4.1
0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types
Company 8.7
0 5 10

Business Locations
Company 5.0
0 5 10

Drivers of Risk Management

Practices Score
Company 4.9
0 5 10

Controversy Deduction
Company 0.0
-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the complexity of their workforce (size, labor intensity, and regions of operation), employee relations, strength of worker protections, and employee engagement efforts.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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ROSS STORES, INC. (ROST)

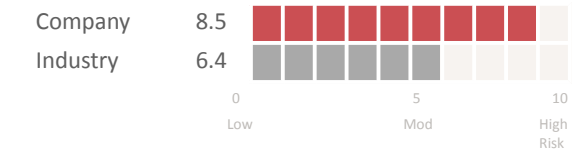
MSCI ESG RATINGS A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

EXPOSURE

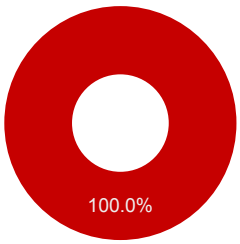
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of workflow disruptions due to labor unrest, or reduced productivity due to poor job satisfaction

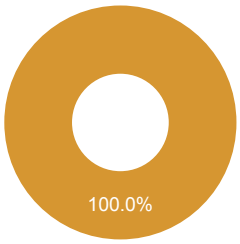
Business Types : Percentage of operations in business segments with high/moderate/low labor intensities, as measured by average sales per employee of industries



- Family clothing stores
- No exposure to medium risk segments
- No exposure to low risk segments

Source: MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with high/moderate/low likelihood of labor unrest (based on historic precedent)



- No operations in markets with high risks
- USA
- No operations in markets with low risks

Source: International Labour Organization (ILO); MSCI Sustainability & Climate; Refinitiv; company disclosures.

Additional Drivers of Exposure

Size and Composition of Workforce

Number of Employees

Year	Number of employees
2025	111,000
2024	107,000
2023	108,000
2022	101,662
2021	103,007

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ROSS STORES, INC. (ROST)

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A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

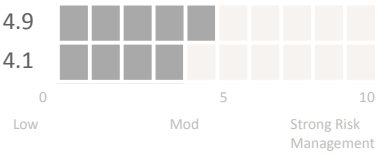
Layoffs Events

Major Layoffs: **No**

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company 4.9
Industry 4.1



Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Scope of workforce eligibility for variable performance-based component to pay	Selective performance-based incentive pay for non-officer staff	Strong performance-based incentive pay structure covers all employees	LOW 5 TOP	2
Workforce eligible for paid parental leave policy	No evidence	Benefits cover all employees	0 MID TOP	3
Employee equity programs	Only select number of employees eligible for ESOP and/or ESPP	Sector-leading number of employees eligible for ESOP and/or ESPP	LOW 7 TOP	5
Support for degree programs or certifications for employees	Program covers all employees (including part-time and contractors)	Program covers all employees (including part-time and contractors)	LOW MID 10	2
Employee satisfaction survey frequency	General statements about engagement initiatives	Surveys conducted annually	LOW 4 TOP	6
Skills and knowledge development training	Program exists but no indication of scope	Program covers all employees (including part-time and contractors)	LOW 5 TOP	4

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

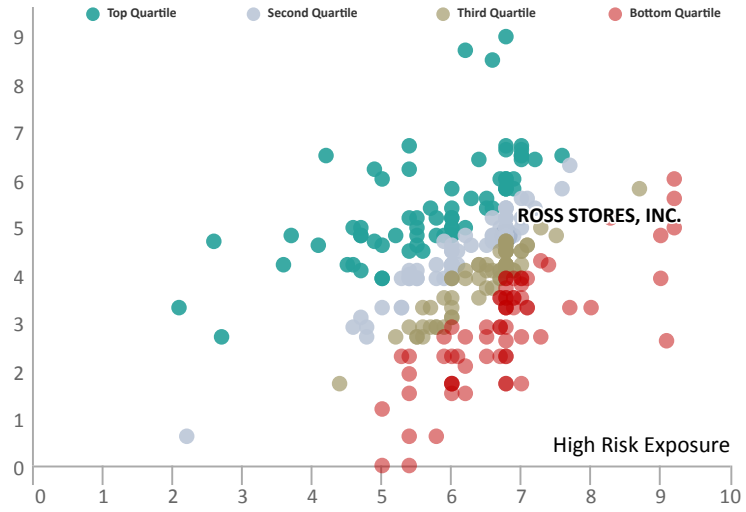
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
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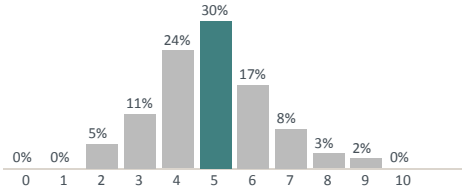
Privacy & Data Security

Score	Change (since rating)	Quartile	Weight	Last score change date
5.0	0.0	●●●	20.0%	Nov 02, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

JD.COM, INC.	9.4
JINS HOLDINGS Inc.	9.4
VIPSHOP HOLDINGS LIMITED	9.3
GENUINE PARTS COMPANY	9.0
MINISO GROUP HOLDING LIMITED	8.8

BOTTOM 5 INDUSTRY LAGGARDS

Festi hf	1.8
GROUPON, INC.	1.8
Rusta AB (publ)	1.7
Aditya Vision Ltd	1.6
PDD Holdings Inc.	0.5

KEY ISSUE ASSESSMENT

Company	5.0
Industry	4.9

0 (Low) 5 (Mod) 10 (High)

RISK EXPOSURE ASSESSMENT

Company	6.8
Industry	6.3

0 (Low) 5 (Mod) 10 (High Risk)

RISK MANAGEMENT ASSESSMENT

Company	4.8
Industry	4.2

0 (Low) 5 (Mod) 10 (Strong Risk Management)

Drivers of Risk Exposure

Business Types
Company 5.1
0 5 10

Business Locations
Company 8.4
0 5 10

Drivers of Risk Management

Practices Score
Company 4.8
0 5 10

Controversy Deduction
Company 0.0
-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the amount of personal data they collect, their exposure to evolving or increasing privacy regulations, their vulnerability to potential data breaches, and their systems for protecting personal data.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

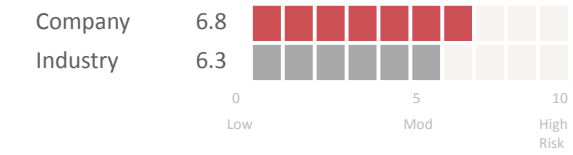
A

CCC | B | BB | BBB | **A** | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

EXPOSURE

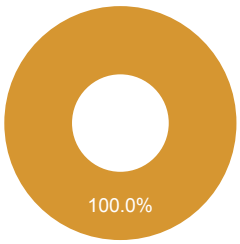
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of compliance cost increase or reputational damage from data breaches or controversial use of personal data

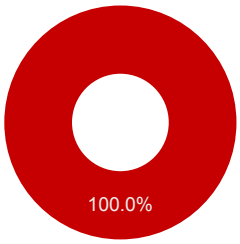
Business Types : Percentage of revenue derived from business segments that · require collection and/or handling of sensitive personal data · have witnessed high cost and frequency of data breaches



- No exposure to high risk segments
- Homefurnishing stores, Shoe stores, Family clothing stores, Women clothing stores, Children apparel stores, Men clothing stores, Women specialty stores
- No exposure to low risk segments

Source: Ponemon Institute and IBM's Cost of a Data Breach report series; Verizon's Data Breach Investigations Report; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with strengthening or evolving data and privacy regulations, with high cost of data breaches

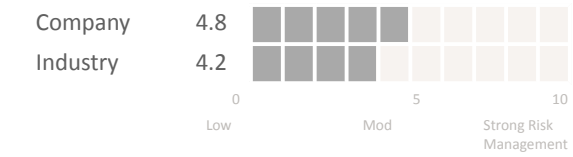


- USA
- No operations in markets with medium risks
- No operations in markets with low risks

Source: Ponemon Institute and IBM's Cost of a Data Breach report series; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Data protection programs covering suppliers and business partners	Yes - inspections are conducted to verify their compliance	Yes - inspections are conducted to verify their compliance	LOW MID **10**	4
Privacy enhancing technologies and initiatives	No evidence	Data protection safeguards integrated into product & service development	**0** MID TOP	1
Consent policy for use of consumer data for secondary purposes	Opt-out for providing personal data to third parties for purposes other than completing transactions/services	Company does not rent, sell, or provide personal data to third parties for purposes other than completing transactions/ services	**0** MID TOP	1
Scope of information security management system certifications	No evidence	Most (over 80%) owned operations are certified to widely accepted standards	**0** MID TOP	1
Rights provided to consumers regarding the control of their data	Right of access and rectification of individuals' data	Right of access, rectification and deletion of individuals' data	LOW **5** TOP	4
Scope of data protection policy	Policy governs selected business lines/subsidiaries	Policy governs all relevant business lines/subsidiaries	LOW **5** TOP	7
Responsibility for privacy and data security	Board-level committee	Board-level committee	LOW MID **10**	6
Scope of employee training on privacy and data security	Training is provided to selected employees or scope unclear	Training is provided to all employees, including contractors	LOW **5** TOP	5
Measures to address data breaches	Proactive measures are in place	Both proactive and reactive measures are in place	LOW **5** TOP	6
Frequency of audits of information security system	General statements on conducting information security audits	External independent audits are conducted at least once every two years	LOW **5** TOP	4

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS **A**

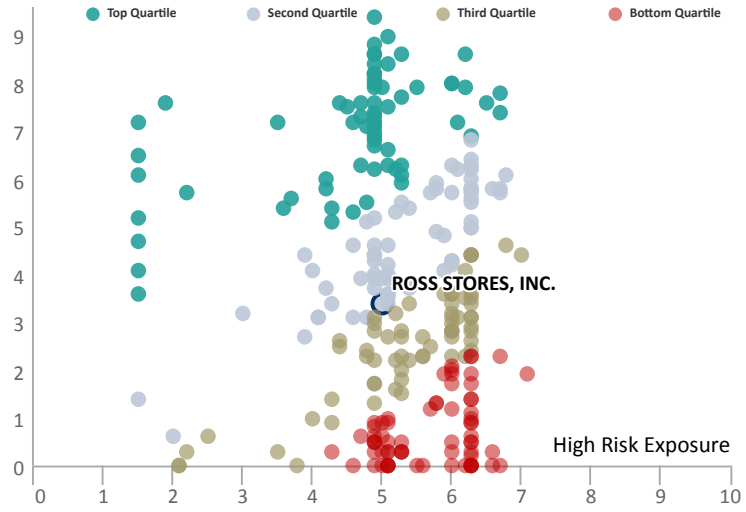
CCC | B | BB | BBB | **A** | AA | AAA

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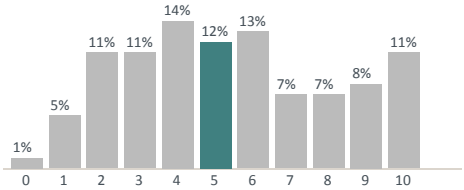
Product Carbon Footprint

Score	Change (since rating)	Quartile	Weight	Last score change date
5.4	0.0	●●●	10.0%	Nov 02, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



Key Issue Score

TOP 5 INDUSTRY LEADERS

ABERCROMBIE & FITCH CO.	10.0
AMERICAN EAGLE OUTFITTERS, INC.	10.0
ASOS PLC	10.0
Clas Ohlson Aktiebolag	10.0
El Corte Ingles S.A.	10.0

BOTTOM 5 INDUSTRY LAGGARDS

Lovisa Holdings Limited	0.7
Pattern Group Inc.	0.7
Seria Co., Ltd.	0.7
GAMESTOP CORP.	0.4
Aditya Vision Ltd	0.3

KEY ISSUE ASSESSMENT

Company	5.4
Industry	5.4

0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company	5.0
Industry	5.0

0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company	3.4
Industry	3.7

0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types

Company	5.0

0 5 10

Drivers of Risk Management

Practices Score

Company	3.4

0 5 10

Controversy Deduction

Company	0.0

-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the carbon intensity of their products and their ability to reduce the carbon footprint in their supply chains or in the use of their products and services.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

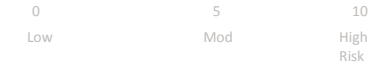
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

EXPOSURE

RISK EXPOSURE ASSESSMENT

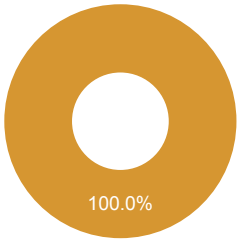
Company	5.0
Industry	5.0



Key Drivers of Risk Exposure

Exposure to: Risk of having to pay increased product purchasing costs (cost of goods sold) due to aggregate increase in input costs (primarily energy) throughout the upstream stages

Business Types : Percent of total revenue from products with large/moderate/low carbon footprint (carbon emissions attributed to upstream supply chain per economic value of output) For Automobile: Composition of product portfolio (as percent of total revenue) by vehicle type based on regulatory requirements for vehicle carbon emissions or fuel efficiency, (expressed as fleet average gCO2/km or mpg)



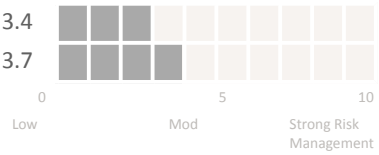
- No exposure to high risk segments
- Homefurnishing stores, Shoe stores, Family clothing stores, Women clothing stores, Children apparel stores, Men clothing stores, Women specialty stores
- No exposure to low risk segments

Source: IERS' Comprehensive Environmental Data Archive (CEDA); MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	3.4
Industry	3.7



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ROSS STORES, INC. (ROST)

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RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Targets to reduce Scope 3 upstream carbon emissions	The company plans to initiate carbon footprint assessment for its products or production stages	The company has already calculated the carbon footprint of its core products and production stages and has a plan for impact reduction	LOW **3** TOP	3
Extent of energy consumption or carbon emissions reduction programs in transportation and logistics	Improvements in fleet, routes, AND load/ packaging optimization	Improvements in fleet, routes, AND load/ packaging optimization	LOW MID **10**	5
Extent of energy consumption or carbon emissions reduction programs in raw materials sourcing	General statement	All or core products	LOW **3** TOP	3
Extent of energy consumption or carbon emissions reduction programs in manufacturing operations (including suppliers)	No	All or core production facilities	**0** MID TOP	1
Extent of energy consumption or carbon emissions reduction programs in distribution centers or store operations	All or most stores and distribution centers	All or most stores and distribution centers	LOW MID **10**	5
Energy consumption or carbon emissions assessment of transportation and logistics	Yes	Yes	LOW **10**	6
Energy consumption or carbon emissions assessment of raw materials sourcing	No	Yes	**0** TOP	3
Energy consumption or carbon emissions assessment of manufacturing operations (including suppliers)	No	Yes	**0** TOP	3
Energy consumption or carbon emissions assessment of distribution and store operations	Yes	Yes	LOW **10**	7
Assessment of energy consumption and/ or carbon emissions of suppliers	No	All suppliers submit carbon and/or energy use data	**0** MID TOP	2

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Extent of product carbon footprint assessments	Company indicates having carbon footprint assessment systems, but does not specify the scope of coverage	Carbon footprint is calculated for all products	LOW 3 TOP	5

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ROSS STORES, INC. (ROST)

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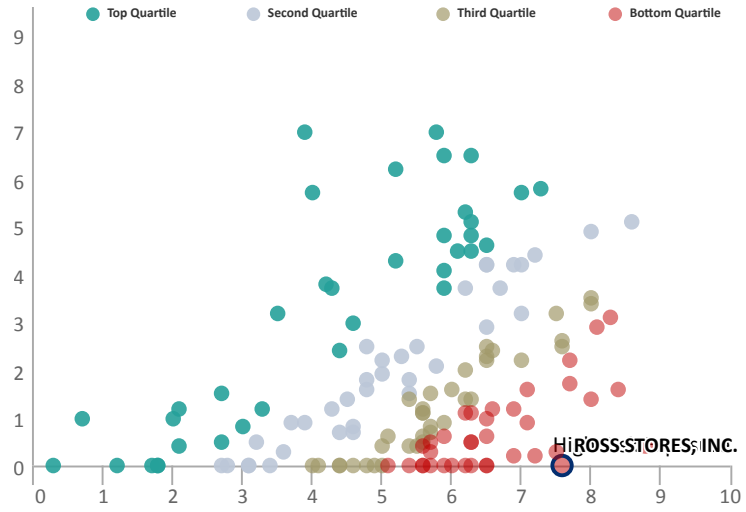
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
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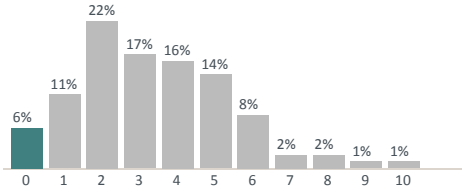
Raw Material Sourcing

Score	Change (since rating)	Quartile	Weight	Last score change date
0.0	0.0	●	10.0%	Nov 02, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



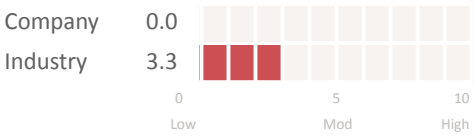
TOP 5 INDUSTRY LEADERS

WICKES GROUP PLC	10.0
MOONPIG GROUP PLC	8.7
WH SMITH PLC	8.2
KINGFISHER PLC	8.0
HORNBACH Holding AG & Co. KGaA	7.6

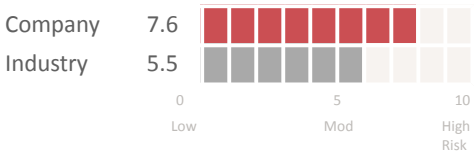
BOTTOM 5 INDUSTRY LAGGARDS

Bob's Discount Furniture, Inc	0.3
KOHL'S CORPORATION	0.2
DILLARD'S, INC.	0.0
FALABELLA S.A.	0.0
RH	0.0

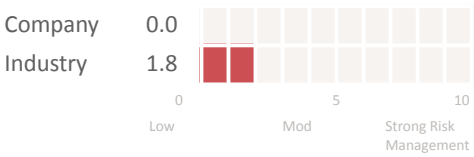
KEY ISSUE ASSESSMENT



RISK EXPOSURE ASSESSMENT



RISK MANAGEMENT ASSESSMENT



Drivers of Risk Exposure

Business Types

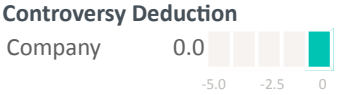


Drivers of Risk Management

Practices Score



Controversy Deduction



METHODOLOGY NOTE

Companies are evaluated on the environmental impacts of the raw materials used in their products and their efforts around supply chain traceability and certification.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

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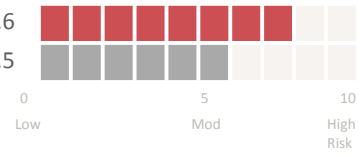
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
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EXPOSURE

RISK EXPOSURE ASSESSMENT

Company	7.6
Industry	5.5



Additional Exposure Indicators

Risk: Dependency on Raw Material

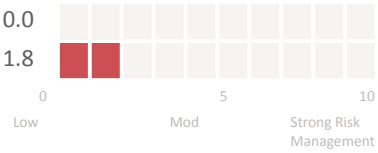
Estimated percent of sales reliant on material (private label where applicable)

Timber and/or Paper:	**10.00%**
Leather:	**5.00%**
Cotton:	**50.00%**

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	0.0
Industry	1.8



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ROSS STORES, INC. (ROST)



RATING ACTION DATE: November 02, 2026
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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Extent of supply chain initiatives to address impacts of timber and/or paper production	None		0	3
Percentage of timber or paper third-party certified to an environmental sustainability standard	None		0	2
Future targets for timber and/or paper sourcing	No targets		0	2
Extent of timber and/or paper traceability to place of origin	None		0	1
Extent of timber certification against the most stringent sustainable criteria	None		0	2
Commitments towards responsible timber and/or paper sourcing	None of the above		0	4
Extent of supply chain initiatives to address impacts of leather production	None		0	1
Percentage of leather third-party certified to an environmental sustainability standard	None		0	1
Future targets for leather sourcing	No targets		0	1
Extent of leather traceability to place of origin	None		0	0
Extent of leather certification against the most stringent sustainable criteria	None		0	0
Commitments towards responsible leather sourcing	None of the above		0	2

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Extent of supply chain initiatives to address impacts of cotton production	None	0	1
Percentage of cotton third-party certified to an environmental standard	None	0	2
Future targets for cotton sourcing	No targets	0	3
Extent of cotton traceability to place of origin	None	0	1
Commitments towards responsible cotton sourcing	None of the above	0	4

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ROSS STORES, INC. (ROST)

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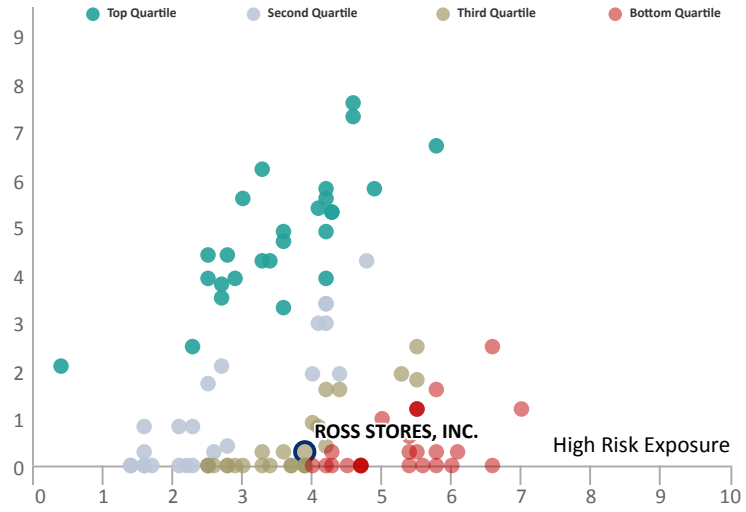
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RATING ACTION DATE: November 02, 2026
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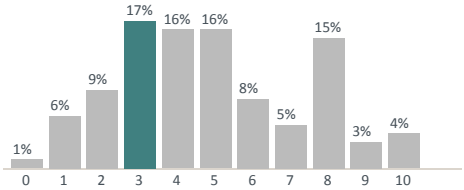
Chemical Safety

Score	Change (since rating)	Quartile	Weight	Last score change date
3.4	0.0	••	5.0%	Nov 02, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

Industria de Diseno Textil, S.A.	10.0
MINISO GROUP HOLDING LIMITED	9.9
H & M Hennes & Mauritz AB	9.7
KINGFISHER PLC	9.6
ARVIND FASHIONS LIMITED	8.9

BOTTOM 5 INDUSTRY LAGGARDS

ETHAN ALLEN INTERIORS INC.	1.2
LEON'S FURNITURE LIMITED	1.2
Temple & Webster Group Ltd	1.1
Nick Scali Limited	1.0
DUNELM GROUP PLC	0.4

KEY ISSUE ASSESSMENT

Company 3.4
Industry 4.9

0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company 3.9
Industry 3.3

0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company 0.3
Industry 1.7

0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types
Company 3.2

0 5 10

Business Locations
Company 7.2

0 5 10

Drivers of Risk Management

Practices Score
Company 0.3

0 5 10

Controversy Deduction
Company 0.0

-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the possible presence of harmful chemicals in their product portfolio, their potential exposure to strengthening or pending chemical regulations and their efforts to develop less harmful alternatives.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

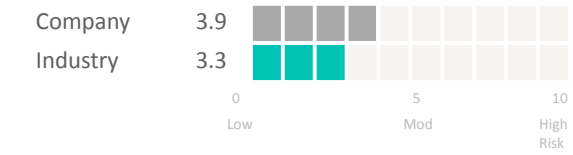
A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
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EXPOSURE

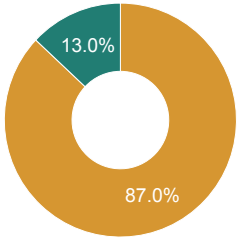
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of losing market access or reformulation costs due to presence of chemicals of concern in products

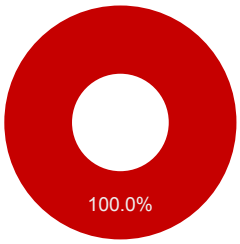
Business Types : Percentage of revenue from product lines that typically contain substances of very high concern (SVHC) and Substitute It Now (SIN) List substances



- No exposure to high risk segments
- Homefurnishing stores, Family clothing stores, Women clothing stores, Children apparel stores, Men clothing stores, Women specialty stores
- Shoe stores

Source: Danish Working Environment Authority; International Chemical Secretariat Substitute It Now List; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of revenue in markets with strengthening or evolving chemical regulations

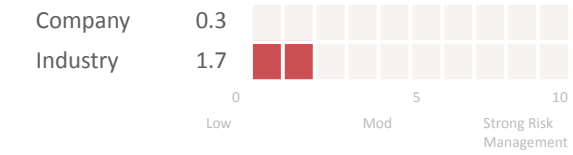


- USA
- No operations in markets with medium risks
- No operations in markets with low risks

Source: MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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ROSS STORES, INC. (ROST)

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CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Scope of disclosure of registration and use of regulated substances	Not disclosed	Discloses all regulatory registrations and use	0 MID TOP	2
Environmental and health standards in new product design	No evidence of commitment to measure the environmental/health profile of new products	Company applies well-defined standards (e.g. Principles of Green Chemistry, Cradle to Cradle certification, Organic certification)	0 MID TOP	2
Initiatives to improve consumer awareness on product chemical content	No evidence	Extensive information explaining chemical content to consumers (e.g. website, app)	0 MID TOP	0
Demonstrated track record of phasing out and/or reformulating products with chemicals of concern	No evidence	Proactively (ahead of regulations or exceeds regulations)	0 MID TOP	2
Level of efforts to identify substances for regulatory risk	Small number of high profile chemicals identified	Comprehensive identification of all chemicals used	LOW 2 TOP	2
Scope of chemical phase-out plan	No evidence of plan for phasing out chemicals of concern	Company has already phased out all chemicals of concern	0 MID TOP	1

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APPENDIX

CONTENTS

ADDITIONAL ESG ISSUES

CONTROVERSIES DETAIL

ADDITIONAL CORPORATE GOVERNANCE CONTENT

KEY METRIC & SCORE CHANGES

CEO PAY CHARTS

DIRECTOR VOTES

SHAREHOLDER/MANAGEMENT PROPOSALS

GOVERNANCE STANDARDS

DIRECTOR PROFILES

EU REGULATION 2024/3005 DISCLOSURES

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

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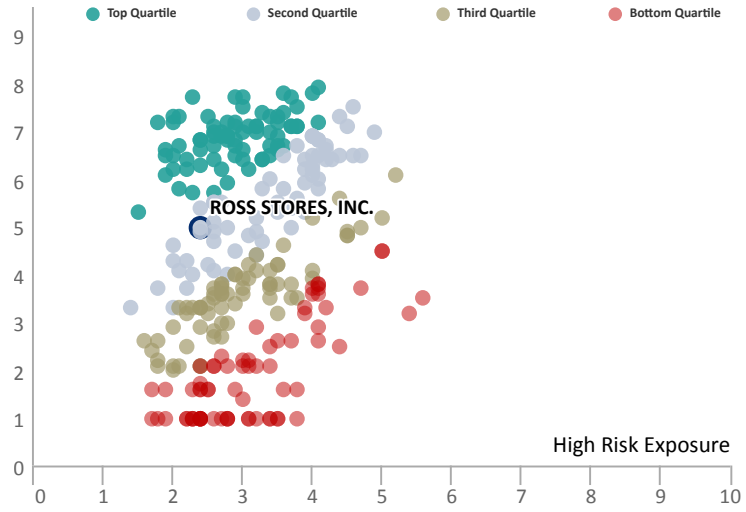
CCC | B | BB | BBB | A | AA | AAA

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Carbon Emissions

Score	Change (since rating)	Quartile	Weight	Last score change date
9.6	0.0	●●●		Nov 02, 2026

Strong Risk Management



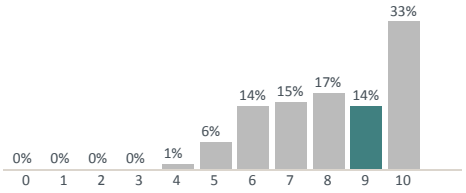
This issue does not present significant risks or opportunities to the company and with the assigned weight of 0% does not contribute to the overall ESG rating for the company.

MSCI Research provides additional scores on a select set of Key Issues for all companies on the MSCI ACWI Index and MSCI ACWI IMI Index. Every company on the index receives scores for the following Key Issues, regardless of whether they contribute to the overall Company ESG Rating.

The additional key issue scores and data available by index are as follows:

- MSCI ACWI: Water Stress, Labor Management, Privacy and Data Security
- MSCI ACWI IMI: Carbon Emissions and Human Capital Development

KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

ABERCROMBIE & FITCH CO.	10.0
ADITYA BIRLA FASHION AND RETAIL LIMITED	10.0
AMERICAN EAGLE OUTFITTERS, INC.	10.0
ARATA CORPORATION	10.0
ASKUL Corporation	10.0

BOTTOM 5 INDUSTRY LAGGARDS

DELEK AUTOMOTIVE SYSTEMS LTD.	4.6
Nick Scali Limited	4.6
GIGACLOUD TECHNOLOGY INC	4.5
LEON'S FURNITURE LIMITED	4.5
Supply Network Limited	4.2

METHODOLOGY NOTE

Companies are evaluated on the carbon intensity of their operations and their efforts to manage climate-related risks and opportunities.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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A

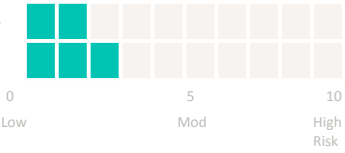
CCC | B | BB | BBB | A | AA | AAA

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EXPOSURE

RISK EXPOSURE ASSESSMENT

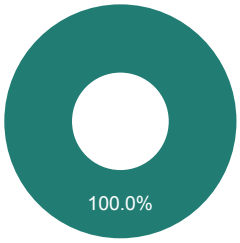
Company	2.4
Industry	3.1



Key Drivers of Risk Exposure

Exposure to: Risks of having to pay increased compliance costs tied to carbon emissions regulations

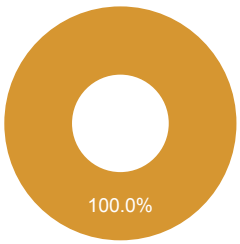
Business Types : Percentage of operations in business segments with high/moderate/low carbon intensity



- No exposure to high risk segments
- No exposure to medium risk segments
- Family clothing stores

Source: GHG emissions intensities compiled by MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with strengthening or pending carbon emissions regulation



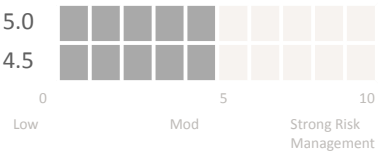
- No operations in markets with high risks
- USA
- No operations in markets with low risks

Source: International Monetary Fund (IMF) Implied Mitigation Targets; Net Zero Tracker; Carbon Pricing Dashboard, IMF Fossil Fuel subsidies data; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	5.0
Industry	4.5



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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Carbon emissions target progress			0	3
Carbon emissions target comprehensiveness			7	4
Use of cleaner sources of energy	Some efforts	Aggressive efforts	LOW 7 TOP	5
Energy Consumption Management & Operational Efficiency	Some efforts	Aggressive efforts	LOW 7 TOP	6

Description	Company Performance	Best Practice	Performance Score	Industry Average
Performance				
Carbon emissions performance relative to peers			5	5

GHG Emissions - metric tons CO2e

Year	Scope 1 Disclosed	Scope 1 Estimate Key	Scope 2 Disclosed	Scope 2 Estimate Key	Scope 1+2 Disclosed	Scope 3 (upstream)	Scope 3 (downstream)	Scope 3 (undefined)	Scope 1 Estimated	Scope 2 Estimated	Scope 1+2 Estimated	Scope 1+2 Estimate Key	GHG Emissions Details
2024	37,786	Reported	230,718	Reported	268,504							Reported	
2023	28,694	Reported	238,264	Reported	266,958							Reported	
2022	29,832	Reported	245,536	Reported	275,368							Reported	
2021	24,826	Reported	229,977	Reported	254,803							Reported	
2020	20,816	Reported	205,898	Reported	226,714							Reported	

GHG Emissions Intensity - metric tons CO2e / USD million sales

Year	GHG Intensity	GHG Intensity Details	GHG Intensity - Reported	GHG Intensity - Reported Details
2024	12.71		3.50	MTCO2e per 1,000 sq. ft.
2023	13.10		3.60	MTCO2e per 1,000 sq.ft.
2022	14.73		3.90	MT CO2e per 1,000 sq. ft.
2021	13.47		3.70	MT CO2 e per 1,000 sq. ft
2020	18.09		3.50	MT CO2e per 1,000 square feet

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

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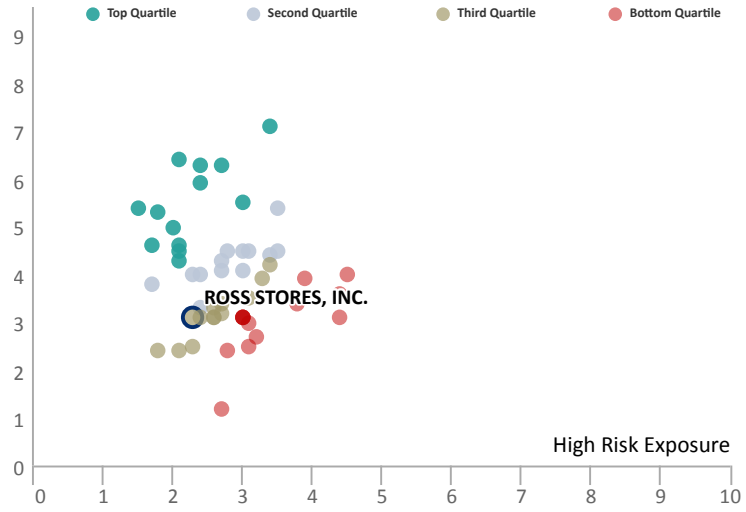
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Water Stress

Score	Change (since rating)	Quartile	Weight	Last score change date
7.8	0.0	●●		Nov 02, 2026

Strong Risk Management



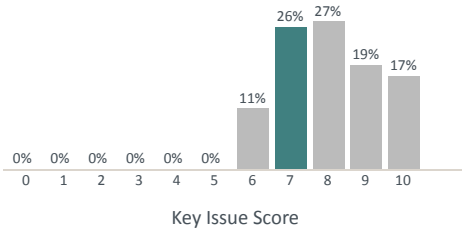
This issue does not present significant risks or opportunities to the company and with the assigned weight of 0% does not contribute to the overall ESG rating for the company.

MSCI Research provides additional scores on a select set of Key Issues for all companies on the MSCI ACWI Index and MSCI ACWI IMI Index. Every company on the index receives scores for the following Key Issues, regardless of whether they contribute to the overall Company ESG Rating.

The additional key issue scores and data available by index are as follows:

- MSCI ACWI: Water Stress, Labor Management, Privacy and Data Security
- MSCI ACWI IMI: Carbon Emissions and Human Capital Development

KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

Allegro.eu SA	10.0
CHOW TAI FOOK JEWELLERY GROUP LIMITED	10.0
EBAY INC.	10.0
HOTAI MOTOR CO.,LTD.	10.0
Industria de Diseno Textil, S.A.	10.0

BOTTOM 5 INDUSTRY LAGGARDS

Nitori Holdings Co., Ltd.	6.5
RYOHIN KEIKAKU CO., LTD.	6.4
Zhejiang China Commodities City Group Co., Ltd	6.3
Jarir Marketing Company SJSC	5.7
AMAZON.COM, INC.	5.6

METHODOLOGY NOTE

Companies are evaluated on the water intensity of their operations, levels of water stress in their areas of operation and their efforts to manage water-related risks and opportunities.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

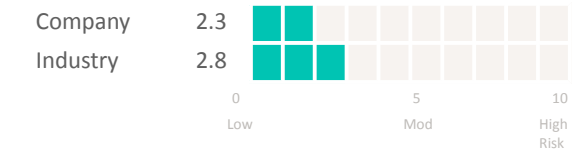
A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

EXPOSURE

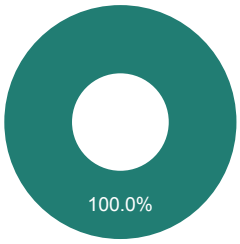
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of increased cost of input, disputes around access rights to key resources or operational disruptions to production processes requiring water as a critical input

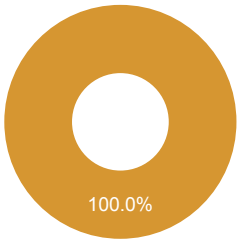
Business Types : Percentage of operations in business segments with high/moderate/low water intensity



- No exposure to high risk segments
- No exposure to medium risk segments
- Family clothing stores

Source: The International Earth Rotation Service's Comprehensive Environmental Data Archive; M.M. Mekonnen and A.Y. Hoekstra, "The green, blue and grey water footprint of crops and derived crop products," Hydrology and Earth System Sciences 15, no. 5 (2011): 1,577-1,600.; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries or regions with high/moderate/low percent of territory affected by oversubscription to water resources

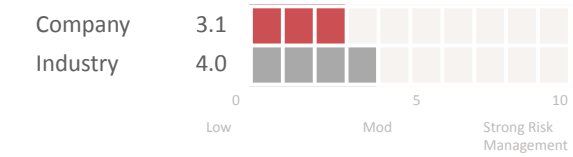


- No operations in markets with high risks
- USA
- No operations in markets with low risks

Source: Hofste, R., S. Kuzma, S. Walker, E.H. Sutanudjaja, et. al., 2019, "Aqueduct 4.0: Updated Decision- Relevant Global Water Risk Indicators," Technical Note, Washington, DC: World Resources Institute; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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ROSS STORES, INC. (ROST)



RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Executive body responsible for water management strategy and performance			10	10
Executive body responsible for company's environmental management strategy and performance	Board-level committee	Board-level committee	—	—
Water recycling rate score			3	3
Use of alternative water			0	1
Evidence of using alternative water sources	No	Yes	—	—
Water stress target comprehensiveness			0	1
Water stress target progress			0	1

Description	Company Performance	Best Practice	Performance Score	Industry Average
Performance				
Freshwater withdrawal performance relative to peers			3	5

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

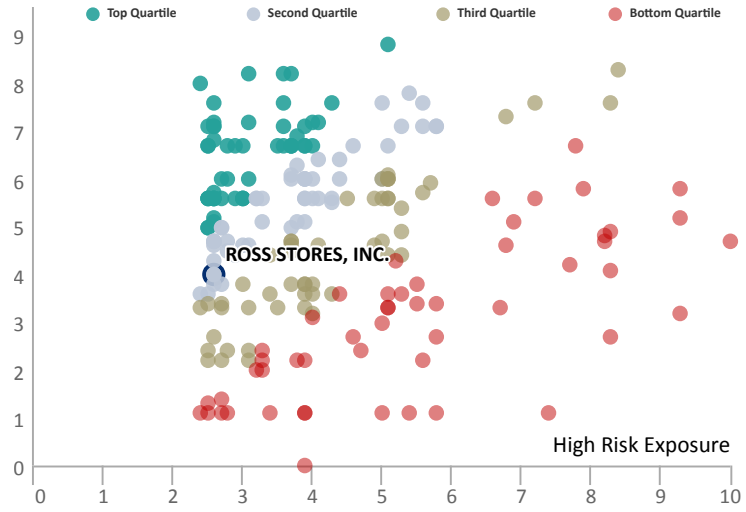
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Human Capital Development

Score	Change (since rating)	Quartile	Weight	Last score change date
8.4	0.0	●●●		Nov 02, 2026

Strong Risk Management



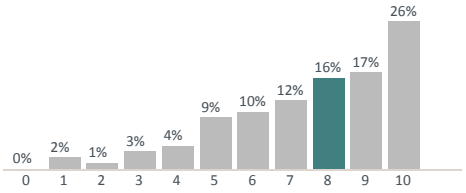
This issue does not present significant risks or opportunities to the company and with the assigned weight of 0% does not contribute to the overall ESG rating for the company.

MSCI Research provides additional scores on a select set of Key Issues for all companies on the MSCI ACWI Index and MSCI ACWI IMI Index. Every company on the index receives scores for the following Key Issues, regardless of whether they contribute to the overall Company ESG Rating.

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- MSCI ACWI IMI: Carbon Emissions and Human Capital Development

KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

ABERCROMBIE & FITCH CO.	10.0
ACADEMY SPORTS AND OUTDOORS, INC.	10.0
ADITYA BIRLA FASHION AND RETAIL LIMITED	10.0
ASKUL Corporation	10.0
And ST HD Co Ltd	10.0

BOTTOM 5 INDUSTRY LAGGARDS

SILICON 2 Co.,Ltd.	2.4
Prosus N.V.	1.7
PDD Holdings Inc.	1.4
GROUPON, INC.	1.0
PREMIER INVESTMENTS LIMITED	0.7

METHODOLOGY NOTE

Companies are evaluated on their workforce talent requirements and their ability to attract, retain, and develop a highly skilled workforce.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

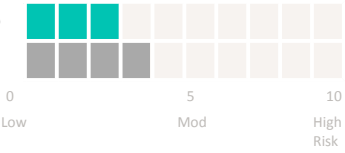
CCC | B | BB | BBB | **A** | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

EXPOSURE

RISK EXPOSURE ASSESSMENT

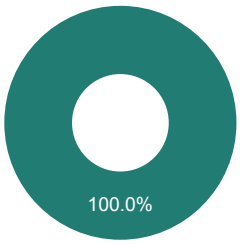
Company	2.6
Industry	4.1



Key Drivers of Risk Exposure

Exposure to: Risk of increased turnover and associated costs of rehiring, loss of intellectual and human capital through attrition, reduced ability to attract talent

Business Types : Percentage of operations in business segments with high/moderate/low levels of employee qualification needs and compensation per employee



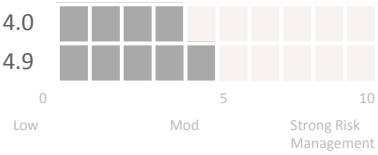
- No exposure to high risk segments
- No exposure to medium risk segments
- Family clothing stores

Source: Employment Projections Program, Bureau of Labor Statistics; Occupational Employment Statistics, Bureau of Labor Statistics; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	4.0
Industry	4.9



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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Skills and knowledge development training	General statements on leadership training with unknown scope or achieved results	Comprehensive succession planning & development programs at multiple levels	LOW 5 TOP	4
Employee equity programs	Only select number of employees eligible for ESOP and/or ESPP	Sector-leading number of employees eligible for ESOP and/or ESPP	LOW 7 TOP	5
Workforce eligible for paid parental leave policy	No evidence	Benefits cover all employees	0 MID TOP	3
Employee satisfaction survey frequency	General statements about engagement initiatives	Surveys conducted annually	LOW 4 TOP	6

Workforce Diversity

Year (YYYY)	Annual employee turnover
2025	
2024	
2023	
2022	
2021	

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ROSS STORES, INC. (ROST)

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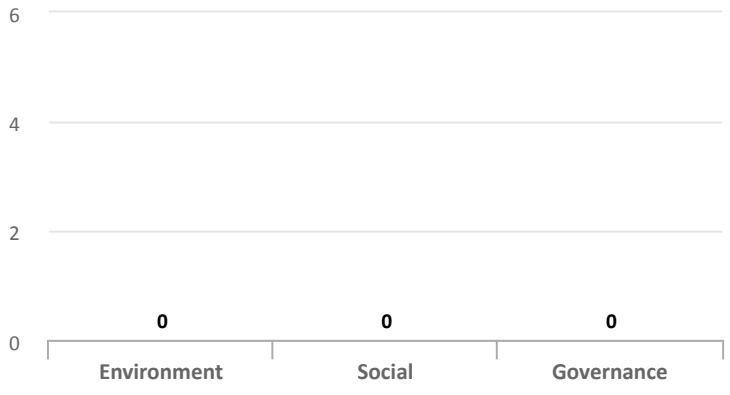
CONTROVERSIES DETAIL

Here you will find the narratives for all controversies relevant to the company. Please note while every controversy case may signal reputational risk, not every controversy is judged to pose material risks; therefore, not every controversy affects the company's overall rating.

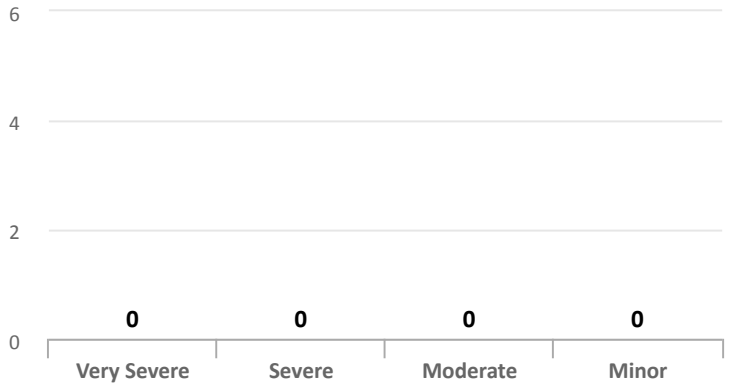
CONTROVERSY CARD

	ASSESSMENT				
	VERY SEVERE	SEVERE	MODERATE	MINOR	CONTROVERSY COUNT
Environment					
Product Carbon Footprint	0	0	0	0	0
Carbon Emissions	0	0	0	0	0
Raw Material Sourcing	0	0	0	0	0
Water Stress	0	0	0	0	0
Social					
Human Capital Development	0	0	0	0	0
Chemical Safety	0	0	0	0	0
Labor Management	0	0	0	0	0
Privacy & Data Security	0	0	0	0	0
Governance					
Corporate Governance	0	0	0	0	0
Corporate Behavior	0	0	0	0	0

NUMBER OF CONTROVERSIES BY PILLAR



NUMBER OF CONTROVERSIES BY ASSESSMENT



CONTROVERSIES

- ***Very Severe:*** Indicates an action by a company that results in a very large impact on society and/or the environment.
- ***Severe:*** Indicates an action by a company that results in a large impact on society and/or the environment.
- ***Moderate:*** Indicates an action by a company that results in a moderate impact on society and/or the environment.
- ***Minor:*** Indicates an action by a company that results in a low impact on society and/or the environment.
- ***None:*** There is no evidence that a company is involved in any controversy.

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

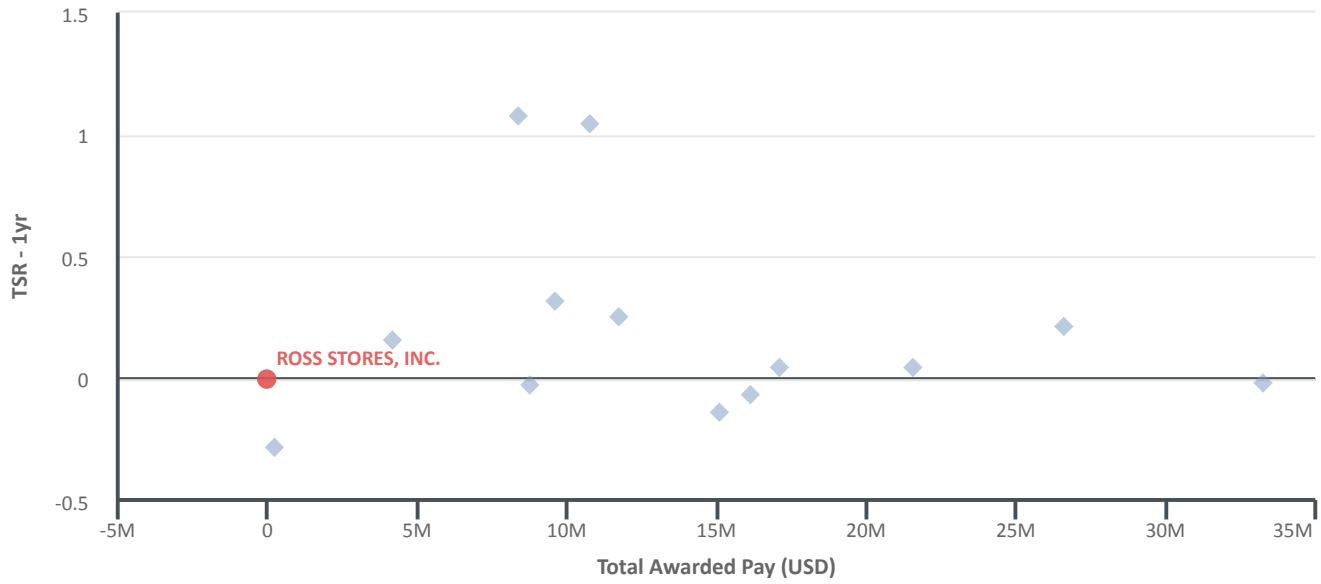
KEY METRIC & SCORE CHANGES

ALL KEY METRIC & SCORE CHANGES (SINCE JULY 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
Significant Vote Against Pay Practices	Flag Removed	Jul 08, 2026	0.10	AGM voting results updated
Entrenched Board	Flag Removed	Jul 08, 2026	0.80	
Long-Term Pay Performance Versus Peers	Flag Removed	Jun 04, 2026	0.20	
Long-Term Pay Performance Versus Peers	**Flag Added**	May 28, 2026	**-0.20**	
Severance Vesting	**Flag Added**	May 12, 2026	**-0.10**	
Not 30% Female Directors	Flag Removed	Feb 04, 2026	0.10	
Leadership Concerns	Flag Removed	Feb 04, 2026	0.30	
Independent Chair	Flag Removed	Feb 04, 2026	0.10	
Entrenched Board	Score Change	Oct 16, 2025	**-0.20**	
Significant Votes Against Directors	Flag Removed	Jul 24, 2025	0.25	AGM voting results updated
Significant Vote Against Pay Practices	Score Change	Jul 24, 2025	0.05	AGM voting results updated
Short-Term Pay Performance	Flag Removed	Jul 16, 2025	0.20	
Dispersed Ownership Concerns	Flag Removed	Jul 16, 2025	0.20	

CEO PAY CHARTS

CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

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ROSS STORES, INC. (ROST)

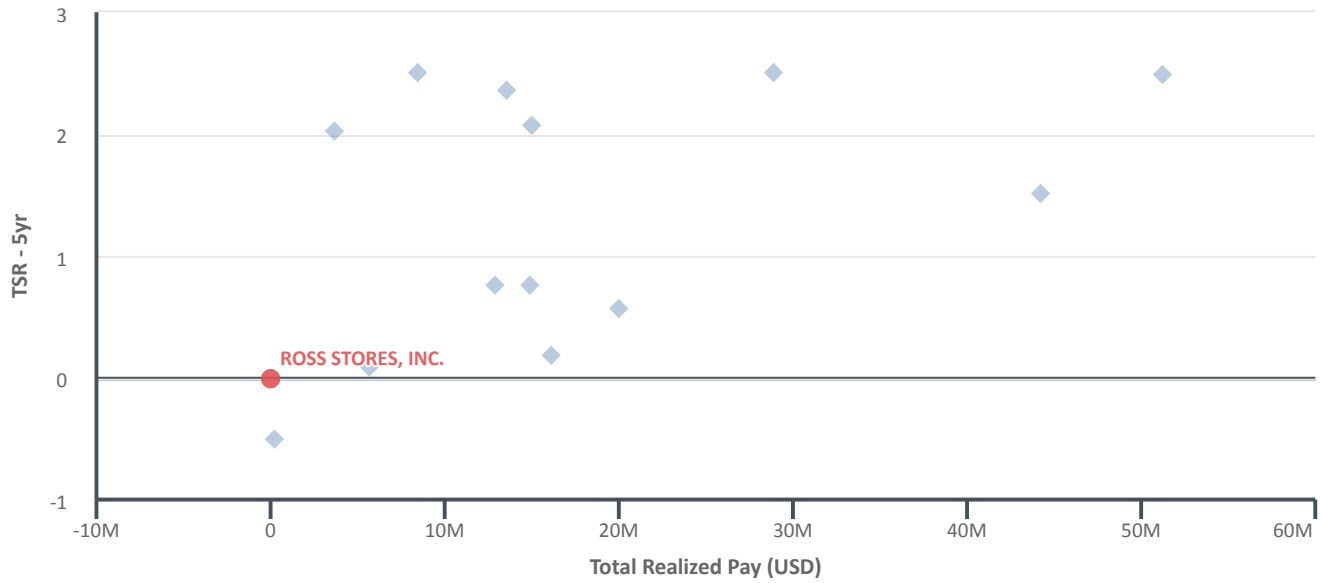
MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

DIRECTOR VOTES

Proxy Year	Name	Age	Tenure	Votes For	Votes Against, Withheld and / or Abstained
2026	Doniel Sutton	52	5	97.4%	2.6%
2026	Edward Cannizzaro	65	4	96.7%	3.3%
2026	James (Jim) Conroy	56	1	99.2%	0.8%
2026	K. Gunnar Bjorklund	67	23	94.1%	5.9%
2026	Michael Bush	65	25	93.6%	6.4%
2026	Michael Hartshorn	58	5	98.1%	1.9%
2026	Patricia Mueller	63	6	98.8%	1.2%
2026	Sharon Garrett	77	26	94.6%	5.4%
2026	Stephen (Steve) Milligan	62	11	97.1%	2.9%

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ROSS STORES, INC. (ROST)



RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

SHAREHOLDER/MANAGEMENT PROPOSALS

MANAGEMENT PROPOSALS

Proxy Year	Proposal	Proposal Summary	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2026	Director & Employee Comp	Proposal 2 - Approval of the Ross Stores, Inc. 2026 Equity Incentive Plan	Approved	96.8%	3.1%	0.2%
2026	Advisory Vote on Executive Compensation	Proposal 3 - Advisory Vote to Approve the Resolution on Executive Compensation	Approved	92.4%	7.4%	0.2%
2026	Auditor Ratification	Proposal 4 - Ratification of the Appointment of Deloitte & Touche LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year Ending January 30, 2027	Approved	94.7%	5.3%	0%
2025	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote to Approve the Resolution on Executive Compensation	Approved	85.7%	14%	0.3%
2025	Auditor Ratification	Proposal 3 - Ratification of the Appointment of Deloitte & Touche LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year Ending January 31, 2026	Approved	94.8%	5.2%	0%
2024	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote to Approve the Resolution on Executive Compensation	Approved	76.3%	23.6%	0.1%
2024	Auditor Ratification	Proposal 3 - Ratification of the Appointment of Deloitte & Touche LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year Ending February 1, 2025	Approved	95.8%	4.1%	0%

**For Management Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

SHAREHOLDER PROPOSALS

Proxy Year	Proposal	Proposal Summary	Proposal Proponent	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2024	Environmental - Climate Change, Renewable Energy and GHG Emissions	Proposal 4 - Vote on a Stockholder Proposal Regarding Reporting on Material Value Chain GHG Emissions	As You Sow	Defeated	25.8%	73.7%	0.5%

**For Shareholder Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

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DELAWARE



CURRENCY: UNITED STATES DOLLAR (USD)

In the United States, most governance principles are governed by state laws that are not uniform or nationally enforced. However, the majority of states have adopted the Model Business Corporation Act (MBCA) as the basis of their own laws by modifying some of the provisions of the MBCA. The MBCA is a body of laws designed to regulate corporate affairs uniformly across different states. It is the basis for business corporation statutes in 32 states and the District of Columbia and is the source of many provisions in the general corporation statutes of other states. Further, the Securities and Exchange Commission (SEC) regulates certain governance related matters on a federal level.

The majority of large U.S. businesses are listed on either the New York Stock Exchange (NYSE) or the Nasdaq Stock Market (Nasdaq), and therefore are subject to their listing rules. The U.S. has not adopted a national corporate governance code.

Delaware's corporate governance is defined by the General Corporation Law of the State of Delaware (DGCL), with annual updates and revisions by the Delaware legislature based on the recommendations of the Council of the Corporation Law Section of the Delaware State Bar Association. Judicial decisions by the state's Court of Chancery also set governance practice, with appeals heard at the Delaware Supreme Court.

Companies adopt a unitary board structure in the U.S. The NYSE and Nasdaq listing rules require the majority of directors to be independent. The SEC rules require public companies to disclose and explain their chair-CEO structure and whether one or two people hold the roles. If the roles are combined, the company must further disclose whether it has a lead independent director and specify their role within the company leadership.

Unless stated otherwise in the articles of association, directors may appoint inspectors in advance of any shareholder meeting to determine the number of shares outstanding, voting rights, shares represented at the meeting, existence of a quorum, authenticity and validity of proxies, and take all other actions with regards to the annual shareholders' meeting.

Related party transactions (RPTs) are valid if the transaction was conducted on reasonable and fair terms when it was approved, and the RPT is approved in good faith by the majority of independent directors. If the number of independent directors is less than a quorum, then it must be approved by shareholders.

The board of directors may fix director and officer pay, although most companies delegate the responsibility for defining executive pay to independent directors, usually upon the recommendation of the pay or nominating/governance committee. Officers are executive directors that are responsible for the daily management of the company.

The Dodd-Frank Act requires listed companies to hold an advisory vote every three years on "say on pay" policies, as well as disclose additional information regarding "golden parachute" arrangements linked to merger transactions.

Listed companies must annually disclose the pay of directors and officers, including stock and option awards. Disclosure must be made in a tabular format, along with a descriptive summary of the information in the table. Companies listed on Nasdaq must also disclose pay arrangements between directors or nominees and third parties.

The U.S. market is known for having widely dispersed ownership, but founder-led companies are common. There are multiple share classes with unequal voting rights and voting right limits.

Shareholders with at least 10% voting rights can request to convene a general meeting.

A notice of the meeting, specifying the date, time, place and purpose must be given no less than seven days and no more than 60 days in advance. Special meeting of shareholders may be convened by shareholders owning at least 10% of shares. Typically, each share is entitled to one vote and fractional shares are entitled to proportionate votes. Shareholders do not have preemptive rights unless specifically provided in the bylaws or articles. Dissenting shareholders are entitled to appraisal rights.

Unless otherwise stipulated in the articles, a corporation is not obligated to offer shareholders any shares, option rights or securities when issuing them.

There are no mandatory takeover bid provisions in the U.S.

In 2018, the Delaware enacted a Certification of Adoption of Transparency and Sustainability Standards Act which is a voluntary act broadly enabling entities registered in Delaware to craft a sustainability regime. The Act is primarily a disclosure regime which requires entities to disclose and provide reports regarding their standards and metrics. There are many provisions in the Federal Sarbanes-Oxley Act that govern the audit process. A public company's annual financial statements must be audited by a registered independent auditing firm. Listed companies prepare two annual reports, one for SEC (Form 10-K) and one for their shareholders. The reports to stockholders, as required by SEC, must contain certified financial statements of two-year audited balance sheets, and three-year audited statement of income and cash flows. Directors and officers of the corporation must also be identified. Interim financial statements are not audited, only reviewed by the company's auditors. If an auditor has not reviewed the interim report, it must be accompanied with a notice specifying that the report has not been reviewed by an auditor. Audit firm rotation is not required but lead audit partners are subject to rotation every five years.

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: November 02, 2026
LAST REPORT UPDATE: November 02, 2026

DIRECTOR PROFILES

DONIEL SUTTON

Age: 52
Gender: F
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Software & Services - Software,Financial Services - Financial Services

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Doniel N. Sutton Chief People Officer, Pinterest, Inc. since February 2024; Member of the Board of Directors, Morningstar, Inc. since 2021 (also member of the Audit Committee and Compensation Committee since 2021); Chief People Officer, Alteryx, Inc. from 2022 to October 2023; Chief People Officer, Fastly, Inc. from 2020 to 2022; Senior Vice President, People at PayPal Holdings, Inc. from 2017 to 2019, Vice President Human Resources from 2014 to 2017, and Senior Director, Human Resources from 2011 to 2014; Vice President, Human Resources, Real Estate and Relocation Services at Prudential Financial, Inc. from 2010 to 2011; Senior Vice President, Human Resources, Home Loan Servicing and Technology, Bank of America Corporation from 2008 to 2010, Vice President, Human Resources, Sales, Service, and Execution from 2005 to 2008, and Senior Human Resources Manager, Transaction Services from 2002 to 2005. Ms. Sutton also held prior human resources leadership roles at Honeywell International Inc. from 1997 to 2002. The Nominating and Corporate Governance Committee has noted Ms. Sutton's executive and operational experience, including human capital leadership experience across industries. 50 2021

MORNINGSTAR, INC. - Board Member Source Date: 03/27/2026

Doniel Sutton was elected to the Board in May 2021 and has been chief people officer of Pinterest, Inc., an image sharing and social media platform, since February 2024. From August 2022 to October 2023, she served as chief people officer at Alteryx, a company that provides data analytics software. From September 2020 to July 2022, she served as chief people officer at Fastly, Inc., a leading global provider of edge cloud platform services. From March 2017 to April 2019, she served as Senior Vice President, Head of People at PayPal Holdings Inc., a global payments and technology company, and worked in other leadership capacities within the human resources group during her seven-year tenure at the company. From August 1997 to September 2011, she held a variety of senior human resource leadership positions with Prudential Financial, Bank of America Corporation and Honeywell International. Doniel currently serves as a member of the board of directors of Ross Stores, Inc. and is a member of the board of trustees of Justice and Joy National Collaborative. She holds a Master's degree in business administration in human resources management from the University of Illinois at Urbana-Champaign and a Bachelor's degree in finance from the University of Illinois at Urbana-Champaign

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
MORNINGSTAR, INC.	Board Member	5	May 14, 2021		Yes	Yes	
ROSS STORES, INC.	Board Member	5	Mar 11, 2021		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
MORNINGSTAR, INC.	Audit	Member
MORNINGSTAR, INC.	Pay	Member
MORNINGSTAR, INC.	Risk	Member
ROSS STORES, INC.	Pay	Member
ROSS STORES, INC.	Corporate Governance	Member
ROSS STORES, INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
MORNINGSTAR, INC.	2026	98.3%	1.7%
ROSS STORES, INC.	2026	97.4%	2.6%

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ROSS STORES, INC. (ROST)



RATING ACTION DATE: November 02, 2026
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DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
MORNINGSTAR, INC.	Non-Executive	5	2025	60,000	249,974	2,489
ROSS STORES, INC.	Non-Executive	5	2025	127,500	307,510	8,021

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ROSS STORES, INC. (ROST)



RATING ACTION DATE: November 02, 2026
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EDWARD CANNIZZARO

Age:	65
Gender:	M
Nationality:	Not Disclosed
Financial:	Yes
Risk:	Yes
Industry:	Commercial & Professional Services - Professional Services

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Edward G. Cannizzaro Member of the Boards of Directors, PG&E Corporation and Pacific Gas and Electric Company since February 2023 (also member of the Audit Committees of PG&E Corporation and Pacific Gas and Electric Company, and the Finance and Innovation Committee of PG&E Corporation); Global Head of Quality, Risk, and Regulatory for KPMG International from 2018 to 2022 and a member of the Global Management Team; Risk Management Partner for KPMG LLP in the U.S. from 2016 to 2018 and Board member of KPMG LLP and KPMG Americas from 2014 to 2018. Additional positions held at KPMG from 1994 to 2016 included Lead Engagement Partner, as well as Partner-in-Charge of Audit for the Western United States, Silicon Valley, and Los Angeles, after becoming Partner in 1994. He also held various client service roles with increased levels of responsibility at KPMG from 1983 to 1994. The Nominating and Corporate Governance Committee has noted Mr. Cannizzaro's accounting and consulting experience, including risk management and regulatory compliance experience across many industries.

PG&E CORPORATION - Board Member Source Date: 04/09/2026

Edward G. Cannizzaro Former Global Head of Quality, Risk and Regulatory, KPMG International Mr. Cannizzaro brings 40 years of experience as a global financial executive to the boards of the corporation and the Utility. He has a deep background in financial accounting and reporting, risk management, operations, and operational regulatory compliance. During his tenure at KPMG, he served as the Global Head of Quality, Risk and Regulatory, the West Area Managing Partner of Audit, and provided sound oversight and governance as a member of the Board of Directors of KPMG Americas and KPMG US.

PACIFIC GAS AND ELECTRIC COMPANY - Board Member Source Date: 04/09/2026

Edward G. Cannizzaro Background - Global Head of Quality, Risk and Regulatory, KPMG International (2018–2022); National Managing Partner – Risk Management (2016–2018); Global Lead Engagement Partner (2009–2016); Western Area Managing Partner (2007–2009), KPMG (Professional services firm)

Experience, Skills, and Expertise-Mr. Cannizzaro brings decades of experience as a global financial executive to the Boards of the Corporation and the Utility. Over the course of his 40-year career at KPMG, he held various leadership positions in audit, risk management, and operational regulatory compliance, advising clients in a wide range of industries including e-commerce and financial technology. Most recently, he served as the Global Head of Quality, Risk and Regulatory with KPMG International, where he was responsible for the design and implementation of quality controls and ethics and compliance monitoring programs across 145 countries. Mr. Cannizzaro also provides the perspective of a PG&E customer and California resident.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
PG&E CORPORATION	Board Member	3	Feb 24, 2023		Yes	Yes	
PACIFIC GAS AND ELECTRIC COMPANY	Board Member	3	Feb 24, 2023		Yes	Yes	
ROSS STORES, INC.	Board Member	4	Oct 14, 2022		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
PACIFIC GAS AND ELECTRIC COMPANY	Audit	Member
PACIFIC GAS AND ELECTRIC COMPANY	Risk	Member
PG&E CORPORATION	Audit	Member
PG&E CORPORATION	Risk	Member
ROSS STORES, INC.	Audit	Member
ROSS STORES, INC.	Corporate Governance	Member
ROSS STORES, INC.	Nomination	Member
ROSS STORES, INC.	Risk	Member

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

A

CCC | B | BB | BBB | A | AA | AAA

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VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
PACIFIC GAS AND ELECTRIC COMPANY	2026	100%	0%
PG&E CORPORATION	2026	99%	1%
ROSS STORES, INC.	2026	96.7%	3.3%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
PACIFIC GAS AND ELECTRIC COMPANY	Non-Executive	3	2025	125,000	304,987	0
PG&E CORPORATION	Non-Executive	3	2025	125,000	304,987	10,877
ROSS STORES, INC.	Non-Executive	4	2025	132,500	312,510	5,336

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS A

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JAMES (JIM) CONROY

Age: 56
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail

FLAGGED DIRECTOR

James Conroy was recently a director at Party City Holdco Inc., having left the board within a year of January 17, 2023, when the company filed for chapter 11 bankruptcy protection.

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Executive, Board Member, CEO Source Date: 04/07/2026

James Conroy,has over 25 years of management, operational, and consulting experience. He has most recently served since 2012 as President and Chief Executive Officer of Boot Barn Holdings, Inc. [NYSE:BOOT] (Boot Barn), one of the nation's leading lifestyle retailers of western and work-related footwear, apparel, and accessories for men, women, and children, with over 400 locations in 46 states and an e-commerce channel. Prior to joining Boot Barn, Mr. Conroy was with Claire's Stores, Inc. from 2007 to 2012, where Mr. Conroy served as Chief Operating Officer and Interim Co Chief Executive Officer in 2012, as President from 2009 to 2012, and as Executive Vice President from 2007 to 2009. Prior to joining Claire's Stores, Mr. Conroy served in various consulting roles from 2001 to 2007, including with Kurt Salmon Associates and Deloitte Consulting. Before that, he held various roles with consumer, entertainment, and consulting companies.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Executive, Board Member, CEO	1	Feb 02, 2025		No	Yes	
BOOT BARN HOLDINGS, INC.	Executive		Jan 01, 2012	Nov 22, 2024	No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	99.2%	0.8%

EXECUTIVE PAY (all values USD)

Company	Role	Tenure	Pay Year	Total Annual Pay	Total Awarded Pay	Total Realized Pay	Shares Held
ROSS STORES, INC.	CEO	1	2025	6,756,605	17,406,705	18,939,868	212,054

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
SALLY BEAUTY HOLDINGS, INC.	Non-Executive		2025	46,573	46,573	0

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ROSS STORES, INC. (ROST)



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K. GUNNAR BJORKLUND

Age: 67
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Financial Services - Capital Markets

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member, Chairman Source Date: 04/07/2026

K. Gunnar Bjorklund Lead Independent Director of the Board of the Company since September 2023; Chairman, Rev360 LLC from 2014 to December 2023; Managing Director, Sverica International from 1991 to 2014; Director, Corporate Strategic Planning, American Express Company from 1987 to 1990; Management Consultant, McKinsey & Company from 1985 to 1987. The Nominating and Corporate Governance Committee has noted Mr. Bjorklund's executive and consulting experience, including consumer-facing strategic planning experience.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member, Chairman	23	Feb 03, 2003		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Pay	Member
ROSS STORES, INC.	Corporate Governance	Member
ROSS STORES, INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	94.1%	5.9%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ROSS STORES, INC.	Chair	23	2025	140,000	320,010	20,901

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ROSS STORES, INC. (ROST)



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MICHAEL BUSH

Age: 65
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail,Consumer Discretionary Distribution & Retail - Broadline Retail

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Michael J. Bush Managing Member, B IV Investments, LLC since 2007; Executive Chairman, Trumaker, Inc. from 2016 to 2018; Chief Executive Officer, 3 Day Blinds, Inc. from 2007 to 2010, Member of the Board of Directors from March 2010 to September 2010; President and Chief Executive Officer, Anchor Blue Retail Group from 2003 to 2007; President and Chief Executive Officer, Bally, North America, Inc. and member of the Board of Directors, Bally International AG from 2000 to 2002; Executive Vice President, Chief Operating Officer and Director, Movado, Inc. from 1995 to 2000; Senior Vice President of Strategic Planning and Marketing of the Company from 1991 to 1995. The Nominating and Corporate Governance Committee has noted Mr. Bush's executive and financial management experience, including retail strategic planning and operational experience.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member	25	Oct 15, 2001		No	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Pay	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	93.6%	6.4%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ROSS STORES, INC.	Non-Executive	25	2025	137,000	317,010	35,617

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ROSS STORES, INC. (ROST)

MSCI ESG RATINGS

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RATING ACTION DATE: November 02, 2026
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MICHAEL HARTSHORN

Age: 58
Gender: M
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Executive, Board Member Source Date: 04/07/2026

Michael J. Hartshorn Group President and Chief Operating Officer of the Company since 2019 and member of the Board of Directors since 2021; Group Executive Vice President, Finance and Legal, and Chief Financial Officer during 2019; Executive Vice President, Chief Financial Officer from 2018 to 2019; Group Senior Vice President, Chief Financial Officer from 2015 to 2018; Senior Vice President and Chief Financial Officer from 2014 to 2015; Senior Vice President and Deputy Chief Financial Officer from 2012 to 2014; Group Vice President, Finance and Treasurer from 2011 to 2012; Vice President, Finance and Treasurer from 2006 to 2011. From 2002 to 2006, Mr. Hartshorn held a number of management roles in the Ross IT and supply chain organizations, after initially joining the Company in 2000 as Director and Assistant Controller. For seven years prior to joining Ross, he held various financial roles at The May Department Stores Company. The Nominating and Corporate Governance Committee has noted Mr. Hartshorn's extensive executive and operational experience with the Company.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Executive, Board Member	5	Mar 10, 2021		No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	98.1%	1.9%

EXECUTIVE PAY (all values USD)

Company	Role	Tenure	Pay Year	Total Annual Pay	Total Awarded Pay	Total Realized Pay	Shares Held
ROSS STORES, INC.	Executive	5	2025	3,938,334	11,238,620	8,393,063	152,100

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ROSS STORES, INC. (ROST)

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PATRICIA MUELLER

Age: 63
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Discretionary Distribution & Retail - Specialty Retail,Consumer Discretionary Distribution & Retail - Broadline Retail

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Patricia H. Mueller Management Consultant since 2016; Member of the Board of Directors, Dave & Buster's Entertainment, Inc. from 2015 to 2022 (also member of the Compensation and Nominating and Corporate Governance (Chair) committees); Chief Marketing Officer and Senior Vice President, Advertising and Marketing at The Home Depot, Inc. from 2011 to 2016 and Vice President, Advertising from 2009 to 2011; Senior Vice President, Marketing and Advertising, The Sports Authority, Inc. from 2006 to 2009; Vice President, Marketing and Advertising, American Signature, Inc. from 2004 to 2006. Additional executive positions at ShopNBC TV network from 1999 to 2004 included Senior Vice President, TV Sales and Promotions; Senior Vice President, Strategic Development; and Senior Vice President, Marketing and Programming. Ms. Mueller also held prior executive and leadership positions with Montgomery Ward, LLC from 1984 to 1999. The Nominating and Corporate Governance Committee has noted Ms. Mueller's executive and operational experience, including retail marketing experienc

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member	6	Mar 11, 2020		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Pay	Member
ROSS STORES, INC.	Corporate Governance	Chair
ROSS STORES, INC.	Nomination	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	98.8%	1.2%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ROSS STORES, INC.	Non-Executive	6	2025	115,000	295,010	6,611

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ROSS STORES, INC. (ROST)

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SHARON GARRETT

Age: 77
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Health Care Equipment & Services - Health Care Providers & Services,Media & Entertainment - Media

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Sharon D. Garrett Management Consultant since 2013; Member of the Board of Directors, Jerome's Furniture from 2017 to 2020 (also member of the Strategic Planning (Chair) and Compensation committees); Member of the Board of Directors, Scott's Liquid Gold-Inc. from 2014 to 2016 (also member of the Audit and Compensation committees); Executive Vice President, Revenue Cycle Optimization, American Medical Response, Inc. from 2012 to 2013, Senior Vice President, Reimbursement Services from 2007 to 2012; Chief Operating Officer, PT Holdings from 2006 to 2007; Executive Vice President, Enterprise Services, PacifiCare Health Systems from 2002 to 2005; provided interim executive services for various companies from 2000 to 2002, including Chief Executive Officer, Zyan Communications from April to November 2000; Senior Vice President and Chief Information Officer, The Walt Disney Company from 1989 to 2000. The Nominating and Corporate Governance Committee has noted Ms. Garrett's executive and operational experience, including information technology and cyber risk experience.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member	26	Jan 01, 2000		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Audit	Member
ROSS STORES, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	94.6%	5.4%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ROSS STORES, INC.	Non-Executive	26	2025	120,000	300,010	2,571

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ROSS STORES, INC. (ROST)



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STEPHEN (STEVE) MILLIGAN

Age: 62
Gender: M
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Technology Hardware & Equipment - Technology Hardware, Storage & Peripherals,Consumer Durables & Apparel - Household Durables

BIOGRAPHICAL INFORMATION

ROSS STORES, INC. - Board Member Source Date: 04/07/2026

Stephen D. Milligan Member of the Board of Directors, Autodesk, Inc., since 2018 (also member of the Audit Committee since 2019); Member of the Board of Directors, Western Digital Corporation from 2013 to 2020, Chief Executive Officer from 2013 to 2020, President from 2012 to 2013; Chief Executive Officer, Hitachi Global Storage Technologies from 2009 to 2012, Chief Financial Officer from 2007 to 2009; Senior Vice President, Finance and Chief Financial Officer, Western Digital from 2004 to 2007, Vice President of Finance from 2002 to 2003. The Nominating and Corporate Governance Committee has noted Mr. Milligan's executive and financial experience, including consumer-facing products experience.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ROSS STORES, INC.	Board Member	11	Jan 21, 2015		Yes	Yes	
WESTERN DIGITAL CORPORATION	Executive		Jan 02, 2013	May 05, 2020	No	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ROSS STORES, INC.	Audit	Chair
ROSS STORES, INC.	Risk	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ROSS STORES, INC.	2026	97.1%	2.9%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
AUTODESK, INC.	Non-Executive		2026	75,000	324,731	0
ROSS STORES, INC.	Non-Executive	11	2025	160,000	340,010	21,992

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EU Regulation 2024/3005 disclosures

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With respect to the environmental (E) factor, this rating is not based on or correlated with the EU taxonomy (Regulation (EU) 2020/852). The methodology does not consider or align with other international agreements. If there has been a material change to the rating methodology, models, key rating assumptions or data sources (including estimates) occurring after July 1st, 2026, the reasons for the changes and whether the given rating was upgraded or downgraded as a result of these changes are provided to Users here: https://support.msci.com/sustainability_climate/sustainability. For rated entities, this information is made available through the Issuer Communications Portal here: https://one.msci.com/company-insights/reports/msci-reports . Please contact MSCI Client Services or Issuer Communications if you have difficulty accessing the relevant pages.

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GLOSSARY

MSCI ESG RATINGS AND SCORES

FINAL ESG RATING

- Letter ratings are relative within each MSCI ESG Ratings industry. Each Final Industry-Adjusted Company Score is converted to an equivalent rating on the AAA-CCC scale.

ESG PILLARS

- the ***Environment Score*** represents the weighted average of all Key Issues that fall under the Environment Pillar
- the ***Social Score*** represents the weighted average of all Key Issues that fall under the Social Pillar
- the ***Governance Score*** represents the sum of score deductions derived from Key Metrics included in Corporate Governance (including Board, Pay, Ownership & Control, and Accounting) and Corporate Behavior (including Business Ethics and Tax Transparency)
- the ***Environment Weight*** represents the sum of the weights of all Key Issues that fall under the Environment Pillar
- the ***Social Weight*** represents the sum of the weights of all Key Issues that fall under the Social Pillar
- the ***Governance Weight*** represents the sum of the weights of Corporate Governance and Corporate Behavior, with a minimum weight set at 33% for all rated issuers

KEY ISSUES

For each industry and Company-Specific Key Issue that contributes to the final rating:

- ***Weight*** contribution to the final rating
- ***Exposure*** Score (available for companies published since June 2011; excluding Raw Material Sourcing – Environmental)
- ***Management*** Score (available for companies published since June 2011; excluding Raw Material Sourcing – Environmental)
- Overall ***Key Issue Score***

WEIGHTED-AVERAGE KEY ISSUE SCORE VS. INDUSTRY RELATIVE SCORE

- the ***Weighted-Average Key Issue Score*** is dynamic, reflecting changes in any underlying scores as of the Last Update date, while the ***Industry Relative Score*** is more static and corresponds to the Rating Date. Issues that we determine do not present material risks or opportunities to companies in a given industry receive 0% weight and do not impact the overall ESG rating.

SCORES AND CALCULATION OF AVERAGE, PERCENTILE AND RATING DISTRIBUTION

All averages, percentiles, and rating distributions found in the report are based on companies in the relevant MSCI ESG Ratings Industry and are calculated based on industry scores as of the date of publication of this report.

ESTIMATED CARBON EMISSIONS

Carbon estimates are based on carbon intensity (carbon emissions/sales). The Estimate Key represents the source of the estimated carbon emissions data. E.CSI represents Company-Specific Intensity estimates based on previously disclosed data. E.GICSSI represents estimates based on the GICS Sub-Industry average. For E.GICSSI we set five levels of confidence (High, Moderately High, Moderate, Moderately Low, and Low). The Carbon Estimation Methodology document, available on ESG Manager, describes the estimation model in greater detail.

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ROSS STORES, INC. (ROST)



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GOVERNMENT SUPPORT RATING

We calculate the 'government support rating' for Supranationals and Development Banks based on the weighted average of member countries' Governance scores using the MSCI ESG Government Ratings methodology. These scores are based on measures of political governance (strength of institutions, corruption control, civil liberties, and human rights) and financial accountability.

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IBISWorld

Retail Trade • 45211

Department Stores in the US

On sale: Expanding competition from e-commerce businesses will pressure industry revenue

Matthew Buchko
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About

IBISWorld specializes in industry research with coverage on thousands of global industries. Our **comprehensive data and in-depth analysis** help businesses of all types gain quick and actionable insights on industries around the world. Busy professionals can spend less time researching and preparing for meetings, and more time focused on making strategic business decisions.

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About This Industry

Definition

Department stores retail a broad range of general merchandise, including apparel, jewelry, cosmetics, home furnishings, household products, toys, appliances and sporting goods. Discount department stores, which are also part of this industry, offer similar lines of goods at low prices. However, this industry does not include big-box retailers and supercenters that offer fresh groceries in their stores, as well as warehouse clubs that operate under membership programs.

Codes

NAICS

2022	45511 – Department Stores
2022	455110 – Department Stores
2022	5311 – Lessors of Real Estate
2017	452210 – Department Stores
2017	5311 – Lessors of Real Estate

ISIC

2006	4719 – Other retail sale in non-specialized stores

What's Included

- Retailing apparel and accessories
- Retailing appliances and home furnishings
- Retailing other general merchandise
- Retailing toys and sporting goods

Companies

- Target
- Macy's
- Nordstrom
- Ross Dress for Less
- Kohl's
- Big Lots
- Kmart
- Shop My Exchange
- Bonton
- Neiman Marcus
- QVC Group
- Saks Fifth Avenue
- Belk
- Bloomingdale's
- Boscov's
- Jcpenney
- Von Maur
- Saks Off 5th
- Lord & Taylor
- Bergdorf Goodman

Related Industries

Domestic industries

Competitors

- Dollar & Variety Stores in the US
- Warehouse Clubs & Supercenters in the US

Complementors

- Supermarkets & Grocery Stores in the US

International industries

- Department Stores in Australia
- Department Stores in Canada
- Discount Department Stores in Australia
- Cosmetic Retailing in the UK
- Clothing Retailing in New Zealand

Related Terms

BIG-BOX RETAILER

A relatively new store format characterized by its large size. These stores sell similar merchandise to department stores, but also offer a selection of grocery items. Also referred to as supercenters.

BLACK FRIDAY

The day following Thanksgiving in the United States traditionally marks the beginning of the Christmas shopping season. Many retailers offer sales with heavy discounts.

BRICK-AND-MORTAR

A store that has a physical presence and location, as opposed to an online retailer.

POINT-OF-SALE (POS)

A system used at checkout in retail stores using computers and cash registers to capture transaction data at the time of sale.

RADIO-FREQUENCY IDENTIFICATION (RFID)

A technology that tracks products from the time they leave the assembly line to the time they leave the store by releasing continuous signals from a chip.

Additional Resources

- US Census Bureau
- American Apparel & Footwear Association
- National Retail Federation
- International Council of Shopping Centers

At a Glance

Revenue		Employees		Businesses	
$227.1bn	2021-26 ↓ 0.3% 2026-31 ↓ 1.2%	1.3m	2021-26 ↑ 1.4% 2026-31 ↓ 0.5%	49	2021-26 ↑ 3.1% 2026-31 ↑ 0.4%
Profit		**Profit Margin**		**Wages**	
$13.6bn	2021-26 ↓ 0.6%	6.0%	2021-26 ↓ 0.1pp	$28.4bn	2021-26 ↑ 0.2% 2026-31 ↓ 0.6%

ⓘ Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue ($bn)	Market Share (%)
Target	81.8	36.0
Macy's	21.7	9.5
Nordstrom	14.4	6.4
Other Companies	109.2	48.1

Products & Services

Item	Revenue ($bn)	Market Share (%)
Apparel and footwear	147.4	64.9
Other	33.2	14.6
Drugs and cosmetics	25.9	11.4
Home goods and appliances	19.1	8.4
Toys and hobbies	1.6	0.7

Key External Drivers

Driver	Impact
Percentage of business conducted online	Negative
E-commerce sales	Negative
Per capita disposable income	Positive
Number of households	Positive

Key Takeaways

Performance

Several large retailers, such as Target, are being reclassified as supercenters by expanding their product offerings to include groceries and other essentials. This places greater pressure on the industry, which has historically maintained a steady share of the retail sector.

Department stores that can't afford to convert to supercenters must adapt. Stores that continue to operate as on-site retailers are expected to lose market share compared to those that integrate the latest online shopping capabilities.

Products and Markets

Tariffs on upstream suppliers will raise production costs for manufacturers. This creates additional strain as retailers struggle to absorb these costs without alienating price-sensitive consumers, particularly in discretionary categories like cookware and textiles.

The latest tariff hikes will boost costs for department stores that rely on imported goods, such as apparel and home goods. These cost hikes will pressure profit, especially for stores with private-label offerings sourced directly from Asia, such as Macy's and Kohl's, which already have limited pricing power

There are two types of department stores: up-market department stores and their discount variety counterparts. Both retail an assortment of general merchandise.

Department store products are enduring bolstered competition from online retailers. Most resellers have established websites and online platforms to sell their products to a wide audience.

SWOT

Strengths	Low Customer Class Concentration Low Imports
Weaknesses	Decline Life Cycle Stage High Competition High Product/Service Concentration Low Revenue per Employee None & Steady Level of Assistance
Opportunities	Number of households
Threats	Low Outlier Growth Low Revenue Growth (2021-2026) Per capita disposable income

Industry Structure

Characteristic	Level & Trend
Concentration	Moderate
Barriers to Entry	Moderate, Steady
Regulation and Policy	Low, Steady
Life Cycle	Decline
Revenue Volatility	Moderate
Assistance	None, Steady
Competition	High, Increasing
Innovation	Moderate

Executive Summary

On sale: Expanding competition from e-commerce businesses will pressure industry revenue

Department stores continue to contend with a shifting retail landscape, where newer, online retailers are able to quickly adapt to the latest trends and challenges. Industry revenue fell consistently between 2005 and 2020, before exhibiting modest gains in recent years. The recent uptick in revenue is a result of pandemic-related losses to begin the period in 2020, alongside favorable gains in sales because of investments in online platforms. Industry performance has been challenged by rising inflationary pressure since 2022 and the competitive presence of e-commerce rivals. Another rising trend is the increasing number of major retailers that have expanded their product ranges to include groceries, providing a heightened level of convenience. This transitions the revenue of these retailers to the Warehouse Clubs and Supercenters industry (IBISWorld report 45291), reducing industry participation. Revenue for department stores is expected to climb at a CAGR of 1.4% to $231.6 billion through the end of 2025, including a hike of 1.6% in 2025 alone, when profit will account for 3.7% of revenue.

Online companies are increasingly undercutting traditional department store prices to save on operational costs. Companies with brick-and-mortar stores incur higher operational costs than online-based businesses because they pay for high-traffic retail space and require sales associates. Retailers have lowered selling prices and offered increased promotional deals to better compete. In April 2024, Nordstrom launched its digital Marketplace to expand its online presence and appeal to a wider audience. Through online platforms, retailers can offer a wider selection of brands, sizes and products. Similarly, department stores have since launched their digital stores and integrated them into their operations to provide an omnichannel shopping experience. While these efforts have helped retain some customers, profit has dropped because of inflationary pressures on the industry, resulting in retailers making more cost-cutting decisions, which has tempered declines.

In the coming years, accelerating competition from e-commerce businesses and the transition of department stores to supercenters will continue to pressure revenue. Some department stores will shutter more locations. However, disposable income growth will help alleviate the pressure spurred by greater competition. Department stores like Macy's and Nordstrom will continue to benefit from strong brand recognition, particularly as older customers become more comfortable with online shopping. Investments in online platforms will pay off for retailers, helping department stores become more competitive in a challenging business landscape. Revenue for department stores is expected to slump at a CAGR of 1.2% to $211.5 billion through the end of 2030.

Performance

Key Takeaways

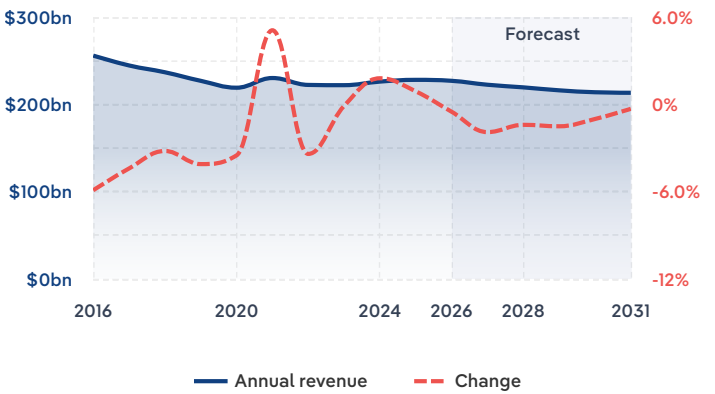
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Department stores that can't afford to convert to supercenters must adapt. Stores that continue to operate as on-site retailers are expected to lose market share compared to those that integrate the latest online shopping capabilities.

Performance Snapshot

Revenue

Total value ($) and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Revenue

$227.1bn

2021-26 ↓ 0.3%

2026-31 ↓ 1.2%

2026 Revenue Growth

-0.5% ↓ Decreasing

Revenue Volatility

Moderate

Employees

Total number of employees and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Employees

1.3m

2021-26 ↑ 1.4%

2026-31 ↓ 0.5%

Employees per Business

26.2k

2021-26 ↓ 1.7%

2026-31 ↓ 0.9%

Revenue per Employee

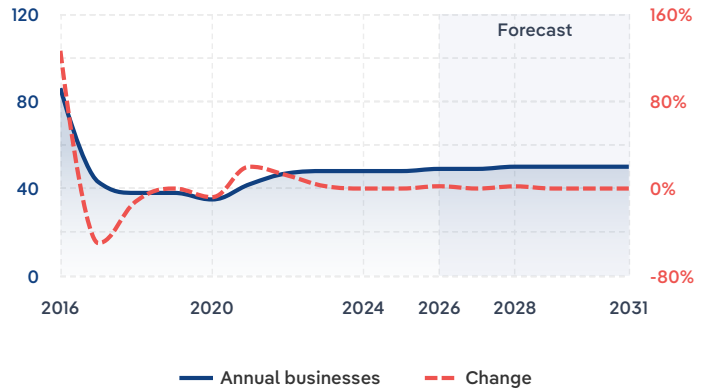
$176.6k

2021-26 ↓ 1.7%

2026-31 ↓ 0.8%

Businesses

Total number of businesses and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Businesses

49

2021-26 ↑ 3.1%

2026-31 ↑ 0.4%

Employees per Business

26.2k

2021-26 ↓ 1.7%

2026-31 ↓ 0.9%

Revenue per Business

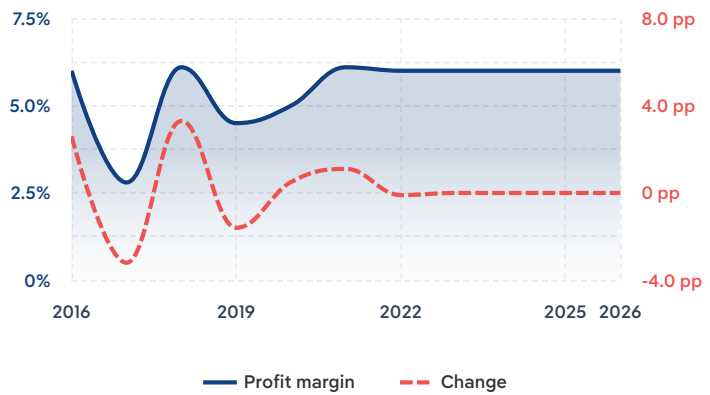
$4.6bn

2021-26 ↓ 3.3%

2026-31 ↓ 1.6%

Profit Margin

Total profit margin (%) and annual change from 2016 – 2026



IBISWorld Source: IBISWorld

Total Profit

$13.6bn

2021-26 ↓ 0.6%

Profit Margin

6.0%

2021-26 ↓ 0.1pp

Profit per Business

$278.0m

Current Performance

↓2021-26 Revenue CAGR: -0.3%

What's driving current industry performance?

Department stores are battling online competition to stay afloat

- The industry has lost revenue in recent years because of the growing prevalence of online shopping, boosting the popularity of retailers like Amazon. According to Amazon, athletic clothing brands and bathroom items, such as toothpaste, have exhibited strong sales growth in recent years. Kohl's has partnered with Amazon to expand its online presence amid declining sales at physical locations.
- Department stores have strengthened their online platforms, helping them avoid losing out fully in the digital market. According to Nordstrom's 2024 annual report, digital sales accounted for 36.0% of revenue and increased 3.6% compared to 2023. In April 2024, Nordstrom launched its digital Marketplace, expanding its online presence and highlighting the industry-wide shift. In 2025, Nordstrom was delisted from the US stock exchange after being sold to investors.
- Retailers have also adopted an omnichannel strategy, allowing consumers to use multiple communication channels, such as mobile phones and computers, to research, pre-order, and pick up items from stores. This seamless integration of various technologies enhances customer

retention and enables stores to offer a broader selection of products and sizes.

Discount giants like Target have transformed into supercenters

- Supercenters and specialty retailers have become fiercer competitors because they sell apparel, cosmetics, home improvement and grocery items, unlike many department stores. Consumers who prioritize convenience prefer buying multiple goods in one location. This trend has gradually led to the reclassification of some retailers out of the industry, as they seek to maximize growth.
- These rival retailers maintain online stores and have implemented online pickup systems similar to those of many retailers, thereby preventing department stores from capturing a larger share of the consumer market. The availability of online information has made customers more price-sensitive, enhancing competition.
- According to a 2022 USA Today survey, 69.0% of participants reported being busy or very busy, suggesting a perceived lack of leisure time for many. As customers feel more time pressure, offering a one-stop shopping experience will become an important competitive factor. Large supercenters and department stores are best equipped to invest in the necessary infrastructure and systems to provide a comprehensive omnichannel shopping experience.

Department stores are evolving their strategies to remain competitive

- Department stores have made cost-cutting decisions, including closing down more locations and hiring fewer employees to retain profit. Items that don't sell well must be sold at a discount or placed on clearance, reducing industry revenue; however, this decision helps retailers maintain sales to cost-conscious buyers.
- For example, in March 2023, Nordstrom announced it would wind down its operations in Canada. This move highlights a shift toward recognizing efficiencies and eliminating operational waste amid the shifting retail landscape. At the same time, Macy's reduced its total number of stores from 680 to 665, as reported in its 2025 annual report (latest data available).
- Incorporating high-quality dining options into shopping experiences can encourage longer visits. Some stores, such as Kohl's, which features its Kohl's AR Virtual Closet on Snapchat, are implementing augmented reality and other technologies to engage customers and enhance product visualization. Consumers are more willing to spend more time and money at these locations because of the entertainment provided by these experiences.

Stores have contended with economic and social changes

- Department stores have endured significant volatility as consumers experience significant economic hardships. Recent years have been marked by fluctuations in consumer spending, driven by shifting economic conditions, geopolitical tensions and evolving trade policies. Supply chain disruptions and inflation have led to skyrocketing product prices, suppressing demand and increasing operational costs.
- Department stores like Macy's and Nordstrom have struggled to balance rising expenses and attract cost-conscious consumers. Macy's implemented cost-cutting strategies to remain competitive, including store closures and a shift toward digital sales. Retailers have also been impacted by geopolitical and trade tensions, particularly the growing divide between China and the US. More stores will strengthen their supply chains, focusing on insulating themselves from potential trade disruptions with countries in Asia and the Middle East.
- Consumers are also changing their product preferences, prompting department stores to adjust their stock accordingly. This shift has caused purchase costs to swell, harming profit. Shoppers are becoming increasingly mindful of sustainability, prompting department stores to stock eco-friendly and ethically sourced products.

Outlook

↓2026-31 Revenue CAGR: -1.2%

What's driving the industry outlook?

Experiential retail is changing how consumers engage

- Department stores will continue to invest in creating environments that make shopping an experience. Consumers are increasingly attracted to stores and other events that offer interactive and personalized elements, such as in-store exclusives, collaborations with other brands, pop-up shops and specialized customer service.
- Department stores will emphasize their discount entities, such as Nordstrom Rack and Saks Off Fifth, to attract more consumers with their high-end brands at low prices. Items sold at these retail outlets are heavily discounted, which will keep industry revenue low.
- This trend is driven by the need to differentiate from online retailers. With online shopping becoming more convenient and efficient, physical stores must offer something unique to attract customers. Immersive experiences can create memorable connections and a reason to visit a store in person.
- Retailers can partner with local artists, chefs or influencers to create exclusive in-store attractions. This can help cater to local tastes and preferences while making an indelible impression on the customer, incentivizing them to spend more and strengthening retention rates.

Growing competition from online retailers will further pressure department stores

- According to CouponFollow, 80.0% of millennials use online services to shop for items, posing a challenge for department stores. While consumers can easily find apparel items online through department stores, larger e-commerce sites like Amazon will continue eroding the industry's retail market share.
- Omnichannel retail strategies are becoming essential. Consumers expect a seamless experience whether they're shopping online or in-store. This means department stores must integrate digital tools, such as mobile apps, personalized marketing and efficient online order fulfillment.
- Shopify provides a more decentralized shopping experience. It's set to further diversify the online shopping industry by adding more variety to the types of services consumers can turn to when buying items online, which will pressure sales.
- Cybersecurity and data privacy will become increasingly important as stores handle an increasing number of digital interactions. Investing in secure and efficient systems can provide a competitive edge. In 2025, Cardi's Department Store Inc. announced a data breach that resulted in the access of sensitive customer information. These events can have significant and lasting implications on a company's performance by eroding customer trust.

Developing an eco-friendly reputation becomes more important for stores

- Consumers are demanding more sustainable practices from retailers. Department stores must adopt eco-friendly policies, such as reducing waste, sourcing products ethically and offering sustainable options. Transparency is becoming critical. Customers want to know the origins of their purchases and their environmental impact. Clear communication about sustainability efforts can foster brand loyalty.
- Initiatives such as recycling programs, sustainable packaging and carbon-neutral delivery options resonate strongly with eco-conscious consumers. Moving forward, more department stores will stock these items and dedicate premium shelf space to attract customers. Advertisements will also feature these products to showcase that a store focuses on sustainability.
- Stores will strengthen their sustainability efforts by incorporating eco-friendly materials and reducing their carbon footprints. Government regulations may impose stricter standards on waste management and energy efficiency, pushing retailers to innovate. This shift could result in higher operational costs, while also opening growth opportunities through eco-focused branding and partnerships.

Department stores will leverage data to better compete

- Data analytics plays a significant role in personalizing the shopping experience. Department stores that effectively use consumer data can tailor promotions and recommendations to individual preferences. Loyalty programs and personalized offers based on purchase history can boost customer retention and spending. Stores can also leverage customer data to inform future inventory decisions, thereby helping to limit storage and warehousing costs.
- Department stores will rely more on their discount department store brands, such as Nordstrom Rack and Saks Off Fifth, to help attract more consumers with their high-end brands at low prices. Specifically, items sold at these retail outlets are heavily discounted, which will dampen the industry's growth prospects. According to Nordstrom's 2024 annual report, revenue at Nordstrom Rack grew 8.0% compared with 2023.
- Stores will also strengthen the appeal of existing stores through in-store tech, like interactive kiosks that use AI to cater to shoppers' interests on the go, making the in-store experience feel unique and customized. Boosting customer loyalty will be the main focus, as the number of retailers explodes because of the lower barriers to entry brought about by online shopping.

Volatility

Moderate

What influences industry volatility?

Large-scale spending is discouraged by macroeconomic trends

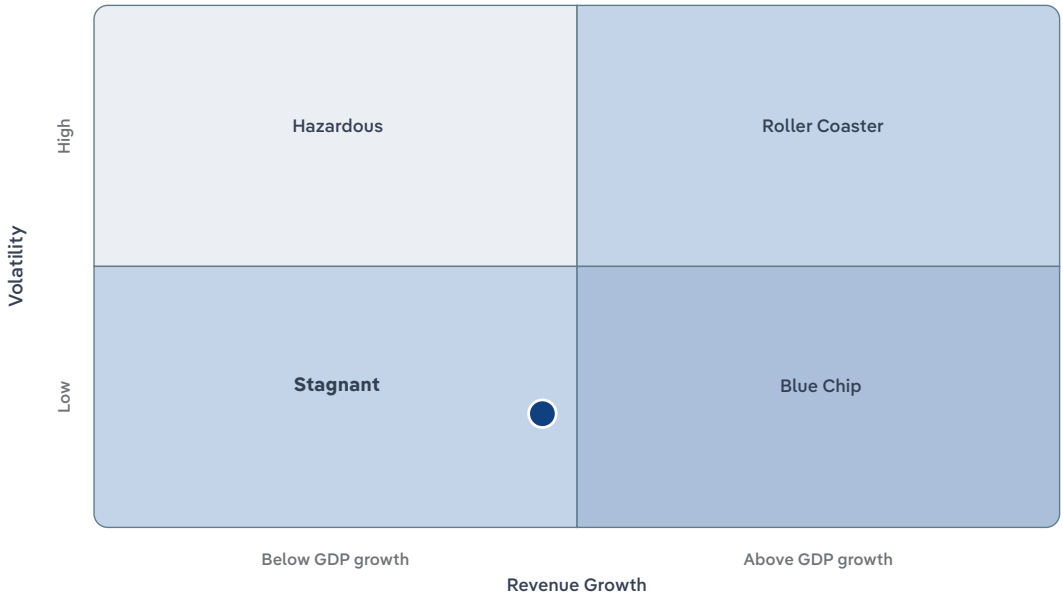
- Revenue for department stores is primarily based on the sale of discretionary items. Stores compete with various substitutes for a share of consumers' discretionary income. Significant economic and geopolitical volatility has not caused dips in discretionary spending, as consumption rates have remained strong.
- In recent years, favorable consumer trends have led to elevated discretionary spending, which in turn boosted department store sales. Recently, elevated inflation and higher interest rates have led to a dip in consumer sentiment, resulting in lower sales of discretionary products.

External competition affects volatility

- External competition remains high for department stores. Other retailers, such as warehouse clubs and Supercenters (IBISWorld report 45291) and e-commerce and online auctions (45411a), also influence revenue prospects for this industry.
- Supercenters and online retailers offer similar merchandise at discounted prices, effectively siphoning some consumers away from the industry. Online shopping activity has surged since the pandemic, with an increasing number of consumers preferring the convenience of shopping from home. These external trends have kept sales from expanding.

Stagnant

Industry volatility vs. revenue growth (2021-2026 CAGR)



IBISWorld

Source: IBISWorld

☆ Key Success Factors

How do successful businesses overcome volatility?

Ability to expand and curtail operations rapidly in line with market demand

Department stores must expand their operations during peak periods to meet increased demand (e.g., the winter holiday season) and curtail operations in weaker conditions (e.g., an economic slowdown).

Change or diversify markets

Department stores have expanded their focus on serving younger shoppers who prefer shopping online. Most department stores have set up online websites to cater to these customer groups.

Life Cycle

Decline

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries



*Growth is based on change in share of economy combined with change in establishment numbers

IBISWorld

Source: IBISWorld

Why is the industry declining?

Contribution to GDP

IVA, which measures an industry's contribution to the overall economy, has declined significantly as GDP has increased steadily. The shifting retail landscape and the diminishing popularity of department stores have diminished their status. The industry has entered the decline stage of its life cycle.

Market Saturation

The industry is saturated. Most stores, such as Walmart and e-commerce sites like Amazon, stock a wide range of clothing, appliances and household goods. As consumers report increased stress and reduced free time, stores offering the most convenience will gain a competitive advantage.

Innovation

Department stores can benefit from product innovation at the manufacturing level by quickly stocking up on new items as they become available. Still, innovation is relatively limited, with most fashion styles remaining unchanged for many decades. Most fashion trends are related to minor product advancements or the revitalized popularity of previous styles.

Consolidation

Consolidation has occurred in the industry because of heightened competition. As the industry continues into the decline stage, only the most popular department stores will remain competitive. The remaining stores will either be acquired or will cease operations. Large regional retailers will emerge to gain greater market share.

Technology & Systems

Department stores endure significant technological disruptions because of strengthening e-commerce competition, adopting a direct-to-consumer business model. While the growing use of technology offers opportunities to improve efficiency, the proliferation of threats posed by new online retailers represents a significant challenge to the industry's future.

Products and Markets

Key Takeaways

Tariffs on upstream suppliers will raise production costs for manufacturers. This creates additional strain as retailers struggle to absorb these costs without alienating price-sensitive consumers, particularly in discretionary categories like cookware and textiles.

The latest tariff hikes will boost costs for department stores that rely on imported goods, such as apparel and home goods. These cost hikes will pressure profit, especially for stores with private-label offerings sourced directly from Asia, such as Macy's and Kohl's, which already have limited pricing power

There are two types of department stores: up-market department stores and their discount variety counterparts. Both retail an assortment of general merchandise.

Department store products are enduring bolstered competition from online retailers. Most resellers have established websites and online platforms to sell their products to a wide audience.

Largest Market

$147.4bn

Apparel and footwear

Product Innovation

Moderate

Products and Services

How are the industry's products and services performing?

Apparel and footwear account for the industry's largest market share

- The apparel and footwear segment encompasses men's, women's and children's clothing, shoes and accessories. Many shoppers prefer to try on their clothing and footwear before making a purchase. Department stores benefit from offering shoppers the option to try on products, whereas online retailers cannot. Women's apparel and footwear account for the largest share of this segment.
- Since 2022, high inflation and high interest rates have dampened consumer sentiment. While sales of men's and children's clothing and footwear have declined, strong growth in women's clothing and footwear has offset this drop, boosting the segment.

Drugs and cosmetics feature fierce competition

- This segment includes the sale of prescription and non-prescription drugs, vitamins and minerals, cosmetics, facial creams, makeup, perfumes and colognes, as well as soaps and other hygiene products. Sales of vitamins, minerals, soaps and other hygiene products are closely tied to population trends because they are considered essential necessities.
- Specialized cosmetics stores, like Sephora and Ulta, have increased competition in this segment. Department stores are responding by forming partnerships and collaborating with popular brands, celebrities and influencers. Revenue from drugs and cosmetics has remained fairly stagnant as a share of revenue, as skincare and cosmetics are relatively non-discretionary.

The housing market fuels sales of home goods and appliances

- Home goods and appliances include all furniture, fittings and small and large appliances. Sales of new furniture and appliances are closely related to the number of new homes and households in the United States. Not all department stores offer these products, so stores that do can offer more convenience to time-strapped customers.
- Not only has the housing market deteriorated in recent years, but the declining market share of furniture department stores has also hindered growth. Since 2025, volatile financial markets and recent stock market losses contributed to housing market pressure.

Toys and hobbies products are becoming less popular at department stores

- The toys and hobbies product segment includes children's toys, board games, video games and computer games. Hobby goods include sporting and craft products. As online retailers and major retailers like Amazon and Walmart expand their offerings of these products, more consumers will opt for these substitutes, as they offer a wider selection at lower prices.
- Spending in this segment has slumped as many consumers have shifted their toy and hobby purchases online. Department stores can become more efficient by reducing their toy and hobby selection and focusing on more traditional offerings, such as clothing, footwear and appliances.

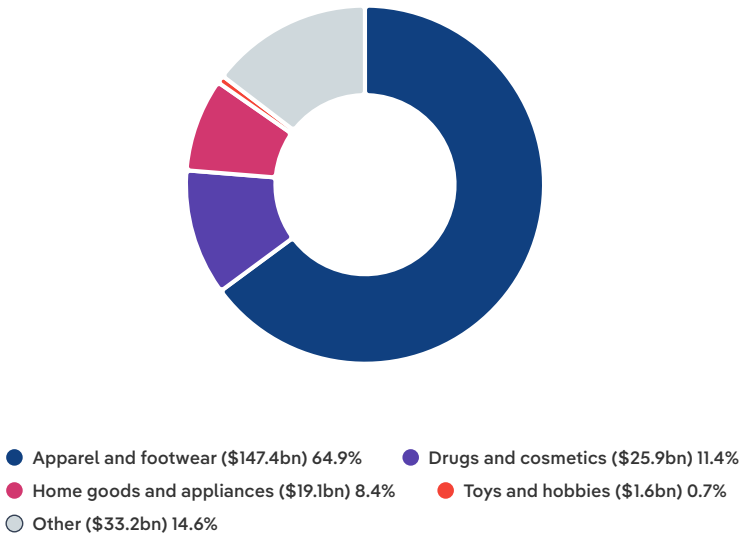
The other product segment is declining

- Other products include non-grocery food items, like confectionery and soda, in addition to household supplies, including gift-wrapping and cleaning products. Many department stores that previously sold

goods in the other products category converted into warehouse clubs or grocery stores, reducing the segment and siphoning demand for other products at department stores.

Products & Services Segmentation

Industry revenue in 2025 broken down by key product and service lines.



IBISWorld Source: IBISWorld

☆ Key Success Factors

What products or services do successful businesses offer?

Attractive product presentation

Department stores require an effective layout and design, good shelf management, friendly and helpful service and a clean environment. These conditions ensure customers are comfortable and can easily navigate the store.

Effective product promotion

Successful department stores will boost sales through effective advertising and marketing initiatives. Social media marketing campaigns have become more important.

Having a wide and expanding product range

Department stores offering a diverse range of products and brands will attract customers, as they can position themselves as convenient one-stop shops.

Innovations

Moderate

What are innovations in industry products and services?

Smart fitting rooms

- Smart mirrors with integrated sensors are installed in department store fitting rooms to provide personalized product recommendations. This can help customers feel more confident about sizing and reduce the number of returns.
- The smart mirror indicates which colors, models and sizes are available in-store, online or elsewhere. The technology can be used to make personalized recommendations and help customers envision products in different scenarios. Customers can also use voice-activated assistants to control the fitting room's lighting, music and temperature.

Virtual reality (VR) shopping

- Users can visualize what different products will look like on them using virtual reality technology. Kohl's recently released its Kohl's AR virtual closet application on Snapchat. The application allows customers to trial different styles without visiting stores. Virtually trying on clothes will significantly alter the industry in the coming years.
- VR is also being used to create full replicas of what stores will look like from the inside, so users can shop online without physically entering a store, yet still make purchases as if they were.

Major Markets

What's influencing demand from the industry's markets?

Customers under 25 are more likely to shop in smaller niche stores

- Although these consumers have more leisure time to spend at department stores, this age group typically has lower disposable income, which limits how much they can spend there. Since department stores don't target this age group, fewer young adults purchase from them.
- Instead, this consumer group prefers shopping at smaller niche stores that offer the latest fashion products. Compared with older demographics, these consumers are also less likely to have grown up shopping in department stores, making them less familiar with these brands. Sales to this consumer group are often realized in other consumer groups because parents tend to purchase items for their children at department stores.

Consumers aged 26 to 45 are the second-largest market

- Consumers in this age range are typically employed with a steady income stream, making them the target market for this industry. Shoppers in this segment often have young children living at home and are frequently drawn to the convenience of department stores, as they can complete multiple errands in one location.
- Retailers offer competitive prices, which is ideal for consumers with children since these shoppers typically care more about product quality than designer labels. Sales to this segment have slumped because of the boom of online retailers.

Consumers aged 46 to 65 are the largest market for this industry

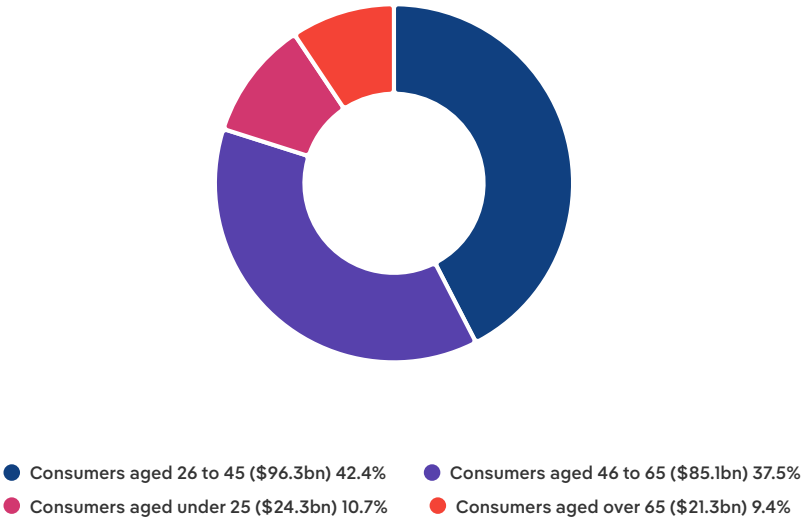
- Shoppers in this segment tend to purchase higher-tier merchandise for themselves and their families because they are more likely to have higher disposable incomes. Many of these consumers grew up shopping at popular department stores like Macy's, Bloomingdale's and JCPenney, so they feel comfortable using online platforms associated with these brands.
- This segment has expanded slightly through the end of 2026, as e-commerce activity has climbed. Stores like Target and Nordstrom are investing in expanding their online platforms and incorporating rewards programs to maintain sales across physical and online channels. The ability to afford high-end items keeps this market relatively stable.

Shoppers over 65 years old are estimated to be the smallest market for this industry

- Most of this segment's consumers have entered retirement and have reduced disposable income. This includes those moving into retirement villages or nursing homes. Still, these customers are more likely to rely on reputable brands like Macy's and Target, since they are less familiar with trendy brands and stores.
- This segment has declined since millennials, Generation X and Generation Z have outpaced the older generations in population. Department stores will continue to alter their focus toward attracting new customers from younger generations, banking on continued patronage from this demographic when they visit retail locations.

Major Markets Segmentation

Industry revenue in 2025 broken down by key markets



IBISWorld

Source: IBISWorld

International Trade

No data

Some industries don't directly import or export goods. See reports at the manufacturing level for international trade data on relevant products.

Geographic Breakdown

Key Takeaways

Consumers in metropolitan areas such as Los Angeles, San Francisco, Philadelphia and Pittsburgh have higher per capita disposable income levels. These metropolises exhibit more discretionary spending at high-end department stores.

The geographic distribution of department stores follows population trends. The Southeast, Great Lakes, Mid-Atlantic, and West regions contain a large share of the US population.

Business Locations

State	Establishments (Units)	Establishments (%)	Revenue ($m)	Revenue (%)	Wages ($k)	Wages (%)	Employment (Units)	Employment (%)	Population (%)
Alabama	141	1.4	2,357.7	1.0	336,944.3	1.2	19,916	1.5	1.5
Alaska	8	0.1	25.8	0.0	389.0	0.0	23	0.0	0.2
Arizona	228	2.3	5,042.1	2.2	566,416.0	2.0	26,563	2.1	2.2
Arkansas	86	0.9	1,294.4	0.6	164,356.2	0.6	9,776	0.8	0.9
California	1,135	11.5	37,930.6	16.7	4,823,916.3	17.0	178,812	13.9	11.5
Colorado	192	1.9	3,378.9	1.5	391,973.6	1.4	18,400	1.4	1.8
Connecticut	110	1.1	2,712.3	1.2	350,331.1	1.2	16,352	1.3	1.1
Delaware	56	0.6	1,498.6	0.7	140,955.7	0.5	8,363	0.7	0.3
Florida	650	6.6	15,505.2	6.8	1,797,131.3	6.3	82,775	6.4	7.0
Georgia	406	4.1	5,372.2	2.4	751,785.8	2.6	35,440	2.8	3.3
Hawaii	47	0.5	1,571.9	0.7	121,362.1	0.4	6,685	0.5	0.4
Idaho	55	0.6	777.6	0.3	58,234.5	0.2	3,524	0.3	0.6
Illinois	455	4.6	7,948.9	3.5	1,351,816.6	4.8	60,646	4.7	3.7
Indiana	188	1.9	4,112.9	1.8	387,681.1	1.4	23,123	1.8	2.0
Iowa	87	0.9	1,096.6	0.5	185,401.3	0.7	12,769	1.0	0.9
Kansas	79	0.8	1,178.5	0.5	120,279.8	0.4	7,702	0.6	0.9
Kentucky	127	1.3	2,500.7	1.1	285,299.5	1.0	17,021	1.3	1.3
Louisiana	95	1.0	2,112.9	0.9	208,774.1	0.7	12,696	1.0	1.3
Maine	44	0.4	784.9	0.3	73,332.6	0.3	4,315	0.3	0.4
Maryland	157	1.6	5,010.7	2.2	582,123.1	2.0	28,792	2.2	1.8
Massachusetts	200	2.0	5,720.6	2.5	864,740.3	3.0	27,898	2.2	2.1
Michigan	235	2.4	4,514.0	2.0	718,955.5	2.5	37,391	2.9	3.0
Minnesota	156	1.6	3,276.0	1.4	536,439.3	1.9	27,140	2.1	1.7
Mississippi	88	0.9	1,340.1	0.6	109,688.1	0.4	9,754	0.8	0.9
Missouri	177	1.8	3,476.9	1.5	378,038.1	1.3	21,321	1.7	1.8
Montana	34	0.3	346.1	0.2	56,511.1	0.2	3,436	0.3	0.3
Nebraska	45	0.5	791.8	0.3	65,433.3	0.2	4,548	0.4	0.6

State	Establishments (Units)	Establishments (%)	Revenue ($m)	Revenue (%)	Wages ($k)	Wages (%)	Employment (Units)	Employment (%)	Population (%)
Nevada	127	1.3	1,811.4	0.8	235,221.6	0.8	10,963	0.9	1.0
New Hampshire	58	0.6	1,225.2	0.5	120,282.2	0.4	6,199	0.5	0.4
New Jersey	298	3.0	9,628.3	4.2	1,304,636.6	4.6	50,105	3.9	2.8
New Mexico	47	0.5	644.6	0.3	66,675.1	0.2	4,476	0.3	0.6
New York	526	5.3	17,847.7	7.9	2,709,003.4	9.5	91,102	7.1	5.8
North Carolina	422	4.3	6,109.3	2.7	686,205.9	2.4	37,197	2.9	3.3
North Dakota	20	0.2	295.1	0.1	23,783.3	0.1	1,783	0.1	0.2
Ohio	315	3.2	8,379.9	3.7	884,256.6	3.1	47,613	3.7	3.5
Oklahoma	90	0.9	1,709.4	0.8	174,317.5	0.6	10,631	0.8	1.2
Oregon	104	1.1	2,029.4	0.9	181,497.3	0.6	8,686	0.7	1.2
Pennsylvania	428	4.3	10,641.0	4.7	1,253,656.7	4.4	60,679	4.7	3.8
Rhode Island	28	0.3	568.6	0.3	65,695.9	0.2	3,429	0.3	0.3
South Carolina	207	2.1	2,906.4	1.3	280,560.6	1.0	17,554	1.4	1.6
South Dakota	22	0.2	242.7	0.1	19,550.3	0.1	1,674	0.1	0.3
Tennessee	216	2.2	4,232.7	1.9	489,904.3	1.7	25,901	2.0	2.1
Texas	743	7.5	19,199.3	8.5	2,328,910.6	8.2	101,054	7.9	9.4
Utah	125	1.3	1,850.4	0.8	162,106.7	0.6	8,138	0.6	1.0
Vermont	19	0.2	177.0	0.1	14,727.3	0.1	648	0.1	0.2
Virginia	272	2.8	5,967.7	2.6	710,971.9	2.5	33,062	2.6	2.6
Washington	194	2.0	5,753.7	2.5	624,314.0	2.2	24,111	1.9	2.3
West Virginia	42	0.4	497.4	0.2	41,853.3	0.1	3,645	0.3	0.5
Wisconsin	266	2.7	3,542.6	1.6	587,403.1	2.1	31,143	2.4	1.7
Wyoming	26	0.3	56.1	0.0	10,012.8	0.0	729	0.1	0.2

Where are businesses located?

Population-dense areas entice retailers in the Southeast and Great Lakes

- The Southeast and Great Lakes are highly populated regions, with the highest concentrations of department stores in the US. As their populations continue to expand, these areas will remain important for the industry.
- Florida, Illinois and Ohio house most of these regions' department stores, corresponding to each state's large share of the US population. Florida is among the fastest-growing states, so department stores will increasingly seek opportunities there.

Income levels drive demand for Mid-Atlantic and Western department stores

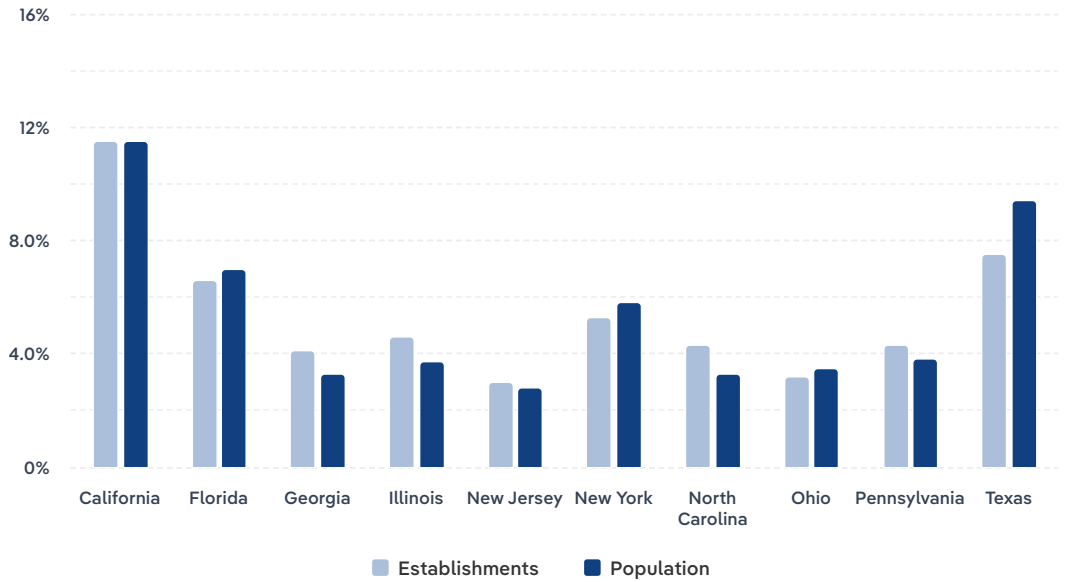
- The Mid-Atlantic and West regions represent the third—and fourth-largest concentrations of establishments, respectively. California is mainly responsible for the West's high concentration of department stores. Major population centers attract department stores by promising steady foot traffic.
- Consumers in metropolitan areas, such as Los Angeles, San Francisco, Philadelphia and Pittsburgh, have higher per capita disposable income levels, leading to more discretionary spending at high-end department stores. Luxury items are comprising a greater share of in-store sales, as more customers use online platforms to purchase everyday items.

The Mountain West becomes an increasingly important region

- Strong population growth in states like Colorado, Utah and Arizona has led to greater spending at retailers in these areas. Department stores are a great fit because travelers and new residents to these areas will recognize the brand.
- This region also provides opportunities for unique product sales. Consumers require sufficient warm clothing, safety gear and entertainment to ensure they are comfortable during adverse weather conditions. Activities like skiing and hiking are also popular in this region, driving sales of specialized clothing and gear.

Business Concentration

Share of establishments (%) vs. share of population (%)



IBISWorld

Sources: IBISWorld

☆ Key Success Factors

How do businesses use location to their advantage?

Operate in a highly visible location

Foot traffic is important to department stores, so many of them are located in densely populated areas. Impulse purchases are still a major driver of performance, so being easily visible is a great way to attract more business.

Operate in a location that is close to key markets

Customers tend to shop at stores that are near them to reduce traveling time and costs. The popularity of online shopping has diminished customer willingness to travel a significant distance to visit a department store.

Competitive Forces

Key Takeaways

Online retailers are becoming more competitive. Brick-and-mortar stores incur higher operational costs than online-based businesses because they pay for high-traffic retail space and require sales associates.

Price is the most influential basis of competition for department stores. Consumers are price-conscious and comparison shop to find a bargain. Online shopping has strengthened price transparency by allowing customers to easily compare prices.

Concentration	Competition	Barriers to Entry
Moderate	High Increasing	Moderate Steady
Substitutes	**Buyer Power**	**Supplier Power**
High Increasing	High Increasing	Moderate Steady

Concentration

What impacts the industry's market share concentration?

Department stores have a high level of market share concentration

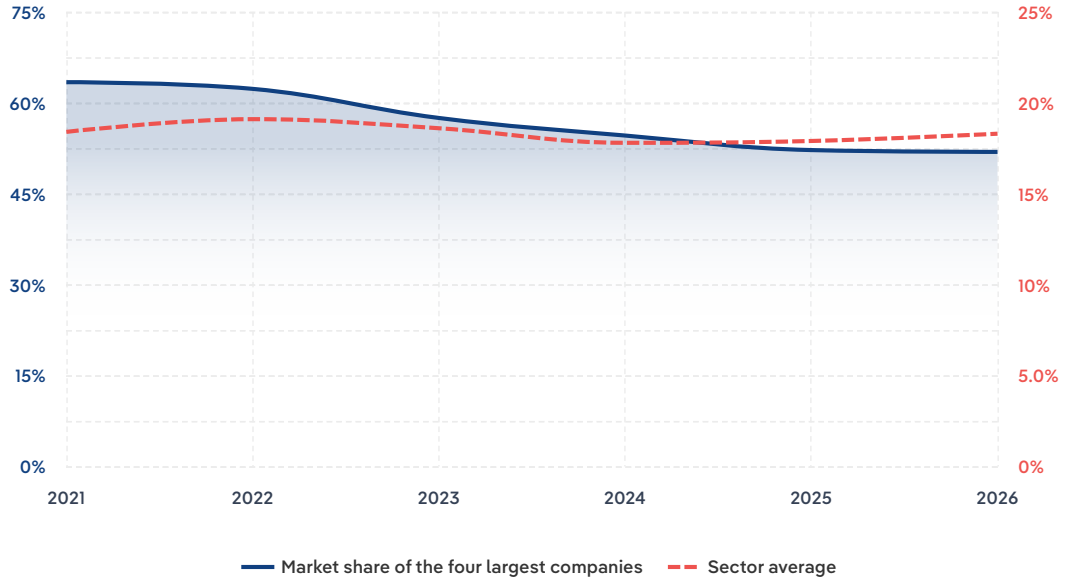
- Most stores in this industry are part of a national chain with multiple locations across the United States. While this gives them a strong national presence, it also exposes these companies to high operating expenses. Stores are typically large, with the average location having more than 100 employees.
- Significant merger and acquisition activity is expanding concentration. Nonetheless, concentration declines are being mitigated by the expansion of some high-end retailers into discount department stores. The expansion of Bloomingdale's Outlet and Nordstrom stores exemplifies this trend.

The industry's direction is changing

- Target, the largest company in the industry, is transitioning to the Warehouse Clubs and Supercenters industry (IBISWorld report 45291), gradually shifting its focus to alleviate losses from the shift to e-commerce platforms.
- Target's merger with another industry will significantly damage the industry's position in the retail landscape. Department stores are investing more in their online stores, which has helped boost sales. A strong online presence will become increasingly important as more consumers opt for this as their preferred shopping method.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld

Source: IBISWorld

☆ Key Success Factors

How do successful businesses handle concentration?

Control total supply on market

Large department store chains can stock high-end brands that are inaccessible in other retailers or online stores. The popularity of online retailers and fast fashion trends has made controlling supply more difficult.

Develop a strong reputation

Large department stores, such as Macy's, Saks Fifth Avenue, and Bloomingdale's, have a reputation for excellent customer service and a wide selection of products.

Barriers to Entry

Moderate | Steady

What challenges do potential industry entrants face?

Legal

- Individual states are primarily responsible for regulating most retail activities. Stores must adhere to general business standards, such as minimum wage and overtime regulations. Department stores must also ensure their inventory is accurately labeled to prevent any harm to customers. Congress enacts trade regulations to foster a free and competitive economy.

Start-up Costs

- The initial costs of establishing a department store include purchasing inventory, hiring staff and marketing, all of which require significant capital. The industry already has many large companies that benefit from economies of scale; potential entrants must have substantial funding before setting up shop.

Differentiation

- Building a brand identity and cultivating loyal customers is critical for retailers to differentiate themselves. There is moderate differentiation in the industry, as some department stores, such as Kohl's, sell clothes, household items and cosmetics that reflect the latest trends. Other stores, like T.J. Maxx, focus on retailing discounted goods. Department stores vary in price and quality, appealing to a wide range of consumers.

Labor Expenses

- The industry is labor-intensive, with employees performing a variety of tasks daily. The shift to online shopping and increased investments in automation have reduced the industry's dependence on labor to some extent. Fixtures, fittings, cash registers and point-of-sale (POS) systems account for the industry's capital expenditure.

☆ Key Success Factors

How can potential entrants overcome barriers to entry?

Develop a skilled labor force

Customer service is essential for attracting and retaining customers. Sales associates must be carefully trained to help customers in an efficient and respectful way.

Develop links with suppliers

Department stores must attract shoppers by stocking the latest products in the largest variety. The growing prevalence of online retailers has made this even more important.

Substitutes

High Increasing

What are substitutes for industry services?

E-Commerce

- Online retailers can avoid the high overhead costs of physical retail locations, enabling them to dramatically reduce prices. This has fueled their gain over brick-and-mortar stores. Many department stores have remained committed to maintaining a strong physical presence, differentiating them from other retail industries.
- Consumers who shop online have access to more product reviews and recommendations, which gives them greater confidence and increases the likelihood of a sale. Many department stores are investing more in their online platforms to drive online sales and foster a hybrid shopping experience that combines the benefits of physical and online shopping.

Warehouse clubs and supercenters

- Warehouse clubs and supercenters sell similar products to department stores and can leverage greater economies of scale to offer competitive pricing. Consumers seeking cost-per-unit savings are often drawn to warehouse clubs and supercenters, which offer bulk purchases.
- Like online retailers, these competitors offer greater convenience by providing groceries, apparel, household items and gasoline at multiple locations. Convenience has become a more important competitive factor, with many consumers citing overloaded work and social schedules as major pain points.

Key Success Factors

How do successful businesses compete with substitutes?

Develop a loyal customer base

Superior customer service can help retain repeat customers, preventing them from turning to online stores. Many consumers cite frustrations with online agents and other customer service difficulties as their biggest issues with online shopping.

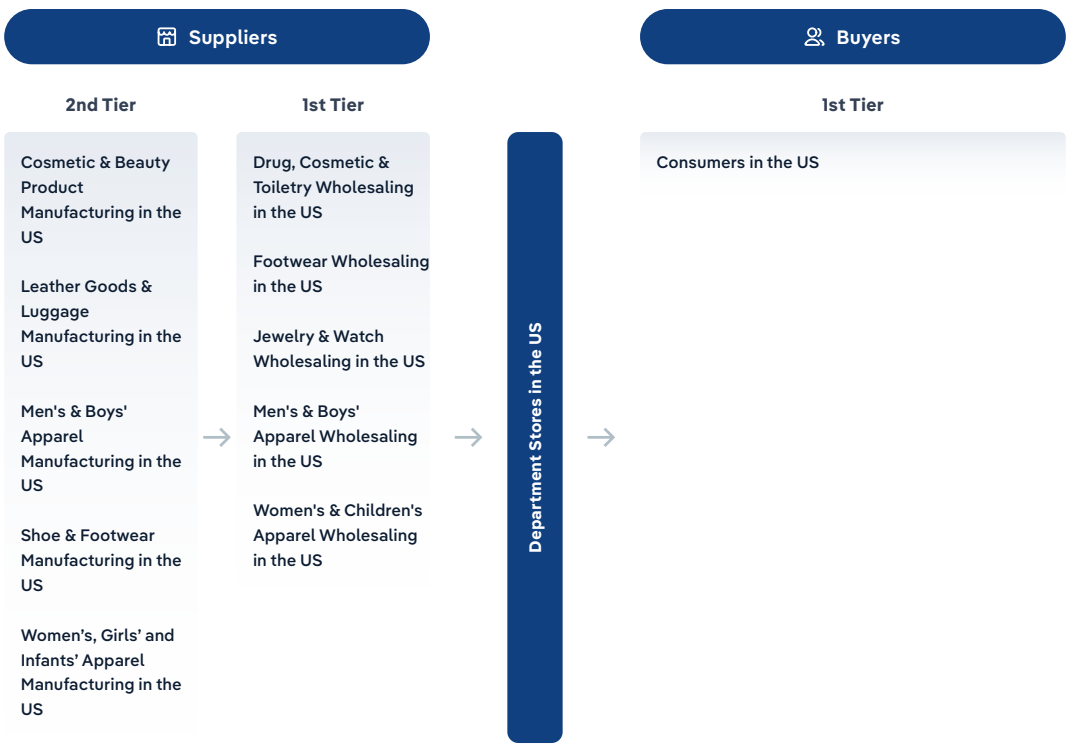
Effective product promotion

Successful department stores will benefit the industry through effective advertising and marketing initiatives. This will help reinforce the status of department stores in the retail landscape.

Buyer & Supplier Power

Supply Chain

Direct and indirect supplier and buyer industries related to this industry



IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

High | Increasing

Buyers: price competition

- Buyers primarily select a retailer based on convenience, with price and location being key considerations. The ability to buy various products, like food, household items and clothing. Shoppers can also prioritize an enjoyable shopping experience, with service quality as the deciding factor.
- Providing more digital product and pricing information makes it easier for buyers to negotiate with retailers. Strengthening price transparency has contributed to modest profitability, as consumers can easily find the cheapest option. Growing levels of buying power will constrain profit.

Moderate | Steady

Suppliers: switching costs

- Large companies can keep costs low through relationships with suppliers and well-established distribution networks; these decreased costs often translate to higher profit. More manufacturers, such as Adidas and Ralph Lauren, are using online platforms and retail stores to sell directly to customers, intensifying competition with department stores.
- Since many of these products are imported into the US, disruptions in the supply chain can impact purchase costs. The Trump administration's tariff announcements are expected to have a significant impact on product prices. Switching suppliers can be costly and time-consuming for department stores.

☆ Key Success Factors

How do successful businesses manage buyer & supplier power?

Having a wide and expanding product range

Department stores offering a diverse range of products and brands will likely attract customers, as they can market themselves as a convenient one-stop shop.

Secure economies of scale

Sufficient economies of scale reduce per-unit cost, allowing department stores to pass on cost savings to customers via lower prices. This gives them an advantage over smaller retailers.

Companies

Key Takeaways

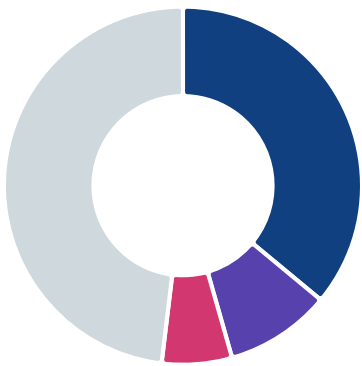
Macy's has installed more than 14,000 price scanners in its stores, enabling customers to automatically check prices before making a purchase. It also invested in line-busting software and technology that alerts employees during busy periods.

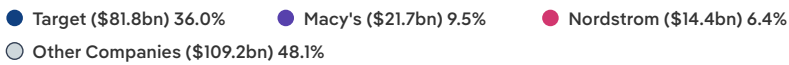
Discount giants like Target have transformed their traditional department stores into supercenters. Retailers add grocery sections to their locations to expand their product lines and capture additional consumer dollars.

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue.





IBISWorld

Source: IBISWorld

This chart has been simplified for the PDF and may not display all available data. View the full interactive chart on my.ibisworld.com for additional data and detail.

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
Target	36	10,000+	2,000	Public	Minneapolis, Minnesota
Macy's	9.5	10,000+	8	Public	New York, New York
Nordstrom	6.4	10,000+	165	Public	Seattle, Washington
Ross Dress for Less	2.5–5	10,000+	2,150	Private	Dublin, California
Kohl's	0–2.5	10,000+	1,171	Public	Menomonee Falls, Wisconsin

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
Big Lots	0–2.5	10,000+	439	Public	Columbus, Ohio
Kmart	0–2.5	10,000+	36	Private	Chicago, Illinois
Shop My Exchange	0–2.5	10,000+	386	Private	Dallas, Texas
Bonton	0–2.5	10,000+	3	Private	New York, New York
Neiman Marcus	0–2.5	10,000+	48	Private	Dallas, Texas
QVC Group	0–2.5	10,000+	2	Private	West Chester, Pennsylvania
Saks Fifth Avenue	0–2.5	5,001-10,000	60	Private	New York, New York
Belk	0–2.5	10,000+	291	Private	Charlotte, North Carolina
Bloomingdale's	0–2.5	5,001-10,000	67	Private	Long Island City, New York
Boscov's	0–2.5	5,001-10,000	52	Private	Reading, Pennsylvania
Jcpenney	0–2.5	10,000+	809	Private	Plano, Texas
Von Maur	0–2.5	1,001-5,000	41	Private	Davenport, Iowa
Saks Off 5th	0–2.5	1,001-5,000	92	Private	New York, New York
Lord & Taylor	0–2.5	1,001-5,000	9	Private	Dover, Delaware
Bergdorf Goodman	0–2.5	1,001-5,000	8	Private	New York, New York

Company Details

Target

Description

Target Corporation is an American retail company that operates a network of discount stores and online platforms, offering a broad range of consumer goods, including groceries, clothing, electronics and home products. The company also manages criminal forensics laboratories and maintains a global supply chain and sourcing network. Target serves individual consumers and businesses in the United States and internationally.

Company Total Revenue (2026)

$104.8bn

Industry Specific Revenue (2026)

$81.8bn

Industry Market Share (2026)

36%

Employees (2026)

10,000+

Headquarters

Minneapolis, Minnesota

Company Type

Public

Locations (Top 10)

Brooklyn Park, Pennsylvania

Other Industries

Online Children's Toy Sales in the US

Online Baby Product Sales in the US

A Full Locations list can be accessed in Atlas.

What's impacting Target's performance?

Investments in Target's supply chain and online operations

- Target Corporation has demonstrated resilience through strategic investments in e-commerce and supply chain optimization, resulting in steady revenue growth.
- The shift towards omni-channel retailing, including same-day delivery and curbside pickup, has strengthened customer engagement and loyalty. Investments in digital transformation and in expanding private-label offerings are vital to maintaining a competitive edge.
- Target continues to expand its product selection, reclassifying many of its stores outside of this industry. The remaining Target stores that operate as department stores focus on traditional apparel and cosmetic products.

You can view and download more company details on my.ibisworld.com.

Macy's

Description

Macy's, Inc. is an American retail company engaged in department store operations, offering a broad range of products, including fashion, beauty and home goods. The company operates under the brands Macy's, Bloomingdale's and Bluemercury, with flagship stores in Manhattan and a presence in the United States, Guam and Puerto Rico. Macy's, Inc. is also involved in the retail of housewares, clothing, footwear, jewelry, accessories, bedding and furniture.

Company Total Revenue (2026)

$21.8bn

Industry Specific Revenue (2026)

$21.7bn

Industry Market Share (2026)

9.5%

Employees (2026)

10,000+

Headquarters

New York, New York

Company Type

Public

Locations (Top 10)

Atlanta, Georgia | Houston, Texas | Los Angeles, California | Mason, Ohio | New York | San Francisco, California | Stone Mountain, Georgia

Other Industries

Online Handbag & Luggage Sales in the US

Retail Trade in the US

A Full Locations list can be accessed in Atlas.

What's impacting Macy's's performance?

Macy's harnesses AI for enhanced customer engagement

- The integration of in-store and online experiences has improved the customer shopping experience. Macy's enables customers to purchase products online and collect them quickly in-store, catering to shoppers who prioritize convenience. This initiative capitalizes on changing consumer behaviors, providing a seamless shopping experience to earn repeat business.
- In 2024, Macy's began partnering with Rokt to enhance its retail media business, using AI and machine learning to deliver customized post-purchase offers from non-endemic advertisers, increasing engagement, driving loyalty program enrollments and improving the entire shopping experience for both new and returning customers.

Macy's continues to promote new initiatives

- Chairman and Chief Executive Officer (CEO) Jeff Gennette announced that Macy's published its first Human Capital Report, which details diversity actions and that the company has been applying inclusion performance standards to its executive compensation plans.
- The company also added electric vehicle charging stations at 37 locations and continues to expand its active solar sites, which will help it avoid 46,000 metric tons of pollution.

You can view and download more company details on my.ibisworld.com.

Nordstrom

Description

Nordstrom, Inc. is an American retail company operating as a department store chain and online retailer. The company offers a broad range of fashion and home goods, including clothing, shoes, accessories, and home furnishings, serving both individual consumers and businesses. Nordstrom also operates cafes and restaurants within its stores and manages an online marketplace for third-party sellers. The company maintains a global presence, with operations in the United States, Canada, and Puerto Rico.

Company Total Revenue (2026)

$15.0bn

Industry Specific Revenue (2026)

$14.4bn

Industry Market Share (2026)

6.4%

Employees (2026)

10,000+

Headquarters

Seattle, Washington

Company Type

Public

Locations (Top 10)

Alpharetta, Georgia | Arcadia, California | Arlington, Texas | Arlington, Virginia | Atlanta, Georgia | Auburn, Washington | Austin, Texas | Aventura, Florida | Beachwood, Ohio | Beaverton, Oregon

Other Industries

Retail Trade in the US

A Full Locations list can be accessed in Atlas.

What's impacting Nordstrom's performance?

Nordstrom launches digital marketplace for personalized and convenient shopping experiences

- In 2024, Nordstrom launched a digital marketplace on Nordstrom.com that expands its online assortment with curated third-party brands through an unowned inventory model, enabling more personalized, convenient shopping and broader sizes and styles without significantly increasing Nordstrom's owned inventory risk.
- The company's expanding emphasis on the luxury and aspirational markets has reduced volatility relative to other retail segments. By curating high-end brands and forming exclusive partnerships, Nordstrom caters to wealthier customers who are less sensitive to economic downturns, thereby minimizing revenue fluctuations.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Department stores are affected by several import tariff duties incurred at the production level. A change in the tariff rate of a particular good may boost purchase costs.

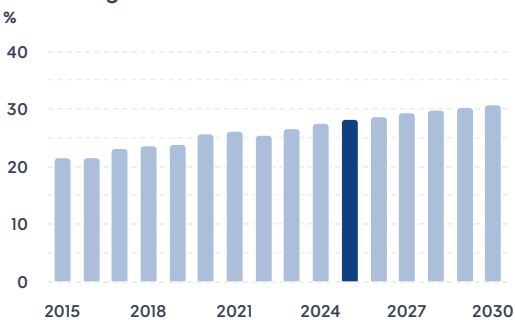
Individual states have regulations relevant to department stores. Congress and states enact trade regulations to maintain a free and competitive economy.

Regulation & Policy		Assistance	
Low	Steady	None	Steady

External Drivers

What demographic and macroeconomic factors impact the industry?

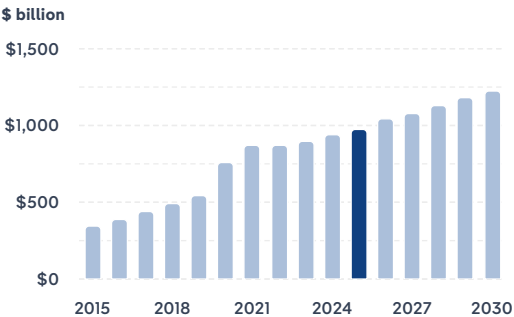
Percentage of business conducted online



IBISWorld Source: IBISWorld

E-commerce stores typically benefit from lower overhead costs compared to brick-and-mortar stores. Online retailers can offer lower prices, broader inventories and easy direct shipping. Many consumers have become more comfortable and familiar with online shopping because of the pandemic and the trend will continue. Department stores will leverage their brands to appeal to older consumers becoming more familiar with online shopping.

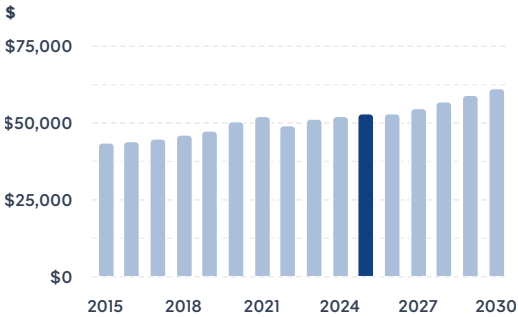
E-commerce sales



IBISWorld Source: IBISWorld

E-commerce sales refer to the number of consumers who use online services to purchase various products, rather than visiting brick-and-mortar stores. As e-commerce sales expand, sales are lost to online-only retailers not included in the industry. Department stores have established a strong online presence, but they can still struggle to compete with retailers with lower operating costs.

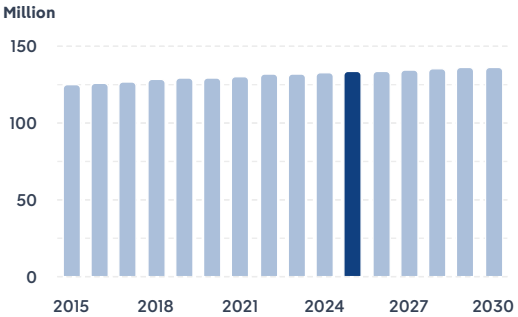
Per capita disposable income



IBISWorld Source: IBISWorld

Department store sales heavily depend on consumers' financial health, including their per capita disposable income. When disposable income is low, consumers cut back on spending by delaying purchases or buying inexpensive goods from substitute retailers, which harms industry performance. Declines in per capita disposable income levels pose a potential threat to the industry.

Number of households



IBISWorld Source: IBISWorld

Department stores sell a wide range of household products, including furniture, appliances and accessories. This indicator measures the size of the potential consumer base for department stores. When the number of households dips, spending at department stores will drop. Growth in the number of households represents a potential opportunity for the industry.

Regulation & Policy

Low Steady

What regulations impact the industry?

The Antitrust Laws

The most important laws under this category include the Sherman Antitrust Act, the Clayton Antitrust Act, the Hart-Scott-Rodino Act and the Robinson-Patman Act. These acts prohibit the formation of monopolies, ban price discrimination and offer protection to independent business owners. Individual states also have various antitrust laws. Customers have become increasingly concerned about the power of massive retailers, such as Macy's and Kohl's. Many retailers have posted record profit in recent years despite inflationary pressure and economic volatility, which have significantly impacted consumers.

United States labor laws

Retailers are subject to labor regulations. For example, the Fair Labor Standards Act mandates that department stores adhere to federal minimum wage standards, overtime pay and child labor laws. Increasing minimum wage requirements in many states have kept wage spending high, despite growing investment in labor-saving technologies, such as self-checkout kiosks and online ordering. The act ensures that employees are fairly compensated for all hours worked and protects young workers from exploitation and unfair labor practices.

Americans with Disabilities Act

The Americans with Disabilities Act (ADA) prohibits discrimination against people with disabilities in areas including employment, transportation, public accommodations, communications and access to state and local government programs and services. The ADA ensures all store areas, including aisles, checkout areas, restrooms and fitting rooms, are accessible to people using wheelchairs or other mobility devices. Bathrooms and parking lots must also be equipped to accommodate individuals with various disabilities. For department stores, all locations must be accessible to customers with disabilities.

Credit programs

The laws that impact credit programs offered by retailers include the Federal Consumer Credit Protection Act (also known as the Truth in Lending Act), which requires written disclosures of information relating to financing. According to the Federal Fair Credit Reporting Act, certain disclosures to potential customers about credit information can be used to deny credit. Also, the Federal Equal Credit Opportunity Act prohibits discrimination against credit applicants based on certain grounds. The Fair Debt Collection Practices Act governs the collection of credit card payments.

Environmental regulations

Department stores are subject to environmental regulations imposed by federal, state and local authorities. These regulations pertain to the generation, handling, storage, transportation and disposal of waste and biohazardous materials, as well as the sale and distribution of products. More stores are investing in energy-saving technologies, such as automatic lights, solar panels and recycled materials. In addition to the

intensifying government regulations, an increasing number of customers are purchasing based on environmental factors. Stores with a strong reputation for eco-friendliness will build market presence and attract more business.

Assistance

None Steady

What assistance is available to this industry?

Government

Department stores must navigate tax guidelines

Two specific types of taxes apply to department stores across the US, including sales and use taxes. Sales tax applies to the retail sales of tangible property, while use tax applies to purchasing an item from an out-of-state retailer for use in another state. In addition to the sales and use tax, local jurisdictions in each state are empowered to apply their local sales and use tax. Most department stores employ robust accounting departments that help prevent tax issues.

Tariffs expected to strengthen costs and economic uncertainty

Items commonly sold in department stores are subject to varying tariff levels, depending on the merchandise. For instance, tariffs on apparel range from 5.0% to 16.0%, while tariffs on footwear can be as high as 38.0%. The recent announcement of tariffs by the Trump administration will strengthen purchasing costs for upstream suppliers, ultimately leading to higher prices for department stores. Trump announced 25.0% tariffs on goods that do not satisfy the U.S.-Mexico-Canada Agreement (USMCA) rules of origin. Many products sold by department stores are sourced from foreign countries, so expanding these tariffs would directly influence industry performance.

Non-government

The National Retail Federation

The National Retail Federation (NRF) is the world's largest retail trade association. It conducts programs and services in research, education, training, information technology and government affairs to protect and advance the interests of businesses across the retail sector. The NRF fights for a level playing field for retailers, including fighting against policies that could harm the industry, such as "border adjustment taxes" that could strengthen the cost of imported goods.

Financial Benchmarks

Key Takeaways

Most department store costs are similar, but they can differ between companies of varying operating sizes and specialties. Larger retailers benefit from economies of scale, generating higher returns. In contrast, smaller retailers typically have lower profit and higher operating costs.

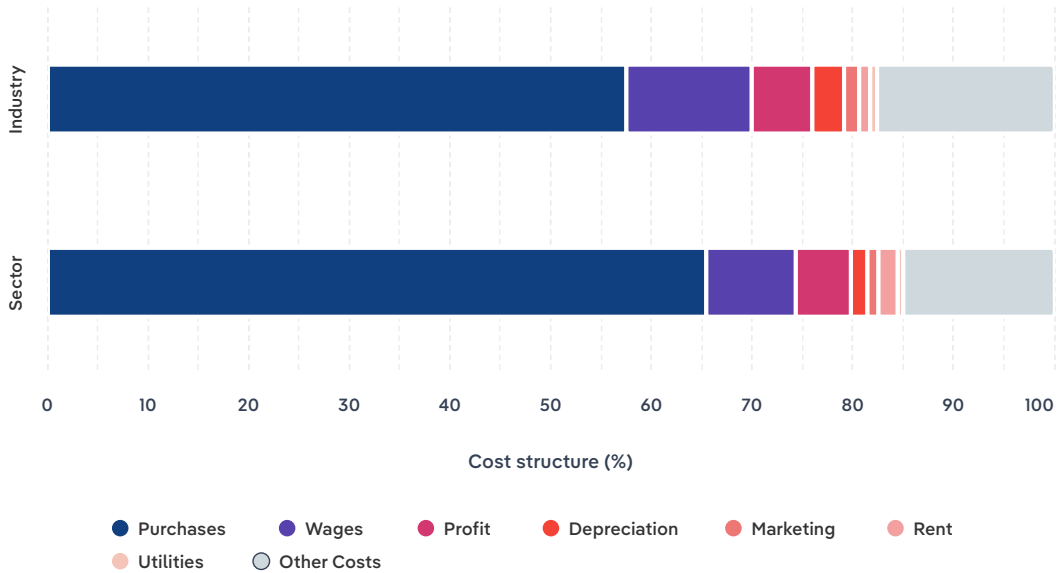
High-end clothing and accessories generate higher profit. Nonetheless, this may reverse in economic downturns, as individuals substitute low-cost products for luxury items, benefiting discount department stores.

Profit Margin	Average Wage	Largest Cost
6.0% ↑ Higher than sector	$22.1k ↓ Lower than sector	Purchases 57.5% of Revenue

Cost Structure

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2026



IBISWorld

Source: IBISWorld

What trends impact industry costs?

Purchases are the largest expense for department stores

- Purchases include apparel, furniture, appliances, hardware, jewelry, toys and all other items sold at industry establishments. In 2026, department stores are expected to dedicate 57.5% of revenue to purchasing costs. This figure has remained steady through the end of 2026.
- The economic recovery in 2022 helped department stores maintain demand. Also, more stores have strengthened their online presence,

opening them up to a wider market. Nonetheless, rising inflationary pressures have increased purchasing costs for retailers, leading to higher prices.

Wages are falling to keep the industry afloat

- Wages are on the rise, accounting for 12.5% of revenue in 2026. Employees are relied upon to arrange and stock product display shelves, handle cash, process transactions and assist customers with questions (e.g., which product to use for a specific job).
- Wage growth has been slow, as department stores have made more cost-cutting decisions to remain afloat because of competition from alternative retailers, such as online-based enterprises and discount stores that don't offer specialized customer service staff.

Department stores have had to make cost-cutting decisions to remain profitable while competing effectively

- Profit is expected to drop slightly through the end of 2026, accounting for 6.0% of revenue. Department stores have aggressively competed on prices to retain customers or steal business from supercenters and online retailers, resulting in price slashing and matching.
- Inflationary pressures have prompted the industry to strengthen profit by raising prices. This trend has challenged consumer demand, as shoppers can now shop at supercenters and online retailers, putting pressure on sales. More department stores are closing physical locations and lowering wage outlays to preserve profit.

Utility costs remain relatively steady

- Larger stores, such as Macy's and Nordstrom, have higher utility costs because these spaces require extensive lighting, heating and cooling. Geographic location also plays a crucial role: stores in colder climates incur higher heating costs, while those in hotter regions incur higher cooling costs.
- Companies like Kohl's have invested in solar energy and LED lighting to minimize expenses, reflecting a trend toward sustainability. Fluctuating energy prices and regulatory changes further impact overall utility expenditure.

Prime locations are becoming less important to success

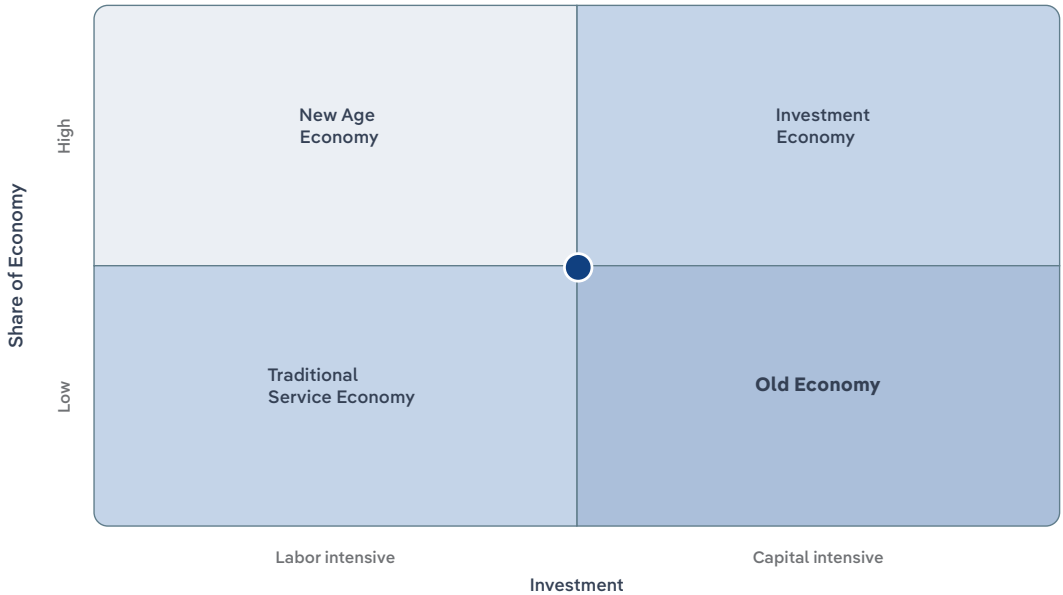
- Rent expenses are influenced by location, store size and market conditions. Prime urban areas, like New York City's Fifth Avenue, require higher rent payments because of increased foot traffic and prestige, impacting companies like Macy's. Store size is also pivotal; larger spaces, like those used by Bloomingdale's, incur higher expenditures.
- Market trends, such as shifts towards e-commerce, have led companies like Nordstrom to reassess their brick-and-mortar investments and negotiate leases accordingly. More companies are moving away from leasing costly, prime locations in favor of bolstering their online platforms and moving to suburban areas where rent is more affordable.

Marketing campaigns are influenced by consumer trends

- Consumer trends and economic conditions significantly influence how companies allocate their marketing budgets. For example, Macy's invests heavily in digital marketing to engage tech-savvy customers, especially during the holiday season. Technological advancements, such as AI for personalized marketing, require higher investment.
- Competitor strategies also influence spending; if one department store alters its promotions, others will follow to maintain their market share. Kohl's focuses on omnichannel marketing to enhance customer experience, while also marketing its sustainability initiatives to address environmental concerns.

Old Economy

Share of economy vs. Investment



IBISWorld

Source: IBISWorld

Financial Ratios

Days' Receivables	Interest Coverage	Debt/Net Worth
22.8 ↓ Lower than sector	0.8 ↓ Lower than sector	4.9 ↓ Lower than sector

Earnings Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	8.7	9.1	7.1	5.5	3.3	5.3	6.8	6.7
EBITDA/Revenue	11.8	12.1	10.3	8.5	6.8	8.6	9.9	9.7
Leverage Ratio	8.5	8.2	9.7	11.8	14.7	12.0	10.6	8.3

Income Statement

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Advertising	1.1	1.2	0.3	1.1	1.0	0.8	0.9	0.9
Amortization	1.1	1.2	0.5	0.9	1.9	1.1	1.1	1.0
Bad debts	0.3	0.4	0.1	0.1	0.3	0.2	0.2	0.3
Business receipts	95.9	96.4	98.4	97.8	97.0	97.7	97.1	97.1
Charitable contributions	0.3	0.4	0.0	0.0	0.4	0.1	0.2	0.2

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Compensation of officers	2.4	2.2	1.8	2.4	3.2	2.5	2.4	2.3
Cost of goods	65.3	66.9	69.5	67.9	65.1	67.5	67.0	68.1
Depletion	0.0	0.0	0.6	0.1	0.0	0.2	0.1	0.1
Depreciation	1.9	1.8	2.1	2.0	1.6	1.9	1.9	1.9
Dividends, domestic corporations	0.3	0.4	0.1	0.0	0.0	0.1	0.2	0.2
Employee benefit programs	1.7	1.6	1.1	1.3	4.0	2.1	2.0	1.7
Expenses	65.3	66.9	69.5	67.9	65.1	67.5	67.0	68.1
Gross Profit	34.7	33.1	30.5	32.1	34.9	32.5	33.0	31.9
Interest Income	0.8	1.0	0.2	0.7	0.0	0.3	0.5	0.6
Interest Paid	1.6	1.6	1.4	2.0	3.9	2.4	2.1	1.8
Net gain, noncapital assets	0.1	0.1	0.2	0.1	0.0	0.1	0.1	0.1
Net Income	5.4	5.8	5.0	1.9	-2.1	1.6	3.2	3.5
Net L-T cap gain less net ST loss	1.0	0.0	0.5	0.2	2.8	1.2	0.9	0.5
Net loss, noncapital assets	0.4	0.5	0.1	0.1	0.6	0.3	0.3	0.4
Net S-T cap gain less net LT loss	0.0	0.1	0.1	0.0	0.1	0.1	0.1	0.1
Other deductions	3.4	2.8	6.5	4.5	5.3	5.4	4.5	4.4
Other receipts	0.5	0.5	0.5	0.5	0.0	0.3	0.4	0.4
Pension, profit sharing plans, stock, annuity	0.4	0.4	0.4	0.7	0.8	0.6	0.5	0.4
Rent Income	0.6	0.7	0.1	0.1	0.0	0.0	0.3	0.4
Rent paid	2.2	2.1	1.4	2.3	2.3	2.0	2.1	2.0
Repairs	0.6	0.6	0.5	0.4	0.2	0.4	0.5	0.5
Royalties	0.9	1.0	0.0	0.6	0.1	0.2	0.5	0.6
Salaries and wages	9.6	8.6	7.9	10.7	10.1	9.6	9.4	8.8
Sales/Fixed Assets	2.3	1.6	1.4	1.6	1.2	1.4	1.6	2.6
Taxes paid	1.7	1.6	0.7	1.6	1.5	1.3	1.4	1.4
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Balance Sheet

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Accounts payable	12.1	14.1	7.3	8.2	14.3	10.0	11.2	9.4
Accumulated amortization	0.2	0.1	1.6	2.0	0.5	1.4	0.9	0.6
Accumulated depletion	0.2	0.0	0.3	0.2	0.0	0.2	0.1	0.1
Accumulated depreciation	4.7	15.1	19.1	16.4	30.6	22.0	17.2	15.6
Additional paid-in capital	22.6	41.9	16.8	25.9	27.7	23.5	27.0	29.6
Allowance for bad debts	0.3	0.4	0.1	1.1	0.1	0.4	0.4	0.5

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Capital stock	4.0	2.6	5.1	-1.2	-9.4	-1.8	0.2	2.7
Cash and Equivalents	2.5	2.5	0.9	2.9	2.2	2.0	2.2	1.9
Cost of treasury stock	7.0	4.5	6.9	7.5	5.8	6.7	6.3	4.4
Current Assets	24.1	18.1	38.7	37.6	17.5	31.3	27.2	24.0
Current Liabilities	25.6	24.1	21.6	22.8	24.2	22.9	23.7	21.0
Depletable assets	0.3	0.4	0.6	1.0	0.1	0.6	0.5	0.4
Government Obligations	1.8	0.9	0.0	0.8	0.0	0.3	0.7	1.1
Intangible assets (Amortizable)	2.4	3.4	10.7	11.2	1.0	7.6	5.7	5.2
Inventories	16.9	10.6	25.9	18.9	7.1	17.3	15.9	14.9
Land	6.2	7.5	5.9	4.6	6.3	5.6	6.1	7.1
Loans from shareholders	0.1	11.7	1.6	7.4	2.5	3.8	4.6	8.4
Loans to shareholders	2.0	4.8	0.0	1.5	0.2	0.6	1.7	2.8
Mort, notes, and bonds under 1 yr	5.7	0.9	10.5	11.0	5.5	9.0	6.7	4.6
Mort, notes, bonds, 1 yr or more	26.3	26.2	34.4	31.6	43.8	36.6	32.5	30.7
Mortgage and real estate loans	1.9	0.4	0.3	3.9	0.1	1.4	1.3	1.0
Net worth	36.8	33.6	36.1	29.8	20.4	28.8	31.3	33.7
Notes and accounts receivable	0.8	1.2	7.7	9.6	6.2	7.8	5.1	3.2
Other assets	10.4	13.9	10.1	7.0	20.3	12.5	12.4	13.6
Other current assets	1.5	2.2	2.6	3.4	0.8	2.3	2.1	1.6
Other current liabilities	7.8	9.1	3.8	3.5	4.3	3.9	5.7	7.0
Other investments	28.0	29.5	20.6	25.3	38.7	28.2	28.4	30.3
Other liabilities	11.3	4.5	6.3	8.4	9.1	8.0	7.9	6.2
Property, Plant and Equipment	30.5	38.1	34.4	28.7	47.2	36.8	35.8	33.1
Retained earnings, appropriated	-0.1	-5.8	0.6	-1.2	-10.0	-3.5	-3.3	-2.7
Retained earnings-unappropriated	17.3	-0.8	20.5	13.9	17.9	17.4	13.8	8.5
Tax Exempt Securities	0.4	0.5	1.5	1.1	1.1	1.2	0.9	0.7
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Liquidity Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Current Ratio	0.9	0.8	1.8	1.7	0.7	1.4	1.2	1.2
Days' Inventory	94.2	57.9	135.7	101.4	39.6	92.2	85.8	62.2

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Days' Payables	67.3	77.1	38.3	44.1	80.3	54.3	61.4	41.5
Days' Receivables	2.9	4.2	27.9	34.9	22.8	28.5	18.5	10.5
Inventory Turnover	3.9	6.3	2.7	3.6	9.2	5.2	5.1	7.5
Payables Turnover	5.4	4.7	9.5	8.3	4.5	7.5	6.5	34.0
Quick Ratio	0.3	0.3	0.6	0.8	0.4	0.6	0.5	0.5
Sales/Receivables	127.7	86.5	13.1	10.5	16.0	13.2	50.7	107.5
Sales/Working Capital	-67.0	-16.1	5.8	6.6	-14.4	-0.7	-17.0	-21.8

Coverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt Service Coverage Ratio	2.1	13.3	18.3	23.5	16.2	19.3	14.7	11.1
Interest Coverage	5.4	5.6	5.1	2.7	0.9	2.9	3.9	4.1

Leverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt/Net Worth	2.7	3.0	2.8	3.4	4.9	3.7	3.3	3.1
Fixed Assets/Net Worth	1.2	1.9	2.0	2.2	4.2	2.8	2.3	2.0
Tangible Net Worth	36.8	33.6	36.1	29.8	20.4	28.8	31.3	33.7

Operating Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	8.7	9.1	7.1	5.5	3.3	5.3	6.8	6.7
EBITDA/Revenue	11.8	12.1	10.3	8.5	6.8	8.6	9.9	9.7
Return on Assets, %	8.7	9.1	7.1	5.5	3.3	5.3	6.8	9.7
Sales/Total Assets	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.4

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Cash after Operations	-1.1	23.7	8.0	22.2	23.8	18.0	15.3	17.2
Cash from Trading	13.4	37.7	26.7	40.1	37.2	34.6	31.0	31.6
Debt Service P&I Coverage	-0.4	4.6	1.0	1.4	2.2	1.6	1.8	2.8
Interest Coverage (Operating Cash)	-2.3	13.1	9.8	11.0	6.5	9.1	7.6	9.6
Net Cash after Operations	-3.7	21.4	13.8	22.2	25.4	20.5	15.8	16.9

Industry Tax Structure

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.7	1.6	0.7	1.6	1.5	1.3	1.4	1.4

Valuation Multiples

Earnings Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EV/Revenue	0.7	0.7	0.8	0.8	0.7	0.8	0.7	0.8
EV/EBITDA	2.8	2.9	7.9	9.1	10.3	9.1	6.6	5.5
EV/EBIT	3.8	3.8	11.5	14.0	21.2	15.5	10.8	8.7

Key Ratios

Year	Revenue per Employee ($k)	Revenue per Enterprise ($m)	Employees per Establishment (Units)	Employees per Enterprise (k)	Average Wage ($k)	Wages/ Revenue (%)	Establishments per Enterprise (Units)	IVA/Revenue (%)
2005	238.2	969.3	150.6	4.1	29.2	12.3	27.0	23.7
2006	215.6	892.9	153.7	4.1	29.0	13.4	26.9	25.5
2007	195.1	715.2	160.1	3.7	28.3	14.5	22.9	25.2
2008	227.2	2,120.5	146.6	9.3	27.5	12.1	63.7	23.5
2009	229.5	4,795.0	138.1	20.9	28.8	12.5	151.3	23.9
2010	230.3	4,060.7	135.2	17.6	29.3	12.7	130.4	23.8
2011	217.1	3,395.1	139.5	15.6	28.3	13.1	112.1	23.8
2012	228.5	3,346.1	132.4	14.6	25.9	11.3	110.6	21.5
2013	226.2	9,666.7	128.0	42.7	25.9	11.5	333.9	21.0
2014	220.8	9,268.5	130.8	42.0	26.3	11.9	320.9	20.6
2015	217.5	7,160.3	128.9	32.9	27.7	12.7	255.4	18.4
2016	210.9	2,977.2	122.3	14.1	27.1	12.9	115.4	22.2
2017	205.1	5,689.8	137.1	27.7	25.4	12.4	202.4	17.8
2018	203.1	6,233.6	134.1	30.7	24.6	12.1	228.9	21.4
2019	201.3	5,977.1	132.5	29.7	24.0	11.9	224.1	19.1
2020	202.1	6,264.3	128.2	31.0	24.0	11.9	241.8	19.8
2021	191.9	5,484.5	129.5	28.6	23.5	12.2	220.8	21.7
2022	177.2	4,731.7	130.6	26.7	22.1	12.5	204.5	22.4
2023	177.1	4,627.9	130.6	26.1	22.1	12.5	200.2	21.6
2024	177.9	4,711.8	131.5	26.5	22.1	12.4	201.3	21.6
2025	177.8	4,755.1	131.2	26.7	22.1	12.5	203.9	21.7
2026	176.6	4,633.9	130.3	26.2	22.1	12.5	201.5	21.7
2027	174.3	4,543.7	128.7	26.1	22.0	12.7	202.6	21.9
2028	172.2	4,391.4	127.4	25.5	22.0	12.8	200.2	22.0
2029	170.8	4,324.0	126.4	25.3	22.0	12.9	200.3	22.0
2030	170.1	4,280.7	125.7	25.2	21.9	12.9	200.2	22.0
2031	169.8	4,268.8	125.3	25.1	21.9	12.9	200.7	22.0
2032	169.0	4,214.3	124.5	24.9	21.9	13.0	200.3	22.0

Key Statistics

Industry Data

Values

Year	Revenue ($m)	IVA ($m)	Establishments (Units)	Enterprises (Units)	Employment (Units)	Exports ($m)	Imports ($m)	Wages ($m)
2005	370,009.7	70,562.8	10,484	388	1,578,735	0.0	0.0	45,408.4
2006	357,548.7	71,311.6	10,965	407	1,685,516	0.0	0.0	48,013.1
2007	345,480.8	71,015.0	11,241	491	1,799,996	0.0	0.0	50,142.4
2008	323,358.8	57,501.5	9,869	155	1,446,797	0.0	0.0	39,164.5
2009	306,622.7	56,686.4	9,833	65	1,358,341	0.0	0.0	38,421.2
2010	303,623.8	55,624.2	9,910	76	1,339,931	0.0	0.0	38,621.2
2011	297,297.3	52,492.8	9,978	89	1,391,863	0.0	0.0	38,817.2
2012	286,388.6	42,421.0	9,621	87	1,273,793	0.0	0.0	32,397.4
2013	275,784.0	41,495.3	9,684	29	1,239,170	0.0	0.0	31,567.1
2014	273,582.0	40,571.5	9,627	30	1,259,514	0.0	0.0	32,637.6
2015	267,646.2	54,922.9	9,705	38	1,251,242	0.0	0.0	34,046.6
2016	251,864.2	42,703.0	9,926	86	1,214,103	0.0	0.0	32,390.2
2017	240,679.9	43,232.9	8,747	69	1,193,160	0.0	0.0	29,856.2
2018	233,046.3	39,441.6	8,712	50	1,166,412	0.0	0.0	28,277.5
2019	223,459.9	39,058.7	8,497	39	1,128,103	0.0	0.0	26,672.7
2020	215,727.9	36,907.4	8,343	33	1,084,969	0.0	0.0	25,568.7
2021	226,648.1	39,104.9	9,406	37	1,200,335	0.0	0.0	27,740.1
2022	218,790.3	38,587.2	9,681	48	1,254,986	0.0	0.0	27,302.7
2023	218,521.3	38,248.8	9,688	49	1,254,690	0.0	0.0	27,289.6
2024	222,468.9	38,662.8	9,751	49	1,271,385	0.0	0.0	27,678.9
2025	224,148.6	38,748.1	9,878	49	1,283,042	0.0	0.0	27,924.1
2026	223,305.6	38,640.0	9,977	50	1,286,488	0.0	0.0	27,963.1
2027	218,951.1	37,974.3	10,044	50	1,278,244	0.0	0.0	27,710.7
2028	216,188.0	37,604.0	10,160	51	1,277,739	0.0	0.0	27,632.0
2029	213,710.4	37,186.1	10,181	51	1,271,808	0.0	0.0	27,466.0
2030	211,463.1	36,772.8	10,182	51	1,264,306	0.0	0.0	27,278.7
2031	210,395.6	36,540.6	10,205	51	1,261,331	0.0	0.0	27,199.8

Annual Change

Year	Revenue (%)	IVA (%)	Establishments (%)	Enterprises (%)	Employment (%)	Exports (%)	Imports (%)	Wages (%)
2006	-3.4	1.1	4.6	4.9	6.8	0.0	0.0	5.7
2007	-3.4	-0.4	2.5	20.6	6.8	0.0	0.0	4.4
2008	-6.4	-19.0	-12.2	-68.4	-19.6	0.0	0.0	-21.9
2009	-5.2	-1.4	-0.4	-58.1	-6.1	0.0	0.0	-1.9
2010	-1.0	-1.9	0.8	16.9	-1.4	0.0	0.0	0.5
2011	-2.1	-5.6	0.7	17.1	3.9	0.0	0.0	0.5
2012	-3.7	-19.2	-3.6	-2.2	-8.5	0.0	0.0	-16.5
2013	-3.7	-2.2	0.7	-66.7	-2.7	0.0	0.0	-2.6
2014	-0.8	-2.2	-0.6	3.4	1.6	0.0	0.0	3.4
2015	-2.2	35.4	0.8	26.7	-0.7	0.0	0.0	4.3
2016	-5.9	-22.2	2.3	126.3	-3.0	0.0	0.0	-4.9
2017	-4.4	1.2	-11.9	-19.8	-1.7	0.0	0.0	-7.8
2018	-3.2	-8.8	-0.4	-27.5	-2.2	0.0	0.0	-5.3
2019	-4.1	-1.0	-2.5	-22.0	-3.3	0.0	0.0	-5.7
2020	-3.5	-5.5	-1.8	-15.4	-3.8	0.0	0.0	-4.1
2021	5.1	6.0	12.7	12.1	10.6	0.0	0.0	8.5
2022	-3.5	-1.3	2.9	29.7	4.6	0.0	0.0	-1.6
2023	-0.1	-0.9	0.1	2.1	-0.0	0.0	0.0	-0.0
2024	1.8	1.1	0.7	0.0	1.3	0.0	0.0	1.4
2025	0.8	0.2	1.3	0.0	0.9	0.0	0.0	0.9
2026	-0.4	-0.3	1.0	2.0	0.3	0.0	0.0	0.1
2027	-2.0	-1.7	0.7	0.0	-0.6	0.0	0.0	-0.9
2028	-1.3	-1.0	1.2	2.0	-0.0	0.0	0.0	-0.3
2029	-1.1	-1.1	0.2	0.0	-0.5	0.0	0.0	-0.6
2030	-1.1	-1.1	0.0	0.0	-0.6	0.0	0.0	-0.7
2031	-0.5	-0.6	0.2	0.0	-0.2	0.0	0.0	-0.3

Figures are inflation adjusted to 2025-2026

Key Success Factors

Key Success Factors

How do successful businesses overcome volatility?

Ability to expand and curtail operations rapidly in line with market demand

Department stores must expand their operations during peak periods to meet increased demand (e.g., the winter holiday season) and curtail operations in weaker conditions (e.g., an economic slowdown).

Change or diversify markets

Department stores have expanded their focus on serving younger shoppers who prefer shopping online. Most department stores have set up online websites to cater to these customer groups.

What products or services do successful businesses offer?

Attractive product presentation

Department stores require an effective layout and design, good shelf management, friendly and helpful service and a clean environment. These conditions ensure customers are comfortable and can easily navigate the store.

Effective product promotion

Successful department stores will boost sales through effective advertising and marketing initiatives. Social media marketing campaigns have become more important.

Having a wide and expanding product range

Department stores offering a diverse range of products and brands will attract customers, as they can position themselves as convenient one-stop shops.

How do businesses use location to their advantage?

Operate in a highly visible location

Foot traffic is important to department stores, so many of them are located in densely populated areas. Impulse purchases are still a major driver of performance, so being easily visible is a great way to attract more business.

Operate in a location that is close to key markets

Customers tend to shop at stores that are near them to reduce traveling time and costs. The popularity of online shopping has diminished customer willingness to travel a significant distance to visit a department store.

How do successful businesses handle concentration?

Control total supply on market

Large department store chains can stock high-end brands that are inaccessible in other retailers or online stores. The popularity of online retailers and fast fashion trends has made controlling supply more difficult.

Develop a strong reputation

Large department stores, such as Macy's, Saks Fifth Avenue, and Bloomingdale's, have a reputation for excellent customer service and a wide selection of products.

How can potential entrants overcome barriers to entry?

Develop a skilled labor force

Customer service is essential for attracting and retaining customers. Sales associates must be carefully trained to help customers in an efficient and respectful way.

Develop links with suppliers

Department stores must attract shoppers by stocking the latest products in the largest variety. The growing prevalence of online retailers has made this even more important.

How do successful businesses compete with substitutes?

Develop a loyal customer base

Superior customer service can help retain repeat customers, preventing them from turning to online stores. Many consumers cite frustrations with online agents and other customer service difficulties as their biggest issues with online shopping.

Effective product promotion

Successful department stores will benefit the industry through effective advertising and marketing initiatives. This will help reinforce the status of department stores in the retail landscape.

How do successful businesses manage buyer & supplier power?

Having a wide and expanding product range

Department stores offering a diverse range of products and brands will likely attract customers, as they can market themselves as a convenient one-stop shop.

Secure economies of scale

Sufficient economies of scale reduce per-unit cost, allowing department stores to pass on cost savings to customers via lower prices. This gives them an advantage over smaller retailers.

Call Preparation Questions

Role Specific Questions

Sales & Marketing

Does your company specialize in one corner of the market or do you retail a diversified range of products?

- Department stores sell a wide range of products, from apparel to home furniture to hobby goods. However, in recent years, many stores have expanded to include groceries, which has removed them from the industry.
- Providing a range of products has kept the industry insulated from significant consumer trends and seasonality changes.

Are your sales heavily dependent on wealthy consumers or households?

- While some stores target mid- to low-earning consumers, including Walmart and Sears, others target wealthy consumers. These high-end retailers rely on sales from wealthy shoppers.

Strategy & Operations

What steps do you take to retain talented employees with specialized knowledge?

- Retaining talented employees has become increasingly important in this industry as the internet and e-commerce sites have siphoned customers from these brick-and-mortar stores. Well-trained employees help retain customers.

Have rising input costs negatively affected your company's sales? Are changes in input costs passed on to consumers?

- Input costs, including cotton and tariff prices, heavily influence the industry since purchases represent more than 50.0% of revenue.
- For example, the prices of leather and cotton are key inputs in many accessories and clothing items. Changes in these input prices have an influence on final product prices.

Technology

Does your company use point-of-sale (POS) systems to keep the most popular products in stock?

- Point-of-sale (POS) systems have become commonplace since having sufficient stock of popular items has become increasingly important.
- POS systems enable stores to better manage inventory and sales.

Have you been able to reduce wage costs through automation in recent years?

- Department stores have relied more on employee contribution to differentiate from e-tailers.
- Wages have increased as a revenue share as companies seek to provide added services in stores that online retailers lack.

Compliance

What does your company do to remain compliant with consumer regulations?

- Most department stores are large enough to employ in-house compliance teams that ensure compliance with the new regulations.

Have any regulatory expenses significantly impacted profitability?

- The industry is sensitive to tariff changes, although this factor hasn't fluctuated much recently.

Finance

How does your company's profit compare with your main competitors'?

- Profit margins for most all department stores have contracted in recent years in response to mounting competition from online sales.

How does your company compensate for cash flow seasonality?

- Cash flow within this industry is seasonal, with high demand during the winter holiday months. Many stores offer promotions during other parts of the year to compensate.

External Impacts Questions

Percentage of services conducted online

To what degree do online retailers affect your performance? Do you adjust your prices to compete better?

- An increase in the percentage of services conducted online will likely decrease demand for traditional brick-and-mortar stores.
- Although industry stores have expanded their online offerings to better compete with online-only retailers, this revenue is not accounted for in the industry.

Import penetration into the manufacturing sector

How has import penetration affected your revenue? Have imports pressured you to lower your prices?

- As import penetration increases, more low-cost imports are made available, which lowers the price tag on many items retailed by department stores.
- Growth in per-capita disposable income supports demand for department store's imported high-end products rather than imported fast fashion brands.

Per capita disposable income

How do changes in disposable income affect your revenue? Do you offer goods at a variety of price points, or do you target specific consumers?

- When disposable income is low, consumers cut back on spending by delaying purchases or buying inexpensive goods, which decreases revenue.
- In recent years, department stores have contended with mounting competition from online retailers.

Internal Issues Questions

Experienced work force

How do you hire workers? How many workers are necessary for efficient operations?

- Department stores require sales staff that are friendly, helpful and provide excellent customer service. Stores must employ enough workers to provide sufficient service.

Ability to expand and curtail operations rapidly in line with market demand

What systems can you use to effectively control costs? How do you account for seasonality when preparing?

- Department stores need to be able to expand operations during peak periods to meet increased demand (i.e. winter holiday season) but also curtail operations during weaker conditions (i.e. economic slowdown).

Attractive product presentation

What steps do you take to ensure clean and enticing product placement? Can your displays better attract customers?

- Department stores require an effective layout and design, good shelf management, friendly and helpful service and a clean environment.

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Department Stores in the US

On sale: Expanding competition from e-commerce businesses will pressure industry revenue

Matthew Buchko
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About

IBISWorld specializes in industry research with coverage on thousands of global industries. Our **comprehensive data and in-depth analysis** help businesses of all types gain quick and actionable insights on industries around the world. Busy professionals can spend less time researching and preparing for meetings, and more time focused on making strategic business decisions.

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About This Industry

Definition

Department stores retail a broad range of general merchandise, including apparel, jewelry, cosmetics, home furnishings, household products, toys, appliances and sporting goods. Discount department stores, which are also part of this industry, offer similar lines of goods at low prices. However, this industry does not include big-box retailers and supercenters that offer fresh groceries in their stores, as well as warehouse clubs that operate under membership programs.

Codes

NAICS

2022	45511 – Department Stores
2022	455110 – Department Stores
2022	5311 – Lessors of Real Estate
2017	452210 – Department Stores
2017	5311 – Lessors of Real Estate

ISIC

2006	4719 – Other retail sale in non-specialized stores

What's Included

- Retailing apparel and accessories
- Retailing appliances and home furnishings
- Retailing other general merchandise
- Retailing toys and sporting goods

Companies

- Target
- Macy's
- Nordstrom
- Ross Dress for Less
- Kohl's
- Big Lots
- Kmart
- Shop My Exchange
- Bonton
- Neiman Marcus
- QVC Group
- Saks Fifth Avenue
- Belk
- Bloomingdale's
- Boscov's
- Jcpenney
- Von Maur
- Saks Off 5th
- Lord & Taylor
- Bergdorf Goodman

Related Industries

Domestic industries

Competitors

- Dollar & Variety Stores in the US
- Warehouse Clubs & Supercenters in the US

Complementors

- Supermarkets & Grocery Stores in the US

International industries

- Department Stores in Australia
- Department Stores in Canada
- Discount Department Stores in Australia
- Cosmetic Retailing in the UK
- Clothing Retailing in New Zealand

Related Terms

BIG-BOX RETAILER

A relatively new store format characterized by its large size. These stores sell similar merchandise to department stores, but also offer a selection of grocery items. Also referred to as supercenters.

BLACK FRIDAY

The day following Thanksgiving in the United States traditionally marks the beginning of the Christmas shopping season. Many retailers offer sales with heavy discounts.

BRICK-AND-MORTAR

A store that has a physical presence and location, as opposed to an online retailer.

POINT-OF-SALE (POS)

A system used at checkout in retail stores using computers and cash registers to capture transaction data at the time of sale.

RADIO-FREQUENCY IDENTIFICATION (RFID)

A technology that tracks products from the time they leave the assembly line to the time they leave the store by releasing continuous signals from a chip.

Additional Resources

- US Census Bureau
- American Apparel & Footwear Association
- National Retail Federation
- International Council of Shopping Centers

At a Glance

Revenue		Employees		Businesses	
$227.1bn	2021-26 ↓ 0.3% 2026-31 ↓ 1.2%	1.3m	2021-26 ↑ 1.4% 2026-31 ↓ 0.5%	49	2021-26 ↑ 3.1% 2026-31 ↑ 0.4%
Profit		**Profit Margin**		**Wages**	
$13.6bn	2021-26 ↓ 0.6%	6.0%	2021-26 ↓ 0.1pp	$28.4bn	2021-26 ↑ 0.2% 2026-31 ↓ 0.6%

ⓘ Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue ($bn)	Market Share (%)
Target	81.8	36.0
Macy's	21.7	9.5
Nordstrom	14.4	6.4
Other Companies	109.2	48.1

Products & Services

Item	Revenue ($bn)	Market Share (%)
Apparel and footwear	147.4	64.9
Other	33.2	14.6
Drugs and cosmetics	25.9	11.4
Home goods and appliances	19.1	8.4
Toys and hobbies	1.6	0.7

Key External Drivers

Driver	Impact
Percentage of business conducted online	Negative
E-commerce sales	Negative
Per capita disposable income	Positive
Number of households	Positive

Key Takeaways

Performance

Several large retailers, such as Target, are being reclassified as supercenters by expanding their product offerings to include groceries and other essentials. This places greater pressure on the industry, which has historically maintained a steady share of the retail sector.

Department stores that can't afford to convert to supercenters must adapt. Stores that continue to operate as on-site retailers are expected to lose market share compared to those that integrate the latest online shopping capabilities.

Products and Markets

Tariffs on upstream suppliers will raise production costs for manufacturers. This creates additional strain as retailers struggle to absorb these costs without alienating price-sensitive consumers, particularly in discretionary categories like cookware and textiles.

The latest tariff hikes will boost costs for department stores that rely on imported goods, such as apparel and home goods. These cost hikes will pressure profit, especially for stores with private-label offerings sourced directly from Asia, such as Macy's and Kohl's, which already have limited pricing power

There are two types of department stores: up-market department stores and their discount variety counterparts. Both retail an assortment of general merchandise.

Department store products are enduring bolstered competition from online retailers. Most resellers have established websites and online platforms to sell their products to a wide audience.

SWOT

Strengths	Low Customer Class Concentration Low Imports
Weaknesses	Decline Life Cycle Stage High Competition High Product/Service Concentration Low Revenue per Employee None & Steady Level of Assistance
Opportunities	Number of households
Threats	Low Outlier Growth Low Revenue Growth (2021-2026) Per capita disposable income

Industry Structure

Characteristic	Level & Trend
Concentration	Moderate
Barriers to Entry	Moderate, Steady
Regulation and Policy	Low, Steady
Life Cycle	Decline
Revenue Volatility	Moderate
Assistance	None, Steady
Competition	High, Increasing
Innovation	Moderate

Executive Summary

On sale: Expanding competition from e-commerce businesses will pressure industry revenue

Department stores continue to contend with a shifting retail landscape, where newer, online retailers are able to quickly adapt to the latest trends and challenges. Industry revenue fell consistently between 2005 and 2020, before exhibiting modest gains in recent years. The recent uptick in revenue is a result of pandemic-related losses to begin the period in 2020, alongside favorable gains in sales because of investments in online platforms. Industry performance has been challenged by rising inflationary pressure since 2022 and the competitive presence of e-commerce rivals. Another rising trend is the increasing number of major retailers that have expanded their product ranges to include groceries, providing a heightened level of convenience. This transitions the revenue of these retailers to the Warehouse Clubs and Supercenters industry (IBISWorld report 45291), reducing industry participation. Revenue for department stores is expected to climb at a CAGR of 1.4% to $231.6 billion through the end of 2025, including a hike of 1.6% in 2025 alone, when profit will account for 3.7% of revenue.

Online companies are increasingly undercutting traditional department store prices to save on operational costs. Companies with brick-and-mortar stores incur higher operational costs than online-based businesses because they pay for high-traffic retail space and require sales associates. Retailers have lowered selling prices and offered increased promotional deals to better compete. In April 2024, Nordstrom launched its digital Marketplace to expand its online presence and appeal to a wider audience. Through online platforms, retailers can offer a wider selection of brands, sizes and products. Similarly, department stores have since launched their digital stores and integrated them into their operations to provide an omnichannel shopping experience. While these efforts have helped retain some customers, profit has dropped because of inflationary pressures on the industry, resulting in retailers making more cost-cutting decisions, which has tempered declines.

In the coming years, accelerating competition from e-commerce businesses and the transition of department stores to supercenters will continue to pressure revenue. Some department stores will shutter more locations. However, disposable income growth will help alleviate the pressure spurred by greater competition. Department stores like Macy's and Nordstrom will continue to benefit from strong brand recognition, particularly as older customers become more comfortable with online shopping. Investments in online platforms will pay off for retailers, helping department stores become more competitive in a challenging business landscape. Revenue for department stores is expected to slump at a CAGR of 1.2% to $211.5 billion through the end of 2030.

Performance

Key Takeaways

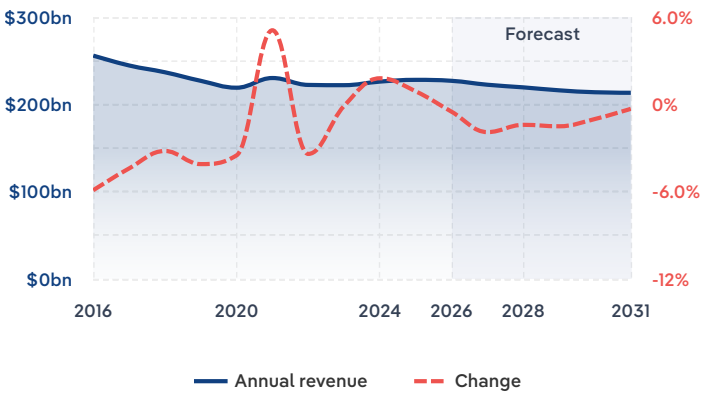
Several large retailers, such as Target, are being reclassified as supercenters by expanding their product offerings to include groceries and other essentials. This places greater pressure on the industry, which has historically maintained a steady share of the retail sector.

Department stores that can't afford to convert to supercenters must adapt. Stores that continue to operate as on-site retailers are expected to lose market share compared to those that integrate the latest online shopping capabilities.

Performance Snapshot

Revenue

Total value ($) and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Revenue
$227.1bn
2021-26 ↓ 0.3%
2026-31 ↓ 1.2%

2026 Revenue Growth
-0.5% ↓ Decreasing

Revenue Volatility
Moderate

Employees

Total number of employees and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

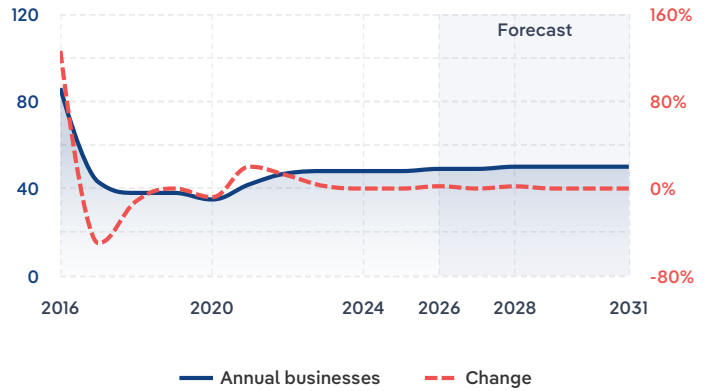
Employees
1.3m
2021-26 ↑ 1.4%
2026-31 ↓ 0.5%

Employees per Business
26.2k
2021-26 ↓ 1.7%
2026-31 ↓ 0.9%

Revenue per Employee
$176.6k
2021-26 ↓ 1.7%
2026-31 ↓ 0.8%

Businesses

Total number of businesses and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Businesses

49

2021-26 ↑ 3.1%

2026-31 ↑ 0.4%

Employees per Business

26.2k

2021-26 ↓ 1.7%

2026-31 ↓ 0.9%

Revenue per Business

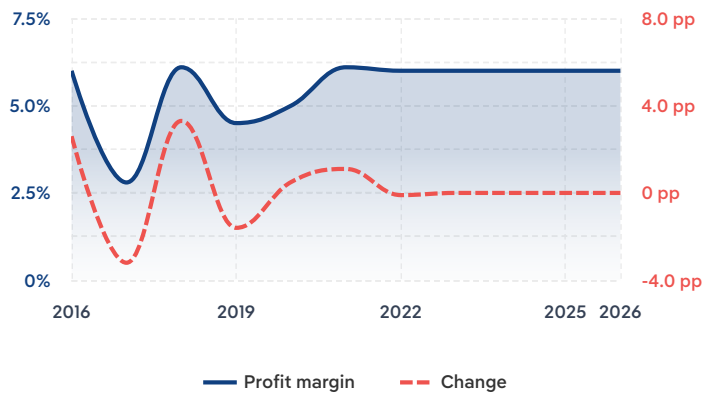
$4.6bn

2021-26 ↓ 3.3%

2026-31 ↓ 1.6%

Profit Margin

Total profit margin (%) and annual change from 2016 – 2026



IBISWorld Source: IBISWorld

Total Profit

$13.6bn

2021-26 ↓ 0.6%

Profit Margin

6.0%

2021-26 ↓ 0.1pp

Profit per Business

$278.0m

Current Performance

↓2021-26 Revenue CAGR: -0.3%

What's driving current industry performance?

Department stores are battling online competition to stay afloat

- The industry has lost revenue in recent years because of the growing prevalence of online shopping, boosting the popularity of retailers like Amazon. According to Amazon, athletic clothing brands and bathroom items, such as toothpaste, have exhibited strong sales growth in recent years. Kohl's has partnered with Amazon to expand its online presence amid declining sales at physical locations.
- Department stores have strengthened their online platforms, helping them avoid losing out fully in the digital market. According to Nordstrom's 2024 annual report, digital sales accounted for 36.0% of revenue and increased 3.6% compared to 2023. In April 2024, Nordstrom launched its digital Marketplace, expanding its online presence and highlighting the industry-wide shift. In 2025, Nordstrom was delisted from the US stock exchange after being sold to investors.
- Retailers have also adopted an omnichannel strategy, allowing consumers to use multiple communication channels, such as mobile phones and computers, to research, pre-order, and pick up items from stores. This seamless integration of various technologies enhances customer

retention and enables stores to offer a broader selection of products and sizes.

Discount giants like Target have transformed into supercenters

- Supercenters and specialty retailers have become fiercer competitors because they sell apparel, cosmetics, home improvement and grocery items, unlike many department stores. Consumers who prioritize convenience prefer buying multiple goods in one location. This trend has gradually led to the reclassification of some retailers out of the industry, as they seek to maximize growth.
- These rival retailers maintain online stores and have implemented online pickup systems similar to those of many retailers, thereby preventing department stores from capturing a larger share of the consumer market. The availability of online information has made customers more price-sensitive, enhancing competition.
- According to a 2022 USA Today survey, 69.0% of participants reported being busy or very busy, suggesting a perceived lack of leisure time for many. As customers feel more time pressure, offering a one-stop shopping experience will become an important competitive factor. Large supercenters and department stores are best equipped to invest in the necessary infrastructure and systems to provide a comprehensive omnichannel shopping experience.

Department stores are evolving their strategies to remain competitive

- Department stores have made cost-cutting decisions, including closing down more locations and hiring fewer employees to retain profit. Items that don't sell well must be sold at a discount or placed on clearance, reducing industry revenue; however, this decision helps retailers maintain sales to cost-conscious buyers.
- For example, in March 2023, Nordstrom announced it would wind down its operations in Canada. This move highlights a shift toward recognizing efficiencies and eliminating operational waste amid the shifting retail landscape. At the same time, Macy's reduced its total number of stores from 680 to 665, as reported in its 2025 annual report (latest data available).
- Incorporating high-quality dining options into shopping experiences can encourage longer visits. Some stores, such as Kohl's, which features its Kohl's AR Virtual Closet on Snapchat, are implementing augmented reality and other technologies to engage customers and enhance product visualization. Consumers are more willing to spend more time and money at these locations because of the entertainment provided by these experiences.

Stores have contended with economic and social changes

- Department stores have endured significant volatility as consumers experience significant economic hardships. Recent years have been marked by fluctuations in consumer spending, driven by shifting economic conditions, geopolitical tensions and evolving trade policies. Supply chain disruptions and inflation have led to skyrocketing product prices, suppressing demand and increasing operational costs.
- Department stores like Macy's and Nordstrom have struggled to balance rising expenses and attract cost-conscious consumers. Macy's implemented cost-cutting strategies to remain competitive, including store closures and a shift toward digital sales. Retailers have also been impacted by geopolitical and trade tensions, particularly the growing divide between China and the US. More stores will strengthen their supply chains, focusing on insulating themselves from potential trade disruptions with countries in Asia and the Middle East.
- Consumers are also changing their product preferences, prompting department stores to adjust their stock accordingly. This shift has caused purchase costs to swell, harming profit. Shoppers are becoming increasingly mindful of sustainability, prompting department stores to stock eco-friendly and ethically sourced products.

Outlook

↓2026-31 Revenue CAGR: -1.2%

What's driving the industry outlook?

Experiential retail is changing how consumers engage

- Department stores will continue to invest in creating environments that make shopping an experience. Consumers are increasingly attracted to stores and other events that offer interactive and personalized elements, such as in-store exclusives, collaborations with other brands, pop-up shops and specialized customer service.
- Department stores will emphasize their discount entities, such as Nordstrom Rack and Saks Off Fifth, to attract more consumers with their high-end brands at low prices. Items sold at these retail outlets are heavily discounted, which will keep industry revenue low.
- This trend is driven by the need to differentiate from online retailers. With online shopping becoming more convenient and efficient, physical stores must offer something unique to attract customers. Immersive experiences can create memorable connections and a reason to visit a store in person.
- Retailers can partner with local artists, chefs or influencers to create exclusive in-store attractions. This can help cater to local tastes and preferences while making an indelible impression on the customer, incentivizing them to spend more and strengthening retention rates.

Growing competition from online retailers will further pressure department stores

- According to CouponFollow, 80.0% of millennials use online services to shop for items, posing a challenge for department stores. While consumers can easily find apparel items online through department stores, larger e-commerce sites like Amazon will continue eroding the industry's retail market share.
- Omnichannel retail strategies are becoming essential. Consumers expect a seamless experience whether they're shopping online or in-store. This means department stores must integrate digital tools, such as mobile apps, personalized marketing and efficient online order fulfillment.
- Shopify provides a more decentralized shopping experience. It's set to further diversify the online shopping industry by adding more variety to the types of services consumers can turn to when buying items online, which will pressure sales.
- Cybersecurity and data privacy will become increasingly important as stores handle an increasing number of digital interactions. Investing in secure and efficient systems can provide a competitive edge. In 2025, Cardi's Department Store Inc. announced a data breach that resulted in the access of sensitive customer information. These events can have significant and lasting implications on a company's performance by eroding customer trust.

Developing an eco-friendly reputation becomes more important for stores

- Consumers are demanding more sustainable practices from retailers. Department stores must adopt eco-friendly policies, such as reducing waste, sourcing products ethically and offering sustainable options. Transparency is becoming critical. Customers want to know the origins of their purchases and their environmental impact. Clear communication about sustainability efforts can foster brand loyalty.
- Initiatives such as recycling programs, sustainable packaging and carbon-neutral delivery options resonate strongly with eco-conscious consumers. Moving forward, more department stores will stock these items and dedicate premium shelf space to attract customers. Advertisements will also feature these products to showcase that a store focuses on sustainability.
- Stores will strengthen their sustainability efforts by incorporating eco-friendly materials and reducing their carbon footprints. Government regulations may impose stricter standards on waste management and energy efficiency, pushing retailers to innovate. This shift could result in higher operational costs, while also opening growth opportunities through eco-focused branding and partnerships.

Department stores will leverage data to better compete

- Data analytics plays a significant role in personalizing the shopping experience. Department stores that effectively use consumer data can tailor promotions and recommendations to individual preferences. Loyalty programs and personalized offers based on purchase history can boost customer retention and spending. Stores can also leverage customer data to inform future inventory decisions, thereby helping to limit storage and warehousing costs.
- Department stores will rely more on their discount department store brands, such as Nordstrom Rack and Saks Off Fifth, to help attract more consumers with their high-end brands at low prices. Specifically, items sold at these retail outlets are heavily discounted, which will dampen the industry's growth prospects. According to Nordstrom's 2024 annual report, revenue at Nordstrom Rack grew 8.0% compared with 2023.
- Stores will also strengthen the appeal of existing stores through in-store tech, like interactive kiosks that use AI to cater to shoppers' interests on the go, making the in-store experience feel unique and customized. Boosting customer loyalty will be the main focus, as the number of retailers explodes because of the lower barriers to entry brought about by online shopping.

Volatility

Moderate

What influences industry volatility?

Large-scale spending is discouraged by macroeconomic trends

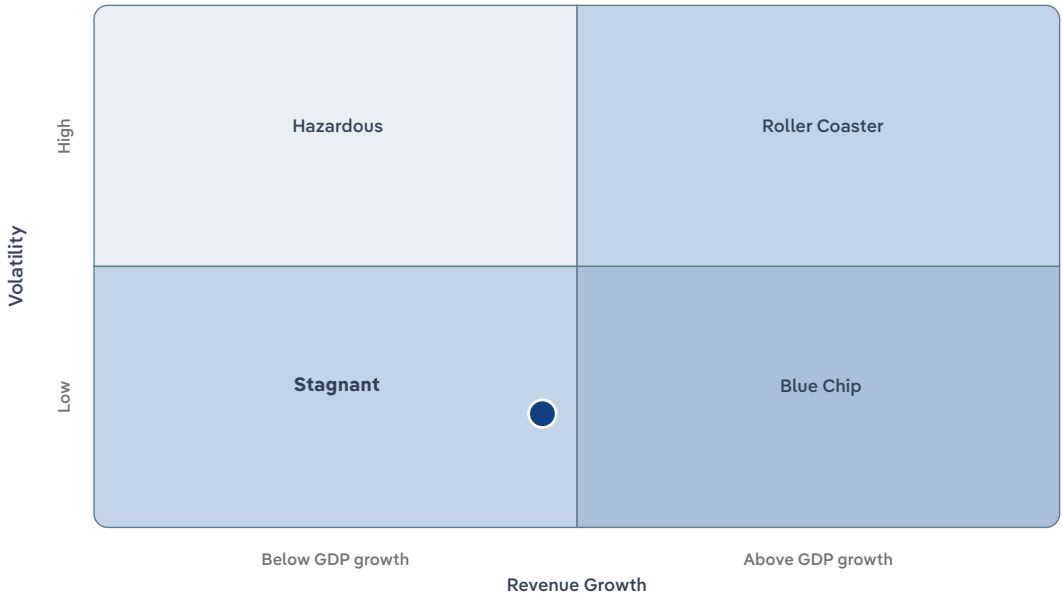
- Revenue for department stores is primarily based on the sale of discretionary items. Stores compete with various substitutes for a share of consumers' discretionary income. Significant economic and geopolitical volatility has not caused dips in discretionary spending, as consumption rates have remained strong.
- In recent years, favorable consumer trends have led to elevated discretionary spending, which in turn boosted department store sales. Recently, elevated inflation and higher interest rates have led to a dip in consumer sentiment, resulting in lower sales of discretionary products.

External competition affects volatility

- External competition remains high for department stores. Other retailers, such as warehouse clubs and Supercenters (IBISWorld report 45291) and e-commerce and online auctions (45411a), also influence revenue prospects for this industry.
- Supercenters and online retailers offer similar merchandise at discounted prices, effectively siphoning some consumers away from the industry. Online shopping activity has surged since the pandemic, with an increasing number of consumers preferring the convenience of shopping from home. These external trends have kept sales from expanding.

Stagnant

Industry volatility vs. revenue growth (2021-2026 CAGR)



IBISWorld

Source: IBISWorld

☆ Key Success Factors

How do successful businesses overcome volatility?

Ability to expand and curtail operations rapidly in line with market demand

Department stores must expand their operations during peak periods to meet increased demand (e.g., the winter holiday season) and curtail operations in weaker conditions (e.g., an economic slowdown).

Change or diversify markets

Department stores have expanded their focus on serving younger shoppers who prefer shopping online. Most department stores have set up online websites to cater to these customer groups.

Life Cycle

Decline

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries



*Growth is based on change in share of economy combined with change in establishment numbers

IBISWorld

Source: IBISWorld

Why is the industry declining?

Contribution to GDP

IVA, which measures an industry's contribution to the overall economy, has declined significantly as GDP has increased steadily. The shifting retail landscape and the diminishing popularity of department stores have diminished their status. The industry has entered the decline stage of its life cycle.

Market Saturation

The industry is saturated. Most stores, such as Walmart and e-commerce sites like Amazon, stock a wide range of clothing, appliances and household goods. As consumers report increased stress and reduced free time, stores offering the most convenience will gain a competitive advantage.

Innovation

Department stores can benefit from product innovation at the manufacturing level by quickly stocking up on new items as they become available. Still, innovation is relatively limited, with most fashion styles remaining unchanged for many decades. Most fashion trends are related to minor product advancements or the revitalized popularity of previous styles.

Consolidation

Consolidation has occurred in the industry because of heightened competition. As the industry continues into the decline stage, only the most popular department stores will remain competitive. The remaining stores will either be acquired or will cease operations. Large regional retailers will emerge to gain greater market share.

Technology & Systems

Department stores endure significant technological disruptions because of strengthening e-commerce competition, adopting a direct-to-consumer business model. While the growing use of technology offers opportunities to improve efficiency, the proliferation of threats posed by new online retailers represents a significant challenge to the industry's future.

Products and Markets

Key Takeaways

Tariffs on upstream suppliers will raise production costs for manufacturers. This creates additional strain as retailers struggle to absorb these costs without alienating price-sensitive consumers, particularly in discretionary categories like cookware and textiles.

The latest tariff hikes will boost costs for department stores that rely on imported goods, such as apparel and home goods. These cost hikes will pressure profit, especially for stores with private-label offerings sourced directly from Asia, such as Macy's and Kohl's, which already have limited pricing power

There are two types of department stores: up-market department stores and their discount variety counterparts. Both retail an assortment of general merchandise.

Department store products are enduring bolstered competition from online retailers. Most resellers have established websites and online platforms to sell their products to a wide audience.

Largest Market

$147.4bn

Apparel and footwear

Product Innovation

Moderate

Products and Services

How are the industry's products and services performing?

Apparel and footwear account for the industry's largest market share

- The apparel and footwear segment encompasses men's, women's and children's clothing, shoes and accessories. Many shoppers prefer to try on their clothing and footwear before making a purchase. Department stores benefit from offering shoppers the option to try on products, whereas online retailers cannot. Women's apparel and footwear account for the largest share of this segment.
- Since 2022, high inflation and high interest rates have dampened consumer sentiment. While sales of men's and children's clothing and footwear have declined, strong growth in women's clothing and footwear has offset this drop, boosting the segment.

Drugs and cosmetics feature fierce competition

- This segment includes the sale of prescription and non-prescription drugs, vitamins and minerals, cosmetics, facial creams, makeup, perfumes and colognes, as well as soaps and other hygiene products. Sales of vitamins, minerals, soaps and other hygiene products are closely tied to population trends because they are considered essential necessities.
- Specialized cosmetics stores, like Sephora and Ulta, have increased competition in this segment. Department stores are responding by forming partnerships and collaborating with popular brands, celebrities and influencers. Revenue from drugs and cosmetics has remained fairly stagnant as a share of revenue, as skincare and cosmetics are relatively non-discretionary.

The housing market fuels sales of home goods and appliances

- Home goods and appliances include all furniture, fittings and small and large appliances. Sales of new furniture and appliances are closely related to the number of new homes and households in the United States. Not all department stores offer these products, so stores that do can offer more convenience to time-strapped customers.
- Not only has the housing market deteriorated in recent years, but the declining market share of furniture department stores has also hindered growth. Since 2025, volatile financial markets and recent stock market losses contributed to housing market pressure.

Toys and hobbies products are becoming less popular at department stores

- The toys and hobbies product segment includes children's toys, board games, video games and computer games. Hobby goods include sporting and craft products. As online retailers and major retailers like Amazon and Walmart expand their offerings of these products, more consumers will opt for these substitutes, as they offer a wider selection at lower prices.
- Spending in this segment has slumped as many consumers have shifted their toy and hobby purchases online. Department stores can become more efficient by reducing their toy and hobby selection and focusing on more traditional offerings, such as clothing, footwear and appliances.

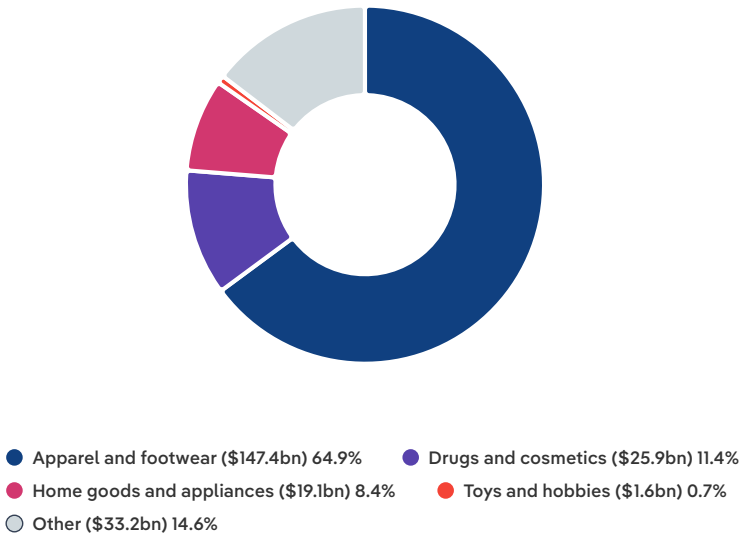
The other product segment is declining

- Other products include non-grocery food items, like confectionery and soda, in addition to household supplies, including gift-wrapping and cleaning products. Many department stores that previously sold

goods in the other products category converted into warehouse clubs or grocery stores, reducing the segment and siphoning demand for other products at department stores.

Products & Services Segmentation

Industry revenue in 2025 broken down by key product and service lines.



IBISWorld Source: IBISWorld

☆ Key Success Factors

What products or services do successful businesses offer?

Attractive product presentation

Department stores require an effective layout and design, good shelf management, friendly and helpful service and a clean environment. These conditions ensure customers are comfortable and can easily navigate the store.

Effective product promotion

Successful department stores will boost sales through effective advertising and marketing initiatives. Social media marketing campaigns have become more important.

Having a wide and expanding product range

Department stores offering a diverse range of products and brands will attract customers, as they can position themselves as convenient one-stop shops.

Innovations

Moderate

What are innovations in industry products and services?

Smart fitting rooms

- Smart mirrors with integrated sensors are installed in department store fitting rooms to provide personalized product recommendations. This can help customers feel more confident about sizing and reduce the number of returns.
- The smart mirror indicates which colors, models and sizes are available in-store, online or elsewhere. The technology can be used to make personalized recommendations and help customers envision products in different scenarios. Customers can also use voice-activated assistants to control the fitting room's lighting, music and temperature.

Virtual reality (VR) shopping

- Users can visualize what different products will look like on them using virtual reality technology. Kohl's recently released its Kohl's AR virtual closet application on Snapchat. The application allows customers to trial different styles without visiting stores. Virtually trying on clothes will significantly alter the industry in the coming years.
- VR is also being used to create full replicas of what stores will look like from the inside, so users can shop online without physically entering a store, yet still make purchases as if they were.

Major Markets

What's influencing demand from the industry's markets?

Customers under 25 are more likely to shop in smaller niche stores

- Although these consumers have more leisure time to spend at department stores, this age group typically has lower disposable income, which limits how much they can spend there. Since department stores don't target this age group, fewer young adults purchase from them.
- Instead, this consumer group prefers shopping at smaller niche stores that offer the latest fashion products. Compared with older demographics, these consumers are also less likely to have grown up shopping in department stores, making them less familiar with these brands. Sales to this consumer group are often realized in other consumer groups because parents tend to purchase items for their children at department stores.

Consumers aged 26 to 45 are the second-largest market

- Consumers in this age range are typically employed with a steady income stream, making them the target market for this industry. Shoppers in this segment often have young children living at home and are frequently drawn to the convenience of department stores, as they can complete multiple errands in one location.
- Retailers offer competitive prices, which is ideal for consumers with children since these shoppers typically care more about product quality than designer labels. Sales to this segment have slumped because of the boom of online retailers.

Consumers aged 46 to 65 are the largest market for this industry

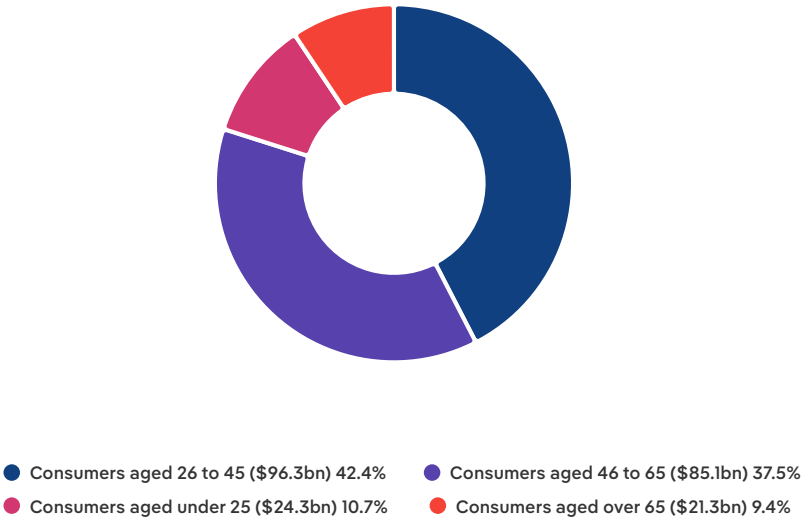
- Shoppers in this segment tend to purchase higher-tier merchandise for themselves and their families because they are more likely to have higher disposable incomes. Many of these consumers grew up shopping at popular department stores like Macy's, Bloomingdale's and JCPenney, so they feel comfortable using online platforms associated with these brands.
- This segment has expanded slightly through the end of 2026, as e-commerce activity has climbed. Stores like Target and Nordstrom are investing in expanding their online platforms and incorporating rewards programs to maintain sales across physical and online channels. The ability to afford high-end items keeps this market relatively stable.

Shoppers over 65 years old are estimated to be the smallest market for this industry

- Most of this segment's consumers have entered retirement and have reduced disposable income. This includes those moving into retirement villages or nursing homes. Still, these customers are more likely to rely on reputable brands like Macy's and Target, since they are less familiar with trendy brands and stores.
- This segment has declined since millennials, Generation X and Generation Z have outpaced the older generations in population. Department stores will continue to alter their focus toward attracting new customers from younger generations, banking on continued patronage from this demographic when they visit retail locations.

Major Markets Segmentation

Industry revenue in 2025 broken down by key markets



IBISWorld

Source: IBISWorld

International Trade

No data

Some industries don't directly import or export goods. See reports at the manufacturing level for international trade data on relevant products.

Geographic Breakdown

Key Takeaways

Consumers in metropolitan areas such as Los Angeles, San Francisco, Philadelphia and Pittsburgh have higher per capita disposable income levels. These metropolises exhibit more discretionary spending at high-end department stores.

The geographic distribution of department stores follows population trends. The Southeast, Great Lakes, Mid-Atlantic, and West regions contain a large share of the US population.

Business Locations

State	Establishments (Units)	Establishments (%)	Revenue ($m)	Revenue (%)	Wages ($k)	Wages (%)	Employment (Units)	Employment (%)	Population (%)
Alabama	141	1.4	2,357.7	1.0	336,944.3	1.2	19,916	1.5	1.5
Alaska	8	0.1	25.8	0.0	389.0	0.0	23	0.0	0.2
Arizona	228	2.3	5,042.1	2.2	566,416.0	2.0	26,563	2.1	2.2
Arkansas	86	0.9	1,294.4	0.6	164,356.2	0.6	9,776	0.8	0.9
California	1,135	11.5	37,930.6	16.7	4,823,916.3	17.0	178,812	13.9	11.5
Colorado	192	1.9	3,378.9	1.5	391,973.6	1.4	18,400	1.4	1.8
Connecticut	110	1.1	2,712.3	1.2	350,331.1	1.2	16,352	1.3	1.1
Delaware	56	0.6	1,498.6	0.7	140,955.7	0.5	8,363	0.7	0.3
Florida	650	6.6	15,505.2	6.8	1,797,131.3	6.3	82,775	6.4	7.0
Georgia	406	4.1	5,372.2	2.4	751,785.8	2.6	35,440	2.8	3.3
Hawaii	47	0.5	1,571.9	0.7	121,362.1	0.4	6,685	0.5	0.4
Idaho	55	0.6	777.6	0.3	58,234.5	0.2	3,524	0.3	0.6
Illinois	455	4.6	7,948.9	3.5	1,351,816.6	4.8	60,646	4.7	3.7
Indiana	188	1.9	4,112.9	1.8	387,681.1	1.4	23,123	1.8	2.0
Iowa	87	0.9	1,096.6	0.5	185,401.3	0.7	12,769	1.0	0.9
Kansas	79	0.8	1,178.5	0.5	120,279.8	0.4	7,702	0.6	0.9
Kentucky	127	1.3	2,500.7	1.1	285,299.5	1.0	17,021	1.3	1.3
Louisiana	95	1.0	2,112.9	0.9	208,774.1	0.7	12,696	1.0	1.3
Maine	44	0.4	784.9	0.3	73,332.6	0.3	4,315	0.3	0.4
Maryland	157	1.6	5,010.7	2.2	582,123.1	2.0	28,792	2.2	1.8
Massachusetts	200	2.0	5,720.6	2.5	864,740.3	3.0	27,898	2.2	2.1
Michigan	235	2.4	4,514.0	2.0	718,955.5	2.5	37,391	2.9	3.0
Minnesota	156	1.6	3,276.0	1.4	536,439.3	1.9	27,140	2.1	1.7
Mississippi	88	0.9	1,340.1	0.6	109,688.1	0.4	9,754	0.8	0.9
Missouri	177	1.8	3,476.9	1.5	378,038.1	1.3	21,321	1.7	1.8
Montana	34	0.3	346.1	0.2	56,511.1	0.2	3,436	0.3	0.3
Nebraska	45	0.5	791.8	0.3	65,433.3	0.2	4,548	0.4	0.6

State	Establishments (Units)	Establishments (%)	Revenue ($m)	Revenue (%)	Wages ($k)	Wages (%)	Employment (Units)	Employment (%)	Population (%)
Nevada	127	1.3	1,811.4	0.8	235,221.6	0.8	10,963	0.9	1.0
New Hampshire	58	0.6	1,225.2	0.5	120,282.2	0.4	6,199	0.5	0.4
New Jersey	298	3.0	9,628.3	4.2	1,304,636.6	4.6	50,105	3.9	2.8
New Mexico	47	0.5	644.6	0.3	66,675.1	0.2	4,476	0.3	0.6
New York	526	5.3	17,847.7	7.9	2,709,003.4	9.5	91,102	7.1	5.8
North Carolina	422	4.3	6,109.3	2.7	686,205.9	2.4	37,197	2.9	3.3
North Dakota	20	0.2	295.1	0.1	23,783.3	0.1	1,783	0.1	0.2
Ohio	315	3.2	8,379.9	3.7	884,256.6	3.1	47,613	3.7	3.5
Oklahoma	90	0.9	1,709.4	0.8	174,317.5	0.6	10,631	0.8	1.2
Oregon	104	1.1	2,029.4	0.9	181,497.3	0.6	8,686	0.7	1.2
Pennsylvania	428	4.3	10,641.0	4.7	1,253,656.7	4.4	60,679	4.7	3.8
Rhode Island	28	0.3	568.6	0.3	65,695.9	0.2	3,429	0.3	0.3
South Carolina	207	2.1	2,906.4	1.3	280,560.6	1.0	17,554	1.4	1.6
South Dakota	22	0.2	242.7	0.1	19,550.3	0.1	1,674	0.1	0.3
Tennessee	216	2.2	4,232.7	1.9	489,904.3	1.7	25,901	2.0	2.1
Texas	743	7.5	19,199.3	8.5	2,328,910.6	8.2	101,054	7.9	9.4
Utah	125	1.3	1,850.4	0.8	162,106.7	0.6	8,138	0.6	1.0
Vermont	19	0.2	177.0	0.1	14,727.3	0.1	648	0.1	0.2
Virginia	272	2.8	5,967.7	2.6	710,971.9	2.5	33,062	2.6	2.6
Washington	194	2.0	5,753.7	2.5	624,314.0	2.2	24,111	1.9	2.3
West Virginia	42	0.4	497.4	0.2	41,853.3	0.1	3,645	0.3	0.5
Wisconsin	266	2.7	3,542.6	1.6	587,403.1	2.1	31,143	2.4	1.7
Wyoming	26	0.3	56.1	0.0	10,012.8	0.0	729	0.1	0.2

Where are businesses located?

Population-dense areas entice retailers in the Southeast and Great Lakes

- The Southeast and Great Lakes are highly populated regions, with the highest concentrations of department stores in the US. As their populations continue to expand, these areas will remain important for the industry.
- Florida, Illinois and Ohio house most of these regions' department stores, corresponding to each state's large share of the US population. Florida is among the fastest-growing states, so department stores will increasingly seek opportunities there.

Income levels drive demand for Mid-Atlantic and Western department stores

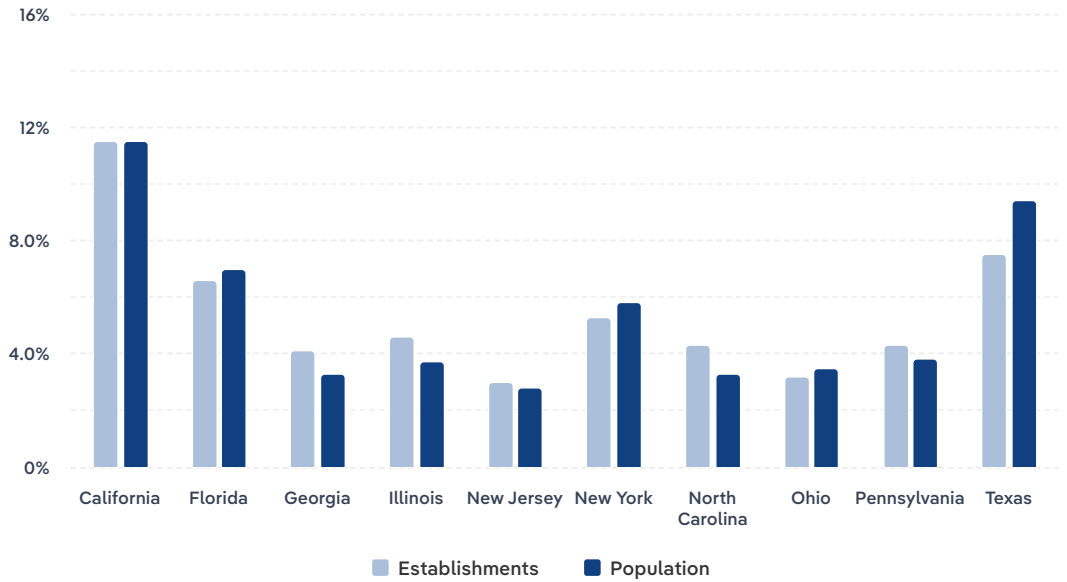
- The Mid-Atlantic and West regions represent the third—and fourth-largest concentrations of establishments, respectively. California is mainly responsible for the West's high concentration of department stores. Major population centers attract department stores by promising steady foot traffic.
- Consumers in metropolitan areas, such as Los Angeles, San Francisco, Philadelphia and Pittsburgh, have higher per capita disposable income levels, leading to more discretionary spending at high-end department stores. Luxury items are comprising a greater share of in-store sales, as more customers use online platforms to purchase everyday items.

The Mountain West becomes an increasingly important region

- Strong population growth in states like Colorado, Utah and Arizona has led to greater spending at retailers in these areas. Department stores are a great fit because travelers and new residents to these areas will recognize the brand.
- This region also provides opportunities for unique product sales. Consumers require sufficient warm clothing, safety gear and entertainment to ensure they are comfortable during adverse weather conditions. Activities like skiing and hiking are also popular in this region, driving sales of specialized clothing and gear.

Business Concentration

Share of establishments (%) vs. share of population (%)



IBISWorld

Sources: IBISWorld

☆ Key Success Factors

How do businesses use location to their advantage?

Operate in a highly visible location

Foot traffic is important to department stores, so many of them are located in densely populated areas. Impulse purchases are still a major driver of performance, so being easily visible is a great way to attract more business.

Operate in a location that is close to key markets

Customers tend to shop at stores that are near them to reduce traveling time and costs. The popularity of online shopping has diminished customer willingness to travel a significant distance to visit a department store.

Competitive Forces

Key Takeaways

Online retailers are becoming more competitive. Brick-and-mortar stores incur higher operational costs than online-based businesses because they pay for high-traffic retail space and require sales associates.

Price is the most influential basis of competition for department stores. Consumers are price-conscious and comparison shop to find a bargain. Online shopping has strengthened price transparency by allowing customers to easily compare prices.

Concentration	Competition	Barriers to Entry
Moderate	High Increasing	Moderate Steady
Substitutes	**Buyer Power**	**Supplier Power**
High Increasing	High Increasing	Moderate Steady

Concentration

What impacts the industry's market share concentration?

Department stores have a high level of market share concentration

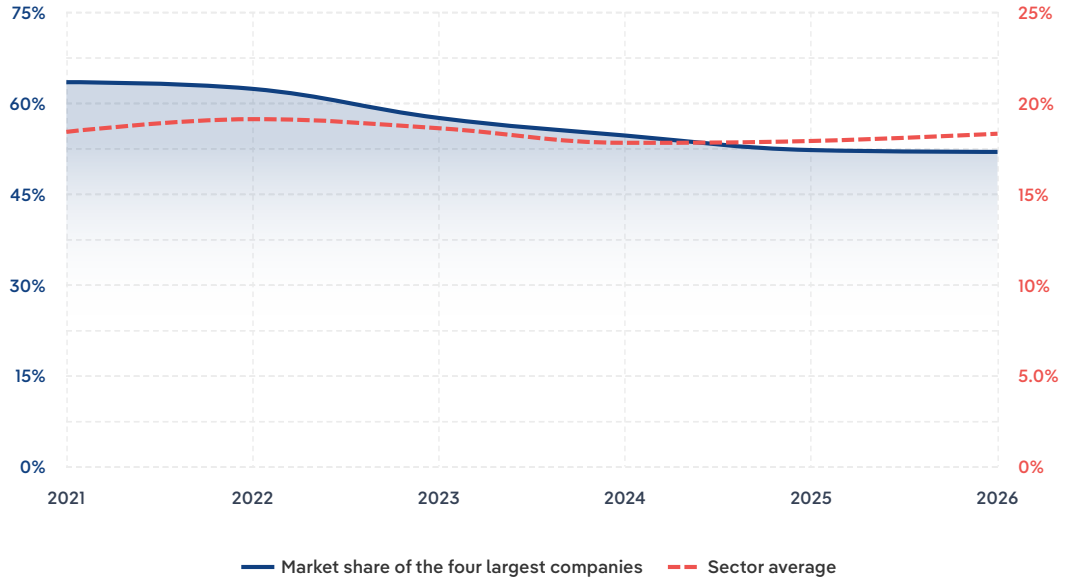
- Most stores in this industry are part of a national chain with multiple locations across the United States. While this gives them a strong national presence, it also exposes these companies to high operating expenses. Stores are typically large, with the average location having more than 100 employees.
- Significant merger and acquisition activity is expanding concentration. Nonetheless, concentration declines are being mitigated by the expansion of some high-end retailers into discount department stores. The expansion of Bloomingdale's Outlet and Nordstrom stores exemplifies this trend.

The industry's direction is changing

- Target, the largest company in the industry, is transitioning to the Warehouse Clubs and Supercenters industry (IBISWorld report 45291), gradually shifting its focus to alleviate losses from the shift to e-commerce platforms.
- Target's merger with another industry will significantly damage the industry's position in the retail landscape. Department stores are investing more in their online stores, which has helped boost sales. A strong online presence will become increasingly important as more consumers opt for this as their preferred shopping method.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld Source: IBISWorld

☆ Key Success Factors

How do successful businesses handle concentration?

Control total supply on market

Large department store chains can stock high-end brands that are inaccessible in other retailers or online stores. The popularity of online retailers and fast fashion trends has made controlling supply more difficult.

Develop a strong reputation

Large department stores, such as Macy's, Saks Fifth Avenue, and Bloomingdale's, have a reputation for excellent customer service and a wide selection of products.

Barriers to Entry

Moderate Steady

What challenges do potential industry entrants face?

Legal

- Individual states are primarily responsible for regulating most retail activities. Stores must adhere to general business standards, such as minimum wage and overtime regulations. Department stores must also ensure their inventory is accurately labeled to prevent any harm to customers. Congress enacts trade regulations to foster a free and competitive economy.

Start-up Costs

- The initial costs of establishing a department store include purchasing inventory, hiring staff and marketing, all of which require significant capital. The industry already has many large companies that benefit from economies of scale; potential entrants must have substantial funding before setting up shop.

Differentiation

- Building a brand identity and cultivating loyal customers is critical for retailers to differentiate themselves. There is moderate differentiation in the industry, as some department stores, such as Kohl's, sell clothes, household items and cosmetics that reflect the latest trends. Other stores, like T.J. Maxx, focus on retailing discounted goods. Department stores vary in price and quality, appealing to a wide range of consumers.

Labor Expenses

- The industry is labor-intensive, with employees performing a variety of tasks daily. The shift to online shopping and increased investments in automation have reduced the industry's dependence on labor to some extent. Fixtures, fittings, cash registers and point-of-sale (POS) systems account for the industry's capital expenditure.

☆ Key Success Factors

How can potential entrants overcome barriers to entry?

Develop a skilled labor force

Customer service is essential for attracting and retaining customers. Sales associates must be carefully trained to help customers in an efficient and respectful way.

Develop links with suppliers

Department stores must attract shoppers by stocking the latest products in the largest variety. The growing prevalence of online retailers has made this even more important.

Substitutes

High Increasing

What are substitutes for industry services?

E-Commerce

- Online retailers can avoid the high overhead costs of physical retail locations, enabling them to dramatically reduce prices. This has fueled their gain over brick-and-mortar stores. Many department stores have remained committed to maintaining a strong physical presence, differentiating them from other retail industries.
- Consumers who shop online have access to more product reviews and recommendations, which gives them greater confidence and increases the likelihood of a sale. Many department stores are investing more in their online platforms to drive online sales and foster a hybrid shopping experience that combines the benefits of physical and online shopping.

Warehouse clubs and supercenters

- Warehouse clubs and supercenters sell similar products to department stores and can leverage greater economies of scale to offer competitive pricing. Consumers seeking cost-per-unit savings are often drawn to warehouse clubs and supercenters, which offer bulk purchases.
- Like online retailers, these competitors offer greater convenience by providing groceries, apparel, household items and gasoline at multiple locations. Convenience has become a more important competitive factor, with many consumers citing overloaded work and social schedules as major pain points.

Key Success Factors

How do successful businesses compete with substitutes?

Develop a loyal customer base

Superior customer service can help retain repeat customers, preventing them from turning to online stores. Many consumers cite frustrations with online agents and other customer service difficulties as their biggest issues with online shopping.

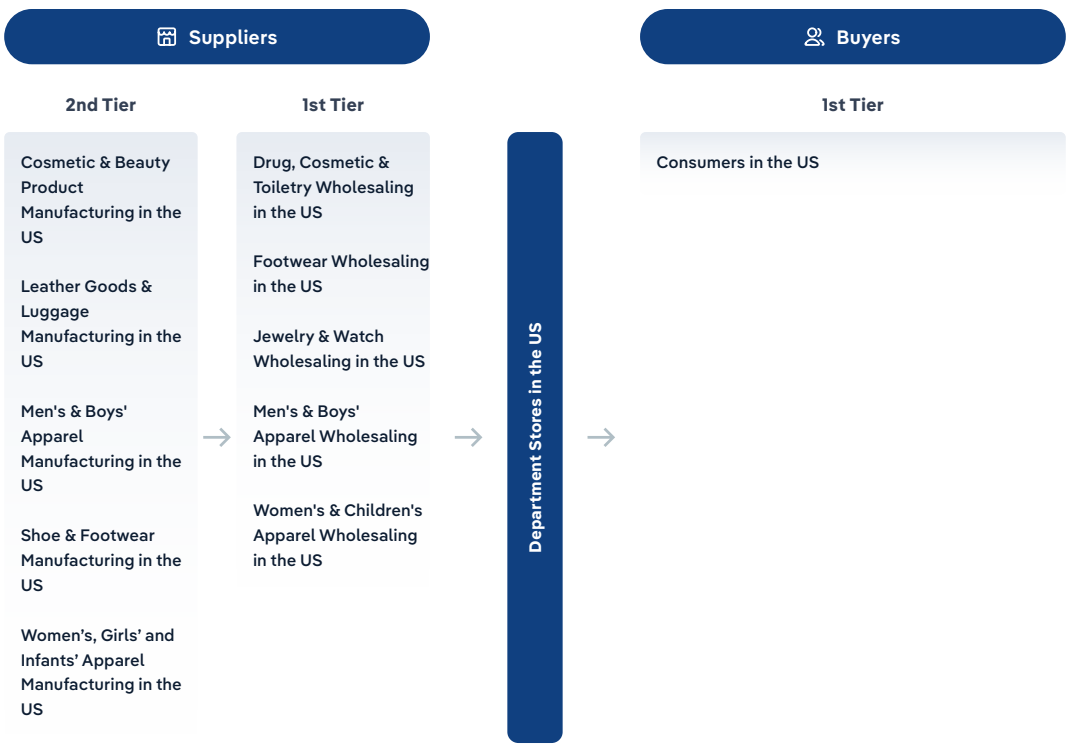
Effective product promotion

Successful department stores will benefit the industry through effective advertising and marketing initiatives. This will help reinforce the status of department stores in the retail landscape.

Buyer & Supplier Power

Supply Chain

Direct and indirect supplier and buyer industries related to this industry



IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

High | Increasing

Buyers: price competition

- Buyers primarily select a retailer based on convenience, with price and location being key considerations. The ability to buy various products, like food, household items and clothing. Shoppers can also prioritize an enjoyable shopping experience, with service quality as the deciding factor.
- Providing more digital product and pricing information makes it easier for buyers to negotiate with retailers. Strengthening price transparency has contributed to modest profitability, as consumers can easily find the cheapest option. Growing levels of buying power will constrain profit.

Moderate Steady

Suppliers: switching costs

- Large companies can keep costs low through relationships with suppliers and well-established distribution networks; these decreased costs often translate to higher profit. More manufacturers, such as Adidas and Ralph Lauren, are using online platforms and retail stores to sell directly to customers, intensifying competition with department stores.
- Since many of these products are imported into the US, disruptions in the supply chain can impact purchase costs. The Trump administration's tariff announcements are expected to have a significant impact on product prices. Switching suppliers can be costly and time-consuming for department stores.

☆ Key Success Factors

How do successful businesses manage buyer & supplier power?

Having a wide and expanding product range

Department stores offering a diverse range of products and brands will likely attract customers, as they can market themselves as a convenient one-stop shop.

Secure economies of scale

Sufficient economies of scale reduce per-unit cost, allowing department stores to pass on cost savings to customers via lower prices. This gives them an advantage over smaller retailers.

Companies

Key Takeaways

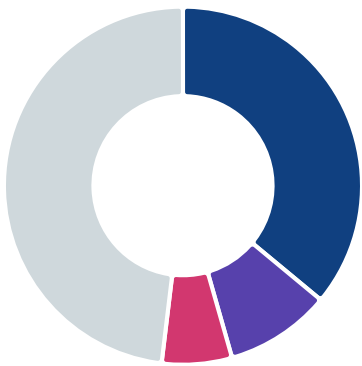
Macy's has installed more than 14,000 price scanners in its stores, enabling customers to automatically check prices before making a purchase. It also invested in line-busting software and technology that alerts employees during busy periods.

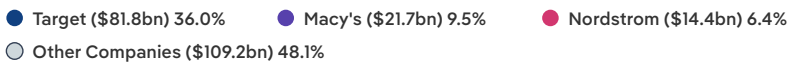
Discount giants like Target have transformed their traditional department stores into supercenters. Retailers add grocery sections to their locations to expand their product lines and capture additional consumer dollars.

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue.





IBISWorld

Source: IBISWorld

This chart has been simplified for the PDF and may not display all available data. View the full interactive chart on my.ibisworld.com for additional data and detail.

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
Target	36	10,000+	2,000	Public	Minneapolis, Minnesota
Macy's	9.5	10,000+	8	Public	New York, New York
Nordstrom	6.4	10,000+	165	Public	Seattle, Washington
Ross Dress for Less	2.5–5	10,000+	2,150	Private	Dublin, California
Kohl's	0–2.5	10,000+	1,171	Public	Menomonee Falls, Wisconsin

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
Big Lots	0–2.5	10,000+	439	Public	Columbus, Ohio
Kmart	0–2.5	10,000+	36	Private	Chicago, Illinois
Shop My Exchange	0–2.5	10,000+	386	Private	Dallas, Texas
Bonton	0–2.5	10,000+	3	Private	New York, New York
Neiman Marcus	0–2.5	10,000+	48	Private	Dallas, Texas
QVC Group	0–2.5	10,000+	2	Private	West Chester, Pennsylvania
Saks Fifth Avenue	0–2.5	5,001-10,000	60	Private	New York, New York
Belk	0–2.5	10,000+	291	Private	Charlotte, North Carolina
Bloomingdale's	0–2.5	5,001-10,000	67	Private	Long Island City, New York
Boscov's	0–2.5	5,001-10,000	52	Private	Reading, Pennsylvania
Jcpenney	0–2.5	10,000+	809	Private	Plano, Texas
Von Maur	0–2.5	1,001-5,000	41	Private	Davenport, Iowa
Saks Off 5th	0–2.5	1,001-5,000	92	Private	New York, New York
Lord & Taylor	0–2.5	1,001-5,000	9	Private	Dover, Delaware
Bergdorf Goodman	0–2.5	1,001-5,000	8	Private	New York, New York

Company Details

Target

Description

Target Corporation is an American retail company that operates a network of discount stores and online platforms, offering a broad range of consumer goods, including groceries, clothing, electronics and home products. The company also manages criminal forensics laboratories and maintains a global supply chain and sourcing network. Target serves individual consumers and businesses in the United States and internationally.

Company Total Revenue (2026)

$104.8bn

Industry Specific Revenue (2026)

$81.8bn

Industry Market Share (2026)

36%

Employees (2026)

10,000+

Headquarters

Minneapolis, Minnesota

Company Type

Public

Locations (Top 10)

Brooklyn Park, Pennsylvania

Other Industries

Online Children's Toy Sales in the US

Online Baby Product Sales in the US

A Full Locations list can be accessed in Atlas.

What's impacting Target's performance?

Investments in Target's supply chain and online operations

- Target Corporation has demonstrated resilience through strategic investments in e-commerce and supply chain optimization, resulting in steady revenue growth.
- The shift towards omni-channel retailing, including same-day delivery and curbside pickup, has strengthened customer engagement and loyalty. Investments in digital transformation and in expanding private-label offerings are vital to maintaining a competitive edge.
- Target continues to expand its product selection, reclassifying many of its stores outside of this industry. The remaining Target stores that operate as department stores focus on traditional apparel and cosmetic products.

You can view and download more company details on my.ibisworld.com.

Macy's

Description

Macy's, Inc. is an American retail company engaged in department store operations, offering a broad range of products, including fashion, beauty and home goods. The company operates under the brands Macy's, Bloomingdale's and Bluemercury, with flagship stores in Manhattan and a presence in the United States, Guam and Puerto Rico. Macy's, Inc. is also involved in the retail of housewares, clothing, footwear, jewelry, accessories, bedding and furniture.

Company Total Revenue (2026)

$21.8bn

Industry Specific Revenue (2026)

$21.7bn

Industry Market Share (2026)

9.5%

Employees (2026)

10,000+

Headquarters

New York, New York

Company Type

Public

Locations (Top 10)

Atlanta, Georgia | Houston, Texas | Los Angeles, California | Mason, Ohio | New York | San Francisco, California | Stone Mountain, Georgia

Other Industries

Online Handbag & Luggage Sales in the US

Retail Trade in the US

A Full Locations list can be accessed in Atlas.

What's impacting Macy's's performance?

Macy's harnesses AI for enhanced customer engagement

- The integration of in-store and online experiences has improved the customer shopping experience. Macy's enables customers to purchase products online and collect them quickly in-store, catering to shoppers who prioritize convenience. This initiative capitalizes on changing consumer behaviors, providing a seamless shopping experience to earn repeat business.
- In 2024, Macy's began partnering with Rokt to enhance its retail media business, using AI and machine learning to deliver customized post-purchase offers from non-endemic advertisers, increasing engagement, driving loyalty program enrollments and improving the entire shopping experience for both new and returning customers.

Macy's continues to promote new initiatives

- Chairman and Chief Executive Officer (CEO) Jeff Gennette announced that Macy's published its first Human Capital Report, which details diversity actions and that the company has been applying inclusion performance standards to its executive compensation plans.
- The company also added electric vehicle charging stations at 37 locations and continues to expand its active solar sites, which will help it avoid 46,000 metric tons of pollution.

You can view and download more company details on my.ibisworld.com.

Nordstrom

Description

Nordstrom, Inc. is an American retail company operating as a department store chain and online retailer. The company offers a broad range of fashion and home goods, including clothing, shoes, accessories, and home furnishings, serving both individual consumers and businesses. Nordstrom also operates cafes and restaurants within its stores and manages an online marketplace for third-party sellers. The company maintains a global presence, with operations in the United States, Canada, and Puerto Rico.

Company Total Revenue (2026)

$15.0bn

Industry Specific Revenue (2026)

$14.4bn

Industry Market Share (2026)

6.4%

Employees (2026)

10,000+

Headquarters

Seattle, Washington

Company Type

Public

Locations (Top 10)

Alpharetta, Georgia | Arcadia, California | Arlington, Texas | Arlington, Virginia | Atlanta, Georgia | Auburn, Washington | Austin, Texas | Aventura, Florida | Beachwood, Ohio | Beaverton, Oregon

Other Industries

Retail Trade in the US

A Full Locations list can be accessed in Atlas.

What's impacting Nordstrom's performance?

Nordstrom launches digital marketplace for personalized and convenient shopping experiences

- In 2024, Nordstrom launched a digital marketplace on Nordstrom.com that expands its online assortment with curated third-party brands through an unowned inventory model, enabling more personalized, convenient shopping and broader sizes and styles without significantly increasing Nordstrom's owned inventory risk.
- The company's expanding emphasis on the luxury and aspirational markets has reduced volatility relative to other retail segments. By curating high-end brands and forming exclusive partnerships, Nordstrom caters to wealthier customers who are less sensitive to economic downturns, thereby minimizing revenue fluctuations.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Department stores are affected by several import tariff duties incurred at the production level. A change in the tariff rate of a particular good may boost purchase costs.

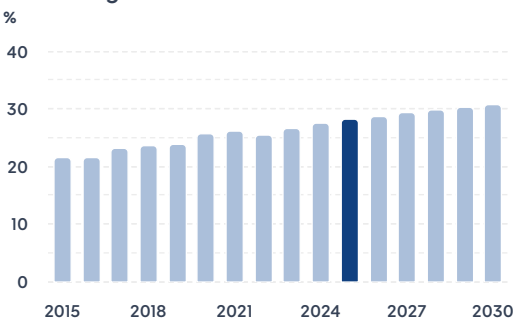
Individual states have regulations relevant to department stores. Congress and states enact trade regulations to maintain a free and competitive economy.

Regulation & Policy		Assistance	
Low	Steady	None	Steady

External Drivers

What demographic and macroeconomic factors impact the industry?

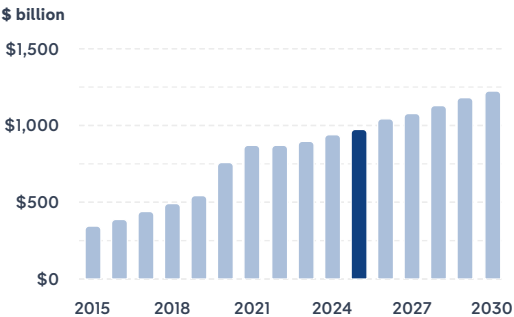
Percentage of business conducted online



IBISWorld Source: IBISWorld

E-commerce stores typically benefit from lower overhead costs compared to brick-and-mortar stores. Online retailers can offer lower prices, broader inventories and easy direct shipping. Many consumers have become more comfortable and familiar with online shopping because of the pandemic and the trend will continue. Department stores will leverage their brands to appeal to older consumers becoming more familiar with online shopping.

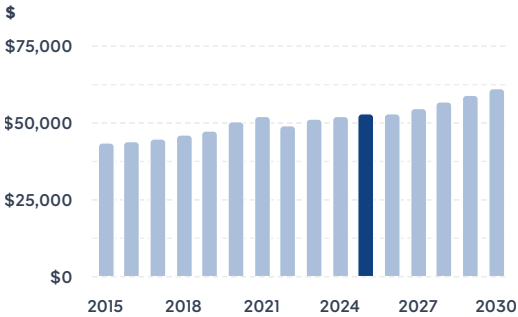
E-commerce sales



IBISWorld Source: IBISWorld

E-commerce sales refer to the number of consumers who use online services to purchase various products, rather than visiting brick-and-mortar stores. As e-commerce sales expand, sales are lost to online-only retailers not included in the industry. Department stores have established a strong online presence, but they can still struggle to compete with retailers with lower operating costs.

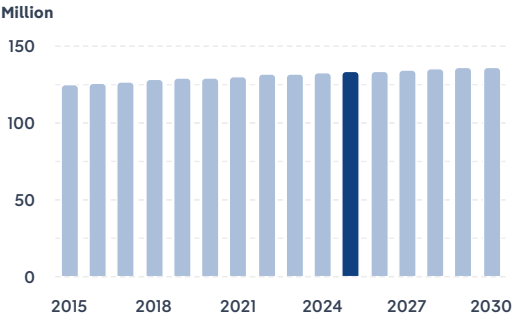
Per capita disposable income



Source: IBISWorld

Department store sales heavily depend on consumers' financial health, including their per capita disposable income. When disposable income is low, consumers cut back on spending by delaying purchases or buying inexpensive goods from substitute retailers, which harms industry performance. Declines in per capita disposable income levels pose a potential threat to the industry.

Number of households



Source: IBISWorld

Department stores sell a wide range of household products, including furniture, appliances and accessories. This indicator measures the size of the potential consumer base for department stores. When the number of households dips, spending at department stores will drop. Growth in the number of households represents a potential opportunity for the industry.

Regulation & Policy

Low Steady

What regulations impact the industry?

The Antitrust Laws

The most important laws under this category include the Sherman Antitrust Act, the Clayton Antitrust Act, the Hart-Scott-Rodino Act and the Robinson-Patman Act. These acts prohibit the formation of monopolies, ban price discrimination and offer protection to independent business owners. Individual states also have various antitrust laws. Customers have become increasingly concerned about the power of massive retailers, such as Macy's and Kohl's. Many retailers have posted record profit in recent years despite inflationary pressure and economic volatility, which have significantly impacted consumers.

United States labor laws

Retailers are subject to labor regulations. For example, the Fair Labor Standards Act mandates that department stores adhere to federal minimum wage standards, overtime pay and child labor laws. Increasing minimum wage requirements in many states have kept wage spending high, despite growing investment in labor-saving technologies, such as self-checkout kiosks and online ordering. The act ensures that employees are fairly compensated for all hours worked and protects young workers from exploitation and unfair labor practices.

Americans with Disabilities Act

The Americans with Disabilities Act (ADA) prohibits discrimination against people with disabilities in areas including employment, transportation, public accommodations, communications and access to state and local government programs and services. The ADA ensures all store areas, including aisles, checkout areas, restrooms and fitting rooms, are accessible to people using wheelchairs or other mobility devices. Bathrooms and parking lots must also be equipped to accommodate individuals with various disabilities. For department stores, all locations must be accessible to customers with disabilities.

Credit programs

The laws that impact credit programs offered by retailers include the Federal Consumer Credit Protection Act (also known as the Truth in Lending Act), which requires written disclosures of information relating to financing. According to the Federal Fair Credit Reporting Act, certain disclosures to potential customers about credit information can be used to deny credit. Also, the Federal Equal Credit Opportunity Act prohibits discrimination against credit applicants based on certain grounds. The Fair Debt Collection Practices Act governs the collection of credit card payments.

Environmental regulations

Department stores are subject to environmental regulations imposed by federal, state and local authorities. These regulations pertain to the generation, handling, storage, transportation and disposal of waste and biohazardous materials, as well as the sale and distribution of products. More stores are investing in energy-saving technologies, such as automatic lights, solar panels and recycled materials. In addition to the

intensifying government regulations, an increasing number of customers are purchasing based on environmental factors. Stores with a strong reputation for eco-friendliness will build market presence and attract more business.

Assistance

None Steady

What assistance is available to this industry?

Government

Department stores must navigate tax guidelines

Two specific types of taxes apply to department stores across the US, including sales and use taxes. Sales tax applies to the retail sales of tangible property, while use tax applies to purchasing an item from an out-of-state retailer for use in another state. In addition to the sales and use tax, local jurisdictions in each state are empowered to apply their local sales and use tax. Most department stores employ robust accounting departments that help prevent tax issues.

Tariffs expected to strengthen costs and economic uncertainty

Items commonly sold in department stores are subject to varying tariff levels, depending on the merchandise. For instance, tariffs on apparel range from 5.0% to 16.0%, while tariffs on footwear can be as high as 38.0%. The recent announcement of tariffs by the Trump administration will strengthen purchasing costs for upstream suppliers, ultimately leading to higher prices for department stores. Trump announced 25.0% tariffs on goods that do not satisfy the U.S.-Mexico-Canada Agreement (USMCA) rules of origin. Many products sold by department stores are sourced from foreign countries, so expanding these tariffs would directly influence industry performance.

Non-government

The National Retail Federation

The National Retail Federation (NRF) is the world's largest retail trade association. It conducts programs and services in research, education, training, information technology and government affairs to protect and advance the interests of businesses across the retail sector. The NRF fights for a level playing field for retailers, including fighting against policies that could harm the industry, such as "border adjustment taxes" that could strengthen the cost of imported goods.

Financial Benchmarks

Key Takeaways

Most department store costs are similar, but they can differ between companies of varying operating sizes and specialties. Larger retailers benefit from economies of scale, generating higher returns. In contrast, smaller retailers typically have lower profit and higher operating costs.

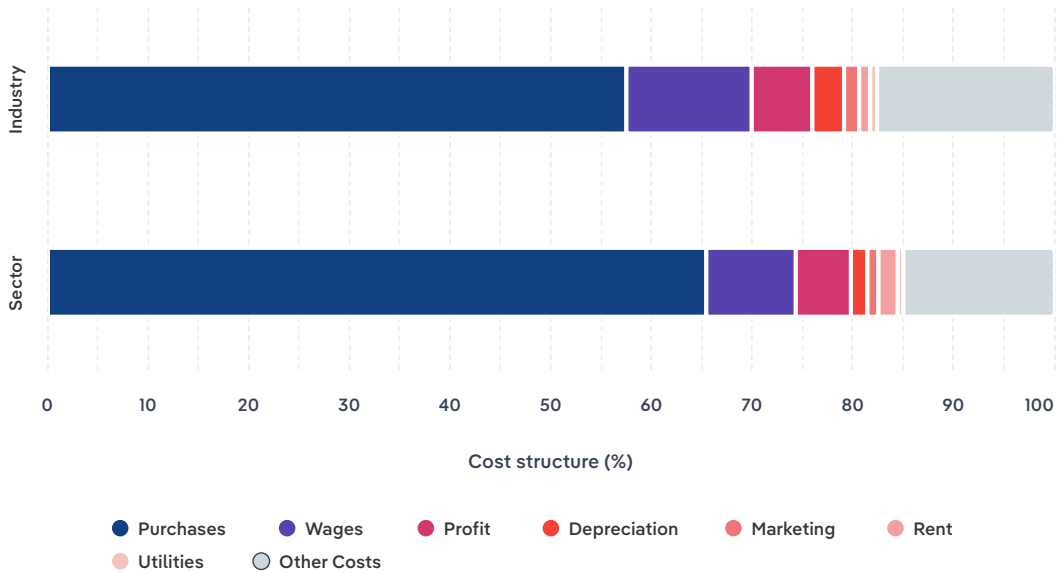
High-end clothing and accessories generate higher profit. Nonetheless, this may reverse in economic downturns, as individuals substitute low-cost products for luxury items, benefiting discount department stores.

Profit Margin	Average Wage	Largest Cost
6.0% ↑ Higher than sector	$22.1k ↓ Lower than sector	Purchases 57.5% of Revenue

Cost Structure

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2026



IBISWorld Source: IBISWorld

What trends impact industry costs?

Purchases are the largest expense for department stores

- Purchases include apparel, furniture, appliances, hardware, jewelry, toys and all other items sold at industry establishments. In 2026, department stores are expected to dedicate 57.5% of revenue to purchasing costs. This figure has remained steady through the end of 2026.
- The economic recovery in 2022 helped department stores maintain demand. Also, more stores have strengthened their online presence,

opening them up to a wider market. Nonetheless, rising inflationary pressures have increased purchasing costs for retailers, leading to higher prices.

Wages are falling to keep the industry afloat

- Wages are on the rise, accounting for 12.5% of revenue in 2026. Employees are relied upon to arrange and stock product display shelves, handle cash, process transactions and assist customers with questions (e.g., which product to use for a specific job).
- Wage growth has been slow, as department stores have made more cost-cutting decisions to remain afloat because of competition from alternative retailers, such as online-based enterprises and discount stores that don't offer specialized customer service staff.

Department stores have had to make cost-cutting decisions to remain profitable while competing effectively

- Profit is expected to drop slightly through the end of 2026, accounting for 6.0% of revenue. Department stores have aggressively competed on prices to retain customers or steal business from supercenters and online retailers, resulting in price slashing and matching.
- Inflationary pressures have prompted the industry to strengthen profit by raising prices. This trend has challenged consumer demand, as shoppers can now shop at supercenters and online retailers, putting pressure on sales. More department stores are closing physical locations and lowering wage outlays to preserve profit.

Utility costs remain relatively steady

- Larger stores, such as Macy's and Nordstrom, have higher utility costs because these spaces require extensive lighting, heating and cooling. Geographic location also plays a crucial role: stores in colder climates incur higher heating costs, while those in hotter regions incur higher cooling costs.
- Companies like Kohl's have invested in solar energy and LED lighting to minimize expenses, reflecting a trend toward sustainability. Fluctuating energy prices and regulatory changes further impact overall utility expenditure.

Prime locations are becoming less important to success

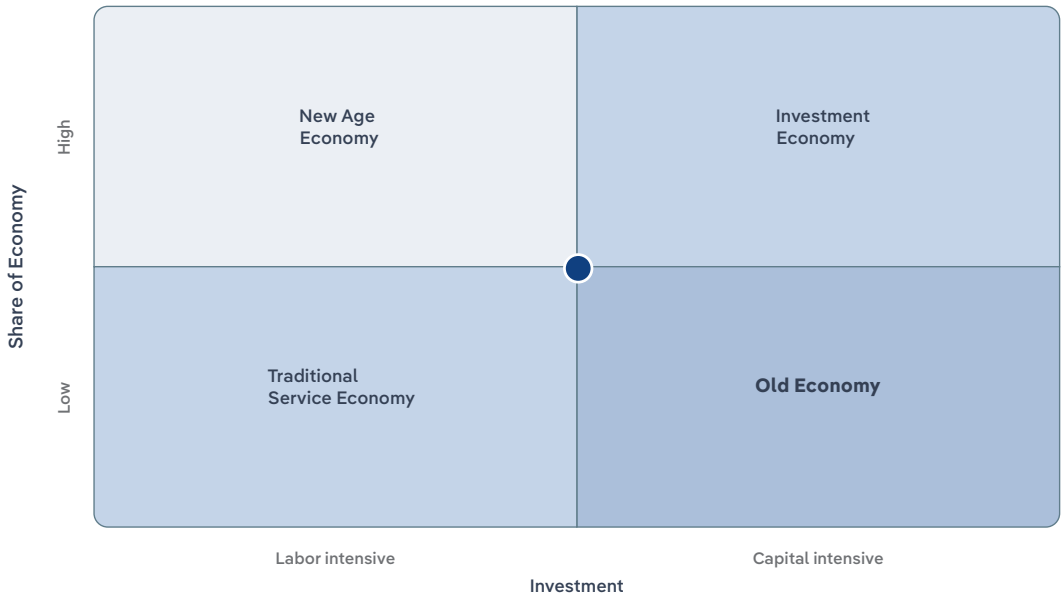
- Rent expenses are influenced by location, store size and market conditions. Prime urban areas, like New York City's Fifth Avenue, require higher rent payments because of increased foot traffic and prestige, impacting companies like Macy's. Store size is also pivotal; larger spaces, like those used by Bloomingdale's, incur higher expenditures.
- Market trends, such as shifts towards e-commerce, have led companies like Nordstrom to reassess their brick-and-mortar investments and negotiate leases accordingly. More companies are moving away from leasing costly, prime locations in favor of bolstering their online platforms and moving to suburban areas where rent is more affordable.

Marketing campaigns are influenced by consumer trends

- Consumer trends and economic conditions significantly influence how companies allocate their marketing budgets. For example, Macy's invests heavily in digital marketing to engage tech-savvy customers, especially during the holiday season. Technological advancements, such as AI for personalized marketing, require higher investment.
- Competitor strategies also influence spending; if one department store alters its promotions, others will follow to maintain their market share. Kohl's focuses on omnichannel marketing to enhance customer experience, while also marketing its sustainability initiatives to address environmental concerns.

Old Economy

Share of economy vs. Investment



IBISWorld

Source: IBISWorld

Financial Ratios

Days' Receivables	Interest Coverage	Debt/Net Worth
22.8 ↓ Lower than sector	0.8 ↓ Lower than sector	4.9 ↓ Lower than sector

Earnings Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	8.7	9.1	7.1	5.5	3.3	5.3	6.8	6.7
EBITDA/Revenue	11.8	12.1	10.3	8.5	6.8	8.6	9.9	9.7
Leverage Ratio	8.5	8.2	9.7	11.8	14.7	12.0	10.6	8.3

Income Statement

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Advertising	1.1	1.2	0.3	1.1	1.0	0.8	0.9	0.9
Amortization	1.1	1.2	0.5	0.9	1.9	1.1	1.1	1.0
Bad debts	0.3	0.4	0.1	0.1	0.3	0.2	0.2	0.3
Business receipts	95.9	96.4	98.4	97.8	97.0	97.7	97.1	97.1
Charitable contributions	0.3	0.4	0.0	0.0	0.4	0.1	0.2	0.2

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Compensation of officers	2.4	2.2	1.8	2.4	3.2	2.5	2.4	2.3
Cost of goods	65.3	66.9	69.5	67.9	65.1	67.5	67.0	68.1
Depletion	0.0	0.0	0.6	0.1	0.0	0.2	0.1	0.1
Depreciation	1.9	1.8	2.1	2.0	1.6	1.9	1.9	1.9
Dividends, domestic corporations	0.3	0.4	0.1	0.0	0.0	0.1	0.2	0.2
Employee benefit programs	1.7	1.6	1.1	1.3	4.0	2.1	2.0	1.7
Expenses	65.3	66.9	69.5	67.9	65.1	67.5	67.0	68.1
Gross Profit	34.7	33.1	30.5	32.1	34.9	32.5	33.0	31.9
Interest Income	0.8	1.0	0.2	0.7	0.0	0.3	0.5	0.6
Interest Paid	1.6	1.6	1.4	2.0	3.9	2.4	2.1	1.8
Net gain, noncapital assets	0.1	0.1	0.2	0.1	0.0	0.1	0.1	0.1
Net Income	5.4	5.8	5.0	1.9	-2.1	1.6	3.2	3.5
Net L-T cap gain less net ST loss	1.0	0.0	0.5	0.2	2.8	1.2	0.9	0.5
Net loss, noncapital assets	0.4	0.5	0.1	0.1	0.6	0.3	0.3	0.4
Net S-T cap gain less net LT loss	0.0	0.1	0.1	0.0	0.1	0.1	0.1	0.1
Other deductions	3.4	2.8	6.5	4.5	5.3	5.4	4.5	4.4
Other receipts	0.5	0.5	0.5	0.5	0.0	0.3	0.4	0.4
Pension, profit sharing plans, stock, annuity	0.4	0.4	0.4	0.7	0.8	0.6	0.5	0.4
Rent Income	0.6	0.7	0.1	0.1	0.0	0.0	0.3	0.4
Rent paid	2.2	2.1	1.4	2.3	2.3	2.0	2.1	2.0
Repairs	0.6	0.6	0.5	0.4	0.2	0.4	0.5	0.5
Royalties	0.9	1.0	0.0	0.6	0.1	0.2	0.5	0.6
Salaries and wages	9.6	8.6	7.9	10.7	10.1	9.6	9.4	8.8
Sales/Fixed Assets	2.3	1.6	1.4	1.6	1.2	1.4	1.6	2.6
Taxes paid	1.7	1.6	0.7	1.6	1.5	1.3	1.4	1.4
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Balance Sheet

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Accounts payable	12.1	14.1	7.3	8.2	14.3	10.0	11.2	9.4
Accumulated amortization	0.2	0.1	1.6	2.0	0.5	1.4	0.9	0.6
Accumulated depletion	0.2	0.0	0.3	0.2	0.0	0.2	0.1	0.1
Accumulated depreciation	4.7	15.1	19.1	16.4	30.6	22.0	17.2	15.6
Additional paid-in capital	22.6	41.9	16.8	25.9	27.7	23.5	27.0	29.6
Allowance for bad debts	0.3	0.4	0.1	1.1	0.1	0.4	0.4	0.5

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Capital stock	4.0	2.6	5.1	-1.2	-9.4	-1.8	0.2	2.7
Cash and Equivalents	2.5	2.5	0.9	2.9	2.2	2.0	2.2	1.9
Cost of treasury stock	7.0	4.5	6.9	7.5	5.8	6.7	6.3	4.4
Current Assets	24.1	18.1	38.7	37.6	17.5	31.3	27.2	24.0
Current Liabilities	25.6	24.1	21.6	22.8	24.2	22.9	23.7	21.0
Depletable assets	0.3	0.4	0.6	1.0	0.1	0.6	0.5	0.4
Government Obligations	1.8	0.9	0.0	0.8	0.0	0.3	0.7	1.1
Intangible assets (Amortizable)	2.4	3.4	10.7	11.2	1.0	7.6	5.7	5.2
Inventories	16.9	10.6	25.9	18.9	7.1	17.3	15.9	14.9
Land	6.2	7.5	5.9	4.6	6.3	5.6	6.1	7.1
Loans from shareholders	0.1	11.7	1.6	7.4	2.5	3.8	4.6	8.4
Loans to shareholders	2.0	4.8	0.0	1.5	0.2	0.6	1.7	2.8
Mort, notes, and bonds under 1 yr	5.7	0.9	10.5	11.0	5.5	9.0	6.7	4.6
Mort, notes, bonds, 1 yr or more	26.3	26.2	34.4	31.6	43.8	36.6	32.5	30.7
Mortgage and real estate loans	1.9	0.4	0.3	3.9	0.1	1.4	1.3	1.0
Net worth	36.8	33.6	36.1	29.8	20.4	28.8	31.3	33.7
Notes and accounts receivable	0.8	1.2	7.7	9.6	6.2	7.8	5.1	3.2
Other assets	10.4	13.9	10.1	7.0	20.3	12.5	12.4	13.6
Other current assets	1.5	2.2	2.6	3.4	0.8	2.3	2.1	1.6
Other current liabilities	7.8	9.1	3.8	3.5	4.3	3.9	5.7	7.0
Other investments	28.0	29.5	20.6	25.3	38.7	28.2	28.4	30.3
Other liabilities	11.3	4.5	6.3	8.4	9.1	8.0	7.9	6.2
Property, Plant and Equipment	30.5	38.1	34.4	28.7	47.2	36.8	35.8	33.1
Retained earnings, appropriated	-0.1	-5.8	0.6	-1.2	-10.0	-3.5	-3.3	-2.7
Retained earnings-unappropriated	17.3	-0.8	20.5	13.9	17.9	17.4	13.8	8.5
Tax Exempt Securities	0.4	0.5	1.5	1.1	1.1	1.2	0.9	0.7
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Liquidity Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Current Ratio	0.9	0.8	1.8	1.7	0.7	1.4	1.2	1.2
Days' Inventory	94.2	57.9	135.7	101.4	39.6	92.2	85.8	62.2

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Days' Payables	67.3	77.1	38.3	44.1	80.3	54.3	61.4	41.5
Days' Receivables	2.9	4.2	27.9	34.9	22.8	28.5	18.5	10.5
Inventory Turnover	3.9	6.3	2.7	3.6	9.2	5.2	5.1	7.5
Payables Turnover	5.4	4.7	9.5	8.3	4.5	7.5	6.5	34.0
Quick Ratio	0.3	0.3	0.6	0.8	0.4	0.6	0.5	0.5
Sales/Receivables	127.7	86.5	13.1	10.5	16.0	13.2	50.7	107.5
Sales/Working Capital	-67.0	-16.1	5.8	6.6	-14.4	-0.7	-17.0	-21.8

Coverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt Service Coverage Ratio	2.1	13.3	18.3	23.5	16.2	19.3	14.7	11.1
Interest Coverage	5.4	5.6	5.1	2.7	0.9	2.9	3.9	4.1

Leverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt/Net Worth	2.7	3.0	2.8	3.4	4.9	3.7	3.3	3.1
Fixed Assets/Net Worth	1.2	1.9	2.0	2.2	4.2	2.8	2.3	2.0
Tangible Net Worth	36.8	33.6	36.1	29.8	20.4	28.8	31.3	33.7

Operating Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	8.7	9.1	7.1	5.5	3.3	5.3	6.8	6.7
EBITDA/Revenue	11.8	12.1	10.3	8.5	6.8	8.6	9.9	9.7
Return on Assets, %	8.7	9.1	7.1	5.5	3.3	5.3	6.8	9.7
Sales/Total Assets	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.4

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Cash after Operations	-1.1	23.7	8.0	22.2	23.8	18.0	15.3	17.2
Cash from Trading	13.4	37.7	26.7	40.1	37.2	34.6	31.0	31.6
Debt Service P&I Coverage	-0.4	4.6	1.0	1.4	2.2	1.6	1.8	2.8
Interest Coverage (Operating Cash)	-2.3	13.1	9.8	11.0	6.5	9.1	7.6	9.6
Net Cash after Operations	-3.7	21.4	13.8	22.2	25.4	20.5	15.8	16.9

Industry Tax Structure

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.7	1.6	0.7	1.6	1.5	1.3	1.4	1.4

Valuation Multiples

Earnings Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EV/Revenue	0.7	0.7	0.8	0.8	0.7	0.8	0.7	0.8
EV/EBITDA	2.8	2.9	7.9	9.1	10.3	9.1	6.6	5.5
EV/EBIT	3.8	3.8	11.5	14.0	21.2	15.5	10.8	8.7

Key Ratios

Year	Revenue per Employee ($k)	Revenue per Enterprise ($m)	Employees per Establishment (Units)	Employees per Enterprise (k)	Average Wage ($k)	Wages/ Revenue (%)	Establishments per Enterprise (Units)	IVA/Revenue (%)
2005	238.2	969.3	150.6	4.1	29.2	12.3	27.0	23.7
2006	215.6	892.9	153.7	4.1	29.0	13.4	26.9	25.5
2007	195.1	715.2	160.1	3.7	28.3	14.5	22.9	25.2
2008	227.2	2,120.5	146.6	9.3	27.5	12.1	63.7	23.5
2009	229.5	4,795.0	138.1	20.9	28.8	12.5	151.3	23.9
2010	230.3	4,060.7	135.2	17.6	29.3	12.7	130.4	23.8
2011	217.1	3,395.1	139.5	15.6	28.3	13.1	112.1	23.8
2012	228.5	3,346.1	132.4	14.6	25.9	11.3	110.6	21.5
2013	226.2	9,666.7	128.0	42.7	25.9	11.5	333.9	21.0
2014	220.8	9,268.5	130.8	42.0	26.3	11.9	320.9	20.6
2015	217.5	7,160.3	128.9	32.9	27.7	12.7	255.4	18.4
2016	210.9	2,977.2	122.3	14.1	27.1	12.9	115.4	22.2
2017	205.1	5,689.8	137.1	27.7	25.4	12.4	202.4	17.8
2018	203.1	6,233.6	134.1	30.7	24.6	12.1	228.9	21.4
2019	201.3	5,977.1	132.5	29.7	24.0	11.9	224.1	19.1
2020	202.1	6,264.3	128.2	31.0	24.0	11.9	241.8	19.8
2021	191.9	5,484.5	129.5	28.6	23.5	12.2	220.8	21.7
2022	177.2	4,731.7	130.6	26.7	22.1	12.5	204.5	22.4
2023	177.1	4,627.9	130.6	26.1	22.1	12.5	200.2	21.6
2024	177.9	4,711.8	131.5	26.5	22.1	12.4	201.3	21.6
2025	177.8	4,755.1	131.2	26.7	22.1	12.5	203.9	21.7
2026	176.6	4,633.9	130.3	26.2	22.1	12.5	201.5	21.7
2027	174.3	4,543.7	128.7	26.1	22.0	12.7	202.6	21.9
2028	172.2	4,391.4	127.4	25.5	22.0	12.8	200.2	22.0
2029	170.8	4,324.0	126.4	25.3	22.0	12.9	200.3	22.0
2030	170.1	4,280.7	125.7	25.2	21.9	12.9	200.2	22.0
2031	169.8	4,268.8	125.3	25.1	21.9	12.9	200.7	22.0
2032	169.0	4,214.3	124.5	24.9	21.9	13.0	200.3	22.0

Key Statistics

Industry Data

Values

Year	Revenue ($m)	IVA ($m)	Establishments (Units)	Enterprises (Units)	Employment (Units)	Exports ($m)	Imports ($m)	Wages ($m)
2005	370,009.7	70,562.8	10,484	388	1,578,735	0.0	0.0	45,408.4
2006	357,548.7	71,311.6	10,965	407	1,685,516	0.0	0.0	48,013.1
2007	345,480.8	71,015.0	11,241	491	1,799,996	0.0	0.0	50,142.4
2008	323,358.8	57,501.5	9,869	155	1,446,797	0.0	0.0	39,164.5
2009	306,622.7	56,686.4	9,833	65	1,358,341	0.0	0.0	38,421.2
2010	303,623.8	55,624.2	9,910	76	1,339,931	0.0	0.0	38,621.2
2011	297,297.3	52,492.8	9,978	89	1,391,863	0.0	0.0	38,817.2
2012	286,388.6	42,421.0	9,621	87	1,273,793	0.0	0.0	32,397.4
2013	275,784.0	41,495.3	9,684	29	1,239,170	0.0	0.0	31,567.1
2014	273,582.0	40,571.5	9,627	30	1,259,514	0.0	0.0	32,637.6
2015	267,646.2	54,922.9	9,705	38	1,251,242	0.0	0.0	34,046.6
2016	251,864.2	42,703.0	9,926	86	1,214,103	0.0	0.0	32,390.2
2017	240,679.9	43,232.9	8,747	69	1,193,160	0.0	0.0	29,856.2
2018	233,046.3	39,441.6	8,712	50	1,166,412	0.0	0.0	28,277.5
2019	223,459.9	39,058.7	8,497	39	1,128,103	0.0	0.0	26,672.7
2020	215,727.9	36,907.4	8,343	33	1,084,969	0.0	0.0	25,568.7
2021	226,648.1	39,104.9	9,406	37	1,200,335	0.0	0.0	27,740.1
2022	218,790.3	38,587.2	9,681	48	1,254,986	0.0	0.0	27,302.7
2023	218,521.3	38,248.8	9,688	49	1,254,690	0.0	0.0	27,289.6
2024	222,468.9	38,662.8	9,751	49	1,271,385	0.0	0.0	27,678.9
2025	224,148.6	38,748.1	9,878	49	1,283,042	0.0	0.0	27,924.1
2026	223,305.6	38,640.0	9,977	50	1,286,488	0.0	0.0	27,963.1
2027	218,951.1	37,974.3	10,044	50	1,278,244	0.0	0.0	27,710.7
2028	216,188.0	37,604.0	10,160	51	1,277,739	0.0	0.0	27,632.0
2029	213,710.4	37,186.1	10,181	51	1,271,808	0.0	0.0	27,466.0
2030	211,463.1	36,772.8	10,182	51	1,264,306	0.0	0.0	27,278.7
2031	210,395.6	36,540.6	10,205	51	1,261,331	0.0	0.0	27,199.8

Annual Change

Year	Revenue (%)	IVA (%)	Establishments (%)	Enterprises (%)	Employment (%)	Exports (%)	Imports (%)	Wages (%)
2006	-3.4	1.1	4.6	4.9	6.8	0.0	0.0	5.7
2007	-3.4	-0.4	2.5	20.6	6.8	0.0	0.0	4.4
2008	-6.4	-19.0	-12.2	-68.4	-19.6	0.0	0.0	-21.9
2009	-5.2	-1.4	-0.4	-58.1	-6.1	0.0	0.0	-1.9
2010	-1.0	-1.9	0.8	16.9	-1.4	0.0	0.0	0.5
2011	-2.1	-5.6	0.7	17.1	3.9	0.0	0.0	0.5
2012	-3.7	-19.2	-3.6	-2.2	-8.5	0.0	0.0	-16.5
2013	-3.7	-2.2	0.7	-66.7	-2.7	0.0	0.0	-2.6
2014	-0.8	-2.2	-0.6	3.4	1.6	0.0	0.0	3.4
2015	-2.2	35.4	0.8	26.7	-0.7	0.0	0.0	4.3
2016	-5.9	-22.2	2.3	126.3	-3.0	0.0	0.0	-4.9
2017	-4.4	1.2	-11.9	-19.8	-1.7	0.0	0.0	-7.8
2018	-3.2	-8.8	-0.4	-27.5	-2.2	0.0	0.0	-5.3
2019	-4.1	-1.0	-2.5	-22.0	-3.3	0.0	0.0	-5.7
2020	-3.5	-5.5	-1.8	-15.4	-3.8	0.0	0.0	-4.1
2021	5.1	6.0	12.7	12.1	10.6	0.0	0.0	8.5
2022	-3.5	-1.3	2.9	29.7	4.6	0.0	0.0	-1.6
2023	-0.1	-0.9	0.1	2.1	-0.0	0.0	0.0	-0.0
2024	1.8	1.1	0.7	0.0	1.3	0.0	0.0	1.4
2025	0.8	0.2	1.3	0.0	0.9	0.0	0.0	0.9
2026	-0.4	-0.3	1.0	2.0	0.3	0.0	0.0	0.1
2027	-2.0	-1.7	0.7	0.0	-0.6	0.0	0.0	-0.9
2028	-1.3	-1.0	1.2	2.0	-0.0	0.0	0.0	-0.3
2029	-1.1	-1.1	0.2	0.0	-0.5	0.0	0.0	-0.6
2030	-1.1	-1.1	0.0	0.0	-0.6	0.0	0.0	-0.7
2031	-0.5	-0.6	0.2	0.0	-0.2	0.0	0.0	-0.3

Figures are inflation adjusted to 2025-2026

Key Success Factors

Key Success Factors

How do successful businesses overcome volatility?

Ability to expand and curtail operations rapidly in line with market demand

Department stores must expand their operations during peak periods to meet increased demand (e.g., the winter holiday season) and curtail operations in weaker conditions (e.g., an economic slowdown).

Change or diversify markets

Department stores have expanded their focus on serving younger shoppers who prefer shopping online. Most department stores have set up online websites to cater to these customer groups.

What products or services do successful businesses offer?

Attractive product presentation

Department stores require an effective layout and design, good shelf management, friendly and helpful service and a clean environment. These conditions ensure customers are comfortable and can easily navigate the store.

Effective product promotion

Successful department stores will boost sales through effective advertising and marketing initiatives. Social media marketing campaigns have become more important.

Having a wide and expanding product range

Department stores offering a diverse range of products and brands will attract customers, as they can position themselves as convenient one-stop shops.

How do businesses use location to their advantage?

Operate in a highly visible location

Foot traffic is important to department stores, so many of them are located in densely populated areas. Impulse purchases are still a major driver of performance, so being easily visible is a great way to attract more business.

Operate in a location that is close to key markets

Customers tend to shop at stores that are near them to reduce traveling time and costs. The popularity of online shopping has diminished customer willingness to travel a significant distance to visit a department store.

How do successful businesses handle concentration?

Control total supply on market

Large department store chains can stock high-end brands that are inaccessible in other retailers or online stores. The popularity of online retailers and fast fashion trends has made controlling supply more difficult.

Develop a strong reputation

Large department stores, such as Macy's, Saks Fifth Avenue, and Bloomingdale's, have a reputation for excellent customer service and a wide selection of products.

How can potential entrants overcome barriers to entry?

Develop a skilled labor force

Customer service is essential for attracting and retaining customers. Sales associates must be carefully trained to help customers in an efficient and respectful way.

Develop links with suppliers

Department stores must attract shoppers by stocking the latest products in the largest variety. The growing prevalence of online retailers has made this even more important.

How do successful businesses compete with substitutes?

Develop a loyal customer base

Superior customer service can help retain repeat customers, preventing them from turning to online stores. Many consumers cite frustrations with online agents and other customer service difficulties as their biggest issues with online shopping.

Effective product promotion

Successful department stores will benefit the industry through effective advertising and marketing initiatives. This will help reinforce the status of department stores in the retail landscape.

How do successful businesses manage buyer & supplier power?

Having a wide and expanding product range

Department stores offering a diverse range of products and brands will likely attract customers, as they can market themselves as a convenient one-stop shop.

Secure economies of scale

Sufficient economies of scale reduce per-unit cost, allowing department stores to pass on cost savings to customers via lower prices. This gives them an advantage over smaller retailers.

Call Preparation Questions

Role Specific Questions

Sales & Marketing

Does your company specialize in one corner of the market or do you retail a diversified range of products?

- Department stores sell a wide range of products, from apparel to home furniture to hobby goods. However, in recent years, many stores have expanded to include groceries, which has removed them from the industry.
- Providing a range of products has kept the industry insulated from significant consumer trends and seasonality changes.

Are your sales heavily dependent on wealthy consumers or households?

- While some stores target mid- to low-earning consumers, including Walmart and Sears, others target wealthy consumers. These high-end retailers rely on sales from wealthy shoppers.

Strategy & Operations

What steps do you take to retain talented employees with specialized knowledge?

- Retaining talented employees has become increasingly important in this industry as the internet and e-commerce sites have siphoned customers from these brick-and-mortar stores. Well-trained employees help retain customers.

Have rising input costs negatively affected your company's sales? Are changes in input costs passed on to consumers?

- Input costs, including cotton and tariff prices, heavily influence the industry since purchases represent more than 50.0% of revenue.
- For example, the prices of leather and cotton are key inputs in many accessories and clothing items. Changes in these input prices have an influence on final product prices.

Technology

Does your company use point-of-sale (POS) systems to keep the most popular products in stock?

- Point-of-sale (POS) systems have become commonplace since having sufficient stock of popular items has become increasingly important.
- POS systems enable stores to better manage inventory and sales.

Have you been able to reduce wage costs through automation in recent years?

- Department stores have relied more on employee contribution to differentiate from e-tailers.
- Wages have increased as a revenue share as companies seek to provide added services in stores that online retailers lack.

Compliance

What does your company do to remain compliant with consumer regulations?

- Most department stores are large enough to employ in-house compliance teams that ensure compliance with the new regulations.

Have any regulatory expenses significantly impacted profitability?

- The industry is sensitive to tariff changes, although this factor hasn't fluctuated much recently.

Finance

How does your company's profit compare with your main competitors'?

- Profit margins for most all department stores have contracted in recent years in response to mounting competition from online sales.

How does your company compensate for cash flow seasonality?

- Cash flow within this industry is seasonal, with high demand during the winter holiday months. Many stores offer promotions during other parts of the year to compensate.

External Impacts Questions

Percentage of services conducted online

To what degree do online retailers affect your performance? Do you adjust your prices to compete better?

- An increase in the percentage of services conducted online will likely decrease demand for traditional brick-and-mortar stores.
- Although industry stores have expanded their online offerings to better compete with online-only retailers, this revenue is not accounted for in the industry.

Import penetration into the manufacturing sector

How has import penetration affected your revenue? Have imports pressured you to lower your prices?

- As import penetration increases, more low-cost imports are made available, which lowers the price tag on many items retailed by department stores.
- Growth in per-capita disposable income supports demand for department store's imported high-end products rather than imported fast fashion brands.

Per capita disposable income

How do changes in disposable income affect your revenue? Do you offer goods at a variety of price points, or do you target specific consumers?

- When disposable income is low, consumers cut back on spending by delaying purchases or buying inexpensive goods, which decreases revenue.
- In recent years, department stores have contended with mounting competition from online retailers.

Internal Issues Questions

Experienced work force

How do you hire workers? How many workers are necessary for efficient operations?

- Department stores require sales staff that are friendly, helpful and provide excellent customer service. Stores must employ enough workers to provide sufficient service.

Ability to expand and curtail operations rapidly in line with market demand

What systems can you use to effectively control costs? How do you account for seasonality when preparing?

- Department stores need to be able to expand operations during peak periods to meet increased demand (i.e. winter holiday season) but also curtail operations during weaker conditions (i.e. economic slowdown).

Attractive product presentation

What steps do you take to ensure clean and enticing product placement? Can your displays better attract customers?

- Department stores require an effective layout and design, good shelf management, friendly and helpful service and a clean environment.

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Department Stores in the US

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About

IBISWorld specializes in industry research with coverage on thousands of global industries. Our **comprehensive data and in-depth analysis** help businesses of all types gain quick and actionable insights on industries around the world. Busy professionals can spend less time researching and preparing for meetings, and more time focused on making strategic business decisions.

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Risk Overview

Recent Developments

Companies Overview

Discount giants like Target have transformed their traditional department stores into supercenters. Retailers add grocery sections to their locations to expand their product lines and capture additional consumer dollars.

Macy's has installed more than 14,000 price scanners in its stores, enabling customers to automatically check prices before making a purchase. It also invested in line-busting software and technology that alerts employees during busy periods.

Competitive Forces

Price is the most influential basis of competition for department stores. Consumers are price-conscious and comparison shop to find a bargain. Online shopping has strengthened price transparency by allowing customers to easily compare prices.

Online retailers are becoming more competitive. Brick-and-mortar stores incur higher operational costs than online businesses because they pay for high-traffic retail space and must staff sales associates.

External Environment

Individual states have regulations relevant to department stores. Congress and states enact trade regulations to maintain a free and competitive economy.

Department stores are affected by several import tariff duties incurred at the production level. A change in the tariff rate of a particular good may boost purchase costs.

Financial Benchmarks

Most department store costs are similar, but they can vary across companies with different operating sizes and specialties. Larger retailers benefit from economies of scale, generating higher returns. In contrast, smaller retailers typically have lower profit and higher operating costs.

High-end clothing and accessories generate higher profit. Nonetheless, this may reverse in economic downturns, as individuals substitute low-cost products for luxury items, benefiting discount department stores.

Geographic Breakdown

The geographic distribution of department stores follows population trends. The Southeast, Great Lakes, Mid-Atlantic and West regions contain a large share of the US population.

Consumers in metropolitan areas such as Los Angeles, San Francisco, Philadelphia and Pittsburgh have higher per capita disposable income levels. These metropolises exhibit more discretionary spending at high-end department stores.

Performance

Several large retailers, such as Target, are being reclassified as supercenters by expanding their product offerings to include groceries and other essentials. This places greater pressure on the industry, which has historically maintained a steady share of the retail sector.

Department stores that can't afford to convert to supercenters must adapt. Stores that continue to operate as on-site retailers are expected to lose market share compared to those that integrate the latest online shopping capabilities.

Products Markets

The latest round of tariffs will boost costs for department stores that rely on imported goods, such as apparel and home goods. These cost hikes will pressure profit, especially for stores with private-label offerings sourced directly from Asia, such as Macy's and Kohl's.

There are two types of department stores: up-market department stores and their discount variety counterparts. Both retail an assortment of general merchandise.

Department store products are enduring bolstered competition from online retailers. Most resellers have established websites and online platforms to sell their products to a wide audience.

Industry Definition & Activities

Definition

Department stores retail a broad range of general merchandise, including apparel, jewelry, cosmetics, home furnishings, household products, toys, appliances and sporting goods. Discount department stores, which are also part of this industry, offer similar product lines at low prices. However, this industry does not include big-box retailers and supercenters that offer fresh groceries, as well as warehouse clubs that operate under membership programs.

The primary activities of this industry are:

- Retailing apparel and accessories
- Retailing appliances and home furnishings
- Retailing toys and sporting goods
- Retailing other general merchandise

Industry Risk Score

Risk Component	Level	Weight (%)	Score
Structural risk	Medium - High	25	5.6
Growth risk	Very High	25	7.8
Sensitivity risk	Low	50	4.0
Overall risk	Medium - High	N/A	5.3

Note

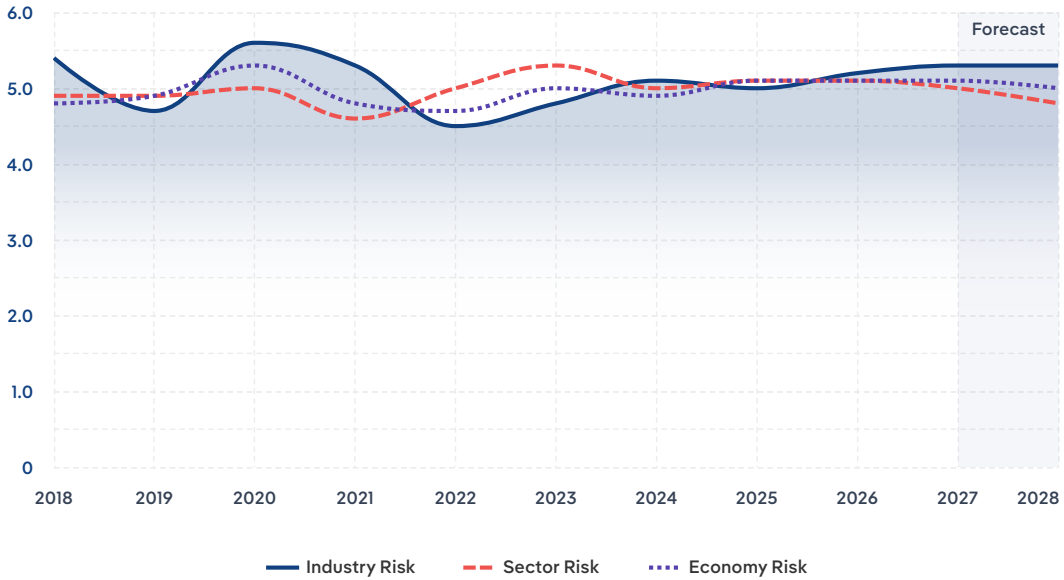
Forecast Period: Ending April 15, 2027

The overall risk score is calculated by evaluating three areas: industry structure (structural risk), future outlook (growth risk) and exposure to economic forces (sensitivity risk). Each component is scored on a scale from 1 to 9, with 1 being the lowest risk and 9 the highest. The three component scores are then weighted and combined to produce the overall risk score.

Risk Rating Analysis

Risk Rating

Overall risk in the Department Stores industry is forecast to be MEDIUM-HIGH over 2027. The primary negative factors affecting this industry are a declining life cycle stage and high competition. Overall risk will be higher than the MEDIUM level of the previous year, a result of an unfavorable movement in e-commerce sales. Additionally, growth risk is projected to rise.



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Sources: IBISWorld

Risk Score Trend Analysis

Overall risk in the Department Stores industry is forecast to be MEDIUM-HIGH over 2027. The primary negative factors affecting this industry are a declining life cycle stage and high competition. Overall risk will be higher than the MEDIUM level of the previous year, a result of an unfavorable movement in e-commerce sales. Additionally, growth risk is projected to rise.

Risk Score Context

In 2027, the average risk score for all US industries is expected to be in the MEDIUM band. Furthermore, the risk score for the Retail Trade sector, which includes this industry, is also at a MEDIUM level. Therefore, the level of risk in the Department Stores industry will be higher than that of the US economy and the Retail Trade sector.

Structural Risk Analysis

Structural risk will be MEDIUM-HIGH over the outlook period. This industry struggles with high competition. Businesses competing for market share must incur expenses to differentiate offerings or keep prices low to entice demand. This results in greater likelihood of declining revenue and lower profits. Operators are exposed to moderate revenue volatility requiring prudent cash flow management and planning in times of uncertain demand. Businesses failing to account for these challenges risk sudden losses or diminished margins. This industry receives no assistance from the public sector. The lack of assistance exposes participants to an environment in which revenue and profit growth can be more difficult.

Growth Risk Score Analysis

Growth risk is expected to be VERY HIGH over the outlook period. IBISWorld forecasts that annual industry revenue will decline 1.9% to $222.6 billion. In comparison, revenue expanded 0.2% per year between 2024 and 2026.

Sensitivity Risk Analysis

Sensitivity risk is forecast to be LOW over the outlook period, down from MEDIUM-LOW in 2026. The two factors with the most significant impacts on the industry are percentage of business conducted online and e-commerce sales. A rise in either of these factors will lower industry risk.

Percentage of business conducted online: E-commerce stores benefit from lower overhead costs than brick-and-mortar stores. As a result, online retailers can offer lower prices, broader inventories and easy direct shipping. Many consumers have become more comfortable and familiar with online shopping because of the pandemic and the trend will continue. Department stores will leverage their brands to appeal to older consumers becoming more familiar with online shopping. This factor's contribution to risk is expected to increase in the coming year.

E-commerce sales: E-commerce sales measure the number of consumers who use online services to buy various products rather than visiting brick-and-mortar stores. As e-commerce sales expand, sales are lost to online-only retailers not included in the industry. Department stores have established a strong online presence but can still struggle to compete with other retailers with lower operating costs. This factor's contribution to risk is expected to decrease in the coming year.

Per capita disposable income: Department store sales depend heavily on consumers' financial health, including per capita disposable income. When disposable income is low, consumers cut back on spending by delaying purchases or buying inexpensive goods, which harms industry performance. This factor's contribution to risk is expected to decrease in the coming year.

Number of households: Department stores sell household products like furniture, appliances and accessories. When the number of households decreases, department store demand will be negatively affected. This indicator measures the size of the potential consumer base for department stores. Growth in the number of households represents a potential opportunity for the industry. This factor's contribution to risk is expected to remain the same in the coming year.

Structural Risk

Structural Risk Score

Structure Component	Level	Trend	Weight (%)	Score
Barriers to Entry	Medium	Steady	13	5.0
Competition	High	N/A	20	9.0
Industry Exports	Low	Steady	7	1.0
Industry Imports	Low	Steady	7	2.0
Level of Assistance	None	Steady	13	7.0
Life Cycle Stage	Decline	N/A	20	9.0
Volatility of Industry	Low	N/A	20	1.0
Overall Structural Risk Score	Medium - High	N/A	N/A	5.6

Note

The structural risk score reflects how an industry's fundamental characteristics affect its overall risk. Seven components are evaluated individually, then weighted and combined to calculate the score.

Barriers to Entry

Moderate Steady

Legal

- Individual states are primarily responsible for regulating most retail activities. Stores must adhere to general business standards, such as minimum wage and overtime regulations. Department stores must also ensure their inventory is accurately labeled to prevent any harm to customers. Congress enacts trade regulations to foster a free and competitive economy.

Start-up Costs

- The initial costs of establishing a department store include purchasing inventory, hiring staff and marketing, all of which require significant capital. The industry already has many large companies that benefit from economies of scale; potential entrants must have substantial funding before setting up shop.

Differentiation

- Building a brand identity and cultivating loyal customers is critical for retailers to differentiate themselves. There is moderate differentiation in the industry, as some department stores, such as Kohl's, sell clothes, household items and cosmetics that reflect the latest trends. Other stores, like T.J. Maxx, focus on retailing discounted goods. Department stores vary in price and quality, appealing to a wide range of consumers.

Labor Expenses

- The industry is labor-intensive, with employees performing a variety of tasks daily. The shift to online shopping and increased investments in automation have reduced the industry's dependence on labor to some extent. Fixtures, fittings, cash registers and point-of-sale (POS) systems account for the industry's capital expenditure.

Competition

High Increasing

- **Price is the most influential basis of competition for department stores.** Consumers are price-conscious and comparison shop to find a bargain. Online shopping has strengthened price transparency by allowing customers to easily compare prices.
- **Online retailers are becoming more competitive.** Brick-and-mortar stores incur higher operational costs than online businesses because they pay for high-traffic retail space and must staff sales associates.

Domestic And International Markets

Exports	Imports
Low Steady	Low Steady

Assistance

None Steady

The National Retail Federation

- The National Retail Federation (NRF) is the world's largest retail trade association. It conducts programs and services in research, education, training, information technology and government affairs to protect and advance the interests of businesses across the retail sector. The NRF fights for a level playing field for retailers, including fighting against policies that could harm the industry, such as "border adjustment taxes" that could strengthen the cost of imported goods.

Department stores must navigate tax guidelines

- Two specific types of taxes apply to department stores across the US, including sales and use taxes. Sales tax applies to the retail sales of tangible property, while use tax applies to purchasing an item from an out-of-state retailer for use in another state. In addition to the sales and use tax, local jurisdictions in each state are empowered to apply their local sales and use tax. Most department stores employ robust accounting departments that help prevent tax issues.

Tariffs expected to strengthen costs and economic uncertainty

- Items commonly sold in department stores are subject to varying tariff levels, depending on the merchandise. For instance, tariffs on apparel range from 5.0% to 16.0%, while those on footwear can reach 38.0%. The recent Trump administration tariff announcement has increased upstream suppliers' purchasing costs, ultimately leading to higher prices for department stores. The president announced 25.0% tariffs on goods that do not meet the rules of origin under the U.S.-Mexico-Canada Agreement (USMCA). Many products sold by department stores are sourced from foreign countries, so expanding these tariffs would directly influence industry performance.

Life Cycle

Decline

Contribution to GDP

- IVA, which measures an industry's contribution to the overall economy, has declined significantly as GDP has increased steadily. The shifting retail landscape and the diminishing popularity of department stores have diminished their status. The industry has entered the decline stage of its life cycle.

Market Saturation

- The industry is saturated. Most stores, such as Walmart and e-commerce sites like Amazon, stock a wide range of clothing, appliances and household goods. As consumers report increased stress and reduced free time, stores offering the most convenience will gain a competitive advantage.

Innovation

- Department stores can benefit from product innovation at the manufacturing level by quickly stocking up on new items as they become available. Still, innovation is relatively limited, with most fashion styles remaining unchanged for many decades. Most fashion trends are related to minor product advancements or the revitalized popularity of previous styles.

Consolidation

- Consolidation has occurred in the industry because of heightened competition. As the industry continues into the decline stage, only the most popular department stores will remain competitive. The remaining stores will either be acquired or will cease operations. Large regional retailers will emerge to gain greater market share.

Technology & Systems

- Department stores endure significant technological disruptions because of strengthening e-commerce competition, adopting a direct-

to-consumer business model. While the growing use of technology offers opportunities to improve efficiency, the proliferation of threats posed by new online retailers represents a significant challenge to the industry's future.

Volatility

Moderate

Large-scale spending is discouraged by macroeconomic trends

- Revenue for department stores is primarily based on the sale of discretionary items, such as clothing and fashion accessories. Stores compete with various substitutes for a share of consumers' discretionary income. Significant economic and geopolitical volatility has not caused dips in discretionary spending, as consumption rates have remained strong.
- In recent years, favorable consumer trends have led to elevated discretionary spending, boosting department store sales. Recently, elevated inflation and higher interest rates have led to a dip in consumer sentiment, resulting in lower sales of discretionary products.

External competition affects volatility

- External competition remains high for department stores. Other retailers, such as warehouse clubs and Supercenters (IBISWorld report 45291) and e-commerce and online auctions (IBISWorld report 45411a), also influence revenue prospects for this industry.
- Supercenters and online retailers offer similar merchandise at discounted prices, effectively siphoning some consumers away from the industry. Online shopping activity has surged since the pandemic, with more consumers preferring the convenience of shopping from home. These external trends have kept sales from expanding.

Growth Risk

Growth Risk Score

Growth Component	Level	Revenue (%)	Weight (%)	Score
2025-2027 Annualized growth	High	0.2	25	6.2
2027-2028 Forecast growth	Very High	-1.9	75	8.3
Overall Growth Risk Score	Very High	N/A	N/A	7.8

Note

The growth risk score compares an industry's forecast revenue growth with its past performance and with expected growth across all industries. Higher growth rates generally indicate lower risk for industry operators.

Growth Risk Analysis

Department stores continue to contend with a shifting retail landscape, where newer online retailers can quickly adapt to the latest trends and challenges. The industry's slide has been steady since 2005, as consumer shopping preferences continue to evolve. The industry's slump was slowed by inflationary pressure, which raised product prices and fueled larger transaction sizes. Also, more department stores are strengthening their online platforms by adding user-friendly features and technologies that encourage spending. In recent years, more major retailers have expanded their product ranges to include groceries, offering greater convenience. Department stores that start selling products outside the industry's scope are reclassified into the Warehouse Clubs and Supercenters industry (IBISWorld report 45291), reducing industry participation. Revenue for department stores is expected to slump at a CAGR of 0.3% to $227.1 billion through the end of 2026, including a 0.5% dip in 2026 alone, when profit will account for 6.0% of revenue.

Online companies are increasingly undercutting traditional department store prices to save on operational costs. Companies with brick-and-mortar stores incur higher operational costs than online businesses because they pay for high-traffic retail space and must staff sales associates. Retailers have lowered selling prices and offered increased promotional deals to better compete. In April 2024, Nordstrom launched its digital Marketplace to expand its online presence and appeal to a wider audience. Through online platforms, retailers can offer a wider selection of brands, sizes and products. Similarly, department stores have since launched their digital stores and integrated them into their operations to provide an omnichannel shopping experience. While these efforts have helped retain some customers, profit has dropped because of inflationary pressures on the industry, resulting in retailers making more cost-cutting decisions, which has tempered declines.

In the coming years, continued competition from e-commerce businesses and the transition of department stores to supercenters will continue to pressure revenue. Some department stores will shutter more locations. However, disposable income growth will help alleviate some of the pressure spurred by greater competition. Department stores like Macy's and Nordstrom will continue to benefit from strong brand recognition, particularly as older customers become more comfortable with online shopping. Investments in online platforms will pay off for retailers, helping department stores become more competitive in a challenging business landscape. Revenue for department stores is expected to slump at a CAGR of 1.2% to $213.4 billion through the end of 2031.

Sensitivity Risk

Sensitivity Risk Score

Sensitivity Component	Level	Weight (%)	Score
Per capita disposable income	Low	20	3.8
Number of households	Medium - High	15	5.3
E-commerce sales	Very Low	25	2.2
Percentage of business conducted online	Medium - Low	40	4.7
Overall Sensitivity Risk Score	Low	N/A	4.0

Note

We calculate sensitivity risk by examining external and exogenous factors that affect risk within the industry. Examples include input costs, number of housing starts, commodity prices, etc. This component contributes to 50% of the overall score.

Sensitivity Risk Analysis

Number of households

Estimated Value in 2025

132.9 Million

2020-25 CAGR ↑ 0.7 %

2024-25 Change ↑ 0.5 %

Forecast Value in 2030

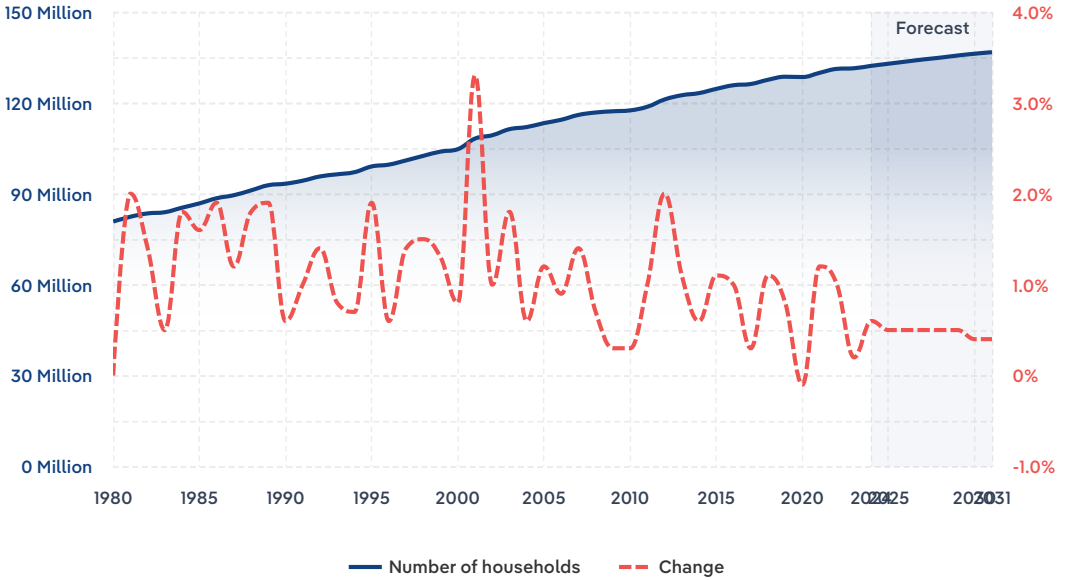
136.2 Million

2025-30 CAGR ↑ 0.5 %

2025-26 Change ↑ 0.5 %

Number of households

The percentage change in real household disposable income from 1980-2031



IBISWorld

Sources: IBISWorld

Year	Million	Change (%)
1980	80.8	N/A
1981	82.4	2.0
1982	83.5	1.4
1983	83.9	0.5
1984	85.4	1.8
1985	86.8	1.6
1986	88.5	1.9
1987	89.5	1.2
1988	91.1	1.8
1989	92.8	1.9
1990	93.3	0.6
1991	94.3	1.0
1992	95.7	1.4
1993	96.4	0.8
1994	97.1	0.7
1995	99.0	1.9
1996	99.6	0.6

Year	Million	Change (%)
1997	101.0	1.4
1998	102.5	1.5
1999	103.9	1.3
2000	104.7	0.8
2001	108.2	3.3
2002	109.3	1.0
2003	111.3	1.8
2004	112.0	0.6
2005	113.3	1.2
2006	114.4	0.9
2007	116.0	1.4
2008	116.8	0.7
2009	117.2	0.3
2010	117.5	0.3
2011	118.7	1.0
2012	121.1	2.0
2013	122.5	1.1
2014	123.2	0.6
2015	124.6	1.1
2016	125.8	1.0
2017	126.2	0.3
2018	127.6	1.1
2019	128.6	0.8
2020	128.5	-0.1
2021	129.9	1.2
2022	131.2	1.0
2023	131.4	0.2
2024	132.2	0.6
2025	132.9	0.5
2026	133.6	0.5
2027	134.3	0.5
2028	134.9	0.5
2029	135.6	0.5
2030	136.2	0.4
2031	136.7	0.4

This report analyzes the number of households in the US, defined as a person or group of persons occupying a single housing unit, such as a house, apartment or mobile home. Occupants do not need to be related to one another to be considered members of a single household. Data is sourced from the Census Bureau's Current Population Survey.

Current Performance

In 2025, the number of households in the United States is expected to reach 132.9 million, marking a year-over-year increase of 0.5%. The pace of this growth in the number of households in 2025 reflects ongoing demographic and economic trends, including population growth, changes in household composition, and continued housing shortages. Persistent demand for housing units is being driven by a preference for living alone and evolving family dynamics, such as marriage and divorce patterns. Despite elevated interest rates and affordability challenges in the broader housing market, the overall upward pressure on household formation persists due to these demographic undercurrents and shifts in living arrangements.

Between 2020 and 2025, the number of households has consistently trended upward, rebounding after an unprecedented contraction of 0.1% seen in 2020 amid the COVID-19 pandemic. The pandemic's immediate impact was characterized by a surge in unemployment and economic uncertainty, prompting many young adults to move back into family homes and briefly reversing decades of uninterrupted growth in the number of households. As labor markets recovered in 2021 and 2022, household formation resumed, expanding by 1.2% and 1.0%, respectively. During these years, economic recovery allowed more individuals, particularly younger adults, to once again form independent households. Nonfamily households, including those with individuals living alone, have played a progressively larger role in driving overall growth in the number of households; the 2024 average household size declined to 2.5 people, reflecting a longer-term trend toward smaller, single-person households.

Broader macroeconomic and demographic trends have remained relevant throughout this period. Structural changes, such as continued population expansion and a persistent shift toward low-density and nonfamily living arrangements, have sustained increases in the total number of households. Housing shortages and affordability constraints have posed challenges, but have not reversed the underlying trend. Immigration and population momentum have continued to push the number of households higher, even as affordability concerns have led some to delay household formation or cohabitate with others.

From 2020 to 2025, the number of households in the United States increased at an average annual rate of 0.7%. This growth reflects a combination of demographic changes, gradual economic recovery, and enduring shifts in living preferences, despite disruptions such as the COVID-19 pandemic and housing market constraints.

Outlook

In 2026, the number of US households is projected to increase by 0.5% to 133.6 million. This growth rate is expected to be largely sustained by the continued rise in nonfamily households, reinforced by demographic changes such as an aging population and delayed family formation by younger adults.

Over the five years to 2030, the total number of households is anticipated to expand at an annualized rate of 0.5%, reaching 136.2 million by the end of the period. The increase in nonfamily and single-person households is expected to remain a defining trend, supported by both population growth and evolving social preferences for independent living. The share of family households will likely continue to decline moderately, while nonfamily households increase. Macro trends such as continued population aging, persistent housing shortages affecting affordability, and the ongoing effect of demographic shifts, including increased immigration restrictions and deportations, will remain constraints on household formation.

E-commerce sales

Estimated Value in 2026		Forecast Value in 2031	
$1,035.5 billion	2021-26 CAGR ↑ 3.6 % 2025-26 Change ↑ 7.2 %	$1,265.1 billion	2026-31 CAGR ↑ 4.1 % 2026-27 Change ↑ 4.0 %

E-commerce sales

The percentage change in real household disposable income from 2000-2032



IBISWorld

Sources: IBISWorld

Year	$ billion	Change (%)
2000	37.43	N/A
2001	45.20	20.8
2002	57.78	27.8
2003	72.57	25.6
2004	89.63	23.5
2005	109.8	22.5
2006	131.4	19.7
2007	154.3	17.4
2008	158.4	2.7
2009	159.7	0.8
2010	186.7	16.9
2011	215.3	15.3
2012	244.9	13.7
2013	270.7	10.6
2014	303.7	12.2
2015	341.4	12.4
2016	385.5	12.9

Year	$ billion	Change (%)
2017	436.7	13.3
2018	490.7	12.4
2019	542.1	10.5
2020	756.5	39.6
2021	870.0	15.0
2022	865.7	-0.5
2023	894.3	3.3
2024	938.7	5.0
2025	965.7	2.9
2026	1,035.5	7.2
2027	1,076.6	4.0
2028	1,126.7	4.7
2029	1,173.8	4.2
2030	1,218.0	3.8
2031	1,265.1	3.9
2032	1,314.3	3.9

E-commerce sales represent all purchases of goods and services completed over digital platforms by US consumers and businesses, measured in millions of chained (2017) US dollars. This indicator captures the rapid expansion and integration of online transactions into the national retail and B2B landscape, tracking disruptive innovation and shifting consumption patterns. Data is sourced from the Census Bureau.

Current Performance

E-commerce sales rose to $1.036 trillion in 2026, representing a 7.2% increase from 2025. This growth has been driven by growing online sales in apparel, consumer electronics, home goods and groceries. More consumers are using online marketplaces for purchases, especially as mobile apps continue to develop quick and easy checkout experiences.

Between 2021 and 2026, e-commerce sales surged, albeit at a slower pace in the latter half of the period than with the initial post-pandemic spike. Expansion accelerated in 2021, with sales climbing 15.0% to $870.0 million as consumer behavior adapted to the convenience and safety of online shopping for essentials, electronics, and home improvement goods. Growth slowed thereafter: e-commerce sales actually dropped by 0.5% in 2022 as brick-and-mortar stores reopened and traditional retail regained some market share. The steady upward trend resumed in 2023 with a 3.3% increase, followed by 5.0% in 2024 and 2.9% in 2025. Cumulatively, e-commerce sales grew at an annualized rate of 3.5% from 2021 to 2026.

While the post-pandemic period did not match the blistering pace of 2021, momentum was sustained by shifting demographics and rising use of mobile and omnichannel platforms. Key sectors, such as apparel, electronics and direct-to-consumer brands, contributed strongly to total sales, while new integration of online and offline services improved consumer engagement. Online grocery sales have proved to be a particularly strong growth magnate, with mass merchants and retailers offering same-day delivery in a bid to obtain new customers. The use of AI chat services has also helped account for more online traffic for retailers, especially in the latter half of the current period. . Since 2023, e-commerce overall consistently outperformed traditional retail, capturing a larger share of total national sales across the period.

Outlook

In 2027, e-commerce sales are expected to advance at a similar pace as previous years, growing by 4.0% as retailers continue to lean into digital channel investment. Improving consumer confidence will support real spending growth across goods and services.

E-commerce sales are forecast to continue to experience healthy growth through 2031. Sales are projected to grow at an annualized rate of 4.1% through the outlook period, reflecting the continued consumer preference for convenience and speed. Growth will be driven by advancements in mobile shopping, and the ongoing expansion of digital marketplaces to sectors such as groceries and healthcare. Demographic shifts, such as increasing digital fluency from older adults, will contribute to e-commerce's share of total retail sales rising. By 2031, e-commerce sales are

expected to set new records and form the backbone of US retail transformation, maintaining their outsized influence even as broader economic conditions evolve.

Risk Score Methodology

What is Industry Risk?

Industry risk is the difficulty or otherwise of operating in an industry. We calculate industry risk using non-financial information. We represent industry risk with forward-looking numerical scores for specific industries. Industry Risk Scores measure the expected risk for the upcoming 12 to 18 months.

Industry Risk Scoring Methodology

We represent industry risk on a scale of 1 to 9, where 1 represents the lowest risk, and 9 is the highest risk.Industry risk is broken down into Growth, Structure and Sensitivity risk, which are combined to calculate the overall risk score.

Growth: Growth risk is a combination of recent and forecast growth scores. Growth scores account for between 0 and 25% of the overall score.The base case contribution is 25%, which is dampened at inflection points where extreme declines produce misleading positive forecast growth.

Structure: We calculate structural risk by analyzing internal industry risk factors.These factors are an industry's volatility, barriers to entry, external assistance, trade exposure, imports and exports (if any), industry life cycle and amount of competition. When our analysis identifies that an external factor creates a transitory shift to industry structure, the ratings are subjected to a structural adjustment score. The structure score contributes 25% plus any contribution dampened from the growth score.

Sensitivity: We calculate sensitivity risk by examining external and exogenous factors that affect risk within the industry.Examples include input costs, number of housing starts, commodity prices, etc.This component contributes to 50% of the overall score.

Risk Rating Score Ranges

Very Low	Low	Medium-Low	Moderate	Medium-High	High	Very High
1.0-3.0	3.0-4.1	4.1-4.7	4.7-5.3	5.3-5.9	5.9-7.0	7.0-9.0

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Current awareness



News

Showing 5 most recent news

Ross Stores plans expansion in Bakersfield California creating 1,000 new jobs.
11/06/2026

Bakersfield, California — According to state and local development sources, Ross Stores plans to invest $500 Million to build out 1,750,000 square feet of new space in Bakersfield. The company is creating 1,000 new jobs at this facility. The company plans to occupy the new space in Bakersfield, on or about December 1, 2031.

According to the company website, Ross Stores, Inc., together with its subsidiaries, operates off-price retail apparel and home fashion stores under the Ross Dress for Less and dd's DISCOUNTS brand names in the United States. Its stores primarily offer apparel, accessories, footwear, and home fashions. The company's Ross Dress for Less stores sell its products at department and specialty stores to middle income households; and dd's DISCOUNTS stores sell its products at department and discount stores for households with moderate income. Ross Stores, Inc. was incorporated in 1957 and is headquartered in Dublin, California.
To learn more, visit http://www.rossstores.com/

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SOURCE: http://www.intelligence360.io

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Ross Stores Inc. - Ross Stores, Inc. Announces Third Quarter 2026 Earnings Release and Conference Call
11/05/2026

Access the original document here

Ross Stores, Inc. Announces Third Quarter 2026 Earnings Release and Conference Call
PDF Version

DUBLIN, Calif., Nov. 5, 2026 /PRNewswire/ -- Ross Stores, Inc. (Nasdaq: ROST) plans to release its third quarter 2026 earnings results on Thursday, November 19, 2026 at approximately 4:00 p.m. Eastern time.

Participants may listen to a real-time audio webcast of the conference call on Thursday, November 19, 2026 at 4:15 p.m. Eastern time by visiting the Investors section of the Company's website located at www.rossstores.com.

A recorded version of the call will also be available at the website address, as well as via a telephone recording at 201-612-7415, Passcode #13763498, through 8:00 p.m. Eastern time on November 27, 2026.

About Ross Stores, Inc.

Ross Stores, Inc. is an S&P 500, Fortune 500, and Nasdaq 100 (ROST) company headquartered in Dublin, California, with fiscal 2025 revenues of $22.8 billion. Currently, the Company operates Ross Dress for Less® ("Ross"), the largest off-price apparel and home fashion chain in the United States with 1,993 locations in 45 states, the District of Columbia, Guam, and Puerto Rico. Ross offers first-quality, in-season, brand name and designer apparel, accessories, footwear, and home fashions for the entire family at savings of 20% to 60% off department and specialty store regular prices every day. The Company also operates 384 dd's DISCOUNTS® stores in 24 states that feature a more moderately-priced assortment of first-quality, in-season apparel, accessories, footwear, and home fashions for the entire family at savings of 20% to 70% off moderate department and discount store regular prices every day. Additional information is available at www.rossstores.com.

Contact: Connie Kao Senior Vice President, Investor & Media Relations (925) 965-4668 connie.kao@ros.com

View original content:https://www.prnewswire.com/news-releases/ross-stores-inc-announces-third-quarter-2026-earnings-release-and-conference-call-302931304.html

SOURCE Ross Stores, Inc.

Disclaimer

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Source: Public Companies News and Documents via PUBT

Ross Dress for Less expands across MA
11/03/2026

FITCHBURG – California-based bargain retailer Ross Dress for Less is expected to open a Fitchburg store next summer, after two other Massachusetts locations have opened their doors this month.

Fitchburg Mayor Samantha Squailia confirmed that the retailer is planning to open in the Twin City Plaza, adjacent to Boot Barn. A representative for Ross confirmed the store has signed a lease in the shopping center with plans to open in July.
The discount retailer is known for clothing, footwear and home goods.

Earlier this month, Ross Stores Inc. announced 51 additional Ross Dress for Less retail stores had opened across 17 different states, including Massachusetts, in October. It said the openings are part of a larger expansion of 115 new locations within the company's growth plan for 2026.

The newly opened stores in Danvers and West Springfield are the company's first Massachusetts locations.

"Each new opening allows us to deliver compelling value to even more customers while creating new jobs and making a positive impact in local communities," said Richard Lietz, the company's executive vice president for property development. "Building on the strong performance of our newer stores, we are excited to open our inaugural stores in Massachusetts while strengthening Ross Dress for Less' presence in New York and other existing markets."

Source: Worcester Telegram & Gazette

DOW JONES

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